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"H.G. Infra Engineering Limited
. Q4 FY '23 Earnings Conference Call"
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MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the H.G. Infra Engineering Q4 FY '23 Earnings Conference Call hosted by Go India Advisors a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you Faizan. Good afternoon, everybody, and welcome to H.G. Infra Engineering Limited Earnings Call to discuss the Q4 and FY '23 results. We have on the call Mr. Harendra Singh, Chairman and Managing Director, Mr. Arvind Khandelwal, President, Strategy; and Mr. Rajeev Mishra, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risk that the company faces.

I now request Mr. Harendra Singh to take us through the company's business outlook and performance subsequent to which we will open the floor for Q&A. Thank you. and over to you, sir.

Harendra Singh: Thank you, Sana. Good afternoon, ladies and gentlemen. Welcome everyone to the Q4 and FY23 earnings call. I hope you all are well and have got the chance to view the investors' presentation and the results that were uploaded on the exchanges. I'm pleased to announce that, with the grace of God, this year has been phenomenal for us, right from diversification of our order book by securing three non-road projects this year, followed by successfully entering into a share purchase agreement for monetizing of our four HAM projects, which would further strengthen our balance sheet.

Furthermore, we have strengthened our position in the highway and road sector with the two successful HAM projects in Q4 FY23. The company has established outstanding performance in FY23 across all areas. Let me start with the yearly financial performance of the company. In FY23, the standalone overall revenue was INR4,419 crores, which increased by 22.2% YoY from INR33,615 crores in FY22.

The EBITDA for FY23 was INR710 crores, showing an year-on-year growth of 21.5%, with an EBITDA margin of 16.1%. The PAT margins for FY23 was 9.5%, and the profit after tax for the period FY23 is INR422 crores, which is an increase from INR339 crores FY22. Before I

move on to the operation and the detailed financial numbers of the company, let me share a few updates on the infrastructure sector to establish the business opportunities in the years to come.
Talking of roads, the central government intends to accelerate the construction of roads in FY24 with the awarding of new projects of 12,000 to 12,500 odd kilometers this year, along with focus on the project completion ahead of general election is expected to boost execution in FY24. MoRTH's target to build 45 kilometers of roadways each day of FY24. This implies construction of around 16,000 kilometers of road in a year, which will be a record high. MoRTH's plans to initiate the second phase of Bharat Mala Pariyojana soon.
And railways, again, the capital expenditure in the railway sector has been consistently increasing over the past four years, and is expected to reach a projected amount of 2.5 lakh Cr in FY23. The government aiming to upgrade the redevelopment of 1,275 odd stations, primarily through the EPC mode, under the Amrit Bharat scheme.
The government has allocated a budget of INR98,000 crores for the monetization and expansion of airports over the next five year, of this budget, INR60,000 crores will be used to enhance the existi

ng airport, while INR38,000 crores has been set aside for the development of new greenfield airports. The world's fastest growing aviation market aims to boost the number of airports to 220 by 2025 from the current 148. It involves greenfield projects, new terminals, and makeover of the existing airports.
The water, again, where the Jal Jeevan mission is quite impressive. With increased budgetary allocation, the priority being accorded by the government of India to provide safe drinking water to the rural households. We as a company see abundant business opportunity to diversify and look forward to get some more projects in these front too.
Now, I would like to share the operational updates on order book, project execution and other significant events. As of February 23, our order book has reached INR12,595 crores. This is a big correction in the investor presentation. We have corrected because there are two projects which was having the GST, say, correction. So it is INR12,595 crores, with an order inflow of INR8,650 crores during the year. We have established our footprints in 11 states, with the EPC segment accounting for 55%, and the HAM segment accounting for 45%.
We would further like to grow our order book in this financial year, majorly from roads and highways segment. But we would like to further extend our presence in other sectors too, including water, railways, and other opportunities. During the year, we have secured three HAM projects and three non-road projects, which I would like to mention, apart from the Ganga Expressway projects of Adani.
Karnal ring road project, that is a HAM project in the state of Haryana, worth INR997 crores. Two HAM projects in Varanasi, Ranchi, Kolkata highway, that is package 13 and 10 in the state of Jharkhand, worth INR925 crores and INR1303 crores, respectively. Delhi -- DMRP EPC

project, valued at INR412 crores, that is inclusive of EPC. RVNL new railway line project in Bilaspur, that is in Himachal Pradesh, that is INR466 crores, that is again inclusive of EPC, GST, sorry. North Central Railway has awarded new project of Kanpur railway station in the state of Uttar Pradesh, that is INR655 crores, that is inclusive of GST.
I will now touch upon the progress of ongoing projects. Talking of EPC projects, with regards to Ganga Expressway, we have executed the project around 12.9%. The harbour extension road project, that is the Karala-Kanjhawala project in Delhi, execution is around 53%. In the Neelmangala-Tumkur project, that is EPC-NHAI, the execution stood at 8.4%. The execution progress of Adani-Mancherial project is at 91.4%, where we have already received the PCOD in the month of December. DV package 9, execution progress total is 97.4%. We have already applied for COD very recently.
HAM projects where the execution states that the Raipur-Vishakhapatnam-Odisha package 5 and package 6 are at 33.4% and 38.3% respectively. They are moving quite well as per the schedule. The execution status of Raipur-Vishakhapatnam-AP 1 package is 38.8%. The execution status of Khammam-Devarapalle package 1 and package 2 is 6% and 16% respectively.
The Rewari bypass project package 4 is already 24% completed and we already applied the PCOD. We have received certain completion certificate during the year. We received the completion certificate for NHAI-DV package 8, DV package 4, IRB-Hapur-Moradabad project, Adani-Mancherial project, and two small Rajasthan-EPC projects, namely the Kundal-Jhadol and Bhavi-Khimsar. This is a very significant milestone which we just reached. That is

monetization of four projects.
Since past few months, we were continuously under discussion with the prospective investors to monetize our initial four HAM projects, that is Gurgaon Sohna, Rewari-Ateli, Ateli-Narnaul, and Ateli-Rewari Bypass. So it's a pleasure to inform you that finally we have sig

ned share
purchase agreement with Highway Infrastructure Trust, which is supported by KKR, in the first week of May only, where HGs will be selling 100% stake in all these four wholly subsidiaries. The enterprise value for the transaction is INR1,394 crores, having an equity value of INR531 crores. The valuation of the deal is around 1.55x the price to book, which is higher than 1.3 to 1.4 expected and guided by the management earlier. Equity and debt commitment for all four HAM assets are INR343 crores and INR996 crores respectively.
The entire transaction will be completed in two tranches, where first tranche will include three initial HAM projects where we already achieved the completion, and the second tranche will include Rewari Bypass project for which final completion approval is expected by September. Completion of the sale of the -- this expectation soon from first tranche, which will happen after the satisfaction of the condition precedence, set out in the share purchase agreement, which

includes authority, third party and other regulatory approval and certain contractual commitments.
We believe this deal at a strong valuation will be going to strengthen the balance sheet of the company and will help the company to release capital for future growth. The diversification of order book along with monetization of HAM projects can give more positive triggers for the company in future.
Now I'd like to invite Rajeev Mishra, CFO, to highlight the quarter and last year's financial performance of the company.
Rajeev Mishra: Thank you, sir. Let me give you the key updates on the financials. In FY ‘23, the standalone overall revenue was INR4,419 crores, which increased by 22.2% year-on-year growth from INR3,615 crores in FY ‘22. At the consol level, the revenue was INR4,622 crores as compared to INR3,751 in FY ‘22, with year-on-year growth of 23.2%. At standalone level, the EBITDA for FY ‘23 was INR710 crores with Y-o-Y growth of 21.5%, against -- and at consol level, the EBITDA was INR895 crores versus year-on-year growth of 26.1%.
The PAT margins for FY ‘23 at standalone level was 9.5% and the PAT for the period FY ‘23 was INR421 crores vis-a-vis INR339 crores in FY ‘22. At console level, the PAT was INR493 crores, versus INR380 crores in FY ‘22, with Y-o-Y growth of 29.8%. On the standalone basis, the gross debt of the company was INR504 crores, which included working capital debt of INR39 million crores, term loan and current maturities, and the trade limits of INR368 crores and NCD of INR97 crores. At the consol level, the gross debt was INR1,907 crores, which included the project debt of INR1,403 crores.
The company continues to remain and maintains an order book ratio of 2.9x. For all the 12 HAM projects, the total equity requirement anticipated till FY ‘26 stood at INR1,612 crores. Out of this, an investment of INR736 crores has been done as of March '23, and a projection of invest -- further project for INR440 crores, which is anticipated in this remaining financial year, FY '24.
Coming to the quarterly financial performance, on standalone basis, in Q4, the company achieved a standalone top line of INR1,470 crores, vis-a-vis INR1,026 crores. In terms of EBITDA, the company achieved INR238 crores with an EBITDA margin of 16.2% for the said quarter. The profit before tax for Q2 FY ‘23 amounted to INR200 crores, representing a growth of 64.8% Y-o-Y. The PAT also rose to INR148 crores, indicating a Y-o-Y growth of 62.1%. On the consol basis, the company has achieved a revenue of INR1,535 crores compared to Q4 of last year. Regarding the EBITDA, the company recorded INR297 crores with EBITDA margin of 19.3%.
Furthermore, the profit before tax for Q4 FY ‘23 is INR231 and PAT also experienced a Y-o-Y increase of INR117 crores, reflecting a growth of 64.4%. We are happy to share that the

company's performance over the last five years has been exceptionally good with a five-year CAGR for revenue of 26%, EBITDA touching to 28% and PAT at 38%. The ROCE and ROE

increased to 30% and 24% respectively. The company has worked dedicatedly to raise the net working capital cycle to 23 days in FY ‘23 as compared to 46 days in FY ‘19.
I would like to hand over the call to Mr. Harendra ji for further future guidance and the business opportunities.
Harendra Singh: Thank you, Rajeev. Let me enlighten the forum for the way ahead. The HG has laid the groundwork for its expansion phase by emphasizing operational efficiency and effectiveness, cost optimization and timely project execution. The company anticipates securing orders worth INR8,000 to INR9,000 crores in FY ‘24 to maintain the book-to-bill ratio of more than 2.5x.
Furthermore, there is a strong NHI bid of around INR1,10,000 crores, which is in pipeline this year. In other sectors, the new projects in railways, we can expect INR15,000 crores to be bidded where we already target for in Metro. And they are all yet to be bidded, which gives us a huge opportunity to scale our business and order book.
We continue to stress the significance of diversification and as evidenced by our recent order wins for three non-road projects, we aim to have 20% to 25% of our order book comprising non-road projects within next two years, three years.
The floor is now open for question-and-answer. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer-session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir. And congratulations on a consistent performance and a very, very strong track record. So my question is sir, on the guidance for FY ‘24. Can you please provide us what do you expect the revenue and the margin for FY ‘24 and the order inflow?
Harendra Singh: So order inflow, already we have just touched upon that we are expecting about INR8,000 to INR9,000 crores of order, which again, if I can, tentatively, I can just break it out. We have INR5,000-odd crores of HAM projects which tentatively would be targeting to look upon this year. And INR1,500-odd crores of EPC projects for NHAI and highway projects only. Balance of about, say, INR2,000 odd crores likely to, we are targeting for – expect other than those sectors.
As far as execution is concerned, I can just go into the breakup of the total orders in hand. We are already in under-execution orders of five HAM projects, majorly five HAM projects. It's INR3,000 crores of order out of which we are expecting to execute INR1,800 crores during the year. But the NHAI, EPC project that is majorly two, one is the Delhi-UER projects and the second is the Neelmangala-Tumkur projects, where we expect that during the year we will be doing INR850 odd crores of execution.

And the Ganga Expressway project around, we are expecting some INR2,000 crores of execution where it's around INR3,900 odd crores of balance work is there. And this INR400 crores of execution we are expecting from three of the non-highway projects or railway registration projects like that. And INR100 odd crores of execution is tentatively from other small leftover work. This taking together is coming out with about 20% to 22% year-on-year, rather 23%.
Mohit Kumar: Sir, second question was on the monetization. If I remember correctly, I think you are getting $5.3 billion or INR530 crores for an investment of around INR300 odd crores, is a number, right?
Harendra Singh: It's INR343 crores to be very specific.
Mohit Kumar: Okay, I understood that. For the tending of road for the FY ‘23, I think was slightly on the lower side. However, the HAM proportion was much, much higher. You did mention that $1.1 trillion order

is in the pipeline. Is this tender, as of now, open for bidding? In a sense, open for bidding? And you expect this number to increase as we complete FY ‘24? And why the HAM proportion in this pipeline?
Harendra Singh: So, what you are talking? I think, you are talking of the bidding pipeline of NHAI?
Mohit Kumar: Yes, NHAI.
Harendra Singh: That has been indicated as already being given as a guidance from NHAI Ministry that they are looking for awarding this much of size of orders. They're almost about 6,500 kilometers to 5,000 kilometers from NHAI and balancing from MoRTH.
Mohit Kumar: So, my question was, this $1.1 trillion number looks to be slightly on the lower side for the industry.
Harendra Singh: So, I can look at -- so what you want to say, please?
Mohit Kumar: No. My question was, is this $1.1 trillion number, is it, I think it's on the lower side. We used to do $1.5 trillion, $1.6 trillion?
Harendra Singh: No, say what actually we have estimated as is what we would be aiming upon to, we are not considering those projects for where we actually, as far as geographically, we would not be

interested for. Like last year, we bidded for almost INR72,000 crores of orders, say all bids, from NHAI. So, this year, we are looking at about INR1,10,000 crores to be bidded for all NHAI projects.
Mohit Kumar: Understood, sir. Thank you, and all the best, sir. Thank you.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes, hi, Harendra ji, congratulations on the monetization of these four HAM assets, and an exceptional year in terms of execution. So, my first question is on the diversification. So, we got three projects this year on the railways and metro. So, did we bid for any water projects because a lot of our competitors have got water projects, and we have been planning, strategizing to bid for water projects. If you can just enlighten us at how much was the bid we have put in the water segment in FY ’23? And what are the plans for FY ‘24?
Harendra Singh: Thank you very much for your good wishes, Parikshit. And this year, we bid for five water projects of water, three in, say, Rajasthan, state of Rajasthan, and two are in the state of MP. But definitely, we could not invest any of the project because our estimation, which we actually have calculated, we stood about L4 to L5 range. So, it's not that we are not pursuing this particular opportunity. This is a huge potential in this particular nearby states like MP and even UP and Rajasthan.
In Rajasthan, of course, there were many bidding, bids were about to be bidded or awarded. But of late, I think, very recently, it has been decided there will be awarded in the subsequent part of this financial year, Rajasthan, I think, post-election. So, we are keeping a very, say, watch on this particular bidding opportunity, and we will be doing so.
Parikshit Kandpal: Okay. My second question is on the HAM portfolio. So, out of 12 HAM assets, four have been monetized. The balanced eight HAM assets, do you have any kind of understanding with KKR in future, whether they'll have a ROFO on our assets, or we retain the option of storing it out with other partners as well? So, how will this strategy be working out there in terms of future monetization in the portfolio?
Harendra Singh: See, the understanding has been very clear. Ultimately, it has to be a good association from any of your part. They are having the, say, backup of their fund management, and we are having the backup, our DNA of our EPC. So, this is our understanding, where we are actually looking beyond that is after four HAM projects. They pull that if we want to, whatever we continue to develop or construct. We would be looking at, but definitely it all depends upon the technical due diligence, the other due diligence, other

factors which really matter, where the valuation is also there. But we believe that this is a strong relationship which is going to be a continuing feature.
Parikshit Kandpal: Okay. So, do you think to extend this relationship beyond those, like, maybe in TBCB or power sector, like KTR as well? Because this will largely be restricted to the other sectors.
Harendra Singh: But very recently, it has been concluded for the highway, but they are sure they're interested in the company, and we can look and look beyond even wherever you would be interested in other sectors, other than the highway sectors even. But I cannot comment right now.
Parikshit Kandpal: Okay. And this is the last question to Rajeev sir. Rajeev sir, if you can give a break-up of, so out of the 12 HAM projects, four is already invested, equity is already done. The balance eight

project, what is the total investments in equity? What is the balance requirement over the next, till FY ’26, year-wise if you can give us?
Rajeev Mishra: The total requirement of all these projects in the equity was INR16,120 crores, out of which we have invested, sorry, INR735 crores, we have invested in till March. And out of the projects, almost INR440 crores, we have to invest in this FY ‘24. And for the remaining, we have already configured the projections to INR359 crores, which is required in FY ‘25 for the remaining projects, which are all under execution in eight projects.
Parikshit Kandpal: So you said, INr440 crores in FY ‘24, and INR359 crores in FY ‘25?
Rajeev Mishra: That is required.
Parikshit Kandpal: Okay, INR359 crores in FY ‘25, INR440 crores in FY ‘24. And balance in FY ‘26, right?
Rajeev Mishra: INR76-odd crores.
Parikshit Kandpal: INR76-odd crores. Okay, sir. Thank you and wish you all the best. And again, congratulations on the great deal which you have closed. Thank you.

Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Good evening, sir. Thank you for my question and congratulations on the good set of numbers and the closure of the deal. Sir, my question is on the project of this Khammam-Devarapalle package 1 and package 2. So this quarter in Q4, we haven't seen any execution. And also the Tumkur project also we saw a significantly low execution. So any reason what is happening on these three projects, sir?
Harendra Singh: Sure, I think you're talking about Khammam-Devarapalle package 1 and package 2. The execution in quarter 4 of this particular is around INR21 crores and INR48 crores be respectively in KD 1 and KD 2. This is again because in this project there has been quite a big variation which is actually been encountered because of canal irrigation department. They are asking for, so almost 50% of the land has got affected because of that there's a certain approval is likely to come from NHAI whether they are going for this variation or not. So this is why I think the execution has been at a slower pace. But I don't believe that it is going to have the effect for a much longer time. So this is going to be resolved very soon and we will be picking back to the normal trend of this milestone which we will be looking at.
And in Neelmangala-Tumkur also there has been a small variation which is likely to be there because it is in two phase, where the first service road being constructed for the first phase and the second phase is the main carriageway to be constructed. So then service road and main carriageway they are looking at the combination where whatever we complete in the service road it can be finally started. So there is a certain approval which is likely to come from NHAI.

Jiten Rushi: So basically sir, in the KD 1 and KD 2 you said that the variation approval will come. So what could be the variati

on? Like, it will be on the higher side?
Harendra Singh: No, definitely on the higher side there are two kinds of variation. One is the usage of Pond Ash. In this particular way the NTPC has already been called, already called the bids and invited the tenders for transportation of fly ash that we also built into that as we did for material project.
But for sure I think all the variations are on positive side, it's not on negative.
Jiten Rushi: When can we expect a smooth execution to pick up in KD 1 and KD 2?
Harendra Singh: The execution is already on. It's not that the execution is not going on at all. It's a standstill. Everything is going on, moving on well on the aspect of the milestone. We will be achieving that.
Jiten Rushi: So this INR21 crores and INR14 crores are still unbilled hence the revenue has not…
Harendra Singh: Total billed revenue during the year because it's all billed revenue. This INR21.85 crores and INR48.6 crores.
Jiten Rushi: And sir, even this Tumkur also should start positively as you said the variation will be coming soon.
Harendra Singh: Yes.
Jiten Rushi: And sir, on the EBITDA and the gross margin we have seen significant improvement. So any reason for this improvement this quarter, or it was because of the normal course of business?
Harendra Singh: I think, it's a normal trend. It's not that anything, which is actually added into this margin. It's a very small where you can see the range of where employee cost and the cost of material being used. So the OPM has increased. OPM being increased, EBITDA has shown the improvement that is why.
Jiten Rushi: So the margin guidance remains at what, 15.5% or 16%? What is your view?
Harendra Singh: Sorry?
Jiten Rushi: The EBITDA margin guidance for next couple of years?
Harendra Singh: Yes, tentatively as we expect out of these projects which we already started the execution and we will be starting the execution is roughly around the range of 16%.
Jiten Rushi: Yes, 15%. So going forward, we can see some decline in margin because of the mix --change in mix.
Harendra Singh: Decline, no, I'm saying 16%.

Jiten Rushi: 16%, okay, sorry. Sir, some capex front. You have done a significant capex this year. If at all, you can highlight almost gross capex was almost INR340 crores, right, sir? Any capex view going forward, in next year…
Harendra Singh: Yes, this year I think, you can see the increase in the term loan because of that only. This addition of INR220-odd crores of term loan being added during the year. So the closing balance is

INR333 crores of term loan. There is hardly any increase in the OD limits and NCD, etcetera.
But this has been increased because we have added some INR299 crores of gross block which
is the majority of that portion is the construction equipment which we added.
So we are phasing out of the old construction equipment where there are already some there is
some life which we have considered as a part of the, and the technology upgradation of all these
equipment that has been done strategically. So the year on now, looking to the subsequent years,
we would be happy enough that if the order is for any of the ordering execution of 20% growth
for the company, it should be somewhere around INR100-odd crores will be added for next two,
three years.
Jiten Rushi: Okay, sir, I have more questions. I'll come back in the queue. Thank you.
Harendra Singh: Thank you.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go
ahead.
Shravan Shah: Thank you. Congratulations on the robust performance and on the monetization of HAM
projects. Sir, broader questions has been answered. A couple of things just to understand. First
is on the, have we bidded any of the projects where bid is yet to be open?
Harendra Singh: Yes, there are six bid results are yet to be opened. Four project

s of Chambal Expressway and
one more of NHAI project or rather one more of MoRTH projects and three projects of railway
which is yet to be opened.
Shravan Shah: So these six projects is what, how much and railway three projects?
Harendra Singh: They all together is about INR8,000 crores of six, seven projects and railway projects are a small
amount of INR300 crores to INR500 crores. So total INR8,000 crores.
Shravan Shah: Okay, got it. Second is on the recently won projects, three HAM projects and Kanpur Central
Railway and Bhanupali-Bilaspur in terms of the appointed date, what is the expected deadline?
Harendra Singh: Correct, RVNL for this Bilaspur project they have already has assigned appointed date of 24th
of May, they released the letter so that will be on 24th of May. They said tomorrow we are
signing the agreement and this is how I think for -- Kanpur Railway, for sure I think this is going

to delay because not more but at least two, three months because it will take all possible
permissions from the nearby authorities where it is majorly utility shifting, electrical, etcetera.
Shravan Shah: Okay, so maybe by July, August we will get the appointed date for Kanpur Central Railway
Station?
Harendra Singh: Probably, as of now. As of now it is like that only, August.
Shravan Shah: And then for three HAM projects, Karnal and Varanasi, package 10 and package 13?
Harendra Singh: See for Karnal the total land availability as of now is around 90% and the crop which was sow
there now being harvested, the wheat crop, and we are taking the position of the land, as soon as
we complete the land position by June end we believe that, tentatively by June end or max by
July we will be taking the appointed date by that time.
Shravan Shah: And for Varanasi package 10 and package 13, October, November or December?
Harendra Singh: Yes, of course I think, it is post-monsoon only in any case because the land compensation is
being paid to the field owners and we believe that it is significantly going to improve once the
harvesting has already been done. So by October, November we believe that there is a chance
that the appointed date is likely to be declared.
Shravan Shah: Okay, just a couple of data points in terms of the retention money, mobilization advance and
unbilled revenue as on March?
Harendra Singh: Unbilled revenue which is your last point which has been increased for this financial year
because of the two, three major developments that have been there. Where the variation is not
yet approved, so if you are talking of the unbilled revenue which is now INR600 crores,
something crores -- to be rather very specific. So this is how I mean, INR150-odd crores is in
HAM only. And then all EPC projects are unbilled, this is also INR170-odd crores, which is
unbilled in the UER and Delhi-Vadodara package 8 and package 9.
And Adani projects also, now the change is there where the Ganga Expressway is also INR170-
odd crores of unbilled is there. But now there is a variation being passed where the Arsac
construction which was at a different stage. Now they have relaxed the payment at not at every
two meters. Now they have relaxed the payment. So that is how I think within this quarter only
we would be getting significant decrease in the unbilled because they would be paying us right
on the, not at that stage, prior to that stage even.
Shravan Shah: Sorry sir, just to clarify, unbilled revenue total is INR610 crores, retention money is how much
and mobilization is what?
Harendra Singh: INR500, INR580 crores to be very specific. And out of INR580 crores, I have given that the
HAM projects is around Rs150 crores. NHAI EPC project is INR165 odd crores. One major

amount is there by the Ganga Expressway project which is INR170 crores. Where it is going to be re

duced drastically down because they have now relaxed the stage payment for all the three contractors like VN, Patel and ITG.
Shravan Shah: Okay, and retention money and mobilization advance, sir?
Harendra Singh: Retention money total for this debtor balance is what you are talking is one is the debtor balance. [inaudible 0:36:18].
Shravan Shah: No, as on December it was INR190 odd crores retention money. So what's the figure for March?
Harendra Singh: No, I think the debtor is INR735 crores and INR111 crores is retention.
Moderator: Thank you. Mr. Shah, may we request that you return to the question queue for follow-up questions. Thank you, we'll take the next question from the line of Prem Khurana from Anand Rathi. Please go ahead.
Prem Khurana: Yes, thank you for taking my question, sir. And congratulations on closing the transaction for four hybrids and that too with a pretty good valuation. Sir, just, I mean, somewhere in your remarks, I mean, you said. I think initially, I mean, in reply to one of the questions, I mean, you said you're expecting some number from INR1,800 odd crores from five hybrid annuities of INR3,000 odd crores of balance potential. And you gave us the breakup for some of these other projects. What I realized is, I mean, eventually you have not conceded any contribution from these three hybrids that you've secured recently. So why would that be the case? I mean, because I mean, just now you said, I mean, you would be able to have-
Harendra Singh: We have already taken, I think I just forgot about it. INR500 crores of execution we have taken from these HAM projects. So nearly awarded HAM projects, INR500 crores.
Prem Khurana: Oh, okay, sure. So which essentially would imply that, I mean, you're looking at more than 23% kind of growth for the year? I mean, on a Y-o-Y basis.
Harendra Singh: Roughly, it is around 23%, let's say.
Prem Khurana: Oh, okay, sure, sure. So thank you, that clarifies. Second question was, I mean, if you could talk about competitive intensity, why I ask this is essentially, you said, I mean, you bid for almost INR72,000 odd crores projects in FY23 on NHAI site, but we could have only three projects worth around INR3,000 odd crores, which is even less than 5% conversion ratio. So how do you see the conversion ratio kind of work for us, I mean, in FY24?
I mean, we're looking at around INR5,000 crores of orders on hybrid and INR1,500 odd on EPC side from NHAI. Do you see competitive intensity to go down now, or I mean, it'll remain there, and you would have to bid for more to be able to get your numbers in place?

Harendra Singh: We believe that, I think, with the new, this compulsion of triple B rated companies, they would be only allowed to bid for HAM project, that is where, and there are many projects which for many other mediocre companies, they are having those projects where the, say, good amount of execution has to be done. So we believe that way. I think now, nowadays, we have seen the trend of about five to seven bidders, earlier it was 10 to 12 bidders in all the HAM projects. But EPC, for sure, we are putting our finger across, but we are expecting that at least INR1,000 crores to INR1,500 odd crores from, it can be from even Maharashtra State Road Corporation where they have also called certain EPC projects. So we are looking at those projects as well, from EPC line, not only NHAI, but some more, some state projects as well, especially Maharashtra.
Prem Khurana: Sure, sure, I think that answers my question. I'll come back in the queue for more. Thank you, and all the very best for the future
Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead. Mr. Abhyankar, your line is in talk mode. Please go ahead with your question.
Nikhil Abhyankar: Yes. Congrats sir, on a good set of numbers. I

've got two questions. So first is on the margins.
So is it the case that you have given the margin guidance conservatively, given the cost prices are coming down, the input pressures are coming down? So is there any chance as we go along the year, you might, are operating margins might surprise us on the upside?
Harendra Singh: I think that whatever you are saying, the price escalation clause is either way, stay positive or negative. If the prices are going down, then definitely the price escalation which we would be getting would be equivalent to that. So earlier what has happened is because of the steep rise in the commodity of the steel, even especially steel and crude. So it has happened where the dip in

the margins, which we have seen in the past one, one and a half years, but now it is almost, I believe that 15% is 15.25%. That is a decent range which we will be looking upon for all under execution projects.

Nikhil Abhyankar: Okay. The other question is on last year, there was a lot of talk about government reducing the grants to 20%. So is there any word on that from the ministry?

Harendra Singh: No, as of now, I think they have not given any signal or that there's going to be reduced, but they have actually touched upon the lenders as well as concessioners' interest across the entire fraternity, but how it will look like. They always give positive responses. Definitely, it is going to cool down the margins, this competition. So that is how we believe. I think nothing has happened as of now. There was this and second was the network criteria, but nothing has happened as of now.

Nikhil Abhyankar: And are we pushing from our end to bring the grant down so that?

Harendra Singh: There are various theories of these kind of meetings and discussions where they and we together at the NHBS forum, where the National Highway Builders Association, they are all looking to have a conducive arrangement of the project being done with quality, with standards within the

timeline, and that is their intention also, and we also are looking into that. But I don't know how long it is going to take.

Nikhil Abhyankar: Okay, sir. Thanks a lot and all the best.

Moderator: Thank you. Ladies and gentlemen, please limit your questions to two per participant. Should you have a follow-up question, we would request you to rejoin the question queue. The next question is from the line of Anupam Gupta from IIFL. Please go ahead.

Anupam Gupta: Good afternoon, sir. Just have a couple of questions. Firstly, the INR530 crores of inflow that is expected from the sale of four projects, when do you expect the money to flow into the balance sheet? Should we comment this year or?

Harendra Singh: Yes, of course, this year only. So since we have executed already, there's a speeding time. So now we are going to have the compilation and completion of the completion preference, where for these three projects, which we already have completed. So we would be applying to NHAI for getting NOC from them. It's a usual process that they take, normally take, let's say, almost two and a half months for that. NOC from all the lenders also, that is what is required. And there are certain obligations from either side of both the parties.

But then again, by September, we believe that this all three, first tranche, all these three projects where the fund can, we believe that should be transferred to our account. And followed by this Rewari package, where six months is the requirement or from the completion date, from the provision completion date. So once we, we already applied the PCOD. So with that, by October or November, we will be applying to NHAI for the necessary permissions. So by January, we are, we do expect for the fourth, the second tranche for the fourth project as well.

Anupam Gupta: Okay. Okay. And second question, sir, on the execution side, yo

u have given a guidance of close to 23% growth. Do you see any risk to this from let's say the election code of conduct coming in by the end of this year, this calendar year, in terms of approval? So let's say you talked about appointed dates coming through for the new HAM projects. So do you see any risk to the execution from the elections being there in multiple states?

Harendra Singh: You see, I think we have guided upon that the majority of execution is going to be where the appointed date is being declared as of now. As of now. So it's just INR500 crores of three HAM projects, which were the Karnal project or Jharkhand two projects. So that is only what we have assumed. But we don't see that by December, in any cases, the government would be looking into the declaration of the appointed date. I don't see any challenge in that.

Anupam Gupta: Okay. And just continuing this on, so let's say if I were to look into FY25, given that you have INR12,500 crores of order books, ideally a 20% growth can be sustained in FY25 as well, or is it a bit high?

Harendra Singh: We do expect that whatever arrangement has been done in the houses for the capex technology, human resource, and that any addition of the range of 8,000, 9,000 orders being added during the year, and what we believe that 20% is the ideal growth for that range of execution that we would be aiming for, and that we believe that it's all doable, achievable.

Anupam Gupta: Okay. Understand. That's all from my side, sir. Thank you.

Moderator: Thank you. Participants, to ask a question, you may press star and one. The next question is from

the line of Abhineet Anand from Emkay Global Financial Services. Please go ahead.
Abhineet Anand: Yes. Yes, thanks for the opportunity. I just wanted to know, you told that you paid for 72,000 crores of... Sorry?
Moderator: Sorry to interrupt you, Mr. Anand. May we request that you return to the question queue? we'll take the next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good evening, sir, and congratulations on a good set of numbers. So one thing on the Ganga Expressway, which is where, you know, a lot of your execution will be coming this year. So on the ground situation in terms of, you know, land acquisition and other approvals for the 80% odd remaining, how are we placed? And secondly, in terms of the payments from your counterparty, how is it happening given their own challenges that we had earlier seen?
Harendra Singh: Yes. So in this Ganga Expressway, unlike the other projects also, we have experienced a good amount of land available on the day one. So almost 98% as of date, it's all available. So that is a good part. And we have already set up six big camps along the alignment where, say, 151 kilometers being bifurcated as a three project, not a single project. So that is how I think the big force being deployed as far as the execution is concerned. So we're doing, touching around INR6 crores a day as of now. So there's a base of execution, which we are doing.
So bearing few of the days where the early, I think this rainy season, rainy days has impacted. So but otherwise, as far as payment is concerned, we are getting payment right on time. It was a gap of about, say, was a month or two at the initial time in Feb and March. But during the month of April, only we have received INR190 crores from the client.
And they are very clear and we are very clear because the government, UP government is having the clear guidance and clear instructions to them to complete the project by December 24. So this is how I think for us together, this means the main target is to achieve. And there are almost, almost we are, we have taken the INR2,000 crores of execution to be done during the year. So that's, which is the run rate which we are doing is almost doable.
Sarvesh Gup

ta: Understood. And secondly, sir, in terms of your cash flows, so I think we are getting around INR500 odd crores from the sale and post tax, how much it will be? And then against that, again, we have to anyway spend 440 crores in the new HAM projects. And your working capital will

also go up. So overall for the year, your interest cost and debt will not sort of come down much, right?
Harendra Singh: No, no, as far as for the year 24, the repayment of the debt is just around, if you see, INR363 crores of term debt. They are out of that INR190 crores, including INR189 crores, which is inclusive of NCD payment, repayment. So this would be repaid during the year only. And if you see anything which is safe, net of tax INR531 crores is going to be calculated because it's the first what we have invested and then when the return, actually the amount is being transferred to you. So this is going to be calculated. We are not calculated yet as of now. So ultimately INR440 odd crores, which is going to be invested into HAM is hardly matter that what is the cash inflow for coming from HAM monetization.
Sarvesh Gupta: So overall debt level should remain broadly at the similar level by the end of next financial year?
Harendra Singh: No, not at all. I think it's going to be roughly come down to around INR350 crores as of the earlier level. Understood. And what would be of your interest cost because your debt is much lower. So what is the non-interest cost which is included in your financial cost for FY23?
Harendra Singh: Around INR63 crores of total cost where around say INR14 crores or INR15 odd crores is for bank charges, BG commission, etcetera. And the remaining is the interest cost on the mobilization advance, which we have received from the client, even the OD limits and the NCD interest and term load interest cost.
Sarvesh Gupta: Understood, sir. Thank you, sir.
Harendra Singh: Thank you.
Moderator: Thank you. The next question is from the line of Deepika from Philip Capital. Please go ahead.
Deepika: Hi, sir. Congratulations on great set of numbers. My question pertains to the deal. How much inflows do we expect this year? I mean, when is the deal executed for these three projects that you said would be completed? When will the first tranche be completed? And how do we expect the inflows and in what manner?
Harendra Singh: So we will be getting the inflows one by one. They all project to have a different range of say monetization to the total enterprise value, which is the INR1300 something crores out of this debt. If you take out the INR531 crores is the equity realization. All four projects do have a different set of numbers. So once you complete conditional precedence for the one project, we will be getting the amount.
Deepika: By this year only and how much and are we expecting something in Q1?

Harendra Singh: No, Q1 is not at all possible because all NOCs are not going to happen by that time. So we would be getting, the arrangement would be done. We believe that in quarter two, say mostly in first tranche and then quarter three or quarter four for the second tranche.
Deepika: Okay, sir. Also, I want to also talk about the next quarter, quarter one. So how do we expect the Q? We are targeting a very strong number for FY24, which looks quite achievable also. But how do we see quarter one, especially when not being affected with the heavy monsoons across the different geographies in our country?
Harendra Singh: Yes, I think in April, we have experienced rains across the entire country and most of the projects got impacted because of that exhibition. In March, even it got impacted. Otherwise, say we all lost INR150 crores of execution in March as well. But I don't see much of a challenge. I think as we are expecting the 23% year or thi

s in quarter two quarter again for last year to this year would be going on that range.
Shravan Shah: Okay, thank you, sir. All the best for the future.
Moderator: Thank you. Next question is from the line of Shreyans Mehta from Equirus. Please go ahead.
Shreyans Mehta: Yes, congratulations on a great set of numbers and for the deal. So my two questions. One, as far as the monetization is concerned, could we see some deals happening at the pre-construction stage now, given that we're getting better deals at this time?
Harendra Singh: No, it's not like that. I think there are always the inclination from any potential buyer to enter into such stage. But we always believe that it is better to initiate your discussion once we are nearing your completion. And that is how I think six, seven, eight months when we actually complete the work and by that time actually technical due diligence and everything happens. So there's not the right stage which we are not actually as not initiated and don't believe that we can actually believe that we are expecting for these five projects which are under execution, that from March till October, November, these all five would be completed next year, the 24th. So the right time for that is from January onward we'd be putting on to the market or the buyers that this is going to happen. And this is how I think whatever is important is that we're not at the pre-construction this construction stage.
Shreyans Mehta: Got it, sure. And so besides railways and water, are we targeting any other segment like say NMLPs or Ropeways?
Harendra Singh: Yes, of course, Ropeways we are exploring. We have already hired two consultants to give a deep insight of all these projects where the operation and maintenance is a big number which is going to be there. So, but again, this is development team is working on it. Because I think in Parvatmala project like Bharatmala, Parvatmala, they have given this name.

So they are exploring the possibility for at least say 300 to 400 odd crores of Ropeway to be awarded in next two, three years. So it gives a real opportunity and tunnel also we expect that in border roads organization and many of the organization they are looking upon it. But we would be already, it's all highway projects rather in tunnel, even in railway. But we will be looking into this particular sector as well to just tie up with any of the JV partners.
Shreyans Mehta: Okay, sure. And so lastly, I mean, just wanted to understand the secret of the margins which we are making. So we are at the higher end of what the industry is making. So what gives us this confidence that we will be able to manage and how are we managing that in terms of the industry margins?
Harendra Singh: I think it's not very specific around. So there are many areas we've worked upon and God is so kind that in last five years, once we entered into this market, we have learned a lot, we have improvised upon, we always try to evolve upon any practices. It can be technology, digitalization, it can be human resources, capex addition, key equipment being added. So there's somehow the things are being arranged or being worked out in that range. So as I already expressed that God is so kind and we are actually yielding this kind of results. But the team is quite motivated, that's more important.
The entire team top to bottom at the project level also has totally geared up to look into all the MIS and the process controls. They are working hard on bang on those targets, right from time to even operational efficiency. So these are all helping us and they're likely, it's not that it's a total arrangement being done. So we always keep on annual operating plan to be rolling. So we always keep on certain targets for any technology to any human resource learning and development and mentoring. So I think things are happening quite well an

d we believe that this
is a continuous process. It's not that we have achieved any level of it.
Shreyans Mehta: Got it. So I mean, so lastly, if I can, in terms of debtors, what could be outstanding of the total debtors, the Adani debtors for our Ganga Expressway?
Harendra Singh: Adani debtors, I already said that is a INR290 crore to be very specific. Out of this, we received INR189 crores during the month of April here. And see, now May, they will be paying us
INR110 crores tomorrow or on Monday. So things are rolling.
Shreyans Mehta: Got it. Sure sir. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Chinmay from Emkay Global Financial Services. Please go ahead.
Chinmay: Yes, hi, sir. I just had a question. In roads, we have bid for 72,000 worth of NHAI projects. Just wanted to know what is the amount for railways and water?
Harendra Singh: For this particular year? See, I couldn't get to the question. Yes, please.

Chinmay: In FY ‘23, how many orders have we bid for in railways and water segment?
Harendra Singh: Okay, so in railways or metro or any of those, I think we bidded for almost INR8,000 crores to INR9,000 crores, where INR1,000 crores of bid is yet to be opened. So INR8,000 crores bid already opened. And in railways, it is metro even. So three projects we bidded. And in water, only four projects we bidded, five, in fact, from UP and, let's say, MP and Rajasthan. Very, not a very big amount. So it was INR1,600 crores of the total project which we bidded last year.
Chinmay: All right, and one more question. In order to reach 20% to 25% of order book in terms of railways and water, do we have any expectation or any target in terms of how many orders would we like to bid upon?
Harendra Singh: So you are looking for the forthcoming year?
Chinmay: Yes, FY’24.
Harendra Singh: Yes, sure, I think it's more important for us. We have already arranged that the business development unit has been created where the two experts, they are exploring the opportunity line in this area. So we are doing all our due diligence to bid for those projects. So with a small caution, we always just put our fingers crossed and look for the margins intact. And that is how I think 20% to 25% is not a big number which we'll be looking upon of the total orders by end of ‘25 or ’26, where the total orders are from beyond the highway projects.
Chinmay: Okay, so those were my questions. Thank you.
Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi Thank you for taking my question. So the first thing you said that you are planning to bid for is 50,000 total railway projects. So this will include station redevelopment project also or it will be excluding station redevelopment projects?
Harendra Singh: No, it's not that there is station projects. Of course, I think within the next three, four, five months, once we have already started the design of this particular project, because there's a lump sum EPC. So once we start that, and then we will be looking at the comparison which we are accumulating at the pre-bid stage. But then again, we will start exploring. There are bids, but we will be taking a pause of about three, four months once we actually come up to the right expectations, what we have estimated, and what includes the design post-bid.
Chinmay: Okay, one more thing I want to ask. Like last year, we had a big fat order from Adani. And we had said that NHAI awarding was aggressive and we could not capitalize on that. So this year, being the election year, we expect some code of conduct from the January and then other state elections too. How are we targeting to recoup the orderings? Because railways have saved us last year. And if you remove Adani, a big fat order, roads have been a dampener in terms of

inflows in FY ‘23. So how do we see that? Like, if you don't get the order, then probably your guidance can, you know, there is a delay on the guidance part. So any thought on that?
Harendra Singh: See, already we have learned from NHIA that there are almost 2,300 kilometers of bids, which they could not award during this financial year of March. So there, this pipeline is going to be continued with bidding from June onwards. So right now, I think there is a shuffle. Then again, there is again, NHAO, it's an NHO, rather. NH, there are the projects where the huge opportunities are likely to come, where the sanctions are already at their appraisal stage. So by January, if you see, that every time it's the second half of the year, there's eventually 70% of the bids, or 70% of the awarding being done, 70 to 80. Now this year, I think it will continually, it continually will be there in quarters, from quarter two, three.

Chinmay: Yes, but this time, you can see that slowdown, not because election?
Harendra Singh: See, January is, I think, almost eight, seven, eight months from now. So by that time, I think most of the bids will be awarded.
Chinmay: This NHO, what is the opportunity, NHO, you said?
Harendra Singh: It's a, again, like Bharatmala, like it is a National Highway Development Program, NHDP, NHEO is some scheme of that Bharatmala, other than Bharatmala.
Chinmay: The last question, what is the mobilization advance as of March?
Harendra Singh: Mobilization advance? INR360 odd crores, I think.
Chinmay: 360. Okay, thank you, and all the best, sir.
Harendra Singh: Thank you.
Moderator: Thank you. The next question is from the line of Shravan Shah, from Dolat Capital. Please go ahead.
Shravan Shah: Sir, just to get the number right, retention money, you said INR111 odd crores, as of March, and mobilization advance is INR360 crores.
Harendra Singh: See, mobilization advance is not INR360, it's INR328 to be, INR328, no? INR358, out of which, mobilization advance is INR304, and material advance is INR54 crores.
Management: Okay, Yes, INR360, correct, INR359. And the debtor is INR703 crores, and there's retention and miscellaneous deposit, that is withheld. So withheld, we have already considered into debtor balance. It's total INR880 crores, INR 879.
Shravan Shah: Sorry, I'm slightly confused. So total debtor is INR871 crores, so out of that, how much is retention money?

Harendra Singh: 879, out of that, 111 is retention money, and the withheld amount is also there, INR67 crores. So withheld amount, we usually consider in the debtor balance, because it is a rolling amount, which is being released and being deducted from most of the running bills.
Shravan Shah: Okay, okay, and so what will be the capex for the ‘24 and ‘25?
Harendra Singh: The tentatively, as I already have discussed, there's about, say, INR100 crores to be added during the year, this year. This is a net of capex. Actually, there are a few equipments which we would be selling during the year as well, just INR30 crores. So net capex addition would be INR100 odd crores.
Shravan Shah: Okay, got it. And, sir, any idea you initially mentioned in terms of the NHAI launching the second phase of Bharatmala? Any idea when they are likely to launch and any broader idea in terms of the size, because Bharatmala phase one, when started with INR6,00,000, increased to INR11, INR12 lakh odd crores. So any broader idea? So just for trying to understand in terms of the next four, five, seven, eight years of visibility?
Harendra Singh: No, I think it's a very early stage to comment upon, but definitely the entire proposal is at the approval stage from the government. And we believe that our government is having a very priority focus on infra development, especially highways. So they would be looking into this proposal and

approve this proposal by the end of this year.
Shravan Shah: Okay. Thank you. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Shikhar Mundra from Vivog Commercial. Please go ahead.
Shikar Mundra: So, hello. I wanted to understand for the four subsidiaries which we have sold, what was the equity of those subsidiaries and what was the debt?
Harendra Singh: The equity is INR343 crores in all four HAM SPVs. Okay. Yes, the debt is INR996 Cr.
Shikar Mundra: And so what is the, okay, so the whole enterprise of the whole enterprise value was INR1,394 crores. And what is the amount?
Harendra Singh: This 1,393, it's INR133 crores which is the cash lying in the SPV, which has been netted off from the debt.
Shikar Mundra: Okay, so this 99, okay, so...
Harendra Singh: To be very specific, it is INR860 odd crores and INR531 crores.
Shikar Mundra: Okay, so basically the book value of these projects was INR343, the equity value was INR343 crores and we are getting a INR531 crores equity value. So is it an other income of basically around INR200 crores?

Harendra Singh: It's not other income, it is a return on value, it is a valuation which we are getting. That is a return on equity which we have invested in these four HAM projects over a period of last three

and a half years.
Shikar Mundra: So it's basically a INR200 crores of income which is generated by the sale.
Harendra Singh: Of course, it's INR180. Yes, it's almost INR180, INR190 crores which is over and above what we invested in INR531.
Shikar Mundra: Okay, all right, and what do you mean by the valuation of the bill was 1.55 price to book?
Harendra Singh: 1.5 times, 1.55 is the valuation means if you see to the number INR531 divided by INR343, it is coming at 1.55, 1.55.
Shikar Mundra: And out of these four projects, like how many of them were completed?
Harendra Singh: So all three of those projects, which we are at the tranche one, we are aiming and looking for the payment to come, all completed. Fourth one, we already applied the completion, but most likely within the week, 10 days, we will be getting the completion of that. That is a provisional completion. There is some work of POS and some of the work Minsco, where six or 4% will be executed within the next six months. So post that, we will be looking at the second tranche of this particular Rewari Bypass Project, where the payment is likely by January, we would be completing.
Shikar Mundra: Okay, okay, and the construction was done by our company only, right?
Harendra Singh: Of course, I think, only EPC was done by us.
Moderator: Thank you, Mr. Mundra. I request that you return to the question queue for follow-up questions. Ladies and gentlemen, we'll take the last question from the line of Khushbu Gandhi from Yes Securities. Please go ahead. Ms. Gandhi, your line is in talk mode. Please go ahead with your question.
Khushbu Gandhi: Yes, so thank you for giving me the opportunity. So there's a clarification on the revenue guidance which is due for FY ‘24. So you quoted that 22 to 23% growth we are expecting. But when you give us the bifurcation, it's coming to about 18% to 19%. So we are expecting a revenue of INR5,200 crores in FY ‘24?
Harendra Singh: It's INR5,200, and then INR500, I missed, and it's roughly around INR5,500 crores, which is 23%, 24% of the total.
Khushbu Gandhi: If you don't mind, can you give me the clarification again, the bifurcation again?

Harendra Singh: No, no, the breakup which I already have given for the HAM projects, under-execution HAM projects, new HAM projects, Ganga Expressway projects, NHAI EPC projects, this is all together which is coming for the year, the FY ‘24 is roughly around INR5,500 to INR5,600.
Khushbu Gandhi: Okay, then. Thank you.
Moderator: Ladies and

gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Harendra Singh: Thank you. We had a successful year and we are committed to deliver better with our dedication and hard work in the future. Our strong financial performance, diverse order book growth, healthy balance sheet, and dedicated workforce give us the confidence that we will continue to excel. We appreciate everyone joining us today on the call and hope that we have addressed your all questions. If you have any further inquiries, please do not hesitate to reach out to us on our IR advisor, GoIndia Advisors. Thank you again for your participation.
Moderator: Thank you. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

"H.G. Infra Engineering Limited
Q1 FY '24 Earnings Conference Call"
August 01, 2023

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR – H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to H.G. Infra Engineering Q1 FY '24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you, Seema. Good afternoon, everybody, and welcome to H.G. Infra Engineering Limited earnings call to discuss the Q1 FY '24 results. We have on the call Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Harendra Singh to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Harendra Singh: Yes. Thank you, Sana. Good afternoon, ladies and gentlemen, a very warm welcome to the Q1 FY '24 earnings conference call of H.G. Infra Engineering Limited. We are pleased to welcome you all here today to share the highlights of our quarterly performance, achievements, and our vision for the future. I hope all of you have had the opportunity to review the investors presentation and the financial results which has been made available on the exchange.

The entire country is drenched with a heavy rains and overall; it's much more than expected. Despite of all these abnormal prolonged, which has affected the sector overall, we have been able to meet our expected numbers, though it was slightly less than our expected target of this quarter. At the same time, we are working on the strategies, priorities to overcome these challenges. Performance, quality consciousness and safety measures remain our key element in our success story, which is deep rooted in all our activities.

As a sector, we have firm believe that the government is expected to continue with its thrust on the infrastructure sector, a lion's share of which would be towards the road, highways, and railway sector, considering the highest budget overlay in the sector and the new initiatives being taken to support the project completion on time.

There has been new firms bidding in the first phase, but in the next quarter, it will propel and to cover the targeted numbers. Let me start the growth journey of this quarter and give you the glimpse of the operational highlights first. From quarter ended June 2023, our order book stands

at INR11,674 crores, which has established our presence across 11 states with the EPC segment comprising of 53% and HAM segment constitution the remaining 47%.

There are the updates on the ongoing projects. Talking about the EPC projects, the Ganga Expressway project has achieved approximately 23.5% completion. The project is running well in the time as per the contract timeline. In Delhi UER project, we have made significant progress of around 65.8% and which is expected to be completed by December '23.
The Neelmangala-Tumkur project is progressing well and has reached an execution status of 10.6%. The progress of various HAM projects is also looking good and moving ahead as per the planned schedule. Below is an update on the same. Progress of total execution of Package 5 of Raipur-Visakhapatnam Odisha OD5 it stands at 43.6% completion. Package number 6 of Raipur-Visakhapatnam Odisha project OD6 it is at 46.3%. Again, i

n AP1 of Raipur-
Visakhapatnam corridor, it has reached completion of total of 46.7%.
At Khammam-Devarapalle package Project 1, we have -- we have already achieved 16.3% completion. While in Package 2 of Khammam-Devarapalle, we have reached 24.4% completion.
Rewari Bypass we have applied for PCOD as the project is nearing completion stage, and we are expected to receive it soon.
As you know, we have established our footprint and our order book with diversification and successfully ventured into the railway and metro sector, I would like to touch the progress of these projects. We have completed 13% of DMRC's metro project. Execution of this project is going well on track and will be completed as per the contract timeline. At Bilaspur Himachal Pradesh railway projects of RVNL, where we have recently received the appointed date is progressing well. At the Kanpur railway station project, the mobilization is going on a very fast track.
Let me now share other significant updates. We have received COD of Maharashtra Package 1, 2 and 3 of MorTH -- in this quarter, although we have received PCOD of these packages October 2020. LOA of Kanpur station and small project of NTPC has been received on 5th June 2023 and 23 May 2023, respectively. Apart from this, we have also received a project date of RVNL rail projects on 24 May 2023.
For our 3 new HAM projects, namely Karnal -- Varanasi Ranchi Kolkata Expressway Package number 10 and 13 and Karnal projects. Financial closure is expected to be completed through August 23, and the appointed date will be received in quarter 2 and quarter 3, respectively.
In Karnal ring road, the land availability is around 86%. And at Jharkhand Package number 13 of Varanasi Kolkata Expressway, that is around 50%.
Coming to the financial highlights of this quarter. At the standalone level in Q1 FY '24, the standalone revenue reached at INR1,271.3 crores, indicating a notable 19.3% year-on-year growth from INR1,065.7 crores recorded in Q1 FY '23. The standalone EBITDA of quarter 1

FY '24 was INR204.8 crores, reflecting a year-on-year growth of 26%. The PAT and the PAT margin for Q1 FY '24 stood at 9.3% and INR118.4 crores. That is compared to 9.2% and INR97.6 crores last year. PAT grew by 21.3% in Q1 FY '24 on a year-on-year basis.
Regarding the company's debt position on a standalone basis, the gross debt amounting to INR665.2 crores, which includes the working capital debt of INR178.6 crores. Term loan and current maturity, along with the trade [inaudible 7:53] totalling INR389.6 crores and the NCD of INR97 crores.
Moving on to the consolidated numbers. During quarter 1 FY '24, the consolidated revenue surged to INR1,351.2 crores, marking a 22.2% year-on-year growth compared to INR1,105.9 crores recorded in Q1 FY '23. At the consolidated level, the EBITDA of Q1 FY '24 was INR280.7 crores, displaying a robust year-on-year growth of 41.1%. The PAT margin for Q1 FY '24 consolidated stood at 11.1%, resulting in a PAT of INR150.4 crores as compared to INR109.4 crores in Q1 FY '23.
The reason of significant growth of 37.4% in PAT on a year-on-year [inaudible 0:08:46] stood at a consolidated level, the gross debt amount is amounting to INR 2,131.2 crores. The total equity requirement for the 12 HAM projects is estimated to be INR1,592.6 crores, and that is until FY '26. As of March '23, INR758.7 crores has already been invested and there is a projected investment of INR407.4 crores in this financial year FY '24.
Progress update on monetization of four assets is as under. Last quarter, we have signed share purchase agreement of 4 HAM projects with highway infrastructure trust backed by KKR we are awaiting some procedural approvals to close the transaction. We have received lender's approval for 2 SPVs and approval of third SPV that is Gurgaon-Sohna in principal is expected by 10th of August. Othe

r conditions that we met are either completed or in an advanced stage of
compliance. The final approval from NHAI is expected by 31st of August 2023. Once receipt of

NHAI's final approval, we will proceed for the completion of our transaction, including the
transfer of shares and receipt of the consideration till 30th September 2023.
For the fourth HAM project that is Rewari Bypass Package 4, approval process will be
intermediate and the second tranche will be initiated in December '23 quarters that is post COD
of Rewari Bypass. We are optimistic that we would be able to complete this transaction well
within the time and we do not see any challenges in the current scenario.
Before I end my speech, let me assure that we would be able to meet our expected numbers of
growth with 20-25% upside in the revenue, and we would bring momentum in the order inflow
with the new project in the tune of INR7,000 crores to INR8,000 crores this year. We are
working mainly on the operational efficiency and executional capabilities to add every penny to
our EBITDA and PAT margin.
Digital transformation remains on our priority from automation in the plant and machinery,
operations, and other vehicles, which will add a lot of value in our financial indicators, with a

seamless and transparent real time working environment. That is all from my side. We can now
open the floor for the question and answers.
Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first
question from the line of Mr. Shravan Shah from Dolat Capital.
Shravan Shah: Thank you sir and congratulations to the team for the robust performance for this quarter. So the
first question is just to reconfirm the guidance what we have spoken in the last con call. So on
the top line front, we are maintaining the INR5,500 crores, INR5,600 crores revenue for this
year. And in terms of the margin, 16% and order inflow, you mentioned INR7,000 crores to
INR8,000 crores, but last time, it was INR8,000 crores to INR9,000 crores. And in our annual
report we mentioned INR8,000 crores to INR9,000 crores. So can you just reconfirm the
numbers?
Rajeev Mishra Of course, I think as we have already done around 20% this quarter on a year-on-year, we can
see this because of the monsoon, early arrival because of this Biparjoy and that has impacted
some of the progress in the project. But definitely, we are all very much focused on that, that we
will be touching upon the 20% to 25% progress. That is where we will be reaching up to 4,500.
And because the order guidance has been reduced by INR1,000-odd crores because we have
seen that there has been some delay in the awarding of the projects at NHAI and few other
clients. So that is how we are keeping that to INR7,000 crores to INR8,000 crores. Margins
definitely will remain -- likely to be remain intact as we have seen into our numbers. So that
seems to be the same range of 15% plus on this.
Shravan Shah: And in terms of the breakup of the revenue last time you said INR2,000 crores revenue from
Ganga Expressway, INR1,800 crores from existing HAM [inaudible 0:14:06] from the new
HAM. So if you can also help us with if anything in that number or if it is same, then it is fine.
Harendra Singh: It is more or less same because in the quarter, we have done about INR500 crores on all HAM
projects that are majorly 4, 5 HAM projects. And in the project of Ganga Expressway, we have
done this INR475-odd crores coming from the project of Adani Ganga Expressway, other NHAI,
EPC and DMRC put together. So we are very much clear on that, whether it's SPV and Ganga
Expressway and the other NHAI EPC projects are the major contributors to this particular year
revenue.
Shravan Shah: And now on flow front, broadly how much INR5,000 crores would be from the HAM and in
terms of the new other than the road sector, we were l

ooking at close to INR2,000-odd crores.
So will it remain the same?
Harendra Singh: Yes. So more or less same because the INR1,000-odd crores, we have just taken it as a guidance
for this year was keeping that at almost 4 months has passed. But then again, it remains the same.

Shravan Shah: I was saying in annual report, we have mentioned that we want to achieve a INR10,000 crores
revenue over the next 3 years. So I think it's -- these 3 years should start from end of the FY '25
onwards. Otherwise, if -- sorry, sir?
Harendra Singh: So this year, it is '24 the running year. We are not considering this year, so it can be post '25, 3
years down the line.
Shravan Shah: Yes. Because otherwise, the CAGR is much higher versus normal what we are talking 20%,
25% revenue growth CAGR. So that's why I just wanted to reconfirm. Secondly, in terms of the
appointed date, you said that both this Varanasi, will be getting appointed in October, December,

Q3. And for Karnal Ring Road, it moved -- when we -- we are getting the appointed date.
Harendra Singh: See, Karnal Ring Road, we already -- about to submit our financial closure documents. And by September mid, we will be getting the appointed date. Jharkhand Package 13 it would be a bit early in quarter 3 -- by quarter 3 end. And definitive followed by quarter the Jharkhand Package 10 quarter 4 in January to be precise.
Shravan Shah: For Kanpur Railway Station, it would be by this month, we will be getting the appointed date.
Harendra Singh: In the quarter 2 only.
Moderator: We take the next question from the line of Mr. Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: What stage of approvals or are we for these assets, which have been monetized with KKR. So I think you said that by month end and approvals will come in. So when do you expect the money final inflow to come in?
Harendra Singh: See the -- out of 3 projects, which we already have completed that COD wants. So 2 projects have already been sent to their finance department from the operational technical division. Just one project within this week is likely to be sent to them and financial -- finance department hardly take normally 7 to 10 days for issuance of the in-principle approval. So this is one stage four stage of NHAI. And post that, the entire formality of -- put together NOC from all the lenders and this again that will be sent to NHAI.
So since the big delays rather 1 month delay because of some of the changes at NHAI. But then as we are hoping that not -- if not during the September quarter. But in quarter 1, we will -- say October, we would be getting the funds for these three projects.
Parikshit Kandpal: What I was asking when you said there has been quite some delay in NHAI giving approvals or NOC there has been big queue of approval to fill have been given, that is why I was asking this question. Are you able to...
Harendra Singh: That was very much on the cards, but because of the recent changes at their -- from the task -- from the position changes, so that will delay, eventually it is not us but was never in the control.
But things are moving well on track.

Parikshit Kandpal: Because I was asking this question was that earlier. I mean we have done with KKR in the past, they have faced similar issue and earlier got called off with one of your competitors. So is that in that now that whether the timelines and whether the purpose have become more streamlined in terms of NOCs and approvals coming in from NHAI?
Harendra Singh: They are also they are putting their total effort on our for getting this project this on time.
Parikshit Kandpal: Sir, this is my second question is, on the pipeline. So you can help us understand the rest of the year. We need to understand that -- now even L&T was saying that the fourth quarter

, will be
mostly model code of conduct, and nothing has been happening in terms of awarding. From now on or August onwards you hardly have 4 months left. So how do you think that will end up this year, what is the bid pipeline from different agencies or institutions like NHAI what is the bid pipeline, railways and also water. So what are we targeting for the rest of the full 5 months.
Harendra Singh: Definitely as four months is a lot, but as they have guided, various times the 6,000-odd kilometre to be awarded this year. So -- but it's not so easy. So we are also keeping that -- our target, announced target that definitely, if they will be -- they are in a position to be able to award even 4,000-odd kilometre. Then we are keeping that at least some INR4,000 crores to INR5,000 crores of project coming from NHAI and balance from MSRDC and other sectors.
Parikshit Kandpal: Have you please bid for that Pune Ring Road and have you participated in that tender?
Harendra Singh: Sorry.
Parikshit Kandpal: The Pune Ring Road tender have we participated in that tender?
Harendra Singh: Yes, we have already applied for the RFQ. And very soon, I think they are going to declare the results of RFQ post where the price that has to be quoted or bided.
Parikshit Kandpal: And for October, November, I think it will be -- so when do you expect the awards to happen?
Harendra Singh: Probably by October or say by November, definitely, they are looking to award these projects.
Parikshit Kandpal: And just the last question on the station redevelopment sir. I mean are we looking at that as an opportunity to bid, I mean, so in terms of railway capex, so I understand right now we are more on maybe metro will be tracking. So what are the capabilities there and whether in terms of value chain, how are we upgrading ourselves so that we can cover more broader spectrum of awarding from railways.
Harendra Singh: Railway business is there, many projects which we have already recently bided. So there are of that nature only where the permanent track linking so does work those kind of works are all included. So they are having a lot many projects in their pipeline, we have in Maharashtra, Gujarat, or the -- in UP also, we have seen those bidding. So for sure, I think the railway and opportunities are coming in a very significant way.

Parikshit Kandpal: Then the other would be largely related to tracking and also not and maybe metro...
Harendra Singh: With the kind of a joint venture, not frequently required joint venture with MOU basis, where the -- we are aligned with any of the associates for this track linking, permanent work.
Parikshit Kandpal: Station redevelopment anything we can do there.
Harendra Singh: It's already there. There are many projects in the pipeline.
Parikshit Kandpal: But are we participating in that? And that's the last question are we looking to participate in...
Harendra Singh: Yes. We will keep continuing bidding in these kind of situation.
Moderator: We take the next question from the line of Mr. Chinmay Kabra from Emkay Global.
Chinmay Kabra: I just wanted to know one thing. In terms of Rewari Bypass, has there been any modification in the contract because there's a percentage of completion, it has changed from Q4 FY '23 to Q1 FY '24, what I see right now.
Harendra Singh: What you are saying if 96% already has been completed.
Chinmay Kabra: Yes. So I mean, what I was -- I am able to understand was 94% is what was showing in Q4 FY '23. And I think if I'm not wrong in Q1 FY '24, it is showing 86.5%, sir, so just...
Harendra Singh: Yes, there is some error. I think there is one more -- 2 more errors are there because of the -- I think they are getting it corrected because in 2 of the projects of this RVNL and the last 4 there is like Kanpur Railway Station the percentage that has been quoted, this is -- are wrongly -- now it

is being corrected.
Chinmay Kabra: I mean -- so yes, so there's no change in the contract or anything like that, right?
Harendra Singh: Yes, yes. Correct.
Chinmay Kabra: And other than this, sir, just wanted your perspective on -- again, I just wanted to reconfirm the guidance that the FY '24 revenue, which we have said INR5,500 crores to INR5,600 crores and the EBITDA margin of 16%. I just wanted to reconfirm the order inflow guidance which you have given, sir, if you could please state that again?
Harendra Singh: Yes. So INR7,000 crores to INR8,000-odd crores we are targeting to add this year.
Chinmay Kabra: And of this, how much is -- are we expecting to be from the other projects in terms of railways and metros?
Harendra Singh: We are looking at about INR2,000-odd crores needs to be added from these other sectors rather than highways.

Chinmay Kabra: But I mean, since we are being conservative and we are thinking -- I mean we are just assuming that NHAI might just do 6,000 kilometres to 4,000 kilometres. Are we still confident in order to achieve these order inflow targets that we have set?
Harendra Singh: Yes, of course, I think there's not a big challenge this -- that we also have seen in the last 2 years, what we have planned and roughly, roughly, we will be able to achieve that on the God is always there, so we would be able to add this number.
Moderator: We take the next question from the line of Ms. Ankita Shah from Elara Capital.
Ankita Shah: Sir, I wanted to understand about the working capital I think on account of working capital requirement has increased. So is this on account certain projects or reason for the increase in working capital requirement?
Harendra Singh: This year before the working capital debt or net working capital requirements?
Ankita Shah: Requirement. If I look at the debt breakup the requirement on the working capital has gone up?
Harendra Singh: That time I was clear about it. So the working capital with say utilization has gone high at this absolute, as we are talking of 30th of June, but it then between -- it is now coming back to the same range of INR500 crores. This is because of the reason, specific reason that the payments which we are likely to get from SPVs and say even Adani and one more NHAI client. So it got delayed for a few days, just 2, 3 days. So that's why it's very -- for just a week or 10 days' time it shoots up to that level. But otherwise it would be in the same range only.
Ankita Shah: And sir, second question is on the RVNL Project Bhanupalli-Bilaspur. Was it the margins that you can cause it -- and how are the payments?
Harendra Singh: The payments definitely as RVNL as a public sector undertaking this payments are likely to be on -- very much on track only. There's no issue as much as far as RVNL metro or railway projects are concerned. But definitely, the margins which we have put -- we have kept in sight estimate at about, say, 14%. So that would -- that are likely to be there.
Moderator: The next question is from the line of Mr. Jiten Rushi from Axis Capital.
Jiten Rushi: Sir, first of all, can you give us the breakup of equity required in next 3 years? As you said that in FY '24 the requirement is almost INR407.4 crores what would be for FY '25 and '26.

Harendra Singh: The equity total requirement, which is around INR1,592 crores, INR758.7 crores already invested till June '23. So that the current year requirement would be in the range of INR407-odd crores once we would be getting the solid data around the project and the balance requirement for all 5 running projects. So that is one and FY '25 it is estimated about INR268 crores and FY '26, it is INR158 crores.

Jiten Rushi: You said that the land available for the Karnal project is 86%, while for the Varanasi Ranchi project f

or both the project is we have got 50%, right?
Harendra Singh: No, package 13 a bit ahead because they are -- they have the forest area so package 10 -- there the majority part is forest. So in package 10 it is a bit low.
Jiten Rushi: So you said 50% for Package 13 and not for Package 10, right?
Harendra Singh: Yes. Yes. Yes.
Jiten Rushi: So how much Package 10 will be less than 50%. And sir, on the current outstanding bid pipeline. So can you highlight -- throw some light on the current outstanding bid pipeline? And when are these standards going to open and which sector if you can break up?
Harendra Singh: Of course, I think as we have just discussed about MSRDC has got above INR45,000-odd crores, where we would be looking at about say where we are qualified for INR30,000-odd crores -- this is one bid pipeline I think strong one. And NHAI for sure, active projects that are on the portal, where the bid pipeline are showing about INR45,000 crores. And the sooner I think more of the projects which are at the GPR or the approval is yet awaited from there, say, respective competent authority, they would be there. So these are the 2 major ones. And then apart from NHAI and these projects, there are lot many projects which we have seen in the railways, which we are continuously bidding in metro even we are looking for it.
Jiten Rushi: Sir, my question was any outstanding bid right now, which you have participated and you're awaiting the total...
Harendra Singh: INR5,600 crores.
Jiten Rushi: That should be in road?
Harendra Singh: Road is about INR3,500 crores and the rest is in railways.
Jiten Rushi: So this should open by end of this month?
Harendra Singh: Probably by this month August end.
Jiten Rushi: And sir, can you just throw some light on the revenue breakup. So as you said that there was a miss in revenue as against your internal target for the Q1 because of the monsoons. But you are very optimistic that we should be able to achieve the full year event target of INR5,500 crores to INR5,600 crores. So what kind of revenue contribution we are expecting from the Adani project like you had guided for around INR2,000 crores at the start of the year and probably from the HAM projects.
Harendra Singh: We already believed during the annual con call, that around INR2,000 crores would be coming from this project of Adani, roughly INR2,000 crores and balance majorly Raipur,

Visakhapatnam projects HAM projects put together, that will be about INR1,800-odd crores coming from those projects. So this is our other EPC of UER, NHAI and Tumkur and then that should put together would be the total.
Jiten Rushi: My last question would be a bookkeeping question. If you can give me the mobilization outstanding mobilization advances, retention money and bill revenue that created in the inventory possible.
Harendra Singh: Yes, sure. You can see the Mobilization Advance is about INR285 crores.
Jiten Rushi: INR285 crores.
Harendra Singh: Is reduced by INR70-odd crores from the last quarter. And the debtors have gone out as early as explained that we have received a significant amount in first week of July only. So that is around, say, INR750 crores plus INR225 crores as retention and deposits. So put together INR978 crores.
Jiten Rushi: So you said INR750 crores attaching, how much the INR228 crores?
Harendra Singh: INR750 crores and INR228 crores correct.
Jiten Rushi: INR220 crores. And what will be the inventory and unbilled revenue?
Harendra Singh: Maybe it's around INR256 crores.
Jiten Rushi: And unbilled?
Harendra Singh: Unbilled. Almost INR500 crores --something. As it was last year, last quarter...
Jiten Rushi: Capex guidance if you can throw some light on the...

Moderator: We take the next question from the line of Mr. Aman Soni from Prudent Equity.
Aman Soni So sir, my first question would be on the asset monetization.

So in the previous con call, you
mentioned that there will be a reduction in debt at about INR350 crores. So do you have any
different amount by in the next 1 to 2 quarters, how much reduction in debt are you planning?
Harendra Singh: I think what we have discussed last time that there would be a likely reduction in the debt because
every quarter there is an outflow of about INR55 crores to INR56 crores. The entity due payment
and term loan payment is there. So it is likely that INR200-odd crores would be reduced by this
year-end and then likely there should be INR60-70odd crores would be added because of the
new capex during the year. So put together, we would be in the range of INR425 crores at the
year-end.
Aman Soni: So this will be a reduction of INR400 crores to INR450 crores.

Harendra Singh: INR425 crores, INR450 crores. That range would be there for the year-end. So we see anything
from the monetization.
Aman Soni: This is excluding the monetization?
Harendra Singh: That we have not considered.
Aman Soni: But even if we, let's say, consider that obviously deal concludes then also there will be a certain
portion of and then that will go off. So what will be the consolidated number?
Harendra Singh: Sorry, I couldn't get your question.
Aman Soni: So you mentioned that this reduction of INR400 crores of debt will be excluding the asset
monetization, right?
Harendra Singh: Correct.
Aman Soni: So if we consider the debt reduction from the asset monetization side after that what will the
reduction in debt?
Harendra Singh: We have not factored here as of now.
Aman Soni: So my next question will be on the Varanasi Ranchi project. So there are certain news reports
like going on regarding certain issues with the land procurement. So is there work commencing
this project? And can we expect certain kind of revenue in the upcoming quarters from this? Or
is there any kind of difficulties?
Harendra Singh: Which project you are talking about?
Aman Soni: Varanasi.
Harendra Singh: Varanasi Kolkata is already on fast track. The land possession is which I am talking of about
50% land in our possession. Varanasi with the 2, 3 months or 4, 5 months, the land of Package
number 13 would be first handed over and then before that 10.
Aman Soni: So from the second quarter, a certain amount of revenue could come in from this project?
Harendra Singh: The third quarter or 4 quarters, some portion of the revenue is likely to come from this projects.
We are expecting quarters 3 and 4 the revenue will be coming from this Karnal Munak Road.
Moderator: The next question from the line of Mr. Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Sir, on this order inflow guidance of INR7,000 crores to INR8,000 crores. Now I think till now,
we haven't received much this financial year and then Q4 is also most likely going to be a
washout. So you're saying around INR5,500 crores is the outstanding bid, which is expected to
open this month, assuming that we win maybe INR1,000 crores, INR2,000 crores from here,

what is the remaining sort of a pipeline that is there for you to win further bids in the coming 5
months?
Harendra Singh: So this pipeline as per NHAI and MSRDC and other railway or metro projects, it's already there,
this is almost a good number. It's almost INR1,50,000 crores, odd crores is there. Out of that we
are targeting to bid around INR90,000-odd crores. So there, we are looking into the bid strike
ratio, if the historical path we have seen that we will be able to make out at least, say, 7% to 8%
at the bid strike issued then we would be able to hit that number.
Sarvesh Gupta: And this is -- these are the bids which are expected to be done by end of this calendar year, itself?
Harendra Singh: Yes, of course, by the year-end, we are expecting the quarter

2, 3 and 4 out of these 8 months,
we are expecting to add this.
Sarvesh Gupta: And sir, on the Ganga Expressway, any further updates in terms of your payments in the project
sort of a thing? Is everything on track? Or are there any...

Harendra Singh: Since you have seen that we have already executed INR475-odd crores during the quarter, which is a runrate, our runrate is about INR160 crores to INR170-odd crores a year on a per month basis. So this is well on track, we are getting the payments well on time. So just over 45 days maximum timeline of the payment.
Sarvesh Gupta: Are the new gross block that we had added, which was quite significant in terms of the construction equipment -- so is that helping us to sort of improve our margins because of lowering our dependence on outside vendors in terms of your EBITDA margin because now some of the operational costs would have been converted to capex related costs.
Harendra Singh: Yes, to some extent, it is helping, but not to the larger extent. But definitely, these are all the internal strategical backward integration and forward integration, which we have done some operational efficiency improvement through technology. So this is all helping us.
Sarvesh Gupta: But we are able to do a decent utilization on these equipment?
Harendra Singh: Yes, definitely. These are all put to use, and we are getting the most benefit. Most of the benefits are coming for that angle only.
Moderator: We take the next question from the line of Ms. Akshada Deo from Vivog Commercial.
Akshada Deo: So the top line expectation for this year is roughly INR5,500 crores to INR6,000 crores, right, with 16% EBITDA margin guidance?
Harendra Singh: It's roughly INR5,550 crores to be very specific.
Akshada Deo: Right. And with the 16% margin guidance.
Harendra Singh: Correct.

Akshada Deo: So is there a reason that we're expecting a dip in margin because you've been able to do roughly 20% consistently for the last few years?
Harendra Singh: So I think it doesn't matter, margin with respect to the top line. So all the deployment of the resources, the efficiency, operational efficiency design. So put together or everything matters, hardly depends upon the top line, INR5,000 crores or INR6,000 crores or INR7,000 crores. We are keeping our eye focused that we should be aiming at the those projects where the margins are included and as well as the decent growth in the top line can be maintained as a part of our sustainability.
Akshada Deo: So do you expect the current margins that you received in this quarter as they were sustainable for the rest of the year, going forward?
Harendra Singh: Yes, of course.
Moderator: We take the next question from the line of Mr. Ashish from JM Financial.
Ashish: Just one question. Has there been any change in scope or increase in scope in any of the HAM or the EPC road projects that you are executing?
Harendra Singh: Yes, definitely, there has been some changes in INR200 crores of variation orders has been issued in 2, 3 projects.
Ashish: Would it be possible to just break down this INR200 crores into the individual projects, even approximate number should be, okay.
Harendra Singh: Readily, I'm not having this breakup of INR200 crores all the NHAI SPV projects, which is like that.
Moderator: The next question is from the line of Mr. Uttam Kumar Srimal from Axis Securities Limited.
Uttam Kumar Srimal: And congratulation on a good set of numbers. Sir, what is our capex guidance for FY '24 and '25.
Harendra Singh: '24, '25.
Uttam Kumar Srimal: Yes. capex guidance for FY '24.
Harendra Singh: Yes, we are expecting about, say, 20% year-on-year. So roughly, it would be about INR5,500 crores that one.
Uttam Kumar Srimal: No, sir, this is capex guidance, I am asking.
Harendra Singh: Capex, roughly, it would be in the range of INR100-odd crores.
Uttam Kumar Srimal: For FY

'24 and '25, both or the same number will do.

Harendra Singh: Yes. Sorry?
Uttam Kumar Srimal: For FY '25 also only INR100 crores or more than that?
Harendra Singh: No, it would be like this or same.
Moderator: We take the next question from the line of Mr. Shravan Shah from Dolat Capital.
Shravan Shah: What is the trade payable as on June?

Harendra Singh: Trade payable is roughly around INR680 crores.
Shravan Shah: And you mentioned, sir, retention money is INR228 crores. So in March, it was INR111 crores. So any specific reason...
Harendra Singh: This Adani projects do have the retention money recovery, which is, say, a significant high number is there. So -- but then again, we would be able to get this back through a replacement through bank guarantee.
Shravan Shah: So this INR400 crores plus execution what we have done. So there is INR110 crores, INR120-odd crores kind of a retention money. Is it my understanding, right?
Harendra Singh: The retention and finance deposit, there are 2 kind of deposits. So earlier in last year March number, you would -- it was roughly around INR170-odd crores, INR178 crores rather. And now it has gone high INR50-odd crores, which is within this quarter only.
Shravan Shah: And you mentioned because of 2, 3 days, this working capital has increased. So the debt number, which is INR665-odd crores as on June. So now this should have come back to a INR450-odd crores.
Harendra Singh: Is again coming back to normal. It's roughly about INR450 crores, INR460 crores. And by the year-end, we would be having that say, guidance number is INR425 crores to INR450 crores not more than that.
Shravan Shah: Sorry, sir, I didn't get. Can you -- if you can repeat the same thing.
Harendra Singh: So in the -- starting of June, it was being utilized on the higher number. But ultimately it is now coming back to the normal, and it is in the range of about INR425 crores, INR470 crores. That is there.
Shravan Shah: Sir, again, on coming back to one on the bid pipeline grow is bid for INR90,000-odd crores kind of a project. But any specific, if you can -- if you want to highlight in next 2, 3 months? Is there any sign that this much we want to? Because I'm just trying to understand that post the code of conduct, is there a possibility in terms of awarding goals are -- slows down?

Harendra Singh: So till February '24, I don't see there's a big challenge, but they are also having the big clarity. So by the time the model code of conduct is to be introduced or implemented so that all orders, they are having ample number of bid pipeline readily and with a few changes in the -- at the NHAI level, you can all understand, but those could not happen that is the reason. But we are quite hopeful and that will be done.
Shravan Shah: And sir, any idea in terms of Bharatmala Phase II where it is when it's likely to be...
Harendra Singh: There is no update as of now, very recently, there is no update.
Moderator: We'll take the next question from the line of Ash Shah from Elara Capital.
Ash Shah: First question would be how much amount have we invested in these 4 SPV that we are planning to sell and how much are we going to receive in FY '24 in total?
Harendra Singh: This is also the INR343 crores as invested into these SPV and post monetization, it is INR531 crores.
Ash Shah: But that will also include -- that is on the EV part, but how much would be the equity value in the INR531 crores?
Harendra Singh: There's altogether equity only.
Ash Shah: There is altogether equity.
Harendra Singh: Enterprise value is roughly around INR1,300 crores.
Ash Shah: Second question would be, so in our annual report also, we have guided for 20% to 25% from the non-road sector. So do you see any margin contraction in the next 2 to 3 years as we see our non-roa

d order book increase?
Harendra Singh: We are very selective in taking on the call as far as bidding the projects part -- apart from the highway. So we are keeping that intake. So we would not be doing very desperately -- that is why we are keeping 25% for 3 years road map that we're gradually venturing taking the projects apart from the highway. So I don't see much of a challenge maintaining the same margins.
Ash Shah: Also last question would be, can you give the breakup of revenue for this quarter, like price variation and operate O&M revenue.
Harendra Singh: Price escalation is INR71 crores -- if you can see the numbers differently SPV, they have contributed INR500 crores, Adani 2 projects, INR494 crores. NHAI all put together at roughly around INR225 crores. And rest of our DMRC and...
Moderator: We take the next follow-up question from the line of Jiten Rushi from Axis Capital.

Jiten Rushi: My question is more on the competitive engine that you said you see most of these payers are unable to win projects in Q1. So what kind of competition intensity can build up in the next 3 to 6 months? And how are we placed -- do we -- if at all, we are not able to get any projects in next 2 to 3 months, do you see any kind of a desperation from our side where we try to grab inflows at a lower margin, something -- can you throw some light on that?
Harendra Singh: No, I don't see much of a challenge. Definitely, there are many other competitor contractor. They are full of their appetite the projects -- they're having a good number of projects. So we normally have seen the correction in last few months, we have seen that a lot -- a number of bidders as they were as high as 15, 20 or even in EPC 35,40. EPC definitely there is not much how much of an improvement is there and not visible even.
But in HAM hope we have seen that 7, 8 bidders are there ideally. So we believe that is all competitive intensity, which was at a very high cost cutting aggression was high, but then it's not ruled out. We expect that -- without compromising and without looking into that margin shrinkage, we would be able to add this number of projects of -- just about INR5,000-odd crores of highway projects.
Jiten Rushi: So maybe for the EPC, we still see 35, 40 while at HAM there is 7-8 Right?
Harendra Singh: Yes.
Jiten Rushi: Sir, on the road inflow, which you are targeting on INR4,000 crores to INR5,000 crores, this should be mostly HAM or we will get the mix of EPC also? What is your thought on it?
Harendra Singh: Prima Facie it is INR4,000-odd crores you are looking from the HAM projects INR2000 odd in -- that range from EPC, balance we are looking at from the...
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.
Harendra Singh: Yes. Thank you, everyone, for bringing their expertise and experience around the table. We appreciate everyone joining us today on the call. I hope that we have addressed your all questions. If you are any other further inquiries, please do not hesitate to reach out to our IR advisors, Go India Advisors. Thank you for the participation. Thank you.
Moderator: Thank you, sir. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

"H.G. Infra Engineering Limited Q2 & H1FY24
Earnings Conference Call"

November 08, 2023

MANAGEMENT : MR. HARENDRA SINGH –CHAIRMAN & MANAGING DIRECTOR, H. G. INFRA ENGINEERING LIMITED.
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER, H. G. INFRA ENGINEERING LIMITED.
MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to the Q2-FY24 Earnings Conference Call of H.G. Infra Engineering Limited hosted by Go India Advisors.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you.

Sana Kapoor : Thank you, Yashashri. Good afternoon, everybody and welcome to H.G. Infra Limited Earnings Conference Call to discuss the Q2 & H1 FY24 Results.

We have on the call, Mr. Harendra Singh – Chairman and Managing Director; Mr. Rajeev Mishra – Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the Company faces.

May I now request Mr. Harendra Singh to take us through the Company's "Business Outlook and Performance: subsequent to which we will open the floor for Q&A. Thank you. And over to you Sir.

Harendra Singh: Thank you, Sana. So, good afternoon, ladies and gentlemen. A very warm welcome to the H1 FY24 and Q2 FY24 Earnings Conference Call of H.G. Infra Engineering Limited. We welcome you all here to share the highlights of our Quarterly and Half Yearly Performance, achievements and our vision for the future. I hope all of you have had the opportunity to review the "Investors Presentation and Financial Results" which have been made available on the exchange.

As we all know, the NHAI tendering has been in the slow lane till September '23. The major reason behind lagging in numbers is because of the prolonged and uncertain monsoon across the country that is for the execution as well. It has now recently picked up due to certain changes in the bidding process and internal conditioning of the department. The next 4-5 months will be vital for the sector due to upcoming Center and State elections as known to each one of us. We are working on our strategy for priorities to overcome these challenges and we are optimistic that bidding will definitely accelerate in coming months.

Let me share some thoughts on the opportunities in other sectors as we wish to diversify our order in all other mentioned sectors.

In railway sector, PM Narendra Modiji on August 6, 2023 launched Amrit Bharat Railway

Station Scheme to transform and revitalize 1309 railway stations across the nation. It aims to transform railway stations into modern, well-equipped hub. We have already bidded for 2 tenders amounting to Rs. 1000 crores and we are working on 3 new tenders of Rs. 1200 crores in this scheme for the Financial Year FY23-24.

We have also bidded for 14 projects costing Rs. 6500 crores on various authorities like Indian Railways, RVNL, etc., in railway sector. The results of these bidded projects are yet to be awaited. In this financial year we are planning to bid about 15 more bids of Rs. 8000 crores in this sector.

In Metro Sector, we are eligible to bid for elevated Metro and RRTS project that includes Orbital Railway as well and started bidding for various metro projects. We are also exploring the possibility to bid underground metro rail projects in association with other organizations. This sector remains our focus in the coming months.

Awarding in the water sector was quite slow during six months because of the state elections in few of the states. We are expecting momentum in this segment in the coming months.

I would like to assure our shareholders, all the financial partners and other stakeholders that the company is prudent and vigilant to ramp up the growth story and persisten

t to grab the

upcoming opportunities in the near future.

Let me start the journey of this quarter and give you the glimpse of operational highlights first:

For Quarter ended September 2023, our order books stand at Rs. 10,678 crores which has established our presence across 11 states with the EPC segment comprising 51% of our entire project and HAM segment constituting the remaining 49%.

Now the updates on the ongoing projects of EPC:

The execution progress on various EPC projects is as follows:

The Ganga Expressway project has achieved approximately 29.3% completion. The project is running well in the time as per the contractual timelines.

In Delhi UER projects we are around 78.8% that is the financial progress and expected to get complete in December ‘23.

The Neelmangala-Tumkur Project of NHAI is progressing well and has reached an execution of 15.6%.

The progress on various HAM projects is also running as per the planned schedule. The update is that all three Raipur-Visakhapatnam packages of Orissa, OD-5 and 6, and Andhra AP-1 are progressing well and we are around 50% completion in these projects and we would be completing two out of these three projects before Quarter 1 FY25 that that is by June ‘24.

In Khammam-Devarapalle project Package-1 we have achieved 20.9% completion. [inaudible 6:02] It has reached up to 28.1% completion.

In the case of Rewari Bypass, we have received PCOD dated 25th May 2023. This project will be monetized in the second tranche.

For our New Karnal Ring Road HAM project, financial closure has been declared on 29th August 2023 and we have received the appointed date of Karnal on 31st August 2023. Till now we have executed 5.3% of the work in this project.

As you know, we have set our footprints in the current order book with diversification to railways and metro. I would like to touch upon the progress of these projects as well.

We have completed 26.6% of DMRC Metro project. The execution of this project is going well on track as per the contract timelines. We have received an appointed date of RVNL Rail Project on 24th May 2023. Now post-rainy season, the project is progressing well as per the scheduled timeline.

The LOA of Kanpur Railway Station Project has been received on 5th June 2023 and very recently the appointed date is also declared. The source and machine mobilization in this project is already completed and the progress is going to be very well in this quarter as well as from the last quarter of this year.

Let me now share other significant updates for H1 FY24:

The PCOD of Mancherial Project received on 26 July 23. That was with effect from 30th December 2022. For Varanasi-Ranchi-Kolkata package 10 and 13 final sanction from lenders HDFC and Axis has been received and the documents for the financial closure will be submitted to NHAI this month.

Coming to the financial highlights of this quarter:

At the standalone level, our overall revenue in H1 FY24 was 2140.8 crores, which is an increase of 17.8% year-on-year compared to Rs. 1817.7 crores in H2 FY23. EBITDA stood at Rs. 343.2 crores in H1 FY24, resulting in the EBITDA margin at around 16% as compared to Rs. 283.2 crores at 15.6% margin in H1 FY23. PAT in H1 FY24 was at Rs. 180 crores with 8.4% profit margin as compared to Rs. 162.3 crores at 8.9% margin in H1 FY23.

In Q2 FY24, the standalone revenue reached Rs. 869.5 crores indicating a notable 15.6% year-on-year growth from Rs. 752.1 crores recorded in Quarter 2 FY23. The standalone EBITDA for Quarter 2-FY24 was Rs. 138.4 crores reflecting a year-on-year growth of 14.6%. The PAT margin for Quarter 2 FY24 is stood at Rs. 61.7 crores and 7.1% as compared to 64.6 crores that was 8.6% last year.
Regarding the Company's debt position on a standalone basis, the gross debt amounting to Rs. 597.3 crores, which includes the working capital debt of Rs. 157.1 crores, t

erm loan and
current maturities along with the trade limit totaling Rs. 359.4 crores and NCD of Rs. 80.8. The increase in debt in this quarter was due to excess utilization of working capital limits on account of less execution at projects and due to prolonged and erratic monsoon condition. Earlier, the Company mobilized all the resources as per the planning of the execution at all the projects. However, we are optimistic about reducing the debt in the coming quarters with improved receivables.
Moving on to the consolidated number:
The revenue of H1 FY24 surged to Rs. 2305.7 crores, an increase of 21.2% year-on-year compared to Rs. 1901.6 crores in H2-FY23. EBITDA stood at Rs. 500.9 crores, resulting in an EBITDA margin of 21.7% growth as compared to Rs. 360.1 crores and 18.9% margin in H1 FY23. PAT in H1 FY24 was Rs. 246.5 crores with 10.7% profit margin as compared to 191.4 crores at 10.1% margin in H1 FY23.
During Q2-FY24, the consolidated revenues surged to Rs. 954.5 crores, marking a 20% year-on-year growth compared to Rs. 795.7 crores recorded in Q2-FY23.
At the consolidated level, the EBITDA for Q2 FY24 was Rs. 220.2 crores displaying a robust year-on-year growth rate of 36.7%. The PAT margin for Q2 FY24 consolidated stood at 10.1% resulting in the path of Rs. 96.1 crores compared to 81.8 crores in core Q2-FY23. This represents a significant growth of 17.3% in PAT on a year-on-year basis.
Regarding the Company's debt position at the consolidated level, the gross debt amounting to Rs. 2029.2 crores that was on 30th September 2023. The total equity requirement for the 12 HAM project is Rs. 1606.2 crores as on FY2026 that was the next three years as of September ‘23 Rs. 777.7 crores has already been infused and there is a projection of infusion for the year at Rs. 395.3 crores.
Progress update on the monetization of four assets:
During the last quarter, we signed a share purchase agreement with Highway Infrastructures Trust backed by KKR for sale of 4 HAM projects. This is certainly one of the most coveted transactions for us. For the first tranche of existing 3 SPVs, we have received all NHAI and

lender’s approval for change of control. We have completed and submitted all the condition precedents required for the successful closure of this first tranche. We are expecting to close the transaction during the month of November ‘23.
Before I end my speech, let me assure you that we will achieve our expected numbers with (+20%) upside in the revenue that will bring momentum in the order inflow with new projects in the tune of Rs. 5000 crores to 6000 crores to be added this year considerably from road and other diversified sector. We have started preparatory works of analyzing costing and other bidding elements and undergoing preliminary discussions with various clients in the solar and metro sector to propel our way forward. We are working minutely in our operational efficiency and executional capabilities to add every penny to our EBITDA and PAT margin. Digital transformation remains on our priority cards from automation in our plant and machinery operations and other verticals, which will add a lot of value in our financial indicators with seamless and transparent real time working environment.
That's all from my side. We can now open the floor for the question and answers. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: First, from the order inflow, so in your opening remarks you have talked about 5000 crores to 6000 crores order inflow versus originally when we started the year, were looking at Rs. 9000-odd crores kind of inflow. So, just trying to understand why we are having a low confidence and also is there a possibility this 5000 crores to 6000 crores may further reduce to 3,000 to

4,000 crores for this year and at the same time also if you can repeat the value of projects that you have bidded that would be help.
Harendra Singh: I think the order inflow, which say almost seven months completed, so now we are having five months during the year so definitely it was a very slow pace which never has been in the historical past at NHAI but because of some consolidation, some kind of a project appraisal.

Now the things are moving very fast as they have indicated and as in 2047 the Gati Shakti and every scheme is giving a very promising note of the highway and awarding. We believe that not 6000, but at least if 3000 plus kilometers being awarded and about say this 2000 to 2500 kilometers in next four months, out of that we expect that definitely we have lowered our number by this number which should be bare minimum for the year and we are hoping that it can be 8000, but we are keeping at a low level about 6000, this is one part of NHAI. The second is MSRDC where the RFQ results have been delayed. We expect that is going to be awarded by January, February earlier. It was almost October, November. But then again there are also say almost 45,000-odd crores of project to be awarded. We expect from them as well. Apart from this diversified sector, as we have already started bidding and evaluation in metro and which can be underground, we have bidded for say railway projects around 6500 crores. We have already done two railway station bidding. So, we are looking into 8000 crores of

railway bids and RVNL which are upcoming in the upcoming months. So, that is how we have the certain bids already done. But these results are not yet declared. So, with that we are keeping about 5000 crores to 6000 crores for this particular year with only four. Five months balance.

Shravan Shah: Two aspects, first whatever let's say we get the lower order inflow this year. Are you confident to compensate for the next year so on a broader sense, how much one can look at in terms of the order info for FY25?

Harendra Singh: For sure, I think whatever is the will be shortfall for the year, we will try to compensate for the next year as well, but only because of 5-odd states going into election this year and then looking into this Central Election next May so by that time we would be in a position that entire thing would be consolidated and Quarter 2 onwards for next year, we expect that we would be adding not less than 10,000 crores to 12,000 crores, which is a deficit of this particular year being added next year.

Shravan Shah: In terms of the revenue, also now we are looking at 20% growth this year versus 25%, so that will also get compensated in the next year because broadly in annual report we have talked about 10,000 crores revenue for FY27, so that is a kind of a 23% CAGR so on a sustainable basis, can that be achievable?

Harendra Singh: In the annual report, we would talk about that by say next five years, we were looking to take this revenue to 10,000 to be very specific and roughly 17% to 18% let me be clear on that. One thing is that for this year we were looking at about 5400 crores and this is roughly 21%-22%. We are almost on track because we have done about 17% year-on-year and we believe that always the latter half of the year is very good for our kind of infrastructure where highway and all monsoon activities or festival activities doesn't hamper our progress. So, with that Quarter 3 and Quarter 4, we expect that we will be touching upon the same number from 20% to 21%.

Sharavan Shah: In terms of the breakup of the revenue segment wise, what last time we had talked about 1800 crores from HAM and 850 crores from EPC, Ganga Expressway 2000 crores and then new HAM and all this so that more or less the remains the same, marginal decline across all the 4 to 6 segments.

Harendra Singh: Yes, almost all the same. Like Ganga Expressway, we initially had

projected Rs. 2100 crores
to Rs. 2,200 crores and again during the remaining part of six months, we are looking at Rs. 1350 crores coming from Ganga Expressway and all six HAM projects. So, all six HAM projects would be giving about Rs. 1250-odd crores. So, major chunk is coming from these Odisha, Andhra and Khammam - Devarapalli and Karnal. The appointed date is already with us and then the metro and other sectors like railway, we would be adding say for this Rs. 250 crores to be done. Tumkur EPC then one NTPC small project is there is about Rs. 150-odd crores value. UER would be completed and Mancherial - Rewari the balance small work portion which is going on will be completed. A few works of Maharashtra say both projects

were going on, but small part that would be completed. We are not looking at the appointed date Jharkhand Package 13 which we expect that by January, February but we have not counted that progress in the year. So, roughly the total number is coming as the same which we had projected earlier.

Shravan Shah: And the appointed date for Package-13 and Package-10 is now when we are expecting?

Harendra Singh: Package-13 we are expecting by January they would be giving this appointed date, and the Package-10 would be delayed by another two months by say April we are expecting because a few forest permissions, which yet not obtained.

Shravan Shah: Lastly, a couple of data points on the equity break up to be invested in 2024, 2025, 2026 and the retention money, mobilization advanced, unbilled revenue as on September.

Harendra Singh: For the year, we have capped Rs. 395 crores to be invested. For the next year it will be Rs. 270 crores and only Rs. 163 crores balance for FY26 for the projects which we are operating on HAM basis. So, this is one part. You asked about the mobilization advance. The mobilization advance includes the material advance including Rs. 335 crores. So, what else did you ask?
Shravan Shah: Unbilled revenue and retention money.
Harendra Singh: Unbilled revenue is about Rs. 755 crores and retention is Rs. 172 crores and debtor is Rs. 550 crores.
Shravan Shah: And the CAPEX, you actually have increased Rs. 129 crores and were looking at 100 crores. So, for the full year, how much now we can look at the CAPEX and the debt we have mentioned that we will be reducing. So, previously we have talked about Rs. 425 crores to Rs. 450 crores so what's the new number?
Harendra Singh: Debt in any case, would be in the same range, about Rs. 425 crores to Rs. 450 crores. Whatever repayment is going to be there for the second half of the year is very high and you can see because we already paid one tranche of NCD and the second tranche would be paid by December. So, looking into that whatever CAPEX which was supposed to be done for all these projects has been done. Hardly there is any CAPEX which is to be done for the balance part portion of the year. So, only Rs. 100 crores to Rs. 125 crores. So, it's the major part going into capital work-in-progress is related to shutter say, for Metro, for RVNL, for Kanpur Railway Station and even for Raipur-Visakhapatnam, where the elevated portion was being constructed. So, there I think of Rs. 40-odd crores being invested into shutters, cranes and launchers.
Moderator: Thank you. We'll take our next question from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: My question regarding monetization. So, I think we are looking to sell or transfer 4 HAM assets to InvIT. Out of that we have received the approvals for three. So, just wanted to understand you know will we go ahead with the transfer of the three assets first or we'll wait for the fourth one. And what are those time lines for actual cash flow to come from this?
Harendra Singh: See, these are four projects which we have already entered and assigned the SPK with K

KR. In
these particular three project which we already got the PCOD and COD, they are the ones who are going to be transferred first where entire NOC are in place everything has been done. We are expecting that the fund would be coming in our account within this month only and the fourth one where the PCOD which we got on 25th of May say post-25th of November six months down we would be applying to NHAI and our lenders for the for the NOC proposals and by the end of this year we expect that the amount for that particular fourth projects also would be transacted in our account.
Moderator: Thank you. We have a next question from the line of Vinit Prasad from Investec. Please go ahead.
Vinit Prasad: Sir. I've a couple of questions. One is what has been the reason for the increase in unbilled revenue, if you look at last two years or 24-odd months consistently, that number has increased. It was closer to Rs. 250 crores to Rs. 270 crores at the end of 2021 and gradually it is shot up to almost Rs. 730 crores to Rs. 740 crores. So, what has been the reason for this number one? And #2, Sir, what gives you confidence that NHAI ordering will pick up significantly? Is it the case that the pipeline is extremely healthy? How much worth of projects are under the pipeline as of now?
Harendra Singh: Your first question was regarding this unbilled revenue, which has now gone up very high, say earlier two years back it was about Rs. 200 crores. So, very significant reason for this. One part is in the Ganga Expressway Projects were having the milestone payment which was not actually. What is the physical progress and the financial progress, so physical progress in this particular portion project is always 2% to 3% gap into that, this number is Rs. 4400 crores, out of Rs. 4400 crores, Rs. 150 crores to Rs. 200 crores were lying unbilled, but definitely it is a matter of only every month we complete one milestone and then this portion being released. But this is a continuity of that unbilled, which has been significantly gone high, but definitely an NHAI projects are there because in UER we have gone through because all structure related projects there again some milestone payments are not giving us. SPV again some portion has gone very high because we have started execution in many of the projects. We have started execution but then again, we are not say targeting and getting the certification from SPV one but it is a very time gap arrangements. This is going to be stable somewhere around Rs. 500 crores by Quarter 3 because in the many of the old projects NHAI or MoRTH projects where certain receivables are unbilled, where the conciliation and certain say the claims are unbilled, but they are likely to be released in Quarter 3 and Quarter 4. By Quarter 4, we expected to be in a range of about Rs. 500 crores not beyond that. And the second question was NHAI, NHAI

is definitely having a strong bidding pipeline, which will at the end of this financial year in March ‘23, they were having almost Rs. 60,000-odd crores of project at that point of time to be awarded. And then could not be avoided because of certain reasons. Now those 60 and another Rs. 40,000 crores of order they are expecting to award by the end of this year as they have guided, and we are expecting that definitely around 2500 to 3000-odd kilometers are already on the bidding pipeline would be all awarded.

Moderator: Thank you. We have a question from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: My first question would be on monetization. So, in terms of the proceeds, what could be in terms of value, we are expecting the proceeds from the first three projects and the last project in total, Sir.

Harendra Singh: The first one is Rs. 405 crores for all three HAM projects. The remaining portion would be in the Rewari bypass that is the 4th project that is Rs. 531 crores minus

405 roughly Rs. 127 crores.

Jiten Rushi: So, the equity which we have invested as mentioned in the presentation that will not change?

Harendra Singh: Yes, obviously Rs. 343 crores to be very specific was the original number that remains the same.

Jiten Rushi: And sir on the debtors, so can you give the breakup between the SPV debtors and Ganga-Expressway?

Harendra Singh: Yes of course this unbilled we have already explained that in Ganga Expressway there is Rs. 150 odd Cr in Adani Ganga Expressway unbilled, NHAI is about Rs. 180 crores SPV are Rs. 270 crores and railway and metro they are Rs. 58 crores and the others about what has already done that explained about it that we are having certain ministry project, ministry funded projects and certain NHAI consolation projects which Rs. 115 odd crores into that.

So, they all would be stable and the debtors and retention altogether is Rs. 721 crores. So, major portion is definitely Ganga Expressway. NHAI is Rs. 145 crores SPV is Rs. 225 crores and others stood at 133 crores; Adani is Ganga Expressway project is Rs. 220 crores which we have received and every month we are getting the payment. It's not that just being stuck for longer period. So, within 45 days we are getting the payment, but due to the higher range of execution this is the figure.

Jiten Rushi: And sir the PCOD date which you mentioned for Mancherial was which date?

Harendra Singh: So, this was 30th December 2022, but the later we received very recently.

Jiten Rushi: And, sir, in terms of your revenue guidance probably this year you have said almost 5,400 is achievable plus or minus here and there, but what about 25 and 26 because now what we see is the inflow guidance is coming down. So, we'll have to catch up on the inflow in the first quarter was first half of FY25. So, what kind of revenue growth have we seen in 25 now?

Harendra Singh: The project which we are already operating except for [inaudible 32:35], Kanpur railway station or even RVNL. So, most of the projects are going to be completed next year, say FY25 if you see. So, the orders order backlog is 10,600 and if we are going to execute some 3,400 crores during the year later part of the year. So, with that almost the balance would be in the range of 7,500 or even more than that, so probably 8,000.

So, with that 7,500 and if order we are looking to add 5,000 to 6,000. So, the number would be coming almost the same as we started this year. So, with that the orders which we are having that exhibition were Odisha, Andhra all SPVs except for Karnal and Ganga Expressway even they all would be completed in FY25. So, that way I think 5,500 plus crores is going to be executed in these from this portion only.

Jiten Rushi: That is you expect 5,500 crores revenue from the existing order backlog what I understand?

Harendra Singh: So, it's a matter of only getting new orders to the tune of Rs. 12,000 crores that is where if we restrict ourselves to 5,000 to 6,000 this year.

Moderator: Thank you. We have our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir just to reiterate, our revenue guidance would be around 5,400 crores for FY24?

Harendra Singh: Yes.

Vaibhav Shah: And what would be our margin guidance for the year?

Harendra Singh: The margin roughly would be the same as you have seen that in this the monsoon months also we could maintain the same margin that would be roughly the same 15.5% to 16%.

Vaibhav Shah: And sir you mentioned about some claims in the unbilled portion, so what are those claims related to?

Harendra Singh: So, basically they are not those kind of a claim, but claims we actually quantify or taken to our accounts only those claims which are legitimate [inaudible: 34:51] and some kind of we do not take those opportunity claims, time overrun, idling cost into our account. We always take those thing

s very separately.

So, these are very small, almost 12 projects will be completed right from 2016 to 20. So, those are the projects where some kind of a pending say variations approval and so this is the amounts coming from those 10 to 12 projects.
Vaibhav Shah: And what could be the amount?
Harendra Singh: This is Rs. 115 crores.
Vaibhav Shah: And sir was there any reduction in scope in any orders during the second quarter?
Harendra Singh: No, there is no reduction as such.
Vaibhav Shah: Because when we take the difference of the order backlogs, we can't reach the revenue that is some gap of 50%, 60%?
Harendra Singh: I think there is hardly there is a Rs. 50 to Rs. 60 crores of gaps because in few of the HAM Maharashtra projects, three projects were there where the supplementary agreement was executed for the balance portion of the work where the land was not handover to us in 20 when the completion was given, but then now supplemented agreement being say likely to be exhausted. So, they've reduced that number from the supplement agreement this is Rs. 100 odd crores. So, this is a shortfall, I think.
Vaibhav Shah: So, the backlog for Maharashtra and Rajasthan would be what amount as of September?
Harendra Singh: See today I think if you see from backlog from Maharashtra and Rajasthan is roughly about Rs. 72 crores.
Moderator: Thank you. We have our next question from the line of Ash Shah from Elara Capital. Please go ahead.
Ash Shah: So, I had two questions. The first one with the recent construction ban in Delhi NCR and we have got two main projects out there, one in the metro segment and one UER 1. So, are these projects going to be affected in any manner for this quarter or something if possible?
Harendra Singh: I believe I think these because they are the project where this is very high priority PM office is monitoring these projects, linear projects rather I'm talking about especially UER. As of yesterday as well we were discussing that the special permission is going to be given for at least for this particular project UER and Metro, of course, they are looking at some waiver because in these projects hardly there is any pollution as they have guided that the pollution department is going to give us a special relaxation for these projects.
Ash Shah: And second one would be do we have any arbitration claims against NHAI or any other government body, if you could provide some color on that?

Harendra Singh: No, we don't have any say like claim. It was a very small claim with Agra Development Authority Rs. 10 crores out of that we have already provided Rs. 6 crores out of unbilled and in the consolation also we are running with the say consolation is going for 4 projects of NHAI, old projects within 2018 we completed those projects, but there is very small amount with hardly it's Rs. 22 crores for all four projects. In Maharashtra also, it's only a matter of small amount of consolation being done for certain…
Ash Shah: So, could you provide the revenue break up segment wise roads, metros and railways for Q2 FY24 if possible?
Harendra Singh: You are asking for Q2 what we have done.
Ash Shah: Yes, the revenue breakup.
Harendra Singh: Revenue you see Ganga Expressway Mancherial which is Adani project we did Rs. 290 crores. In NHAI EPC it was 188 and SPVs it is Rs. 303 crores on a very broad line. Metro and railway it is almost Rs. 52 crores.
Moderator: Thank you. We'll take our next question from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.
Uttam Srimal: So, you have bidded for a few railway projects. So, what kind of margin profile will be there in this project if awarded?
Harendra Singh: In railway projects we are keeping our margin at the bidding level at about say 14%.
Uttam Srimal: Around 14%.
Harendra Singh: Yes.
Uttam Srimal: And sir how is

the competitive intensity currently in both HAM and EPC, if you can elaborate on that?
Harendra Singh: The competition definitely as we have seen last year, this year not many bids have been called and opened, but definitely in HAM it is a bit easier EPC is very aggressive, but then again I think 20 odd to 25 odd bidders are normally being seen in EPC. In HAM it is coming around 7

to 10 bidders.
Uttam Srimal: Sir, in case of water projects, you are also facing margin profile there will be 14% to 15%?
Harendra Singh: Sure, we are keeping our margins for these diversified sector projects. It can be water metro on there about say 12% to 15% range.

Uttam Srimal: And all these diversification projects how much this will constitute in terms of railway because currently I think it's around 80% is coming from road over 90%. So, this diversified sector will constitute at least 20%, 25% of revenue model?
Harendra Singh: See for the year, we are keeping that at least 10% of the total turnover would be coming from these metro and railway project which we already have started three projects and by the two years down the line rather than 25, 26 we are looking at about 20% of the total order execution would be from these sector and by that year 26 we are looking at about 25% order backlog should be from these sector other than roads.
Uttam Srimal: Sir, depreciation has increased in this quarter. So, what is the reason and this run rate will continue for the whole year?
Harendra Singh: Definitely this will continue for the whole year as you have seen in last year, we added about Rs. 235 odd crores of CAPEX, which are the new and some say all shutters last year this year also 6 months we have added say this almost Rs. 25-odd of shuttering being added. So, the shuttering usually depreciates faster and that is the reason because in the entire project within three years duration we usually depreciate all the entire shutters. But then again, I can just see that depreciation and interest cost is going to be almost in the similar lines hardly there would be a change of about 0.25% if you see last year to this year, at the end of this year this time it has seen on the higher side.
Moderator: Thank you. We'll take our next question from the line of Devang Shah from AC Mehta Investment Intermediated Limited. Please go ahead.
Devang Shah: I have two questions. First is what is your execution timeline for such kind of road project or the railway project because earlier in a concall transcript I have read that 24 months to 36 months. So, whatever the order book you are comprising both of road and railway or metro just give us a segregation sir what is the execution timeline of all three?
Harendra Singh: Just roughly the same, I think as you are also saying that 24 months is the minimum timeline for highway or even for if you see in Kanpur railway station it is 36 months RVNL railway project is 30 months. Metro usually is 30 months. So, water also is 36 months. So, just two to three years of time.
Devang Shah: And one more question sir so we have seen recent quarter in a standalone number there is a decline in a PAT margin due to rise in our interest cost. So, moving forward by considering the fact that you are also using the asset monetization of HAM project that you have mentioned. Will it be margin is going to further touch the earlier level that we have seen somewhere close to 8.6% or something. I'm talking about the PAT margin standalone basis.
Harendra Singh: Of course, I think PAT margin would be coming to the same range these days because you see the employee cost has been all time high for the quarter year because all the project being

mobilized, but the execution was not that range. So, there is one reason was that, but then again finance cost and depreciation put together we would be by end of this year finance c

osts
would be in the same range as we were doing earlier. It was coming at about 1.4% this year we will be in a range of 1.25% of the total turnover, which we are going to execute.
Devang Shah: Moving forward you feel that it is going to improve from here on PAT margin?
Harendra Singh: Yes, quite correct.
Moderator: Thank you. We have a next question from the line of Darshit from Robo Capital. Please go ahead.
Darshit: So, I just wanted to know if we see the previous say 18%, 19% of margins coming back anytime soon, probably in FY26-27?
Harendra Singh: At the company level?
Darshit: At the company level, yes?
Harendra Singh: Yes, it would be almost in the similar range 15.5%, 16% as we are doing in last four quarters, we have delivered those margins and we almost maintaining that discipline.
Darshit: For the medium term we're going to maintain this and some view medium term view on order book and order inflow?
Harendra Singh: Order inflow definitely as we have earlier discussed during the call in one that in during the year we are expecting to add at least 5,000 to 6,000 odd crores of order. The highways and other sectors and then the execution which we believe that we would be almost doing 20% plus of those from the last year.

Darshit: But like for the medium terms FY26-27?
Harendra Singh: Sure, I think for FY26 and FY27 with the government focus on infrastructure, especially highway again in thrust and we have seen all other sectors, their budget allocation has gone has been all time high in railways and most of the sector.
So, we believe that in everything because of the election time, we are putting just keeping a caution that we may not have these many orders, but then FY25 and FY26 they are the years we would be we believe that we would be adding at least 10,000 to 12,000 crores of order for next year beyond next year.
Moderator: Thank you. We'll take a next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Sir, one question on the Ganga Expressway now. See that was a very sizable sort of an order which came our way and that helped us grow both the order book as well as the revenue profile. Now going forward as such a large project gets runs off from our revenue profile as well as order book, do we think that overall revenue growth etcetera will taper down because we don't have any such large order in either in pipeline or maybe expect to win in the coming years?
Harendra Singh: Your concern is very valid. So, basically with the recent project being executed where UER at Delhi were about 8 kilometers of elevated portion being done, Gurgaon Sohna its almost similar to Gurgaon Sohna with [inaudible: 48:15] being constructed in Odisha projects almost 8 kilometers to 9 kilometers. So, this gives us the qualification and capacity to bid for the huge size projects like if being called if you see high speed network corridors to be developed for railways where the dedicated like bullet trains being developed.
So, in that the range of projects are big size projects, we believe that we would be say putting up are in a race to bid those projects say bid as a sole entity or as well as some JV. That is the only I think what you are saying 4,500 crores of order this cannot be from any say one single size project is a very high magnitude. We are looking into these sectors and in it tunnel also we are looking with some joint venture alliance. We are also looking into this sector.
Sarvesh Gupta: Secondly, sir on the order inflows till date for this year now of course the NHAI ordering has been small, but we have been seeing at least the peers have been able to manage to get something even in the last 7 months, 8 months while for us it has been almost negligible in terms of what we have been able to win in this 7 months, 8 months. So, how do you explain that sort of a market share loss in the o

rders went till date for this year vis-a-vis with your peers?
Harendra Singh: Probably we bidded say few projects, but the margins which we are expecting which should get were not there. So, we have lost almost 7 projects, 8 projects even for NHAI awarded, but then again this is not a very many numbers of projects being bidded and awarded. So, we are expecting this momentum, or this tempo is going to be right now in November onwards.
This would be going to be all time high and as we have seen last 6 months, almost negligible that we believe that we would be getting the same as we have guided that we can have say 5,000 crores to 6,000 crores of order and then again as MSRDC results have been delayed that is again the potential is there with almost individual order size is about 1,500 crores individual say project.
Sarvesh Gupta: And on depreciation and interest, so what I understood was that in the absolute amount it will remain the same now. So, as you scale your revenues in H2, your overall PAT margins would increase, but going forward, let's say in FY25, how do you see these two items moving because this quarter and this half year, we have seen that these two-line items below EBITDA has sort

of hurt our P&L percentages. So, for FY25 then from that base of end of FY24, how do you see them moving up?
Harendra Singh: The depreciation we have added almost a very high CAPEX last year and this year also Rs. 128 crores, Rs. 130 crores and this is going to end up roughly around 150 with net of CAPEX rather. So, what is the reason behind was that 5 years, 6 years back when we added all machines, the technology of the machines being upgraded, so taking out or phasing out the old machines and replenishing and getting new equipment with BS-VI and BS-IV technology and fuel efficiency is there. So, this is one reason that you can see the all-time higher depreciation going this time, but then again ‘25-26 it would be all eased out to a normalcy that in that range, the depreciation and interest put together would be in the range of 3.5%.
Sarvesh Gupta: So, FY24 you are saying 5,400 crores of revenue guidance in FY25 sir what is the guidance?
Harendra Singh: So, roughly, we are keeping our number about say 6,000 to 6,200.
Moderator: Thank you. We have our next question from the line of Vishal Periwal from IDBI Capital.

Please go ahead.
Vishal Periwal: I think in terms of bid, you did mention on the railway where you are eying. So, apart from that is there any other sector in the railroad side where we are bidding or any bids have been submitted?
Harendra Singh: So, in the road sector there are 6 bids which we already had done. There's a Chambal Expressway this we already have bidded, and one project also is there I think that is the state of Chhattisgarh where the results are yet to be declared.
Vishal Periwal: No, I was trying to understand in roads definitely there are submitting bid and railway again we have already shared the opportunity of roughly 8,000 odd crores, but apart from these two sectors any other sector where we have bidded, or we are eying and order inflow for us?
Harendra Singh: No, we are expecting that we will be bidding for Metro where we have already had qualified say with this recent completion of this project. So, that is where I think we will be biding and we are looking into some tunnel opportunity in say Northeast this state of Himachal and with DRO. So, this is where we are looking into that.
Vishal Periwal: And then when we say Metro, it is over and above this 8,000 crores opportunity which you mentioned the railways that's on top of it, right?
Harendra Singh: That's probably we would, yes, we are looking for bids.
Vishal Periwal: And sir non roadside when we are bidding say a couple of projects that is there in order book also. So, these you have bidded on our own or they are in JV with any partner?

Harendra Singh: Which project?
Vishal Periwal: The non road orders that we have in the order book?
Harendra Singh: As on date all orders are with sole entity HG has already backed those orders without the JV and in the future I think as we are looking in some water projects where we are not qualifying 100% not qualified into that, even for tunnel we are not qualified, so big size projects of Metro even we are not qualified. So, we would be looking into these opportunities where the joint venture alliance could be done.
Moderator: Thank you. We'll take our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, just to again clarify on the numbers so in station redevelopment, you mentioned we have bidded 1,000 crores projects and plans to bid three more station redevelopment projects worth for 1,200 crores?
Harendra Singh: Correct.
Shravan Shah: The 1,000 crores would be bidded on two projects which are these railway station?
Harendra Singh: One is Gorakhpur, and one is in the South.
Shravan Shah: And 14,600 crores also initially what we said so that we are planning to bid on the 8,000 crores also the number that we are planning to bid that is Rs. 8000 crores is the road sector where we are planning to bid and what is this 14,600 so that includes everything that we are planning to bid?
Harendra Singh: No, That's not included of anything highway I have not touched upon as a number, highway definitely as we were discussing our own is 45,000 crores of highway bidding opportunity at MSRDC and 60 something 1,000 crores bidding opportunity at NHAI. So, this is what we are looking into bidded during the year.
Shravan Shah: And non road we are further planning to bid for 8,000 odd crores?
Harendra Singh: Correct.
Shravan Shah: And on the working capital sir. So, core cash days we have seen now actually it has reduced and 31 days came to the March level, so will it remain the same or it will further inch up?
Harendra Singh: No, I think it's a net working capital cycle. It would remain almost 35 days with say in between in the intermediate intervals it will always require where the working capital even you see the

bank limits being used. Now again it is coming to the same level that 35 days ideally would be range of working capital.
Shravan Shah: And when we will receive this monetization this November for three projects. So, in terms of the gains which will be booking also one is how much the gain that we will be booking and in terms of the tax treatment how will it be a 20% tax capital gain tax kind of a thing so how it will work out?
Harendra Singh: So, we are working on it. Definitely it's not that big a number because it's almost years we started investing equity. So, whatever gain is there, there are two kinds of one into SPV, so one is in for equity invested by HG. So, these are the two numbers, but that is not a very big say number.
Shravan Shah: So, on standalone level it will not be a major number?

Harendra Singh: Yes.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you, sir.
Harendra Singh: Thank you, Sana. Thank everyone for bringing their expertise and experience around the table. We appreciate everyone joining us today on the call and hope that we have addressed all your questions. If you have any further inquiries, please do not hesitate to reach out to our IR Advisor, Go India Advisors and thank you for your participation. Happy Diwali.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

"H.G. Infra Engineering Limited
Q3 & 9MFY24 Earnings Conference Call Transcript"
February 05, 2024

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR – H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to H.G. Infra Engineering Limited Q3 FY '24 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is been recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you, Manuja. Good morning, everybody, and welcome to H.G. Infra Engineering Limited Earnings Call to discuss the Q3 and 9 months FY '24 results. We have on the call Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Harendra Singh to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Harendra Singh: Yeah. Thank you, Sana. Good morning, ladies, and gentlemen. Welcome to the earnings conference call of H.G. Infra Engineering Limited. We are delighted to discuss the key milestones of our quarterly and 9 months financial performance, other accomplishments, and future vision. The trust -- we trust you got the chance to examine our investor's presentation and the financial results.

Let me start with a brief overview of the infra sector outlook and the latest budget update. The Ministry of Growth Transport and Highways has increased -- received increase of funding 2.7%, totalling around INR2.78 lakh crores for '24/'25, out of which INR1.68 lakh crores is designated to NHAI for development of national corridors. The government plans to accelerate new project award in the upcoming months and also reviving Build, Operate, Transfer module with 54 projects worth over INR2.2 lakh crores.

Additionally, there is a shift from Bharatmala Pariyojana to vision 2047 initiative, a more ambitious plan aiming to construct 30,000 to 35,000 kilometers of access control highways and 50,000 kilometers of high-speed corridors before India's in 100th independent anniversary in 2047.

In the railway sector, the interim budget 2024 has earmarked INR2.55 lakh crores sustaining its capital expenditure momentum compared to the INR2.41 lakh crores allocated in '23/'24. Indian railways envisage a substantial 4.2 trillion plan to multi-track 7 high-speed density corridors, expanding 10,959 kilometers over the next decade. Under the Amrit Bharat Station scheme, the government has planned to remodel 1,309 stations by 2030. H.G. Infra has taken

this as an opportunity considering new bidding in various station projects and already acquired Kanpur Railway station. We aim to secure high-value projects in this sector.

Recognizing opportunities in different sectors, we have actively pursued bids to broader our order books. Let me start the journey of this quarter and give you the glimpse of operational highlights first. As of December 2023, our order book stood at INR9,626 crores diversified across 11 states. Out of the total order book, EPC constitutes 51%, HAM constitutes 37% and railway metro contributes remain 12%.

Talking of the ongoing projects, the execution progress on various EPC project is as follows: the Ganga Expressway project is progressing well and has reached a completion milestone of approximately 42.1%. In the Delhi UER project, substantial progress has been achieved and standing at around 84

.8%. It is anticipated to be completed by [March '24]. Neelmangala-

Tumkur project is advancing smoothly and has attained an execution status of 19.1%. Karnal Ring Road Project has achieved 10% completion and progress is well accelerated in the next few months, as all initial impediments in the progress has been addressed.

The progress of all HAM projects is also running as per the plan schedule. The update is that the Raipur-Visakhapatnam OD-5 project has progressed to 54.8%. Raipur-Visakhapatnam OD-6 project is currently at 62.4% completion. The Raipur-Visakhapatnam AP-01 project has achieved a completion status of 61.3%. And in the Khammam Devarapalle project Package 1 has progressed 33.6%, while Package 2 is at 38.4%.

Let's dive into the progress of our railway projects. The DMRC metro project has achieved a completion of 36.7% with execution progressing smoothly and in line with the expected timelines. The Bilaspur Himachal Pradesh railway project under RVNL, though it delayed a bit initially because of extensive rains in Himachal, is now progressing well. The Kanpur Central Railway Station project, with North Central Railways has reached a completion of 1.2%, just recently started.

Let me now share other significant updates on quarter 3 FY '24. The appointed date for Kanpur Central Railway station was received on 16th of October '23. The PCOD of Maharashtra Pkg-7 and Rewari Bypass were received with effect from 29th Feb 2020 and 25th May 2023, respectively. COD of Rewari Ateli Mandi was received with effect from 31st November 2021. Financial closure of Varanasi Ranchi Kolkata Package 10 and 13 was declared on 23 November '23 and 20 November '23, respectively.

In terms of the financial highlights of this quarter, we are happy to share considering our financial performance and robust growth story, the outlook on the long-term rating has been revised from stable to positive. The rating committee of ICRA has reaffirmed the long-term rating at AA- and the short-term rating at A1+. Our financial numbers for last quarter has been satisfactory.

At the standalone level, our total revenue for 9 months FY '24 has reached INR3,487 crores, marking a 18.3% year-on-year increase from INR2,949 crores in 9 months FY '23. EBITDA amounted to INR557 crores in 9 months [FY '24] resulting in EBITDA margin of 16% compared to INR473 crores and 16% margin in 9 months of FY '23. PAT for 9 months FY '24 stood at INR386 crores with a profit margin of 11.1% in contrast to INR274 crores and a margin of 9.3% of 9 months FY '23.

In quarter 3 FY '24, stand-alone revenue reached INR1,346 crores, indicating a significant 19% year-on-year, rose from INR1,131 crores in quarter 3 FY '23. Stand-alone EBITDA for quarter 3 FY '24 was INR214 crores, reflecting a year-on-year growth of 13.2%. The PAT and the PAT margin for quarter 3 FY '24 stood at INR205 crores and 15.3%, respectively. Compared to -- that is compared to INR111 crores and 9.9%.

Regarding the company's debt position, on a stand-alone basis, the gross debt amounting to INR470 crores including the working capital debt of INR64 crores, term loan and current maturity and trade limit totalling to INR341 crores, along with the NCD of INR55 crores.

Moving on to the consolidated numbers. In 9 months FY '24, the revenue surged to [INR307 --

INR670 crores] indicating an 18.9% year-on increase from INR3,087 crores in 9 months FY '23.
EBITDA reached INR729 crores, resulting in an EBITDA margin of 19.9% compared to INR590 crores and a 19.4% margin in 9 months FY '23. PAT for 9 months FY '24 stood at INR349 crores with a profit margin of 9.5% as compared to INR322 crores a 10.4% margin in 9 months FY '23.
Concerning the company's debt position at the consolidated level, the gross debt amounting to INR1,356 crores. The total equity requirement for 9 HAM projects were estimated to be INR1,33

1 crores until FY '26. As of December '23, INR604 crores have already been infused, and there is a projection infusion of INR74 crores in FY '24.
Let me now give updates on the key developments in the monetization progress of 4 assets. Pursuant to entering the share purchase agreement on 3rd May 2023, we have finally achieved the milestone of completion of first tranche sale of 3 SPVs, including Gurgaon Sohna, Rewari Ateli, and Ateli Narnaul. 100% shares of this company has been transferred on 21st November 2023 from H.G. Infra to Highway Infrastructure Trust, and consideration has been received against the share transfer.
As far as SPV, total consideration was INR531 crores for all the 4 SPVs. Out of that, agreed consideration for first tranche of the SPV was INR405 crores against with the final total consideration has been closed for INR375.13 crores. Total consideration includes INR313.07 crores against equity and INR52.06 crores against subordinate debt. And that consideration has been received, except holdback of INR59.56 crores being transferred in an escrow account

which will be released on receipt of approval for GST changing law on [NBD] payments from the authority. And the same is expected to be received by March '24.
We would further -- we further would like to inform the variation in final consideration was majorly due to change in the price escalation amount on account of impact of change in law, a change in [CPI] guidelines. Because of this change, there was a negative impact of around INR13.29 crores on the consideration value of these 3 SPV companies.
However, the impact is positive in second tranche of fourth SPV with INR2.87 crores.
Additionally, during the period before closing of transaction within the agreed valuation date, unsecured loan of INR16.7 crores was refunded back to the promoter company which was provided to SPV during the construction period as interim arrangements in general course of business.
However, in Rewari Bypass, we would like to receive INR140-odd crores against consolation of INR126 crores as per the SPA. Thus, overall consolation remains unaffected. Also, we would like to update that for second tranche of fourth SPV that is Rewari Bypass where PCOD declared with effect on 25th of May '23. Accordingly, we have applied for the issuance of [NSV] from the authority and lenders for the change in shareholding. Final NOC is given shortly, and we are expecting to complete the second tranche by March '24.
On completion of first tranche transaction in November '23, INR106.74 crores of total capital gain has been recognized, which attracts a tax of INR16.09 crores as per the Income Tax provision for the first tranche, 3 SPVs due to which the overall current component has increased for this period.
Let me now touch upon the future guidance. After the lukewarm awarding in this financial year until now, we are expecting aggressive bidding in the next 2 months, which will give us the opportunity to augment our order book. To date, H.G. Infra has bidded for 52 tenders worth INR30,572 crores until January '24. Among these, 3 tenders were awarded totalling INR1,199 crores including projects of NTPC, central railway project of Dhule to Nardana and South-Central revenue project of Aurangabad to Ankai Package 9. Both the railway projects have been awarded in the month of '24.
I'm hopeful, after the addition of 2 major railway projects in the month of January '24, we would further add INR5,000-odd crores more projects in the remaining part of this financial year, keeping total order addition during the year to around INR6,000 crores. For future bidding H.G. Infra Engineering also plans to bid on about 8 more railway projects, that is around INR6,000 crores in this financial year. We are also targeting high-value railway project as invited by Haryana Orbital Rail Corporation to further

diversify orders. We have started
preparatory work of analysing costs in and doing preliminary discussions with diversification for the sector also to propel our way forward.

Regarding the revenue guidance in this 9 month, we have obtained a revenue of INR3,487 crores and we would like to assure all our stakeholders that this year we'll be achieving INR17 crores to 20% growth in revenue compared to last year, maintaining a margin of 15.5% to 16% flat.

I want to ensure our shareholders and the financial partners of the companies exercising prudence and vigilance to enhance our growth narrative, demonstrating persistence in receiving forthcoming growth capacity soon. We are meticulously focused on enhancing our operational efficiency and execution capacity to boost both our EBITDA and PAT margins.

Digital transformation holds a primary spot over our agenda encompassing automation in our plant and machinery, operation at various other verticals. The strategic move is poised to contribute significant value to our financial indicators, fostering a seamless and transparent real-time working environment.

That concludes my update and now the floor is open for question and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Congratulations on pretty decent numbers and execution improvements. Sir, just again on the -- you -- although you gave a pretty detailed opening remark, but just on the order flow because you know, we are already clocking nearly a run rate of INR5,000 crores annual revenue and order book is at around 2x now. So how many projects we have bid now where bids are yet to be opened?

And you also mentioned that there is a pretty aggressive bidding which will happen in the next couple of months. So what's the realistic number we could look at? Because most of the companies are talking or betting on these next couple of months to kind of get the order inflow in place.

Harendra Singh: Yes, sure. I see almost 16 bids are there where yet -- the results are yet to be declared, and there is totalling of about INR14,000 crores. Apart from this, as we have seen that in February and March before prior to the model code of conduct imposed likely that they are awarding at NHAI Ministry and MSRDC and several railway projects, they are on the card, where we also betting upon it.

And definitely, it looks like that during the next 2, quite a good pace of awarding would be done. And it's almost INR70,000-odd crores, or rather INR60,000 crores to 70,000 crores in MSRDC on EPC projects and around INR50,000 crores plus at NHAI and somewhat INR40,000-odd crores at – for the ministry. So these are all the highway projects which I was talking other than the railway projects are also there, so which we believe that definitely INR25,000-odd crores of railway project are likely to be awarded.

Alok Deora: Sure. And I think in your comments you mentioned about you are bidding a lot of these railway projects. So what is the expected margins there? Because the railway margins would be lower than this 15%, 16% margin which you make in the road projects. So what is the margin profile would be there for those projects?

Harendra Singh: So we are keeping the same thing let’s say, if you are talking about the Dhule projects, there's almost the similar kind of projects as highway, nothing of electrification or SMB. So we are seeking the same margins as we are doing in highway. Definitely, it can be not more than 1%. Because in a highway EPC project, we are keeping ourselves at about, say, 13% range that we are keeping for them. HAM definitely, we are targeting about 18%, 19% as we have done in the past. So this now we are loo

king at any future railway project to be bidded.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congrats on a decent set of numbers. Sir, just to develop on that. So till now the railway orders, the EPC value for us is INR1,200-odd crores that we have received.

Harendra Singh: The recent orders which we have received?

Shravan Shah: Yes, sir.

Harendra Singh: Net of GST would be around INR1,100 crores.

Shravan Shah: Okay. Net of GST. So until now, the order inflow for us is INR1,100-odd crores. And for full year, so by next 2 months, we are looking at the further INR5,000-odd crores. So total would be INR6,000-odd crores that we are looking at?

Harendra Singh: Yes.

Shravan Shah: So in this INR5,000-odd crores, a railway would be how much more we are looking at?

Harendra Singh: See, we cannot just see that we already have bidded for almost INR14,000-odd crores that were yet to be awarded. In this INR10,000 crores are railway projects, which we expect definitely 1 or 2 projects from railways likely to be there, out of the INR5,000 crores expected during the earliest part of the year.
Shravan Shah: Okay. So this INR10,000 crores revenue project, so these are closer to INR1,000 crores, INR1,000 crores each kind of project?
Harendra Singh: No, it's not typically the same. It is INR500 crores to INR700 crores, INR1,000 crores or even INR1,200 crores, INR1,300 crores also.
Shravan Shah: Okay, okay. Got it. So for the full year, you mentioned 17% to 20%, so slightly maybe a lower revenue that we are looking at versus the previously INR5,400 crores. So for next year in

terms of INR6,000 crores, INR6,200 crores revenue that we were looking at, so are we able to maintain the same guidance for FY '26?
Harendra Singh: For the current year, definitely because of the very, say, weather conditions and the erratic monsoons. So this is why the shortfall has been in the Jharkhand project, which we were supposed to looking at this, probably date of Package 13 which is yet not clarified as far as model likely to be imposed. So this is the shortfall of our INR200-odd crores likely to be there. But definitely, we are keeping the target intact for the financial year '25 with INR6,000-odd crores.
Shravan Shah: Okay, okay. Got it. So now these 2 appointed dates, package 13 and package 10, so when can we expect appointed date?
Harendra Singh: So looking at the current scenario of Jharkhand, the state government as well as the model code of conduct, we believe that till May, definitely no chances there. And we also would not be taking this risk prior to this -- or only one project which we definitely would be looking at by June, a project, it can be there. The second project, as I am expecting that post-monsoon, that would be declared.
Shravan Shah: So package 13 will be by June?
Harendra Singh: Yes.
Shravan Shah: And package 10 will be October, November?
Harendra Singh: Not November, rather August onwards, sometime in September.
Shravan Shah: Okay. Okay. Got it. Also, you mentioned significant opportunities in railway, MoRTH, NHAI, MSRDC. Sir, out of total, how much are we planning to bid? If you can broadly help us then it will be great. So INR30-odd thousand-crores that we will be bidding?
Harendra Singh: Roughly, there are INR60,000 crores of odd bids, which we are aiming at to be bid in these 3 organizations.
Shravan Shah: Okay, okay. Got it. Sir, a couple of data points on the balance sheet side. So first is retention money, the unbilled revenue mobilization advance?
Harendra Singh: Mobilization advance is INR308 crores, to be very specific. And the total debtors is INR825 crores, including the retention and deposits, other deposits. And that is if we can -- we want the breakup, NHAI is around INR140 crores, SPV is around about INR250 crores, Adani INR300 odd crores as we hav

e done significantly good in month of December.
That is the same for the month of December only, and others are very negligible at INR135 crores. Unbilled definitely around INR700 crores, the INR700 crores is unbilled of INR250

from NHAI. And Adani is very negligible of INR100 crores. The SPV again is INR300-odd crores, remaining others.
Shravan Shah: Okay. Sir, total debtors you -- out of that, our retention money is how much?
Harendra Singh: Retention money is around INR114 crores -- INR115 crores.
Shravan Shah: And total inventory and total debtor value is how much?
Harendra Singh: Inventory is one higher at INR341 crores. What are you talking about?
Shravan Shah: Our total debtors...
Harendra Singh: INR825 crores.
Shravan Shah: And payables, sir?
Harendra Singh: Debtors?
Shravan Shah: Payables.
Harendra Singh: Sorry?
Shravan Shah: Payable, creditors.

Harendra Singh: Creditors?
Shravan Shah: Yes, sir.
Harendra Singh: Creditors was INR600 crores.
Shravan Shah: INR600 crores.
Moderator: The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.
Nikhil Abhyankar: My question was broadly regarding; we are seeing that the pace of capex increase for NHAI has reduced as well as for railways. And going forward, maybe to reduce the fiscal deficit, the capex might reduce as well. So do you expect higher share of BOT going forward, say, in the next 3 to 5 years? And how will we try to participate in that opportunity?
Harendra Singh: Sorry, I couldn't understand. You can repeat it, sir?
Nikhil Abhyankar: Sure. Sir, right now, as compared to HAM and EPC going forward, there might be a higher share of BOT projects from NHAI.

Harendra Singh: Understood. So definitely, NHAI is having, say, looking to the -- just the response of many of the lenders as well as concessionaires, we have the ToT monetized. So looking into that, they have actually has figured out some 50-plus project of INR2.2 lakh crores on BOT model. And we have certain concession -- modified concession agreement has been modified, which is quite friendly, which we believe is a positive move. And I don't know how it will definitely react on actual bidding rather than awarding.
But then definitely, looking to this opportunity as we are working with Adani, we have already worked with IRB. And Adani and IRB, they are the one who are very -- always try to take such kind of projects. And apart from this SKU and say, 1 or 2 concessions, they are also approaching us.
They are also approaching H.G. as a EPC player to them. So with that, I think this opportunity. If definitely with the government's trend likely to come, we would not be at a risk, so we would be, again, looking into such opportunity from the perspective as an EPC to the developers.
Nikhil Abhyankar: Okay. So we are not looking to participate directly?
Harendra Singh: We will be taking trial of 1 or 2, not with very aggression, with very, say, whole numbers, keeping...
Nikhil Abhyankar: Understood. And sir, what will be the margins on this profile? Usually, what is the margin for BOT projects as compared to HAM, EPC?
Harendra Singh: BOT projects and HAM projects, they are all same as far as EPC is concerned. If you talk of the development, so the project being taken by the concession, they do will have definitely a consideration, toll risk is there or in HAM there's no risk as such. So there is their calculation...
Moderator: The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Congratulations on a good set of numbers. Sir, my first question is on the…
Harendra Singh: Can you speak a bit louder?
Jiten Rushi: Can you hear me now? Is it loud now?
Harendra Singh: Yes. Now it's Okay.
Jiten Rushi: So my question was on the equity investment i

n the HAM project, in which we have completed our monetization. So I'm assuming we have invested around almost INR268 crores, against which we were supposed to receive INR405 crores, which you said, we have received INR375 crores. So sir, in this INR375 crores, INR59 crores, so almost INR60 crores is still pending, right, sir?

Harendra Singh: Yes.
Jiten Rushi: These 60 crores is related to GST for the change in law which you will receive by end of month once NHAI approves it. That is what my understanding is right?
Harendra Singh: Yes.
Jiten Rushi: So sir, we have made a capital gain of almost INR106 -- INR107 crores, while that is in the stand-alone, that is correct, right? Because overall, you said INR117 crores, which is including the consol number, standalone -- hello?
Harendra Singh: Yes, quite right.
Jiten Rushi: So sir, so what was -- you said some negotiation is going on. So what is that negotiation that impacted the valuation? So what is the reason of the impact in the valuation in the first three

projects?
Harendra Singh: See, this is the entire deal has been for all four projects. So individual project do not have any impact on it. Looking to that, say, I already have addressed like because of the CPI, so this is the consumer price index, where later on guidelines being issued by NHAI for calculation of the price index -- price escalation rather. So there is an impact of our INR13 crores, which is a net impact of INR10 crores, taking consideration of Rewari Bypass as well. So net is INR10 crores.
But in Rewari Bypass, looking to the equity which we have invested and the likely proceeds or likely annuity which we will be getting in the next 15 years, with all considerations, this INR126 crores initially being considered in this overall valuation of INR531 crores, where it has now -- it would be a INR140 crores-plus. So this is INR13 crores plus in that particular project. So overall, INR531 crores are intact. So we are not going to lose anything out of that. It's a matter of first tranche or second tranche.
And having discussed that, definitely the capital gain which we have considered in the H.G. stand-alone and the consolidation which we have, we have seen that these three projects where certain discounting is to be done in the profit margin, which actually has impacted the consol number.
Jiten Rushi: Okay. So that's the balance number in the consol. And sir, so any capex for 9 months and what is the guidance for FY'24/'25? And what is the balance equity breakup, if you can give us -- like you said for INR74 crores in Q4 this year? And what about the balance INR604 crores, how is this broken down after the INR604 crore which you have invested so far?
Harendra Singh: So post this, out of INR1,331 crores, INR601 crores already done December 31. INR730 crores is the balance and the INR74 crores which we are considered for the quarter 4 '24,

INR465 crores is the number which we are considering for '25, and INR196 crores is the balance from '25, '26 or '27, accordingly when Japan projects are particularly declared. So this is about equity. And as far as execution is concerned, for sure, we are looking at this current year to be closed at around, say, 5,000 to 5,200, that is rough number. And for '25, we are keeping our guidance about INR6,000 crores.
Jiten Rushi: Sir, capex so far, what is your targeted capex for FY'24/'25?
Harendra Singh: Our capex would not be a big number for the subsequent years. Capex hardly would be in the range of INR75 crores.
Jiten Rushi: And this year?
Harendra Singh: Sorry?
Jiten Rushi: FY'24.
Harendra Singh: This year already had done. Nothing has more to be added.
Jiten Rushi: So almost like you have done more than INR100 crores, what I understand.
Harendra Singh: Yes.
Moderator: Thank

you very much. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good morning, sir. Just to confirm, so this year, we are expecting INR6,000 crores order inflow. And what should be the expectation for the next financial year, FY'25?
Harendra Singh: Sure. I think for this current year, what we initially has guided around INR8,000 crores to be added. And if we are at that stage where nothing big as being achieved as far as the wording is concerned across infrastructure, especially NHAI and the higher projects are concerned.
So we believe that whatever bidding pipelines they are having post this election, there will be not many projects as an opportunity would be available to us. So with that, we are expecting about, say, INR10,000 crores being added next year.
Sarvesh Gupta: Understood. And just to confirm the number for railways. So you said HAM, EPC 18%, 19%. Highway EPC is 13%, 14%. Then railways are at what margin, sir?
Harendra Singh: Yes. Almost similar, what we are keeping for EPC highway, that is around 13%. We are keeping the same number.
Sarvesh Gupta: Okay. So with this mix change, do you expect the overall margins to come down because we are getting much more in railways?

Harendra Singh: No, it's not that big number of railways. It's just around 18%, 20%. And for highway also EPC project which we are doing earlier was constituting this much. It is a replacement of NHAI

EPC projects -- or rather highway EPC project by railway projects. So the margin definitely would not be impacted much.
Sarvesh Gupta: Understood, sir. And sir, now if I look at your overall P&L, so of course we have maintained -- broadly maintained the EBITDA margin, if you look at 9 months and all. But what is happening is below the EBITDA, we are using maybe much more of our own equipment. So that is we are paying less to maybe on the lease side.
But then all those costs are hitting us on the depreciation and interest. And those have increased a lot, much more than revenue growth, 50%, 60% growth. So because of which the overall PAT margin, PAT is not increasing, maybe 7%, 8%. And this quarter would be flat Y-o-Y or 2%, 3%. So despite a very healthy growth, 17%, 18% on the top line, it's not impacting our bottom line. So how do you see that, sir?
Harendra Singh: I think the PAT is -- at the stand-alone level, you can see the PAT is around 9.5% to 10%. With that, whatever interest outflow is there, it's now stable. There is the percentage you can see, last two, three years, interest not increasing to that extent.
And the depreciation definitely in the recent quarter has increased. But for sure, I think it's a part of cash accrual. So we don't believe- we don’t see any challenge as far as PAT is concerned. It would be in the range of about 10%, and it can even go up to 11% in the coming quarters.
Sarvesh Gupta: So going forward, our finance cost, let's say, as a percentage of revenues, etcetera, do you expect these costs to normalize further? Or this is the new normal. How do you see it? Because this has increased almost 70% on a Y-o-Y basis.
Harendra Singh: Finance cost is roughly finance cost [currently about] INR15 crores and this is per quarter. If we are talking INR60 crores to INR65 crores of finance cost, which is likely to be stable, nothing more to be increased. Only depreciation which is around -- earlier it was INR25-odd crores per quarter, now it has gone up to INR36 crores to INR38 crores, which is a big number.
But definitely, with the coming years, the capex is not going to be at that high level.
Sarvesh Gupta: Okay. So this is not driven by any change in our model assets, wherein now we are doing more of these equipment’s on our own, because of which even by seeing lower margins, we are maintaining EBITDA but falling in terms of the PAT margins.
Haren

dra Singh: No, nothing has been changed.
Moderator: Thank you very much. The next question is from the line of Mehul Mehta from Nuvama PCB. Please go ahead.

Mehul Mehta: Good morning, team. Thanks for the opportunity. We have been exploring possibility to bid for underground metro rail projects. So has there been any progress in terms of JV with any organization?
Harendra Singh: We already have tied up, but as of now, we could not see any project where this could be explored. We already had tied up for the tunnel projects, for metro tunnel projects, rather. But for sure, we are not very aggressive as far as with the coming opportunities in highways and in railways, or in railways, even high-speed density network corridor to be developed with the wider construction and the DFCC corridor to be constructed. So we are keeping this, but not very aggressively.
Mehul Mehta: I see. As far as you have been focusing on, maybe like go on railway and road projects. But in metro, if we look at like out of operational metro network of about 800 kilometers and currently about 650 kilometers under construction, would you be sharing who are the major players kind of?
Harendra Singh: So definitely, we have seen the L&T to a very high level and J Kumar is there, the Ascon and then ITD. So they are the one, say, 5, 7 are the big numbers, big players. They are having somewhat 70% of the entire metro construction.
Mehul Mehta: Okay. And say, like out of the proposed network of about 1,000 kilometers, like are there new players entering or like the similar players like who have been so far in this segment?
Harendra Singh: Metro projects, mostly the capex being done for the casting-yard and everything. So in these cities where already they are set up, having the setup, so they will be having at least advantage of taking this opportunity. But for sure, the upcoming Tier 2 cities like Agra, talking of Nagpur, even Kanpur, there are many more cities where metro -- Bhubaneswar to be very specific. So there, I think, there's opportunity lies for players like H.G., the other players --- the other companies would be interested.
Mehul Mehta: Sure. Other question is in relation to working capital cycle, if we look at FY '23, and we had about 23 days working capital cycle -- net working capital cycles. And currently, it is at about 34 days and which has been mainly driven by 51 days of inventory cycle. So is it like that going forward, we can see like this reducing or we should continue to be like maybe about 30

plus days?
Harendra Singh: From the start of this last 3, 4 years, we have seen the trend of about, say, 35-odd days, not crossing 40 limits. So 30 to 40, this is the ideal one where we have seen this inventory going higher. Because if you see -- you can see this current month, in these months, high construction is at a very high pace. So because of that inventory is a bit high. But otherwise, the inventory more or less would be around -- you can see on the top line, around 8% to 10% of the inventory would be there, not more than that.
Mehul Mehta: But as far as like this FY '23 was an aberration in terms of 23 days of working capital cycle?

Harendra Singh: No, it will be coming back to the same 30 or 35 days. This is a normal trend for the working capital. See, because of some unbilled and because of some debtor receivable at SPV, see, at the end of December, that we have not taken the funds from SPV, from the lenders to SPV and to EPC. So that is where the SPV debt has gone higher.
Moderator: Thank you very much. The next question is from the line of Parani Vijay Kumar from Avendus Spark. Please go ahead.
Parani Vijay Kumar: You had mentioned in your opening remarks that you are looking to diversify also into solar projects. Can you highlight what ar

e our target projects and what are our scope of versus we are trying to do here?
Harendra Singh: In the solar, the renewable energy, government focus is very specific in the state of Rajasthan, which is the best state to set up. So we have seen, we have explored some of the projects in Kusum, Yojana, not big projects are there, very small projects, where the tariff is good and power purchase agreement with the government is being done.
So not going very aggressively, taking some opportunity in that project, where doing EPC at H.G. only, a level only, rather than getting it done through any other contractor. So this is basically start a little bit of learning and doing with a secure model of where the tariff is good and the power purchase agreement being executed with the government only.
Parani Vijay Kumar: Okay. So as the capacity of developer, like we will be building these projects...
Harendra Singh: We would be entering, we would be entering not only into EPC, we will be entering with the developer, but not very high value projects, very small. To start with, it would be roughly around, say, INR100-odd core project, but later on within six months, if you feel like INR100-odd core can be added. So this is where we are looking into this opportunity.
Parani Vijay Kumar: Okay. My second question is on -- in your opening remarks, you mentioned that Bharatmala is being converted into Vision 2047. So what is the progress of this? What is the thought process of the Ministry behind this? Any more details that you can provide, like you mentioned, there's a 35,000 kilometer and then there's another 50,000 kilometers. So if you can elaborate more on this?
Harendra Singh: See, the government is looking into 2047 as the year where 100 years marked for this independence. So with that, I think government vision statement, where every organization, it can be a highway to railways. So all has been given the task, consolidation of infrastructure development are to be done in this 25-year -- 23 years ahead.
So with that, we believe that the coming opportunity would be as earlier as we were looking at '28, '29 or '30 rather, this highway opportunity would be dried, likely to be dried up rather. So now they have given this indication that highway also would be there on the cards. And where

we are expecting 50,000 kilometers of the existing National Highway to be upgraded and some 35,000 kilometers to be awarded on the access control greenfield highway.
So this is a vision document where detail of the projects has already been excised. And I think it will take another six months or one year down the line when the clarity would be -- more clarity would be given, rather available. And then I think bidding in the coming years, say, '24, '25 would be in these projects only.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, when do we expect -- this is the proceeds from the fourth asset?
Harendra Singh: Likely to be by end of this financial year by March because this is already at the -- in advanced stage with lenders and NHAI. Within next 10, 15 days, we would be likely to -- we will likely get this NOC. And then another 10 -- 30, 45 days for completing entire formalities.
Vaibhav Shah: And the receipts we received for the three assets. So where is the money being used? Because

our debt has reduced around INR127 crores on a quarter-on-quarter basis and cash is flattish.
Harendra Singh: So cash definitely is around INR70-odd crores. You can see that the payments like -- which we like always to receive from our SPV through lenders funding. So which we definitely -- keeping the cash at the company level, we are again looking into this particular arrangement, where we will not be taking the, let's say, loan from the lenders to SPV and SPV in turn to EPC. So the

re is one way we are looking.
Again, we are now looking into some part of this fund to be used for our advanced payment procurement, advanced procurement to -- from the vendor. We are getting around, say, 1.5% cost benefit, where the dispatch response is being there. So there are a few other models which we are exercising where this cash with the company can be used.
And definitely, all OD limits or such -- only the current accounts definitely would not be there. We will not be keeping our fund into this current account. But then OD limits would be all, say, free from utilization -- use.
Vaibhav Shah: So currently, where it is sitting, on the balance sheet?
Harendra Singh: Sorry?
Vaibhav Shah: Currently, where does cash is sitting on the balance sheet, the receipts we got from the monetization.
Harendra Singh: Majorly, which I've seen INR270-odd crores which you are likely to be -- which are kept as a debtor receivable from SPVs. So this we have done intentionally. We have not taken an SPV. So this would be reducing the interest during construction to the SPV.

Moderator: Thank you very much. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: On the railway side, sir, the two different sort of work that we are doing. So relatively, where do we find the margins to be better, that is for station redevelopment or the new line that we are constructing for the Bilaspur?
Harendra Singh: No, Bilaspur is totally different project. Bilaspur project is on wider construction. See, it's in the backwater of dam where this station and some other things are developed. These railway projects are on 50-odd kilometer broad-gauge, new line to be laid off INR700-odd crores, which is central railway project. In South Central Railway projects, INR447 crores that is a second line. The third line being developed as a broad-gauge line. And these are all new lines or the lines which existing, nothing is to be touched.
Vishal Periwal: Okay. No. But then if I look at order book, so the Kanpur work that is there, station development and then there's Bilaspur work that is there. So relatively, where do you find the margins to be better? Like on...
Harendra Singh: Kanpur, definitely, as we have done, we are doing our all -- post -- prepaid to postpaid comparison design -- post design. So we are seeing good margins out there in Kanpur Railway station if we compare with railway project of Bilaspur.
Vishal Periwal: Okay, okay. And then will it be possible to give some number like relatively how much better it is? Any ballpark range you'd like to share?
Harendra Singh: Right now, I'm not having it handy with me.
Moderator: Thank you very much. The next question is from the line of Prateek Bhandari from Aart Ventures. Please go ahead.
Prateek Bhandari: Sir, I wanted to know as to the exact number of order inflow in the Q3 FY '24, the recent quarter. What was the exact amount of order inflow?
Harendra Singh: In Q3, hardly there was any orders being -- only NTPC INR37 crores of new orders. Then there's some variations, some change of scope variation being awarded by the authority. Like in Ganga, we have received variation on INR100 crores, in some of the projects of financial year also they have a variation – that's why the price escalation also has contributed to the top line, INR130-odd crores of price escalation also has been there.
Prateek Bhandari: Okay. So if I talk about nine-month FY24, I mean, like this current year, up until December, what was the order inflow in the nine months?
Harendra Singh: In the nine months, hardly there were order of about INR75 crores, both NTPC small projects, but the variation orders for about INR300 crores being passed by the various authorities, so

that is one. So you can se

e or compare INR12,700 at the start of the year and say, having
INR6,000 -- 9,600 at the end of this year. So the difference is almost INR500 crores...
Prateek Bhandari: What was the major reason for no order inflows in the nine months FY24?
Harendra Singh: As it is all aware, I think, NHAI awarding and highway awarding and other sectors because of the state election also, not much awarding was done.
Prateek Bhandari: Okay. So there's no awarding from the organization, right?
Harendra Singh: Yes.
Moderator: Thank you very much. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, just two new railway projects, when we will be getting the appointed date?
Harendra Singh: One of the railway projects has been received two days back only, 700 one, Dhule project. So which we are checked upon with the authority, said that within, I think, three months likely that order date would be declared because the land is available with them. And the second project ultimately it's the third line to be developed along with the existing line, ROW is available. So very soon, we would also be getting the appointed date. So probably by April, both the projects' appointed date likely to be declared.
Shravan Shah: Okay. So by April -- And sir, if you can again repeat the equity infusion. So INR74 crores, we will be increasing in fourth quarter. And the FY25, we said INR465 crores.
Harendra Singh: Yes, that we have kept INR465 crores, looking into both Jharkhand project requirement and all five projects which are our other six project, where the balance equity requirement would be there. So that -- from 55%, 60% already invested, taking to 75%.
Shravan Shah: Okay. And so total balance requirement is INR730-odd crores until today. INR604 crores, we have invested INR730 crores is to be invested.
Harendra Singh: Correct, correct.
Shravan Shah: Okay. And then the fourth quarter, when we received the entire monetization on the fourth project, the second tranche. So how much gain post tax we will be...
Moderator: Sorry to interrupt Shravan…
Harendra Singh: I think what you are saying that INR140-odd crores, which we would be getting and INR59 crores -- INR60 crores, which is lying in the escrow already being, the effect has already been considered in the balance sheet. So there is one -- both the project transaction to happen. And

look, for sure, I think whatever tax is there as far as the consolidated EPC is there, there is a calculation to be done once the transaction is being done.
Shravan Shah: Okay. And the debt level will further reduce from here on?
Harendra Singh: Yes, definitely. We are keeping that about the debt level would be roughly around, say, INR400 crores from now and better and -- but say, majorly effect would be in the debtors.
Shravan Shah: Okay, okay. So as you mentioned, sir, you have kept the money whatever we have received to fund the SPV so that the interest construction is on the lower side. So SPVs debtors on the higher side, so that's the major reason. But broadly, in terms of the working capital days, it will be back to the normal 30 to 35 days, will come back to the normal level.
Harendra Singh: That's right. Yes.
Moderator: Thank you very much. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: So my first question is on the, as you said, within nine months, you had bidded for almost INR30,507 crores project of which you are able to get INR1,200 crores. Our win ratio was almost 3.5% - 4%. And now we are targeting, there is a INR14,000 crores open pipeline which the bids are yet to open and another INR60,000 crores which we are going to put in the roads and INR6,000 crores within railways for the – probably INR80,000 crores.
It's kind of a bids which will be, which you have bidded like 14,000 plus the new b

ids. So with
this 4%-win ratio, inflows can be anything between INR3,000 crores, INR3,500 crores. So, then as you said, like we are targeting around INR5,000 crores of moving cost. So do you believe that we will be going aggressive within the project?
Harendra Singh: I understand your question. The bid strike ratio normally depends on sector-to-sector. In railway, we are bidding many projects rather than only selected project. And the highway, we usually are taking few selected projects to be bidded. And that's why the bid strike ratio is better in highway projects.
Jiten Rushi: So how much, so basically out of 60...
Harendra Singh: In the past year, we have seen that we were roughly at about 6% to 8%.
Jiten Rushi: 6% to 8% is the ratio in highway? Yes. Railway is low because of our qualification criteria sometimes. And sir, you are not targeting any projects in the water segment? Like...
Harendra Singh: Right now, these are the two state governments which are already now in place, state of Rajasthan where almost INR15,000 crores of order, which could not be awarded by the earlier

government, where now they are looking at this opportunity. But definitely, we are looking into these two-state government, MP, and Rajasthan, and third, UP, where we would be adding

these water sector projects looking for -- but definitely for -- this year we are not keeping anything, because hardly few months are there...
Jiten Rushi: So next year, how much you're expecting from MP and UP in terms of bids for [H.G. Infra there]?
Harendra Singh: Total -- at H.G. level, highway, and all of the projects?
Jiten Rushi: No, no. You said that water segment, earlier you said Rajasthan and some of the...
Harendra Singh: We would be looking at add at least INR500 crores to INR1,000-odd crores of single or two projects.
Jiten Rushi: Renewable, you're newly setting up a solar small park and will be supplying to the -- under KUSUM scheme to the farmers, solar pump. Is that understanding, right?
Harendra Singh: No, no, it's not that. KUSUM Yojana is where the power purchase agreement, the government is taking back the power, and they are being installed near to the grid substation, already in operation, say, with all Bijli board. So nothing of that here, we'll supply to the -- but definitely, government subsidy scheme is there in that. Central government scheme is there. And the power purchase agreement, which a normal -- which is normally, it's about INR2.5 or INR2.6 unit, here it is INR3.5 -- around INR3.5. So there's a good gap in that particular. Margins are good.
Jiten Rushi: And sir last question on the…
Moderator: Sorry to interrupt Jiten. I request you to re-join the queue.
Jiten Rushi: Yes. Thanks.
Moderator: Thank you. The next question is from the line of Abhishek Dixit from Hem Securities. Please go ahead.
Abhishek Dixit: So sir, my question is on the consolidated level, what is the reason for dip and the margins in this quarter?
Harendra Singh: What margin?
Abhishek Dixit: Sir, dip in margin for this quarter, in quarter three FY24?
Harendra Singh: Dip in the margin, in the -- Yes, I already explained. So this is the effect because of these three projects will say, it's to be very specific in Gurgaon-Sohna, there is a negative revised margin being there majorly. Because the entire, say, four HAM projects where this effective 1.55 times of the investment which you have done. In SPV, whatever margins we have built up in

the last two, three years, we have a major effect in Gurgaon-Sohna. Otherwise, they are all same.
Abhishek Dixit: Okay. And sir, for FY24, how much EBITDA margins are we seeing?
Harendra Singh: This current year?
Abhishek Dixit: Yes, sir, for current year.
Harendra Singh: You're talking about number or percentage?
Abhishek Dixit: No si

r, percent.
Harendra Singh: Percent would be roughly around we are doing at 14.9%, roughly in that range only.
Abhishek Dixit: Okay, 15%.
Harendra Singh: Yes.
Abhishek Dixit: Okay, sir. And sir, for a major order book within the road segment. Are we targeting to diversify in more segments?
Harendra Singh: Which sector?
Abhishek Dixit: Sir, our majorly order book is in the road segment. So are we diversifying in more like water, metro projects?
Harendra Singh: Already, we have given the guidance that this year, we are having 18% of the orders, balance orders of railway other than road only. And keeping that in line, in '25, '26, we would be roughly targeting at about 25% to 30% of orders on the other sectors other than highway.
Moderator: Thank you very much. The last question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Sir, just one question. So going forward, what -- so out of your interest cost, let's say, INR20 crores this quarter, what would be the overall split that we should assume between financial charges, which are levied by the banks and the interest cost? So what would be the split that

we should assume in general? And secondly, going forward, given that you have, let's say, around INR400 crores net debt on the balance sheet post the receipt of sale proceeds, then what should be the interest cost on a yearly basis?
Harendra Singh: See, interest costs definitely for this particular quarter as we have seen, there are a few quarters where the bank charges and commissions are a bit high. In this quarter three and quarter four, normally in the past also, we have seen that good trend. But overall, if you see the interest portion in INR22 crores as of this quarter, it is around the interest on OD and it's about INR10 crores to INR11 crores interest by the clients from the client advance.

So BG commission and these bank charges are a bit high, so this is very high about, say, INR6 crores. So, now looking into that the entire trend once we receive this, roughly around INR65-odd crores on a year-on-year basis would be the trend of interest including charges, bank charges, processing fees. BG commission etcetera.
Sarvesh Gupta: Of which around 60% should be the financial cost and remaining would be the charges?
Harendra Singh: Roughly, you can consider that.
Sarvesh Gupta: Understood, sir. And on depreciation, should we -- we are at INR37 crores on a stand-alone basis per quarter. So what should be sort of the going forward rate we should assume?
Harendra Singh: This number is coming around INR140 crores, likely to reduce because the capex what we have done in last year and this current nine months to the very high capex being done. So just kept -- in the coming years, this capex is good enough to take the 15% to 20% year-on-year growth, just INR70 crores, INR75 crores of net, say, capex to be done in the next subsequent two, three years.
So this is going to likely to come down significantly, not in these two, three quarters, but definitely later on.
Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Harendra Singh: I extend my gratitude it to everyone who is contributing their experience and expertise to the discussion. We value our presence on today's call and trust that we have addressed all your queries. Should you have any additional questions, please feel free to contact our Investor Relations adviser, Go India Advisors. Thank you for your active participation once again.
Thank you.
Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you…

Call: May 2024

H.G. Infra Engineering Limited
Q4 & FY 24 Earnings Conference Call Transcript
May 10, 2024

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR – H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to H.G. Infra Engineering Limited Q4 FY '24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.
Sana Kapoor: Thank you, Sejal. Good morning, everybody, and welcome to H.G. Infra Engineering Limited Earnings Call to discuss the Q4 and FY 24 results. We have on the call Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces.
May I now request Mr. Harendra Singh to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Harendra Singh: Thank you, Sana. So welcome, everyone, to Q4 and FY 24 Earnings Conference Call of H.G. Infra Engineering Limited. The financial results and the investor presentation have been made available on the exchange, and I trust you all had the opportunity to review it. Before I proceed with the presenting of the key financial and operational highlights from the previous financial year, I would like to offer a concise overview of the sector and the opportunities it presents for H.G. Infra.
I am pleased to announce that H.G. has delivered exceptional performance in FY 24 across all fronts. We have achieved substantial progress in diversifying our order book by securing 4 non-road projects in this financial year. Additionally, this year marks a significant milestone as we have reinforced our presence in the highway and road sector with two successful new projects in Q4 FY 24. Now only we have expanded our order book, but we have also taken meaningful steps to our diversification in solar power plant projects.
Now I would like to provide some updates on the infrastructure sector. Talking of roads, India's infrastructure sector is booming fueled by a significant funding boost of INR2.78 lakh crores for FY 24, 25, with this INR1.68 lakh crores year mark for NHAI, the focus is on developing national corridor, building upon this momentum, the Vision 2047 aims to construct 30,000 to 35,000 kilometers of highways and 50,000 kilometers of high-speed corridor by 2047.
This ambitious plan emphasis the government's commitment to fostering extensive connectivity and facilitating economic progress across the country, concurrently presenting abundant opportunities. In recent decades, H.G. Infra fortified its position as a formidable

force in the infrastructure sector and has proven its mission over the last many years in the EPC and HAM sector.

As you see the abundant opportunity and is keen to participate in BOT mode with the association of other key players such as highway construction as one, Cube highways. And I have another prominent players like Adani and IRV as EPC player, where we are already being associated with these companies.

Railways and metro, as a part of our long-term strategies of diversifying our order book, we continue to gain considerable ground in the railways and metro segment. The budget has re-embarked INR2.55 lakh crores, focusing on multitracking corridors and station remodeling. A significant portion of this budget is delegated to multitracking 7 high-speed density corridors, facili

tating the expansion of rail networks by 10,959 kilometers over the next decade. Additionally, the Amrit Bharat Station scheme further complements these efforts aiming to remodel 1,309 stations by 2030. Thus, enhancing passenger experience and operational efficiency. The significant momentum observed across various sectors has created ample opportunities.

In alignment with our strategic approach, we have prepared to grab these opportunities with 6 railway projects currently in the order book of five states and is well positioned to capitalize on the government's initiatives and we are all equipped with the required capex, technology and skill human resource for network expansion and efficient development, that is a modernization of existing infrastructure, civil work and dedicated high-speed railway corridors.

Solar and renewable energy being topped on our race, the renewable energy sector is gaining focus with ambitious targets, aiming for 450 gigawatts of installed capacity by 2030, where solar energy constitutes over 60% and then the latest budget INR1,000 crores were allocated for SECI and INR19,500 for a PLI team to enhance solar module manufacturing.

H.G.Infra recognizing this lucrative prospects proactively pursued bids and successfully received solar power projects for development under KUSUM scheme. That is 543 megawatts DC valued at INR1,307 crores, EPC value that is exclusive of GST. The company is also exploring additional opportunities in solar power development, solar projects, including rooftop installations, these projects is a testament to H.G. as a leading EPC company in the infrastructure space.

Important sector, the Jal Shakti Ministry budget has increased to INR98,418 crores for FY '24, '25, up from INR96,549 crores in the previous year, then highlighting ongoing investment in water infra, and in second phase of Namami Gange program, government has approved INR22,500 crores out of INR11,275 crores is allocated for new projects.

H.G. Infra is keen to participate in projects like Namami Gange to clean the backend and rejuvenate the Ganga river, position abetments infrastructure development near the river projects related to water desalination, waste water treatment plants and other water supply projects in rural/urban areas like under JJM schemes. Rainwater harvesting storage under Jal Shakti Abhiyan will be our priority card to contribute with a revenue of around INR50 crores for which we have targeted for this financial year.

Furthermore, we are looking forward for partners with strong background with credentials to cover the technical eligibility for strategic partnerships for breakthrough projects in water sector.

Let me start the journey of this quarter and give you the glimpse of operational highlights first. As I mentioned earlier, our order book has not only grown, but also diversified as of March 31. 2024. It stands at INR12,434 crores that is the EPC contribute 28%, while HAM contribute 40%, railway segment contribute 22% and Solar segment contribute 10%.

Let me now update on the ongoing EPC projects. The Ganga Expressway project has reached a milestone of about approximately 54.3% adhering to the contractual timelines of the contract. Delhi/UER projects stands at around 93.1% completion, and it is anticipated to be completed in this quarter only.

The Neelmangala-Tumkur project could not reach up to our expectation and execution status at around 28% because non-availability of the land for which NHAI is pushing hard and for faster balance and regulation and encroachment free. The progress of various HAM projects is also running as per the planned schedule. The Karnal Ring Road project has achieved 23.9%

completion by [inaudible 0:08:12] is progressing well within the established timelines.
Raipur-Visakhapatnam OD5 project has progressed to 65.9% completion, and we look forward to complete this by quarter 3 of this year. Raipur-Visakhapatnam OD-6 project is currently at about 73.7% and the same would be completed by quarter 2. The Raipur-Visakhapatnam AP-01 package has achieved a completion status to 69.5% and the same will be completed by quarter 2.

In the Khammam-Devarapalle project Package 1, where we have achieved 50% completion, while Package 2 is at 53.7%. Both the projects would be completed by quarter 3 and quarter 4, respectively. The Varanasi-Ranchi-Kolkata Package 13 and 10 is currently in the initial stages of land acquisition and are anticipated to pick up momentum in second and third quarter, respectively.

Turning on to the progress on the railway project. DMRC Metro projects has reached completion of about 50%. Bilaspur-Himachal Pradesh railway project has progressed to 10.3% completion. Though initially, it was delayed due to heavy rains because of the backwater of the dam, it is now progressing well. Kanpur Central Railway Station project has recently commenced with the completion status of 4.12%.

Let me now invite Mr. Rajeev Mishra, CFO of the company to give an overview of the financial highlights of this quarter and overall FY '24.

Rajeev Mishra: Thank you, sir. Last year, ICRA has upgraded our ratings from stable to positive for a long-term, short-term success facilities and entity on account of the financial growth and discipline.

Our credential performance in the last quarter and the entire year has been satisfactory. At the stand-alone level, the total revenue of FY '24 has reached INR5,122 crores, reflecting an impressive 15.9% year-on-year increase from INR4,419 crores in FY '23.

EBITDA accounted to INR822 crores in the current fiscal year, resulting in an EBITDA margin of 16% compared to INR710 crores and 16.1% margin in the corresponding FY '23. PAT for FY '24 stood at INR546 crores with a profit margin of 10.7% compared to INR421 crores and a margin of 9.5% in FY '23.

In Q4 FY '24, stand-alone revenue reached at INR1,635 crores, representing a significant 11.2% year-on-year growth from INR1,417 crores Q4 FY '23. Stand-alone EBITDA for Q4 FY '24 was INR265 crores reflecting our year-on-year growth of 11.3% PAT and PAT margin for FY -- Q4 FY '24 stood at INR160 crores and 9.8%, respectively, compared to INR148 crores and 10% in the same period of the previous fiscal year.

Regarding the company's debt position on a stand-alone basis, the gross debt amounts to INR451 crores, including working capital debt of INR69 crores, term loans current maturity and the trade limits totaling to INR334 crores and NCD of INR48 crores.

Moving on to the consolidated numbers. For FY '24 revenue reached to INR5,378 crores, growing at 16.4% year-on-year increase from INR4,622 crores in FY '23. EBITDA reached INR1,062 crores with an EBITDA margin of 19.7% compared to INR895 crores and 19.4% margin in FY '23. PAT for FY '24 stood at INR539 crores with a profit margin of 10% compared to INR493 crores and 10.7% margin in FY '23.

In Q4 FY '24, the consol revenue reached to INR1,708 crores, making a significant 11.3% year-on-year increase from INR1,535 crores in FY '23. Consolidated EBITDA for Q4 FY '24 stood at INR333 crores, reflecting a year-on-year growth of 12%. PAT and PAT margin for Q4 FY '24 amounted to INR190 crores and 11.1%, respectively, compared to INR131 crores and 11.1% in the corresponding period of the previous financial year. In the context of the company's debt position at the consol level, the gross debt amounted to INR1,500 crores approximately.

The total equity requirement of 10 HAM projects is about INR1,461 crores out of which we have infused INR694 crores in this financial year and INR545 crores is estimated to be infused in FY '25.

Let me give the glimpse of the status of the monetization of 4 HAM projects. First tranche on the 3 projects which we ha

ve sold in the last year, [inaudible 13:09] 3 SPV is Gurgaon Sohna,
Rewari Ateli, and Ateli Narnaul. They have been completed on 21st of March -- 21st November 2023, with 100% SPV shares transferred from H.G. Infra to Highway Infrastructure Trust. We have received INR315 crores as of now, and INR60 crores will be released on the receipt of approval from NHAI for GST changed in law claim. It is expected to be received by June 2024.

The second trench, as far as the updates on the monetization of the fourth project, Rewari Bypass part is concerned, we have received NOC from NHAI and lenders for the change in the shareholding in March '24. Compliance on the conditions precedent as per the SPV is in the process and expected to be completed by mid-2024, and the transition is expected to be

completed by June 2024. Around INR130 crores is expected to be received from Rewari Bypass SPV.

For other significant updates of FY '24, I would now request MD sir to take over and share the developments with the forum. Thank you, sir.

Harendra Singh: Thank you, Rajeev. Let me now share other significant updates for FY '24. So initially, we have projected to get around INR8,000 crores of new projects during FY '23, '24. However, due to the all-time low awarding by NHAI, we ended this year or addition at INR4,350 crores, that is exclusive of GST.

In Q4 FY '24, the company effectively secured three new orders in the railway sector in EPC mode, that is Dhule to Nardana railway project in the state of Maharashtra that is on Central Railway worth INR716.11 crores. Aurangabad, Karanjgaon railway station project in Maharashtra, that is inclusive of electrification and signaling work from South Central railways valued at INR447.11 crores. Gaya-Son Nagar railway station project that is a DFCC project in the State of Bihar awarded by East Central Railway for construction of double-lane track, including earth work, blanketing and electrification work that is valued of INR709.11 crores. These all projects are inclusive of GST.

The 2 new projects of Highway were awarded. Chennai-Tirupati Package 2 in the state of Andhra Pradesh for construction of exist controlled highway of 4 lane [inaudible 15:27] that is having the EPC value INR760 crores, and the Kalimandir-Dimna Chowk of EPC mode in the State of Jharkhand say near to Jamshedpur that is INR610.11 crores.

Universal solar and renewable energy, we are happy to share forum, the company has entered in the solar segment and have been recently awarded solar power project development work at the KUSUM-C for 543 megawatts DC of INR1,307 crores EPC value, which is excluding of GST.

The company has secured contracts on Jodhpur Vidhyut Vitran Nigam Limited on the KUSUM-C Yojana collaborating with Stockwell Solar Services Private Limited in JV consortium, Together, we will work on the solar power plants together in totaling 538-megawatt DC that is worth INR2,300 crores. The work involves procurement, erection, installation commissioning of the plant over -- within a period of 12 months from the date of BPA and then maintaining them for 25 years.

These projects will be executed through project SPVs. In addition to that, H.G. Infra has also won 2 small solar projects of 12 megawatts worth INR62 crores. The total equity requirement in the solar project is estimated to INR540 crores, out of which we would infuse INR270 crores in FY '24, '25 and balance in '25, '26.

Let me touch base on the future guidance before I conclude this speech. This year is very vital for us in terms of our physical progress in our running projects as we are for heading for the completion of our -- nearing completions for many of our solar projects like UER, Khammam-Devarapalle Package 1 and 2, Raipur-Visakhapatnam Package Odisha 5 and 6 and AP-1 and even Ganga project. With that certainly we will have to add new projects fo

r which we have to

work on the order inflow to the tune of INR11,0000 crores -- INR12,000 crores in road, railway, solar and water to sustain and scale our business to create value for the shareholders and ensure healthy order book.

So we are geared for the next growth phase of the company, and we believe that we will achieve 15% to 20% growth in the top line in this coming years and maintain steady margin in the range of 15% to 16%. We have all the ingredients to achieve the milestone with all senior leadership in place, skill manpower strategies to move on digital transformation with automation capex, things and team to explore diversity in business.

These strategic moves are poised to contribute significant value to our financial indicators, fostering a seamless and transparent real-time working environment and will truly help us to augmenting our operational efficiency and cost optimization factor will positively impact on our bottom line. We can assure all our internal and external stakeholders that we are committed to solidify our success footprint in the financial year.

With that, I conclude the date of FY '24 and open the floor for questions and answers. Thank

you.
Moderator: Thank you very much. We will now begin the question-and-answer session.The first question is from the line of Dipen Shah, who is an Individual Investor.
Dipen Shah : Congratulations to the management on a good set of numbers. Sir, I had a couple of questions on the new area of operations which we are entering. Firstly, on the solar segment, we have got three contracts worth about INR1,300 crores. So just wanted to understand like in terms of our capabilities. Sorry, am I audible?
Harendra Singh: Yes, yes, please continue.
Dipen Shah : Yes. So just wanted to understand in terms of capabilities, how are these projects different as compared to what we have been doing? And how have we built up the capacities for installation of these projects? The second thing is that since this is a private party, but it is under the KUSUM scheme, so how confident or how comfortable are we about the receivables from this project? So, this is first set and I have one other set for the new business, which is Namami Ganges.
Harendra Singh: Your question remains that this is not a private party contract. This is a price discount, which is the discount, they have awarded -- the consortium has received the project, which we have splitted into 2 parts, that they would be doing 35% of the total project value. And balance 65% of INR1,300 crores would be done by HG. So, this is one contingency to it.
The second part is in EPC, the projects do have 85% procurement. That is all related to module and structure and say, electrical works, where the poles and transmission line being laid, so the only 15% of the work which remains civil is the area of bidding level and the even ramping. So this is what we've done during '12, '13 when we searched for line pole earlier, it's not that difficult. It's a very renewable kind of a project. So it's only procurement part. So we do have a

-- already has carved out our initial stage EPC team within the company. So that already is in process and we would be doing within the company itself.
Dipen Shah : Okay. And sir, since about 85% of the project is procurement, would margins be similar to what we have currently in EPC contracts? Or would there be lower than the existing margins, sir?
Harendra Singh: No, no. So we have kept both the provisions. So since the projects are having, say, the tariff which every INR3.27, INR3.27 is the average tariff you'll be getting. So we have maintained the EPC margin guidance at about 15-plus in these as far as EPC cost is concerned as well as equity around 14%, 15%.
Dipen Shah : Okay. Sir, and the project of INR1,300 crores

includes the maintenance also. This is only the EPC part?
Harendra Singh: Purely EPC project.
Dipen Shah : Purely EPC. Okay. And sir, on the Namami Ganges front, there have been talks in the market previously about the projects not getting completed on time and there being receivable problems. Any take on there, sir, are things moving out quite a bit now and you do not see...
Harendra Singh: No, no. It's initial discussion, which we are doing with one of the army where they already have involved all the -- they have completed two of the Prugato projects. So we are looking into this sector. There's probably JGM or water sector projects are all there, water desalination plants and water treatment plants. So only a initial points which our business during the speech.
Dipen Shah : Okay. And sir, lastly, just one question. We have given a guidance of about 15% to 20% growth, which should be about around the INR6,000 crores, INR6,500 crores, of which how much visibility have we have in terms of existing projects which are continuing? And how much are we dependent on new projects starting during the year, sir?
Harendra Singh: The dependency on the new project for this current fiscal year that we already have considered INR700 crores to be added for the new -- for the new projects. That is from railways. Otherwise, all the projects which we are already having -- they're all under execution. They will be contributing significantly in this particular number.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Yes. And just trying to understand both on order inflow and the revenue part. So when we have a rate INR11,000 crores to INR12,000 crores kind of order inflow versus last and we have said or INR10,000 crores. So first, in terms of the breakup from which shortly particularly HAM,EPC, solar ,water , railway -- how much we are looking at this INR11,000 crores to INR12,000 crores. And also, given the kind of competition will be there, particularly infrastructure was muted. So will it not be coming at a lower margin?

Rajeev Mishra: For the guidance for the coming year, which is around INR11,000 crores, which we believe that because of the last year ordering, which is an all-time low for NHAI because this time, they would be definitely post the elections, they would be awarding there having strong bidding pipeline. So that I believe from HAM opportunity, EPC opportunity in Highway. Even the MSRDC project, which could not be awarded during the last year, they are all having around INR90,000 crores plus of orders, they are going to award -- sorry, INR60,000 crores plus orders. So this is likely one of the opportunity which we will be looking at.
Another -- apart from this, we are already has in the discussion because NHAI is looking at BOT for around INR2 lakh crores of orders to be awarded in BOT front. So in this particular already being contracted by government as we have discussed during my opening remarks that we are only in the close connections with these companies that we would be doing it their EPC part.
And just how -- for Highway opportunity, we are looking around INR8,000-odd crores of orders to be added and around our balance from water where we already have been discussing that we would start looking into this sector as a prominent sector and say, just a small part of the solar as well as definitely INR2,000 crores plus from railways.
Shravan Shah: Okay. So INR2,000 crores is for railway and solar and water would be INR1,000 crores combined put together that we are looking at this year?
Rajeev Mishra: Correct.
Shravan Shah: Okay. And second, in terms of the -- I mean back to on the revenue again. So 50% could INR6,000 crores plus kind of a number for this year. So similar run rate we're looking at for FY '26 also?
Rajeev Mishra: Yes, of course, because the order wh

ich is around INR12,500 if we usually are looking at what we did last year around 16% year-on-year. So we again looking at this number. They would have been even better if the appointed date of Jharkhand package 10 and 13 would have been declared. But definitely, it has been delayed because of various reasons. But now we are very clear that we will be touching around, say, around 17% to 18% year-on-year for this year and which will continue for subsequent years as well.
Shravan Shah: Okay. Okay. Great hear then. And then in this, what was INR10,000 crores plus bookings there. So from that, we are looking at the major revenue and only INR700 crores revenue we are in looking at in FY '25?
Rajeev Mishra: Just to clarify, INR700 crores of the new railway projects, that is where the land is available. And INR500 crores we are considered from solar for this year and say, the projects of Jharkhand, [inaudible 0:27:33] and 13 opportunity would be declared in this year only. And again, we are talking of the Jamshedpur and Tirupati project, where it's only a matter of only financial closure in one of the projects because the land is almost 90% less available in both of these projects. So this gives us immense confidence that we would be touching around INR6,000 crores this year.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC. Please go ahead.
Parikshit Kandpal: Congratulations on a good quarter. So my first question is on the solar EPC. So can you help us understand a little bit more on how the supply chain tied up for this? What are the price escalation clauses are the prices pass through for the modules and you are investing almost INR520 crores. So high equity, so high at 40%. And how do you exit?
Harendra Singh: See, first part is looking into the supply chain issue as we have already -- we have suggested stood that that about 50% of the project EPCs are module, which we already have built to prominent supplier that is around at a rock bottom price, which is around -- but as of now, it has never been around INR13 per megawatt. That is the one move, which we already has taken.
The second part is the other electrical ancillary or transformer, inverters and other things. There are a regular pattern. We do not expect any price escalation because we has taken the provision of price escalation. Just a 3 years trend, 5 years trend, which we have seen, apart from the solar module, these are all the products which are all stable.
So the one part and the second part, which is very important is equity and the monetization. So we are looking into this part where the equity definitely is around INR500-plus crores, which is we can -- we may be able to monetize the project if the equity are this as much, and we already has seen that -- few project has been monetized once they have been completed. But even if you retain the project for another 2, 3 years once we could have a cluster of the

portfolio were it would have monetized at the later stage, we will do that.
Parikshit Kandpal: But sir, what is the time line for execution and completion of this project and also out of the INR1,307 crores, what is your share of order book in this the part you will be...
Harendra Singh: No. Our share of order book -- this is 65-35 ratio. 35% stock has been taken out of the total order value. So 1300 is the order which we would be doing in this particular financial year as well as next financial year. This is 18 months contract project the [0:30:35 LOI] which we received in the month of March. So right from 1st May, they have already given the clearance for the land and every other thing. So it has been started 18 months from now it will be a tough year on sometimes December '25 like it they would be completed.
Parikshit Kandpal: Second question is on the railway. So now you've added new orders in the railway segment,

when all the – and some of the peers are exiting railways have cut down their exposure given the milestone-based payment issues and working capital issues, rights of way issues. So how do you read this while taking these orders? Do you think these will be profitable and they're not pulled down the overall blended margins for the company?
Harendra Singh: In railway projects earlier, whatever railway projects was being offered, they were very small projects and I think within just last three years the assumption EPC project has been started in the railway projects. Now they are also working on the same model as the NHAI worked almost 15 years back.

So now they are figuring it out very clearly that the decision has to be given and the land if it is available. So there are two major factors. One is the decision and I have seen this is a significant change in that even the schedule of milestone where the payment should be made even it is better than NHAI. And NHAI also looking into say change in their say payment schedule where they already has given last two three years when Atmanirbhar.
Now they are following the same model that cash flow is very important. So it was last many years that definitely the railway struggle was there, but we have seen a significant change and I think for INR2 lakh crores of projects there to be say executed plus and it's not only railway electrification or signaling and transmission. They are all civil and it's a DFCC or even high-density corridor where the construction of wireless plan, there are even each station. They all require this key change, which I believe they already have initiated.
Parikshit Kandpal: But what will be the difference in the net working capital days here versus the road segment. So I think you are at about 30, 31 or 35 days of NWC. Do you think that will see a deterioration in the mix revenues from railways go up?
Harendra Singh: No, I think as we have experience in metro, definitely the working capital cycle has definitely skewed very high, no doubt. But in railway, we have seen like we are working in the railway projects of Bilaspur, we are getting very timely payment. Every month we are getting in Kanpur also, whatever we build, we usually are getting the payment. So not much of our contract asset or unbilled is being created over there. But definitely some portion is there. But again as we have seen as we have there is not much of the stock is to be built up in these kind of a project where in highway it is very much required, So there are mix of it, but in any case we are getting monthly payment where almost schedule G and schedule H are very exhaustive.
Parikshit Kandpal: Okay. Just the last question on the BOT opportunity. So you will play through subcontracting or you're also directly also bid for some of the BOT toll projects?
Harendra Singh: As of now we are not at all interested in BOT toll. We are already that's like Adani we are working this is the second project we are working with IRB. We have worked on four projects. And this NHAI they have approach us [0:33:46 inaudible]. So we look forward to this opportunity, working as an EPC contract support to these companies.
Moderator: The next question is from the line of Jiten Rushi from Axis Capital.
Jiten Rushi: Congratulations on good set of numbers. Sir, first request is given on the HAM projects breakup between equity and debt and the grant ratio because if it's not a bit...
Harendra Singh: Can you be a bit louder, your voice is not very much, audible.
Jiten Rushi: Yes. Sir, the first request is if you can share the HAM projects breakup, which you usually share in the presentation in terms of equity at grant and which would be really helpful I think this is not part of our presentation this time.

Harendra Singh: You are talk

ing of HAM equity requirement?
Jiten Rushi: Yes. HAM breakup of equity, debt and...
Harendra Singh: There is INR1451 crores which is the total requirement equity requirement 694 already has been infused. So balance equity in broad is INR767 crores, out of which we are assuming that, the year '25 we would be doing that INR505 crores, '26 INR131 crores and followed INR131 crores in '27. So this is for road…
Jiten Rushi: So, you said 504 in '25?
Harendra Singh: '25 is 505.
Jiten Rushi: 505. '26, how much sir?
Harendra Singh: 131 and balance 131 in '27.
Rajeev Mishra: In '24, we will reduce INR694 crores.
Harendra Singh: Till '24, we have already done 694.
Jiten Rushi: 694. But if you can give the breakup in excel because you used to giving presentation. So that is fine.
Harendra Singh: I think it is a long list of around 10 projects. We definitely would be providing that.
Jiten Rushi: And sir, coming back to the question on solar, I'm just harping on it. So if I understand correctly, this is a 65-35 JV. And sir, the project is for 543 megawatts, which is also will be done in 65-35 JV, right, sir?
Harendra Singh: Yes.
Jiten Rushi: And sir, on the tariff, you said 3.72. And sir, what will be the total project cost? I'm not talking about the EPC cost. What would be the total project cost on which you are calculating equity IRR of 14%?
Harendra Singh: It's not 14% equity were the GST has also been considered it's around INR2,300 crores.
Jiten Rushi: Exclude so when you are doing concluding the IRR, you are including the GST, right, sir?
Harendra Singh: Yes, of course.
Jiten Rushi: So this INR2,300 crores is your share or it's a total project?
Harendra Singh: The total project, INR2,340-odd crores, which we have considered...
Jiten Rushi: Sorry sir, can you please repeat, I couldn't get you, sir.

Harendra Singh: Say, if the total project value is INR2,340 crores, they are talking of the total project value. So we put together for us...
Jiten Rushi: Which is including GST?
Harendra Singh: Yes.
Jiten Rushi: So this -- your share will be 65% and you will be investing INR540 crores, including -- you should be including GST, right, sir?
Harendra Singh: Yes.
Jiten Rushi: Okay, and sir what will be the PLF? It is mentioned 19% so you are targeting anything higher or you will be maintaining the same PLF?
Harendra Singh: No, no, PLA is a central assistance...
Jiten Rushi: PLF.
Harendra Singh: It is not PLI. So basically we are getting average around INR27 lakh per megawatt in these projects as assistance. So there is a subsidy being provided to us while we are commissioning these projects, during the commissioning.
Jiten Rushi: This subsidy will come to the parent, sir?
Harendra Singh: Yes of course. As a developer we are doing two arrangements one is the tariff which we will be getting from the discount on a monthly basis and the second is this is the while we are doing this project as being commissioned, we will be getting this particular, it is roughly -- this varies from project to project but is it roughly around INR27 lakh per megawatt.
Moderator: The next question is from the line of Anupam Gupta from IIFL Securities.
Anupam Gupta: Yes. So just continuing on the solar project. So here, you said you have tied up the procurement. But what are the clauses? Is the escalation of whatever happens? Is it to your account? Or are you able to pass it on to the...?
Harendra Singh: No. Not at all. See in these projects the escalation is to our account only. We have already have considered but definitely -- fortunately we are getting this project being estimated from -- whatever estimate which you have done and the procurement prices are much lower. It's all time low.
Anupam Gupta: Okay. Understand. And in terms of -- so you said there is an O&M of 15 years. So once constructed, you will be to maintained that...?
Harend

ra Singh: 25 years.
Anupam Gupta: Okay. And the overall project life is also 25 years, so the 3.27 per unit, which you said you will get it for 25 years.

Harendra Singh: Correct.
Anupam Gupta: Okay. And the subsidy, sir, which you mentioned INR27 lakh per megawatt, is it coming to the SPV or is it coming to HG Infra during construction?
Harendra Singh: No, it is coming to SPV, but definitely, we have considered certain portion to be passed on to EPC.
Anupam Gupta: Okay. Understand. And the second question is on the margins front. So you have obviously diversified into railways, solar and you're talking about going into water also. So far, the contribution has been very small in terms of revenues. But incrementally, as you go to FY '25, '26, obviously, the share will go up. So what sort of margin trajectory should one expect? Should we go down, let's say, slightly to close at about 15%, 14%? Or you'll be able to maintain these levels?
Harendra Singh: So as of now, which we have seen as far as past experience of the project, which you already have, having the hand and furthermore, we do likely that we, for the year and all, we doesn't see much of a dip from this. Say 15% is the lower side which we have considered.
Anupam Gupta: Okay understand. And you said in terms of monetization, just coming back to solar again just in terms of monetization you plan to monetize this or what is the -- how do you look at it once the project is completed?
Harendra Singh: No. See there are many other projects which they already have been, but because this is solar do not have a long story which we had seen that there are a number of projects available in the market they are being monetized. But definitely, yes, now onwards there are not many parts to these projects being commissioned.
And it's the total interest of the funds where the equity error being maintained and this is a very less O&M cost say just we have seen the INR4 lakh to INR5 lakh per annum per megawatt is the O&M cost. It's not like -- totally not like roads where in roads or are other projects which you have done O&M is a big risk. Here, it's not a risk. So we would be able to do that.
Anupam Gupta: Understand sir. That’s all from my side. Thank you.
Moderator: Thank you. Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Congratulations on a very good set of numbers. My first question again on this solar sir. In this particular sector we are taking -- we are taking a DISCOM risk. Based on this unrelated sector, are you thinking of scaling this business up or is this is a one-off?
Harendra Singh: Definitely, the entry into this sector is just it's a strategic kind of decision being taken where looking into the HAM, shrinkage of HAM projects in NHAI where the margins are not that big now. And even the NHAI is coming into many projects that are on a BOT mode.
So with that we have taken that and we would be looking into this diversity where it's not only for restricting whether solar power, rooftop solutions, industrial where definitely the margins

at both the level EPC as well as equity IRR should be maintained that we already have guided that initially also.
So but looking into the backend into any module manufacturing also cannot be ruled out in that case.
Mohit Kumar: Understood. You're looking at a larger play in the solar. Is that right understanding?
Harendra Singh: Yes.
Mohit Kumar: Understood, sir. My second question is on the pipeline for the NHAI. How confident you are that in this year the NHAI will be [inaudible 42:34] more HAM and more BOT asset. You did mention 2 trillion, INR2 lakh crores, but I think of the pipeline as it stand today is around INR30,000 crores which is still not getting finalized?
Harendra Singh: Yo

u are sure that initially I think they are talking for BOT pipeline of around INR2 lakh crores, but initially I believe that they are prepared with only INR50,000-odd crores of project on BOT. But for sure, there are many HAM projects in the bidding pipeline. EPC definitely are not a big number in our project. But as the cabinet approved this Bharatmala which has been now scrapped almost it's a new document which is going to be approved where entire 2047 and 2035 I think there are two milestones which there 20,000-odd kilometers as a Greenfield projects also to be developed.
So I think it's not that they are all dried up, but it may take some more months, few more months this year. But they are -- and we are also very much hopeful that we are awarding around 6,000-odd kilometers during the year and beyond whichever mode.

Mohit Kumar: This includes an HAM and BOT 6,000 kilometers. Is that right?
Harendra Singh: Yes. So roughly, it comes to the INR1.5 lakh crores.
Mohit Kumar: Okay. And how do you think about this Maharashtra tender? Do you think this will get finalized in the next couple of months or it will take its own sweet time?
Harendra Singh: No, I think it got delayed because of the election only and now very much clear. That's already [44:07 inaudible] one branch they already have received second branch also that has been received. With that, I think I believe within a month or so, it would be all opened and the opportunity for all it is all available, I think.
Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.
Ketan Jain: I have two questions. The first question is on the interest level, sir, what type of -- what interest rate are you seeing at the project level for a HAM project and for a solar project?
Harendra Singh: It's almost similar for solar, HAM or highway HAMs. We are having around 8.6%. This is a recent they we have done. 8.7% which we have recently has concluded [Jharkhand package 10- and 13 45:00].

Ketan Jain: Okay. Sir, my next question is on solar EPC margins. Like what kind of EBITDA margins are you looking at solar EPC because peers like Tata Power and SW report only around 5% to 7% of EBITDA margins?
Harendra Singh: So we have already has there are two things. One is that we have discussed is some financial assistance being passed on per megawatt, that's around 5% to 6%. Loan is around 5% to 6% so if INR4 crores per megawatt is the development cost, EPC cost which we are assuming. So out of that is INR20 lakh is over 5%. That is one part. And about 5%, we are also expecting around 8% to 10% in the execution wherever the supply chain and everything, procurement in the margin which we have seen that this is a decent one which we will be doing that.
Ketan Jain: Okay. And also, are you going to take turnkey like with modules contracts or without modules?
Harendra Singh: These are all with module only. These are the contracts which is to be done as a turnkey basis where entire commissioning is being done and I think we need to sell the power to this call. So this is the ultimate aim for development of these – this is the captive project.
Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi. Please go ahead.
Prem Khurana: Thank you for taking my question and congratulations on set of numbers. Sir, my first question was with respect to our intent to get into water segment. I mean I think you spoke about getting into diesel and water treatment as well. So how do we intend to take care of the qualification requirements?
I mean, would you have somewhat similar sort of arrangement that you have for let's say solar wherein you went with a local player or the idea of kind of, let's say, build your own capabilities there which could take you a little time to be able to have everything in place and then..

.
Harendra Singh: So we are working on both the options. One is I think one small company which have this PQ available where they are doing this business for the last few years. One part which we already are discussion at advanced stage is one. And second is strategic partnership through consortium and to looking into this opportunity because we have seen in last year because the Rajasthan state itself 15,000 crores of water to be awarded say because of the water board of Rajasthan state later on now central elections are there.
So this I believe that in every state JJM plus other opportunities even they have opportunity the water desalination plant, water treatment plant, sewage water treatment plant. Water is a big sector is going to be a big sector in coming years.
Prem Khurana: And then the solar, so if -- and on the pace of it looks at it, I mean, the return profile is somewhat inferior to hybrids because when I look at what you paid for INR2,300crores, we are supposed to infuse almost INR540-odd crores which is 20% sort of number? And then when compare it with the hybrids generally you tend to invest 15% of total project bid cost? And the

margins are somewhat similar when you're saying 15%, 16% what you'd be able to have even in terms of project equity IRR again, it's somewhat similar.
So here the equity requirement appears to be on a higher side. So does it mean on an overall

basis, is it somewhat inferior or you believe good numbers?
Harendra Singh: What is the total model about this is the entire portfolio of let's say 528 megawatts. In that equity commitment which is per se what we have discussed with our consortium partner, that we are entering into this where the PQ and everything is available with them that the entire equity is being done where the return on equity is around 15% is the rest assured as while arriving at the EPC cost.
So this is one part. And EPC of 35% will be done by the partner Stockwell and 65% were H.G. Infra. So this is an association which we definitely will be building our team because they already are into this particular sector. So what is important is that we are looking into not improve equity IRR at say, for 528 megawatts to be developed that is available. And just again our own portion of EPC.
Moderator: Thank you. The next question is from the line of Shubham Shelar from IDBI Capital. Please go ahead.
Shubham Shelar: Yes. One is in terms of equity investment INR405 crores in FY '25, does this include the solar or it's the only HAM?
Harendra Singh: Yes, INR505 crores is road HAM project.
Shubham Shelar: Okay. So including solar I mean number that you can share?
Harendra Singh: INR75 crores which is expected to be infused during FY '25.
Shubham Shelar: Okay. And a similar number for '26 could be how much, sir?
Harendra Singh: No. '26 is with these projects in hand just INR400 crores is including solar of INR270 crores and INR131 crores on roads.
Shubham Shelar: Okay. And this INR1,300 crores EPC for the solar, does this also include O&M for the 25 years or it's on the EPC?
Harendra Singh: No. So purely EPC cost to be booked within the next 1.5 years. So that's the maximum. And I was talking about O&M cost. These are not a very big cost that SPV they would be doing and SPV going to get the revenue from the power beams -- being sold out discord.
Shubham Shelar: One last question. I think one of the subsidiary for the solar work that we have made, it is named at green hydrogen power. So anything more to be read like a...
Harendra Singh: We are looking into some hybrid because nowadays, going further, it was a wind hybrid as the other hybrid model to be there, where the green hydrogen is also a hybrid model, where if you

are producing power from solar in one area and let's say, definitely swapp

ing it out with a
hydrogen being produced elsewhere.
Shubham Shelar: Okay. So maybe like going ahead, there could be certain plans, which is parallel to moving...
Harendra Singh: Registered with the government of Rajasthan even. So there is one part of it because you need to get registered.
Shubham Shelar: Okay fine. That's all from my side.
Moderator: Thank you. The next question is from the line of Harsh Mulchandani from KRIIS PMS. Please go ahead.
Harsh Mulchandani: Thank you for the opportunity. Wanted to understand that we've even incorporated a subsidiary for hydrogen. So what exactly in the space of hydrogen we would be looking at? If you could just help us understand?
Harendra Singh: So it's a very initial stage because we need to get ourself registered in this hydrogen space in every state do have their obligation where we need to register ourselves first. So this is one part of getting registered. Post that, there any opportunity likely to come from state or central schemes that we are keeping ourselves open for that.
Harsh Mulchandani: Okay. Got it. And in case of solar, we would -- so after this project, say we have enough competence. So we would be bidding for new projects individually or we would again look for JV mode itself for even future projects?
Harendra Singh: Till the time we execute this project, let's say, within the year down the line. We may have the PQ in-house PQ, we do not require such arrangements where the partnership will be done. But by the time, if we require any project where decent margins, everything is available, we will definitely would be doing in partnership.
Harsh Mulchandani: Fair enough. Thank you.
Moderator: Thank you. The next question is from the line of Yash Dedhia from Maximal Capital. Please go ahead.
Yash Dedhia: Thanks for the opportunity and congratulations on a good set of numbers. Sir, I just wanted to know firstly about the solar EPC. So solar EPC, our share is INR1,300 crores?
Harendra Singh: Yes.
Yash Dedhia: And that came from project value of INR23 crores. And what is our share from INR23 crores because 65% is our share, then it would be around INR1,500 crores?

Harendra Singh: That INR2,340 crores inclusive of GST. This INR1,300 crores is 55%, excluding GST.
Yash Dedhia: 55%. Okay. It's not 65%, 55%. That's what I say.

Harendra Singh: It's 65%. 6-5., excluding GST.
Yash Dedhia: Okay. And sir, our margin guidance is 16% for the coming year for this FY '25? This is EBITDA margin guidance?
Harendra Singh: EBITDA, yes, 15% to 16% range.
Yash Dedhia: So our current EBITDA for, say, FY '24 was around 19%.
Harendra Singh: EBITDA remains at 16%, 16.2% for the year. For the consolidated, you are talking about the consol level? We are talking about standalone.
Yash Dedhia: Yes. And the consolidated margin will be around?
Harendra Singh: It's not say -- it's roughly around 2% plus over the margin which we usually make in EPC.
Yash Dedhia: So it would be around 18%?
Harendra Singh: Yes.
Yash Dedhia: Okay. And I just wanted to know about the recent project ends, which we had. So the amount of contract for which we bought -- which we bid for -- and the estimated cost from the authorities were not matching. I mean the estimated cost was higher than our bid costs.
Harendra Singh: They all are inclusive of -- in railway projects, they are inclusive of GST. So we have taken out GST out of that because the order value is coming excluding GST. There is one part where the correction has been done. And the one project of highway is which was on HAM. So this is around 85% or 86%, which is the EPC value to H.G. Infra has been considered while calculating this total order receipt.
Moderator: Thank you. The next question is from the line of Prateek Bhandari from AART Ventures. Please go ahead.
Prateek Bhandari: Hello?
Moderator: Yes sir, you are audible.
Prateek Bhandar

i: Yes, thanks for the opportunity. I wanted to understand about the order inflow of this particular quarter, that is Q4. What was the quantum of it?
Harendra Singh: So mostly, the orders which we receive is on Q4 only.
Pratik Bhandari: Okay. So what was quantum of it?
Harendra Singh: It's around INR2,240 crores, which we received in Q4 three railway, two highway and solar projects. And just the INR100 crores which we added in Q3, there was NTPC transportation, where we are already engaged in doing some projects of NHAI with the transportation being done by us from NTPC power project.

Pratik Bhandari: And during the year, we received the order inflow amounting to INR4,350 crores, right?
Rajeev Mishra: Yes.
Pratik Bhandari: Okay. And also wanted to get a sense of your capex plans for the coming FY'25?
Rajeev Mishra: That is not a big number. It's around INR100 crores. And we are also looking at sort of phasing out of some of the equipment, around INR25-odd crores would be sold out.
Pratik Bhandari: Okay. And what would be the execution timeline for...
Moderator: Sorry to interrupt you, sir. May I request you to please rejoin the queue for your follow-up question. The next question is from the line of Dhvij Patel from Finterest Capital.
Dhvij Patel: Am I audible?
Moderator: Yes, sir, you are.
Dhvij Patel: Yes. So just wanted to understand, we have a very diversified order book as of now. And so we have completed most of them we are near to completion for some of them as well. I want to understand the process of payment. So at what stage do we see these projects contributing to our top line or bottom and so on.
Harendra Singh: Sorry? I couldn't get your question.
Dhvij Patel: So I wanted to understand the process of payment for these order books as and when these orders are completed, how do we see the money flowing?
Harendra Singh: In all the projects, we are getting monthly payments, which is a milestone achievement.
Dhvij Patel: All right. And another question which I had was, so we've seen some slight drop in EBITDA margins. So should that be a point of concern? Or are we expecting the margins to stabilize from here on?
Harendra Singh: I think there is no dip in the margin as of now. It's almost all 15.7% to 16% range during the

last 4 quarters or even more than that.
Moderator: Thank you. The next question is from the line of Kaval from Sumer Wealth. Please go ahead.
Mr. Kaval, can you please unmute your line from your end? Due to no response from the
current participant, we will move on to the next participant. The next question is from the line
of Uttam Kumar Srimal from Axis Securities Limited.
Uttam Kumar Srimal: Yes. Good afternoon, sir. Thanks for the opportunity. I just wanted to know the entire equity
requirement for HAM as well as for a solar project. This will be made our internal accrual or
what?
Harendra Singh: Sir, entire equity requirement over a period of three years is all manageable for the internal
approval. And definitely, just to add to it, around INR200-odd crores, which we will be

receiving during the year quarters tentatively is also going to help us infusing the further equity
requirement where the monetization also already been concluded.
Uttam Kumar Srimal: Okay. And sir, date table even in the same level or there will be some increase debt during the
year to execute these projects and all?
Harendra Singh: Sorry?
Uttam Kumar Srimal: Debt level.
Harendra Singh: No, debt level definitely is a mix of all equity and debt. But the debt level which is now.
Uttam Kumar Srimal: No, I'm asking, sir, the current debt, this will increase further or this will remain at the same
level?
Harendra Singh: No, debt at standalone remains almost similar level. It's around INR450 crores. It is not likely
to increase much in any

case, it would be around INR400 crores, INR500 crores range. But at
the SPV level in that as a console is reduced level. Whenever we are doing any projects, we
have the captive say, that's been done. So these are the captive projects or assets being built
which definitely that would be increased.
Uttam Kumar Srimal: okay that's all from my side and all the best
Moderator: The next question is from the line of Tushar Raghatate from Kamayakya Wealth Management
Private Limited. Please go ahead.
Tushar Raghatate: Yes. Good afternoon, sir. Thank you for the opportunity. So happy to see the diversification in
the company. Just wanted to understand for the next two to three years, how do you see the
order book panning out like for the railway, for the water EPC, how do you see that?
Harendra Singh: See, last two years, we were already discussing about that around 25% of the order book
should be beyond roads. And as this year around we are having about mix of solar and railway
and road where it's a very low contribution of road as of now, but definitely as move ahead in
last two, three years, next two, three years, we expect that we would be in the range of about
60% from roads and 40% from -- other than roads that can be water, it can be railway or even
solar.
Tushar Raghatate: Sir, in the water treatment, are you targeting the municipal or the industrial water treatment?
Harendra Singh: It's not an industrial water treatment. It's a very basic water treatment or sewage treatment
plant where the government is offering such plants. They are being offered nowadays, there
are many state governments, which are now coming with on a HAM mode even with the
central government assistance. JJM already the projects which are only EPC mode. It's not on a
HAM mode, there the water distribution schemes are being -- there are yet many schemes
which are in the state of a Rajasthan, MPL and other states even the micro lift irrigation, not
many projects, which likely would be awarded.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi, sir, I need a couple of data points, retention money, unbilled revenue and mobilization
advance as of March.
Harendra Singh: So as on March, mobilization advance, which has been decreased by INR74 crores if you
compare to the last year number. You can take an absolute number if you want.
Shravan Shah: What's the absolute number all these returns on unbilled mobilization advance?
Harendra Singh: You just noted out the mobilization advance is INR285 crores. The debtor -- total debt,
including retention is INR917 crores.[inaudible 62:54]
Shravan Shah: INR917 crores. [inaudible 63:01]So what's the retention money. So it was INR115 crores as on
December.
Harendra Singh: That has been -- there has been a significant drop in that particular because we already have

submitted the bank guarantee in the -- to early projects wherever the retention has was recovered so that has been released. So retention of not the SD and MD is very low. Earlier it was very high now at INR38 crores out of INR917 crores, INR38 crores is this one.
Shravan Shah: Okay. And unbilled revenue?
Harendra Singh: Sorry.
Shravan Shah: INR38 crores is the retention money and our unbilled revenue is how much?
Harendra Singh: To be very clear, it's not at INR38 crores, it's INR88 crores. Out of INR917 crores, INR88 is retention and the other holds and balance is better resemble.
Shravan Shah: And unbilled revenue, sir?
Harendra Singh: Unbilled is around, say, INR900 crores plus, because in the recent past, unbilled in SPV didn't have a build in these projects So SPV unbilled is about INR300 crores plus [inaudible 64:10] and some variable variation being approved. So this would be, I think, a big decrease in this particular quarter as well as subsequent quarters.
Moderator: The nex

t question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Yes, thanks once again for taking my question. Sir, I want to understand when can we get a point and date for packaged 10 and 13? And the Chennai Tirupati and elevated corridors, Kali Mandir sir?
Harendra Singh: The EPC of this Jamshedpur project, which is INR610 crores. tentatively by the end of June, maximum, by end of June, we'll be getting the appointment date. 90% plus land is available there. And this Tirupati again, say more than 90% land is available. But as we would be enjoying taking the benefit of the financial clodder timeline, that we definitely tentatively would be around September and we're likely to take the content for that project.

And by September and lease, we are expecting to package the start package 13 the available land, but as of now is around 62% in package to the last one by November or December, we would be taking to apatite of that package.
Jiten Rushi: So in 13, you're about 62% land. And in 10, how much percent of land is available?
Harendra Singh: It's around 30 something because it's a forest clearances which is yet awaited.
Jiten Rushi: Forest clearance is waiting. Okay. And sir, one more question on the stake sale, so you said that we have received INR360 crores -- INR315 crores and INR60 crores is pending from the NHAI for approval. And sir, there was INR117 crores also, which was an unsecured loan, which we had given to the SPV in the interim for this transaction. We will receive this back also, right, sir INR16.7 crores?
Harendra Singh: Already 3 of the packages. It's all clean wherever secured loan goes meantime being, say, added, but we have revision during the annuity payment in all 3 packages. And I think Rewari Bypass hardly any big amount it's around INR135-odd crores, which would be Rewari Bypass and GST payment also, there are INR50 crores plus INR10 crores, where certain GST percentage certain approval is yet awaited NHAI. So put together it would be under INR200 crores.
Jiten Rushi: So basically, Rewari Bypass was INR140 crores, but it is now INR135 crores, and there is a GST of INR10 crores and NHAI payment of INR60 crores which is pending. So almost like broadly INR200 crores, INR205 crores, just trying to understand.
Harendra Singh: [inaudible 66:50] it remains the same.
Jiten Rushi: Okay. So and that is -- and sir, you also said that in the water segment, we are looking for some acquisitions. So if at all, you go for an acquisition in [route, H.G. Infrahat 67:04] what kind of capital investments that you're targeting in such company?
Harendra Singh: The prequalification is available. If the discussion is on whether it's very premise. We are not looking at the big investment to acquire any company.
Jiten Rushi: Okay. And sir, last question, in solar project, you are investing 35% as equity and 65% is debt, because your share is INR1,500 crores includes GST in terms of the SPV level and you're investing almost INR540 crores. So basically, you're getting this grant, which is supporting your higher equity portion, right sir?
Harendra Singh: Projects do have both the portion. One is a grant which you are getting, which is a significant number of 5% to 6% of the total, say, EPC cost on 4 megawatt, INR4 crores per megawatt. And that is one part of it. And second is the tariffs, which we are getting. The normal trend of tariff is around 2.5 across we have seen in solar. Now have the tariff is about 3.7, average tariff is 3.27.
Jiten Rushi: 3.27. Okay, sir. That's it from my side. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Raj Katir who is an individual investor. Please go ahead.
Raj Katir: Hello, sir . In the last five years, we have grown at a phenomenal rat

e of 35%. So what is the vision for the next five years in terms of revenue, profit and any new line of areas of business that we plan to get into?
Harendra Singh: So what we already has discussed, we are around working in 3 sectors, a road in any case, that would be the prime focus. But going further, we would be maintaining to just sustain and scale upon the platform, which we have created. This is how the company is looking at next five years to grow at around 15-odd percent year-on-year and meeting the margins not believe much very much less, and that is the margin guidance.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Harendra Singh: So thanks all. We appreciate everyone joining us today on the call and hope that we have addressed all your questions. If you have any further queries, please do not hesitate to reach out to us or our IR advisers Go India Advisors. Thank you, again for your participation. Good day.
Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

“H.G. Infra Engineering Limited
Q1 FY ‘25 Earnings Conference Call”

August 07, 2024

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING
DIRECTOR – H.G.INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER –
H.G. INFRA ENGINEERING LIMITED
MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to H.G. Infra Engineering Limited Q1 FY ‘25 Earnings Conference Call hosted by Go India Advisors.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma’am.
Sana Kapoor: Thank you, Shlok. Good morning, everybody, and welcome to H.G. Infra Engineering Limited Earnings Call to discuss the Q1, FY ‘25 Results.
We have on the call Mr. Harendra Singh – Chairman and Managing Director, and Mr. Rajeev Mishra – Chief Financial Officer.
We must remind you that the discussion on today’s call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces.
May I now request Mr. Harendra Singh to take us through the company’s business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Harendra Singh: Thank you, Sana. Good morning, everyone. I am pleased to welcome you all to the Q1 FY ‘25 earnings call of H.G. Infra Engineering Limited. Our Financial Results and the Investor Presentation have been uploaded on the exchange and I hope you have had the chance to review them.
I am delighted to share that H.G. Infra has demonstrated strong financial and operational performance in the first quarter of FY ‘25. We have strengthened our position in the highway sector and done tremendous progress in railways and a decent progress in the solar sector during Quarter 1 of FY ‘25. Our commitment to operational efficiency and strong execution has resulted in impressive performance across all key metrics including revenue and margins.
Last year we ventured into the solar segment as a part of our strategy to diversify our order book. Our expertise now spans roads and highways, railways, metro and solar energy. Our focus on expanding and diversifying order book is well on track.
Now I would like to provide some updates on the infrastructure sector. Regarding roads and highways, the recent Union Budget has made a substantial allocation of Rs. 111 lakh crore to the roads and highways sector, underscoring the government’s focus in road development.

Additionally, the Vision 2047 outlines plan to construct 30,000 to 35,000 kilometers of highways and 50,000 kilometers of high-speed corridors those are the Greenfield.
For the year '24-'25, the Ministry of Road Transport has been allocated Rs. 2.78 lakh crores with Rs. 1.68 lakh crores earmarked to the National Highway Authority of India to develop national corridors.
The government plans to expedite new project awards including reviving the built operator transfer that is a BOT model for 54 projects valued at over Rs 2.2 lakh crores.
Recently, the Ministry of Road Transport announced plans to award road contracts worth Rs. 3 lakh crores within the next three months with the target of reaching Rs. 5 lakh crores by the year-end.
We believe that post-election, there will be significant positive momentum in infrastructure projects awarding. As a result, we anticipate abundant opportunities to galvanize on the expected order inflows.
Talking of railways and metros, the Union Budget of '24-'25 assigned a record allocation of Rs. 2.55 lakh crores for multi-tracking corridors, station remodeling, replacement of old tracks, electrification and signaling system and other than that, construction of flyovers and underpasses, highlighting a strong co

mmitment to railway infrastructure and connectivity. Over
the next decade, the budget aims to expand railway networks by 10,959 kilometers with a total allocation of Rs. 13.67 trillion for railway projects from this FY '20 to FY '25.
India's solar power sector is a key component of its renewable energy strategy. With installed capacity expanding 30-fold over the last nine years to 82.63 Gigawatts as of April '24, this growth is supported by major government initiatives including the target of 500 Gigawatt of renewable energy by 2030 with the solar energy playing a major role. The National Solar Mission and the Production Linked Incentive schemes have been very crucial in this expansion.
The Union Budget of '24-'25 allocated Rs 10,000 crores for the solar power grid.
Additionally, the green hydrogen sector is also poised for significant growth. This is with the target of 5 million metric tons annually by 2030 and then investment of Rs. 8 trillion crores, that is approximately $100 billion.
Let me start the journey of this quarter and give you the glimpse of operational highlights first.
As of June 30, 2024, our order book stands at Rs. 15,642 crores, marking a significant 34% increase from Q1 FY '24.
Over the years, our order book has been diversified beyond roads and highways. For the Q1 FY '25, the order book from different segments stands at roads and highways stood at Rs 11,452

crores, railway and metro Rs 2,498 crores and solar Rs. 1,691 crores. Our order book comprises 28% from HAM and 78% from EPC.
Let me now provide an update on our ongoing EPC projects. The Ganga Expressway project is approximately 67.5% complete, adhering to the contract timelines. The Delhi/UER project is around 98.1% completed and anticipated to complete it within this quarter only. The Nelamangala-Tumkur project is at 23.9% completion only due to the land availability issues.
We are working with NHAI to work on the faster regulation and coachman clearances.
Simultaneously, we are also in discussion with NHAI for settlement agreement of the pre-closure of the project due to non-availability of land.
Let me brief you on the progress on the HAM project. The Karnal Ring Road project has achieved 38% completion, Raipur-Visakhapatnam OD5 and OD6 are at about 72% and 79.4% respectively. The Raipur-Visakhapatnam AP-01 project is 74.4% complete. Khammam-Devarapalle project Package 1 is 59.7% and Package 2 is 56%.
So, in all these 5 projects of OD-5, 6, AP-01 and Khammam-Devarapalle KD-1 and 2, we are expecting to complete them within the Quarter 3 and Quarter 4 of this year.
Now turning to the progress of railway project, the DMRC Metro project is 55.8% complete.
The Bilaspur Himachal Pradesh railway project is 29.3% completed and progressing well after initial delays caused by heavy rains. The Kanpur Railway Station project is 8.1% complete as there has been some clearance of land and utilities in the initial stage which are now settling down. The Dhule-Nardana Railway project is progressing well, and we have completed 1.9% and that too in Karanjaon project 2.5% and Gaya-Son Nagar project 2.1% where we have received the appointed date with effect from 22nd of June 2024.
Now let us focus on the solar project. The last quarter, H.G. Infra capitalizing on the promising opportunity in the solar sector, actively pursued and secured solar power projects under the

KUSUM-C scheme.
Recently we have entered into MoU with Ultravibrant Solar Energy Private Limited for take over and development of 116-Megawatt DC of KUSUM solar projects. At present, all the projects are totaling 700-Megawatt DC and valued at Rs. 1,763 crore. That is the EPC value excluding of GST. They are all progressing as planned. Execution is currently at about 4% and progressing smoothly according to the planned timelines.
The total equity requirement for the sola

r project is estimated at Rs. 692 crores. Out of this just
1.3 crore has been infused till June 30th, 2024. Rs. 350 crore is estimated to be infused in FY '24-'25 and balance will be in '25-'26.
Let me now share other significant updates for Q1 FY '25:

I am pleased to announce that in Quarter 1 FY '25, H.G. Infra has been awarded two new projects by MSRDC. That is the first project of construction of access control expressway of NC Nagpur-Chandrapur Package-4 that is the EPC value of Rs. 1,991 crore.
And the second project is just about by side of this project is construction of access control NC-05 that is Nagpur-Chandrapur Package 5 valued at Rs. 2,151 crore. In July 24 we secured new two-lane HAM project worth 763.11 crore. That is near to Ayodhya which is 84 Kosi Parikrama Marg.
Now I will provide an overview of the Financial Highlight of Q1 FY '25:
The Standalone Financials for Q1 FY '25, the revenue from operation reached to 1,506 crores, an 18.4% increase from Rs. 1,271 crores on Q1 FY '24.
EBITDA was 243 crores with a margin of 16.16% in Q1 FY '25 as compared to Rs. 205 crore and a 16.11% margin in Q1 FY '24. PAT stood at Rs. 140 crores in Q1 FY '25 with a profit margin of 9.27% compared to Rs. 118 crores and a percentage of 9.3% margin in Q1 FY '24.
On a standalone basis, our gross debt totals Rs 622 crores. This includes working capital debt of Rs. 280 crores, term loan and current maturities and TReDS limits amounting to Rs 309 crores along with the NCD of Rs. 32 crores.
Moving on to the consolidated financials for Q1 FY '25:
Our revenue from operation was Rs 1,528 crores reflecting a 13.1% increase from Rs 1,351 crores in Q1 FY '24. EBITDA reached at Rs. 312 crores with a margin of 20.44% compared to Rs. 281 crores and a margin of 20.78% in Q1 FY '24. PAT was Rs. 163 crores in Q1 FY '25 with a margin of 10.6% compared to Rs. 150 crores and a margin of 11.13% in Q1 FY '24.
On a consolidated basis, our gross debt is approximately Rs. 2,015 crores. The total equity requirement for 10 HAM project is Rs. 1,461 crores. As of June, '24, Rs. 728 crores has already been infused with a projected infusion of 425 crores in the remaining 9 months of FY '25 and balance will be infused in FY '26 and 27.
Regarding the monetization of 4 HAM assets, the first tranche of 3 projects like Gurgaon Sohna, Rewari Ateli, and Ateli Narnaul was completed on 21st November '23 with 100% SPV shares transferred to Highway Infrastructure Trust. We have received Rs. 315 crores and Rs. 60 crores will be released on receipt of approval on GST change in law from NHAI which is expected to be received by September '24.
For the fourth HAM project that is Rewari Bypass, NOC was received from NHAI and lenders in March '24. The compliance with SPV conditions is in progress and expected to complete by

October '24. There is around Rs. 130 odd crores expected to be received from Rewari Bypass proceeds where we have invested equity of Rs. 75.7 crores.
Let me touch base on the future guidance before I conclude this speech:
This year is a pivotal for us as we continue to drive forward with our key projects. We are nearing completion on several significant projects including UER, Khammam-Devarapalle Project packages KD1 and KD2, Raipur-Visakhapatnam packages of OD-5 and 6, OD-5 and 6 and AP-1 in Andhra Pradesh and even in Ganga Project. We are also focusing on optimizing the execution of newly awarded projects making sure to adhere to the stipulated timelines.
We are committed for an order inflow of Rs. 11,000 crores to Rs. 12,000 crores in FY '25 with a revenue growth of 17% to 18% and a margin of 15% to 16%, out of which we have already secured Rs. 4,142 crores of highway EPC from MSRDC, Rs. 763 crores of highway HAM that is from MoRTH in state of UP and Rs. 4

09 crores of solar projects.
We are also actively pursuing opportunity in new segment and focused on the operational

efficiency, prudent capital allocation and strategic selection of projects that would ensure margin sustainability and enhance our shareholders' values.

As we are moving to FY '25, H.G. Infra aims to further increase its order book share from non-road projects while continuing to strengthen its position in the Roads and Highways sector maintaining this year's execution of about Rs. 6,000 crores and with a margin of 1516%.

That concludes my remarks. I would like to ask the operator to open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: So, I have just one question. So, in terms of your solar power, solar business, so can you just like run us through on the equity IRR once again, how much you are targeting?

Harendra Singh: All such projects do have that we have built our SPV margin at about 15% equity IRR and EPC margin at about 18%.

Sabri Hazarika: So, the SPV level also you are like separately also around 15% equity IRR you are expecting, right?

Harendra Singh: Right.

Sabri Hazarika: And this is based on the overall 25 years DCF, whatever you have done. It's like at a project level DCF which you have done and that way you have derived at it, right? So, in itself, I think

the SPV business will also be, I mean, it is not just the EPC business where the main driver would be independently also the SPV business will be like 15% plus equity IRR. Is that right?

Harendra Singh: Sure. I think this is of both ways. In EPC as well as SPV level, we are having handsome margins. And also, we are not considered yet any CFA, which is around Rs. 24 lakh to Rs. 25 lakh roughly in all such projects per megawatt, which will add a value of about 4% to 5% at SPV as well as EPC.

Sabri Hazarika: And 3.28, I think that is the blended realization we should assume, or this has gone up given that we have won some new orders. The realization of the solar power, it is like 3.25 what you have guided in the last call. That's what we should assume, or it could be like higher than that.

Harendra Singh: It remains the same. That is the same.

Sabri Hazarika: That's the same.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, first, I just wanted to understand the changes that we are likely to making the memorandum of association particularly on the solar and venturing into the international business. So, I wanted to understand in the perspective that what right now we are doing in solar, what extra are we planning to do in solar, and also the renewable? And also, in terms of the entire value chain of hydrogen, what are we planning to do to venture into that and also in international, where we are looking at only the solar or renewable, or even the pure EPC projects also, we are in?

Harendra Singh: As far as international market or doing anything out of India, as of now, there is no chance of doing such thing. And then hydrogen, it's a very basic stage. We have just registered our company for any opportunity looking into the hydrogen space of solar renewables or renewables. In solar EPC and solar IPP, we have recently what we have received as a KUSUM-C, we are now looking into the larger portfolio averaging out into the weighted portfolio of solar path, where the infrastructure development would be done by us, aggregating the land and we would be offering such projects to the companies where they really want that infrastructure readiness and connectivity is available. So, this is one part.

And then KUSUM-C, which we already have secured alm

ost 700 Megawatt projects. So, we are not very aggressive on taking on further projects in this. But then we want to see further into captive or group captive kind of a project, not big, 50 to 100 Megawatts. It can be installed wherever we are planning our solar power. So, this is all together. We want to see that averaging our rooftop also is somewhere we want to explore. But then we want to go into a very gradual manner, not very aggressive here, but very abruptly.

Shravan Shah: Now coming to the couple of data points, which I needed. So, on the balance sheet front, on the equity, in terms of the yearly wages that we need to put in hand, so on the balance sheet front, inventory, trade receivable, payable, mobilization advance, retention money, unbilled revenue as on June.

Harendra Singh: The inventory is plus by Rs 124 crores, now at Rs 421 crores and the contract asset that is the unbilled and the debtor, now the debtor is including retention and miscellaneous deposit is

around Rs1,051 crores, that is plus by Rs 134 crores. Because of the SPV debtors has gone high, we have not taken much of funding from SPV in that manner.
Contract assets a bit higher at Rs. 1,130 crores, that is the unbilled, and investment of equity and this is marginally increased to Rs. 748 crores. And there are other assets increase of Rs. 75 crores because of some advances to the vendors related to solar and others.
As far as the equity is concerned, we are at say in equity for HAM, Rs 733 crores is balance equity to be infused and for '25, we are expecting to add Rs. 425 crores, '27, 177 and 131 in '27, '26 and '27 it is 131. For solar, it is 692, although that 690 whatever is balance 350 would be in 9 months and 340 balance would be in subsequent say '25-'26.
So, put together this year requirement would be 775. Out of this, in '25-'26, we do expect if there is a total of 518, that we do expect that the equity of stock well component of Rs. 125 odd crore would be coming back in that year only and then the total of 5 HAM assets which we are looking that they would be complete, we would be completing this year only. So, there is Rs. 757 crores of equity, 556 already has been infused.
Shravan Shah: And in terms of the monetizing further HAM and plus also in terms of the solar is there any plan?
Harendra Singh: Yes, definitely, all these 5 HAM projects we are at a very decent stage of discussion where say 2, 3 funds and parties they already have expression of interest has been shared and we are looking at by October, November we would be sharing them the first part data and by November or December once we expect any one or two EPCs and then by March definitely all the projects will be completed by that time with few exceptions of 5% to 10% in one or two project which we left out. So, definitely we are looking into monetization of all these 5 HAM projects.
Shravan Shah: Yes, it was continuing to the numbers only. Just clarifying the number what the sir said. I didn't get the exact number of unbilled revenue, mobilization advance and trade payable.
Harendra Singh: Mobilization advance, it's lower by Rs. 130 odd crore because we have seen that the mobilization advance rate of interest is quite high and that's why we are now looking into further debt, higher debt where the rate of interest is quite low or just 1.5% difference is there. The unbilled also has given that it's you are talking of trade receivables or trade payables.

Shravan Shah: No, total unbilled revenue in terms of the trade receivable and then the trade payable.
Harendra Singh: Rs. 700 crores of unbilled and trade receivables is Rs. 1,051 crores including retention.
Shravan Shah: 1,051, okay.
Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: My first question would be on the guidance side, last quarter you had given a guidance of revenue growth of 11% to 12% and order book of Rs 11,000 crores. Do we still maintain the guidance or given how our order book has performed this quarter, would you like to revise the guidance, increase it in some way?
Harendra Singh: As far as order info is concerned, we are well on track, 11,000 to 12,000, which we are maintaining the same. Almost Rs. 50 crore to Rs. 300 odd crore already has been added till first quarter and till July rather. As far as the execution is concerned, we are very much hopeful that we would be doing it in the range of 18% to 20% year-on-year.
Nidhi Shah: I meant the order book. Would you like to increase the guidance for the order book given how the order booking has been better than expected this quarter and Q1?
Harendra Singh: I couldn't get your question very clearly.
Nidhi Shah: Are you looking at order inflow of maybe more than the guided amount? Is the guidance conservative given how well we have done in order booking this quarter?
Harendra Singh: Sure, we are hopeful because in NHAI and Ministry, they are looking at say, because the last 1.5 year plus nothing much has happened as far as the awarding front is concerned. So, we are quite hopeful that we would be adding more and more orders from highway front for sure.
Nidhi Shah: Again, on the guidance, one last thing would be what is your CapEx guidance for the whole year and what have you already spent in Q1?
Harendra Singh: Even hardly something has been added, it is only Rs. 15 odd crore which has been added in Q1. But not much during the entire year, we are expecting that Rs. 75 odd crores would be the total number.
Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.
Deepesh Agarwal: With the recent Vibrant Ultra order, our portfolio in solar will become 644 Megawatt. Is that understanding correct?

Harendra Singh: Ultravibrant, yes, what you want to know about it?
Deepesh Agarwal: So, my question is with the receipt of the recent order from Ultravibrant, our solar portfolio will increase to some 644 Megawatt, is that understanding correct?
Harendra Singh: Yes, we have included this number. We have already included. Now this 700 Megawatts including this 116 Megawatt of DC from the Ultravibrant.
Deepesh Agarwal: And sir, what is the time of PLI we can expect in this given this would be closer to that, I guess, Jodhpur belt? So, it should be higher PLI?
Harendra Singh: PLI, basically it's a CFA where the Central Financial Assistance is there. It is roughly around, I believe, Rs. 24 lakh per Megawatt.
Deepesh Agarwal: My question is with respect to PLI. Basically, what is the utilization we can expect? Would it be 27%-26% or would it be lower?
Harendra Singh: No, see the CFA, minimum is 19%, but in any case we have seen wherever the power plants are established like Bikaner and Jodhpur, they are maintaining about 23% to 27%. So, whatever we will be doing, billing extra, we will be getting more invoicing and revenue at the SPV level.
Deepesh Agarwal: And I want to understand incrementally, would there be similar projects with such margin profiles because the kind of margin profiles which you are guiding and the IRR which you are guiding seems to be very rare in solar projects? So, would there be similar such projects for us in the future?
Harendra Singh: Sure, I think this is an exceptional margin which we have also seen, but definitely may or may not as an opportunity in any of the solar is now the same as we have seen that the government focus is to look into 2030, this much of Gigawatt production is to be done. So, we believe that the companies like NTPC, Coal India and other PSUs, they are coming for the more and more solar

installations and when they are coming, they would definitely look into any of the EPC player with a larger player which we can do EPC for them, even the land availability and such thing. But in a later future, we can have more clarity on how the margins would be even say at that stage or marginally lower than this. But definitely not update factoring would be done.
Deepesh Agarwal: Those projects generally come with 6%, 7% percent kind of a margin, the NTPC kind of a project you said. So, would we, as a company, be open to take solar projects, which would be sub-10% margin?
Harendra Singh: For EPC, definitely as we are doing so in highway or railway, for all EPC projects, we are looking at projects with 11% to 12% and with HAM projects a bit higher means 18% range. So, that is averaging out about 15% to 16%. So, we believe that with solar also, we have recently seen few numbers where the margins are around 12% in NTPC and Coal India.

Deepesh Agarwal: And lastly, would we also look at module manufacturing? Would we also look at module manufacturing, solar module?
Harendra Singh: No, not at all.
Deepesh Agarwal: Not at all, okay.
Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Sir, you said in the opening remarks that you are looking for a solar park which where you will procure land either to ownership or lease it and you will develop a park of 50 to 100 Megawatt for C&I customers. So, have you identified any park to develop this project and what kind of capital commitment we are looking for such projects in the future?
Harendra Singh: The solar park basically we have seen the recent past that the land aggregating being done. So, the government is looking when the agreement is being given to many big players, so if we are here and we can just consolidate and aggregate the lands with the connectivity with a good amount of infrastructure. So, this gives us a recent amount that whenever we are offering such projects, so we have seen that number, but as of now we are not marked anything. But we are working on it. Our team is working on it. We look forward that for any power 500 odd Megawatt it can be done at our stage and being offered 400 to 550 odd Megawatt to the people who are looking at this kind of an opportunity and working as a EPC for them as well.
Jiten Rushi: This would be like a merchant plant where you will be selling on a merchant basis, right?
Harendra Singh: Almost it's a mix kind of arrangement doing EPC or even merchant arrangement, then we are investing some amount of say Rs. 40 crores, Rs. 50 odd crores and getting even within the shortest period while taking out that giving the opportunity then, okay, plus Rs. 100 crore. This is how we are looking into it.
Jiten Rushi: So, you said that in the existing solar EPC project, you will be making 12% EBITDA margin because of the CFA which you will be passing 100% will be passing us from the SPV to the EPC contract, so that is the parent, and so you will be making 12% EBITDA margin. Is my understanding correct?
Harendra Singh: For the project which we are right now executing, it is 18%.

Jiten Rushi: 18%.
Harendra Singh: Looking in to the future opportunities where the awarding may be from any public sector like Coal India or NTPC, which we would look forward to get any of such opportunity at about 12%.

Jiten Rushi: Sir, this seems to be very high because we haven't seen such high EPC margin in solar segment for any other like-to-like players. So, what is driving such high EPC margin that what differentiating H.G. is doing except for the CFA which we are upstreaming, what other differentiating we are doing versus the peers who are making sub-10% margin?
Harendra Singh: I believe, I think that

the project where the geography is there, where the land availability is quite easy, we are not paying much in land acquisition means it will not for the rental agreement, lease and rental of those land as well as also the connectivity of such where the transmission line is very short means just 1 to 2 kilometer. So, these are the few factors which we are gauging where they are adding value to the EPC as well as good value to the CV.
Jiten Rushi: If you are able to win such KUSUM scheme projects, you should be making 18% EBITDA margin going forward?
Harendra Singh: Going forward if we want to see that this is a good number which we will be doing and this is a time which we want that during the year and next year, so this is within say almost 40 months we need to complete all such projects. So, first, we will be focusing on the completion of such project and later on if we want to see because there is a 8,000 odd megawatt is yet to be ordered in KUSUM-C only, but we don't want to see because the post 31st of March, there is some stringent condition where the DCR, non-DCR has been imposed. We don't see that there is a much of opportunity which would be available with the same margins.
Jiten Rushi: You have won the project before March. Yes, this is last question.
Harendra Singh: These are the projects which we received before March. So, there is a basic difference. If you see any margins of about 6% -7% is the lowered post March. Well, it's the obligation of usage of the non-DCR not allowed. It is only DCR now.
Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.
Vaibhav Shah: Sir, for the MoRTH's HAM that we have won in UP, what would be the equity requirement for that project?
Harendra Singh: Roughly, would be in a range of Rs. 95 crore,-Rs. 100 crore.
Vaibhav Shah: Sir, we saw that we have agreed for around 15% discount to the MoRTH cost estimate. So, are we confident on making those margins? Why was the bidding so aggressive?
Harendra Singh: No, we have seen that the estimate of them because of the adjourning project which we lost, we were L2. The discount was 32%. It was very high. It was 15% which we are having good margins in the range of 17%-18%, which we have factored while bidding.

Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi Shares and Stock Brokers. Please go ahead.
Prem Khurana: In our presentation, what I see is the two MSRDC projects have been taken into account now. So, have we received letter of awards for both these? Because I think the perception was that these bids are being renegotiated. It will take some time. So, if you would clarify if the renegotiations have been or the conversation has already taken place and the LoAs are already in place?
Harendra Singh: See, the negotiation already has been done and post that negotiation, whatever process the government follows for their approval as well as the minimum land of 70%, which is required for issuance of LoA. This is one reason and whenever I think 70% land tentatively by August 10th or September 1st week is likely to be there and then we will be issuing of the LoAs.
Prem Khurana: And the construction essentially would start after September, right? Because by then only you will be able to have LoAs in place and the land.
Harendra Singh: Sometime after the election or December even.
Prem Khurana: And sir, I think in your opening remarks you spoke about the government's intent to kind of give out Rs. 3 lakh crore of orders over the next three months and Rs. 5 lakh crore. I mean, is this number realistic? I mean, historically, we have never seen them give out these many projects in any given year and do we have those many tenders in the market today or it is just an aspirational number? And would you be able to co

mment on the mix? I mean, how would the mix be in between, let's say, EPC, hybrid or BOT tolls here?

Harendra Singh: Definitely what you are saying this number are quite aggressive as we have seen in the past that nothing much has happened in the ordering front. But the orders pipeline where the DPRs or Bharatmala-I projects, Phase-I and Phase-II projects, they were all almost has been prepared. It's only warranted approval or appraisal which is to be done. And as I believe, but not that Rs. 3 lakh crore, but I believe for 100 days the target they have kept a good number to be awarded. A mix of HAM and BOT, but then again, EPC, they are very less number of EPC. As we have seen last week only, some cabinet approval has been given for, say, there were seven projects in which three or four are BOT and three are HAM. Two are HAM and one is EPC.
Prem Khurana: And if you could share your thoughts on the debt number for us? This quarter I am assuming this has gone up because we would have extended some support to hybrid.
Harendra Singh: Every Quarter 1 we see, we have seen in the past also, that because of government at Quarter 4 almost target to spend and utilize their budget. But in Quarter 1, it's a bit delayed and again, as we have seen that because of the working capital have gone a bit high, but it will be all stable and streamlined. And for sure I think we will see a debt increase as the replacement of mobilization advance where the mobilization advance earlier we were having about Rs. 350 odd

crore. Now it is just Rs. 200 odd crore and even less than that. So, this is almost a shift of mobilization advance with all interest varying to debt with all interest gained with a lower rate.
Prem Khurana: And by the year-end, where do you see this number either, let's say, gross debt of Rs. 620 odd crore or net debt of 500 by FY '25 and where should we expect this number with all the transition that you spoke about in terms of mobilization?
Harendra Singh: You see any more mobilization advance or in this particular, it would be a kind of a mobilization advance being replaced with the term loan, where the recovery of the term loan would be based on the mobilization advance recovery as we progress our any project. So, typically, it would be around Rs. 500 crore to Rs. 600 crore, if you see, and if not more than 500. If we are replacing the mobilization advance, it will be even more to see the mobilization advance in the form of term loans.
Prem Khurana: And sir, I think for one of the projects that you said, there is some land acquisition issue on the EPC side. I think it is Neelmangala-Thumkur that you spoke about. I missed your comment.
Harendra Singh: There are two phases of the project were there. First phase was 18 months, and second phase is 18 months. So, first phase almost has been passed and we have not seen any significant completion into that. And once that is completed, only then the main carriage way as the Phase-II would be taken up. So, in that case, we are struck, and we are working with NHAI how either this project is to be totally scrapped or terminated or in the other case, it can be some settlement agreement, like they would be looking at some execution of settlement agreement.
Prem Khurana: As I say, either it will be de-scoped to the extent they have done or if the land comes to me, I would still be willing to go ahead with the project, right?
Harendra Singh: Right.
Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead. The current participant seems to have disconnected. The next question is from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.
Uttam Kumar Srimal: Sir, you mentioned for the order inflow, Rs11,000 to 12,000 crore in FY '25, so can you, sir, quantify how much we will receive from highways

, railways, and solar in the order inflow?
Harendra Singh: We are looking at definitely adding orders from railways as well, but we have seen the significant number being added in highways. And our focus primarily and majorly would be in highways only, and that too in HAM only, and EPC, of course, if we are having good margins. So, we would be maintaining at about 60% to 65% orders coming in from highways only. And other than highway, it is railway of about 20-odd percent if we are looking into some EPC projects of railways. Other than that, we are looking into further opportunity of water and a bit of solar.

Uttam Kumar Srimal: And sir, in terms of bidding pipeline, can you quantify how much is from HAM, EPC, solar, and railways?
Harendra Singh: Roughly, as the bidding pipeline is railway, definitely all are EPC. And wherever we have already embedded, there are 10-odd projects or about around of 8,000 crore where the results are yet to declare. But then again, apart from HAM, we are seeing that 60% of the projects coming from any MoRTH or NHAI are all on HAM model only. EPC are very lower, about 10% to 15%. And remaining we have seen that the BOT, they are all available because three or four projects have recently been approved. And there are few many projects which are all on the BOT mode only.

Uttam Kumar Srimal: So, you are also planning to bid for BOT projects on your own or with any partnership?
Harendra Singh: We are not interested to bid for any BOT project, but we are, as earlier also, we are doing work for the private clients. We would be looking to partner ourselves, associate ourselves as a EPC partner to such companies, if at all the margins and it works out well.
Moderator: Thank you. The next question is from the line of Pramod Dangi from Unifi Investment Management. Please go ahead.
Pramod Dangi: Just one clarification. Between the standalone number and the consolidated number, the difference is the HAM revenue or anything else is also going into the consolidated.
Harendra Singh: No, in standalone and the consol, there is the only difference is whatever SPV margins which are there at all SPV levels, they are added into the revenue as in the bottom line.
Pramod Dangi: And most of the SPVs are actually for the HAM projects, right?
Harendra Singh: Most of them are from the HAM projects only and recently, we have a few many SPVs for solar as well.
Pramod Dangi: So, the standalone number is purely the EPC number and the SPV number will come on the consolidation. That's the clarification I wanted.
Moderator: Thank you. The next question is from the line of Franklin Morris from Equentis Wealth Advisory. Please go ahead.
Franklin Morris: So, we have seen diversification into various segments in the last maybe three, four years. What I wanted to ask is any other segment that we are exploring which may come up in the next one-year or so?
Harendra Singh: Yes, we are exploring water to be very precise. We are looking into water not only to JJM. We are looking into some treatment plants. We would be looking into some kind of a HAM projects,

which are likely to come in water as well, like in the Namami Gange and rest of the other treatment plants like water treatment plants.
Franklin Morris: And what could be our equity requirement in case of the HAM projects?
Harendra Singh: That remains almost the same. It is 15% of the equity, 15% not maximum if you consider including GST, it is 17, 18%.
Moderator: Thank you. The next question is from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.
Niteen Dharmawat: Sir, my first question is regarding this monetization of HAM. You mentioned that the fourth project is expected by October 2024 wherein we are expecting Rs. 1,000 odd crores and in which we have e

quity capital of Rs. 75.7 crores. So, how much is the debt component in this if you can highlight that aspect?
Harendra Singh: No, see, what you are saying is for Rs. 1,000 crore is not that. The fourth HAM project which is the Rewari Bypass in which Rs. 75.5 crore equity already has been infused. Where all four projects, this is just a SPA to be executed, NOC being obtained from both lenders as well as NHAI. Likely by September end we would be getting Rs. 130 odd crore into that and say Rs. 60 crore for GST payout which is a change in law approval which is to be obtained from NHAI which is at an advanced stage again. So, this is one. The project which what you are saying is the 5 HAM projects which would be completing at a later stage, that would be again offered for monetization.
Moderator: Thank you. The next question is from the line of Yash Dedhia from Maximal Capital. Please go ahead.
Yash Dedhia: Sir, we understood that part of the reason of why debt has gone up is because of mobilization advance. But at the same time, I think there is a significant commitment which is lined up for HAM. So, given that, what is the impact on the net finance cost for the full year?
Harendra Singh: Net finance cost is not going to, as a percentage would be the same as we have seen in the last past year. Last year it was Rs. 72 crore with a top line of Rs. 5,000 crore. So, this is including interest cost, the bank charges and the BG Commission all put together. So, it will be the same if we are looking at Rs. 6,000 crore , roughly 1.5% of Rs. 6,000 crores, Rs. 90 crore. It should not go beyond that number. Rs. 90 crore is a very high number. Rs. 80 crore tentatively ideally would be worth.
Yash Dedhia: So, you are saying it should not go beyond Rs. 90 crore from that Rs. 81 odd crore that was there in the standalone last year?
Harendra Singh: Yes.

Yash Dedhia: And secondly, sir, now in terms of our margins, so we will also be focusing on solar, which is at a lower margin. But then you are also saying that, you know, that would just be 15%-20%.

So, net-net, these margins in the coming years, do we expect them to be at similar level of 16 odd percent or do we expect a downturn there?
Harendra Singh: No, we would be all looking at the solar project, which for a decent margin only, at any EPC level, it's not less than 11% or 12%. Our prime focus would remain on the highway only, where in HAM projects we already have seen that we are making good margins in hand. So, we would be focusing more on that only. And a bit of a railway and such diversified of water, when the mix of margin, but not the range of margin, which we believe would be making visible 15% to 16%, that is ideally which is our own prime focus.
Yash Dedhia: And sir, if you can give some color on your Nagpur-Chandrapur NC-04 and 05? So, there are various media reports about, there are some uncertainties and also there are some, I think the elections are coming in Maharashtra very soon. So, how should we look at these? Are these like confirmed in your order book and work is certainly going to start or how should these things play out for you?
Harendra Singh: For any organization, whenever they start bidding and they usually award, there is a process that has been declared as one and there is a negotiation being conducted, once the negotiation is done, and that is if they are matching, if we at all, any project bidder is matching their cost and whenever they are approved, they are getting the approval as their internal process. So, whatever is being done is their process. And what we believe that definitely for letter of acceptance, it is a minimum 70% of the land availability that we need to ensure, which definitely is taking time.
Yash Dedhia: No, but are these like confirmed order or are these contingent upon the acquisition of land, which is basica

lly puts a question mark?
Harendra Singh: We already have deployed our team at the project and the significant improvement is there. Land disbursement is at a fast pace, and we are expecting that by August or maximum by first week or 10 days of September, they would be issuing the letter of acceptance.
Yash Dedhia: So, these will become like confirmed from all respects by September end?
Harendra Singh: Yes.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, the remaining contract date for, I think, 4 HAM projects, if you can tell us when we are going to receive Varanasi Package 10, 13, then Kalimandir-Jamshedpur and the Chennai-Tirupati Package 2?

Harendra Singh: See, in the project of Jharkhand which are earlier being awarded last year, Jharkhand 13 that we would be expecting, we are expecting the appointed date or at any time within a month or so, maximum by September end. The second project Jharkhand Package 10 will take a bit more time. It's almost plus 3 months expecting by January '25. And Jamshedpur within a month we would be taking on as already 94% land is available, JMS everything has been fine. We are expecting within a month we would be taking, and they would be issuing us the appointed date. Tirupati project, already land is more than 97%. Obligations of authority is completed. We are in the process of submission of financial closure documents. Within this month we would be getting it and probably, as soon as we completed the formalities, we would be taking up on the appointed date. So, all three projects we would be getting the appointed date and Railway 2 has already been issued and third one, Dhule-Nardana, that's the project, maximum within a month plus 1.5 months we would be getting that. So, more or less only Jharkhand Package 10 and just recently this Ayodhya package, they would be the only one, they will be the only one where the appointed date would be declared or even Nagpur-Chandrapur Packages 4 and 5 at a later stage.
Shravan Shah: And then sir, this about Maharashtra project, MSRDC, when we say that the negotiation has been done, so if you can share in terms of the broader percentage terms, what kind of a reduction the government is looking at? So, to end also, will it be a change in scope, reduction in the scope, or it is just that the bidders has to reduce their margins and the bid price?
Harendra Singh: The scope definitely cannot be reduced. It's only a matter of their estimation, what they are expecting, and any bidder, what they are estimating at. So, any absolute number of percentage cannot be decided on a project specific. It is different, different.
Shravan Shah: And this Neelmangala project, where we are seeing that it can be a, the scope can happen. So, just to, if I am looking at the order book, so right now it is close to Rs 650 odd crore.
Harendra Singh: For any reason, if the project is stalled and it's not going to have a, say, clarity within the next six months also, so for any good reason for authority as well as company, it is better to just take a back foot. So, it's a very, at a scratch stage, preliminary stage. Nothing much has, say, been forwarded and given us. But definitely within a month or so, we would be having a better clarity.
Shravan Shah: And lastly, for how many projects and the value we have already bidded and where the outcome is yet to come? And second is, in next three months, how much value of projects are we planning to bid?

Harendra Singh: We already have bidded for almost Rs 8,000 plus crores of projects in the railway, and yet results are awaited. And for highway, almost similar number, Rs 9,000 odd crores. And for if you are talking of the project, which we would be likely to bid, but definitely it's all now piling up. We believe that within the next

two months, we would be bidding of not less than Rs 25,000 crores.
Shravan Shah: And then this road is 9,000 crores.

Moderator: The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Sir, I just want to understand on the RLDA tender, which you have won. So, can you throw us some light, what kind of project is going to be, you are going to develop a land area, and what kind of revenue sharing with RLDA, how much equity required, and which is the least….
Harendra Singh: Which project you are talking?
Jiten Rushi: Sir, the RLDA project?
Harendra Singh: Oh, RLDA. Okay.
Jiten Rushi: Rail Land Development Authority, RLDA.
Harendra Singh: This is almost 8,000 square meter land, which is to be developed, and which is a commercial land, where multiple, say, all we can use as a mall, as a hotel that we would be putting. And we are looking into this opportunity as a better opportunity, where the return on equity would be in a range of more than 25%-30%.
Jiten Rushi: And sir, how much investment you will be making here in terms of total project cost and equity?
Harendra Singh: Rs 14 crores of investment to be done in four years. Then first is 3.5 crores, then 3.5, then 3.5, 3.5. So, this is a basic Rs 14 crores of split. And then whatever we would be doing, there is a debt or equity arrangement. But then again, it will take another two, three years to complete the entire project.
Jiten Rushi: This will be a six-year project, which we will take to complete. Sir, what you will share with RLDA, post completion?
Harendra Singh: Post completion? Yes, two, three years, we would be taking for its all completion, whatever we are planning for that.
Jiten Rushi: Does this amount of Rs 14.4 crore you will be paying to RLDA in the next four years? And then probably, we will do the development.
Harendra Singh: No, no, it is all parallel. Whatever to be developed, we would be taking, say, the land would be handed over to us within two months from now once we pay the first installment. And whenever, say, once within six months, we can just submit our plan, whatever we are going to develop to the municipal corporations and this authority. And then we would be doing that. Likely, it will take another 1.5 year or 2 years to complete the project. And parallelly, we believe that the return on equity, which I am looking at, would be in the range.

Jiten Rushi: So, my question was, how much you will invest total for the project? How much will, except for the RLDA reserve, your cost of 14.65?
Harendra Singh: It is very at a basic level. We are working on it. It would be not less than Rs. 40 crore, Rs. 50 crore put together.
Jiten Rushi: And sir, any money you will give it to RLDA per month kind of a revenue sharing or something like that?
Harendra Singh: Nothing more to be paid.
Jiten Rushi: Nothing more to. And sir, last thing, this Tumkur project is non-moving right now?
Harendra Singh: Sorry?
Jiten Rushi: Tumkur project is non-moving right now. As you have said, there is a land issue, so it is not moving. So, we are stuck at Rs 681 crore.
Harendra Singh: It's not non-moving. Something is moving, but it's not to that level which the demand and the kind of computation which we have done, and the project should, say, pace of the project is not at to that mark.
Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please restrict your question to one.
Vaibhav Shah: Sir, what kind of revenue are we factoring from Neelmangala-Tumkur for '25 and '26?
Harendra Singh: So, this year we are looking at the target of Rs. 150 crore, out of which almost Rs. 16 crore already has been done.
Moderator: Thank you. The next question is from the line of Vishal Per

iwal from Antique Stock Broking.
Please go ahead.

Vishal Periwal: Just one quick question. So, you mentioned eight project where the cabinet has given approval in the road sector. So, is it like tenders are already there in the market and then the approval has been sought or what is the status, if you can just give some clarification?
Harendra Singh: We have seen that the tenders like Guwahati Ring Road and then Agra, Gwalior, and Ayodhya, they were all there as in the bidding pipeline. Now since the government approval has already in place now, so it would be moving very fast now for the awarding.
Vishal Periwal: And then going ahead also, I think maybe with your communication with Ministry, so there whatever the tenders are there in the market, so they will take maybe like six, seven projects

approval from cabinet and then probably things will fasten up and awarding can happen. Is that what?
Harendra Singh: That if the process is very clear that less than Rs 1,000 crores is at the Ministry level and more than that is at the cabinet level. Not cabinet, even PM Office.
Vishal Periwal: PM Office, okay.
Moderator: Thank you. The next question is from the line of Yash Dedhia from Maximal Capital .Please go ahead.
Yash Dedhia: Sir, in the water projects, what kind of opportunities are you finding and what are the expected margin levels in the EPC segment?
Harendra Singh: Water definitely JJM, they are all distribution projects. There are many projects which in the state of Rajasthan or UP or MP, but then we are looking into beyond this number is water treatment plants. It can be water desalination. It can be what, sewage treatment plant where the projects is not specific only for the EPC. EPCs or HAM, again, typically, these projects are for operations as well, then for any certain period of operation being given when the water being treated. So, this is a similar kind of a like HAM project which we are doing or a solar project which we are doing.
Yash Dedhia: So, here also margin opportunity is similar to, let's say, hydro.
Harendra Singh: It could be almost similar, yes. If you are taking on any EPC project, likely it's around 12%, and then if we are taking any HAM project, definitely it's a bit better margins in any of the sense what we have experienced and there are only few HAMs being awarded Namami Gange and one or two Municipal Corporation, but then, again, some kind of authorities, they are coming with hand projects and where the operation is also included.
Yash Dedhia: And BOT sir, are you not looking at that?
Harendra Singh: No, we are not looking into other BOT projects.
Yash Dedhia: So, only EPC, HAM, and 12% sort of margin for EPC and 18%.
Harendra Singh: For BOT projects also if we are just like we are working it with Adani in Ganga project, that's all BOT projects only. But for all BOT projects having taken by such players, we can partner with them as a EPC associate.
Moderator: Thank you. The last question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, this solar Rs 1,691 crore order book which is right now there, 1,700 odd crore, so out of that, how much will be executed in FY '25? And I think you previously mentioned 14 months or 16 months. So, by 1H of FY '26, will this entire will we book as a revenue?
Harendra Singh: Yes, definitely. By '26, 100% would be done, likely to be done, and within this year almost 900 crore would be done.
Shravan Shah: And sir, what you mentioned that Rs8,000 crore to Rs 9,000 crore that you have bidded for road project, so are all this will be the HAM projects?
Harendra Singh: There are 2 EPC and 5 HAM. Yes.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for cl

osing comments.
Harendra Singh: I appreciate you all for taking the time for attending today's Investor Call. I hope all of your questions were answered to your question adequately. In case there is still any follow-up query, please feel free to reach out to us or our IR advisor Go India Advisors. Thank you. Good day.
Moderator: Thank you, sir. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

"H.G. Infra Engineering Limited
Q2 & H1 FY '25 Earnings Conference Call Transcript"
November 13, 2024

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR – H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SALONI AJMERA – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to the HG Infra Engineering Q2 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Saloni Ajmera from Go India Advisors. Thank you and over to you ma'am.

Saloni Ajmera: Good afternoon, everybody and welcome to HG Infra Engineering Limited Earnings Call to discuss the Q2 and H1 FY '25 operational and financial performance hosted by Go India Advisors. We have on call with us Mr. Harendra Singh who is Chairman and Managing Director and Mr. Rajiv Mishra the CFO from HG Infra. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore moved in conjunction with the risk that the company faces.

We now request Mr. Harendra Singh to take us through the company's business outlook and subsequent performance which will open the floor for Q&A. Thank you and over to you sir.

Harendra Singh: Thank you Saloni. Good afternoon, everyone and welcome to the HG Infra Engineering Limited Earnings Call for our Q2 and H1 FY '25 numbers. As we reflect on the joyous celebrations of Diwali and welcome the new year, I would like to extend my warmest greetings to each of you.

I hope you have had the chance to review the investor's presentation and the financial results which are now available on the exchange. I am pleased to share that our company has built a strong legacy with decades of experience in India's infrastructure space. We have firmly established our leadership in the highway sector and successfully expanding our expertise into railway and solar projects.

Our focus on operational efficiency and execution has led to impressive performance across key metrics. Let me now provide some updates on the infrastructure sector. Talking regarding roads and highway sector which has been a key focus for the Indian government, we expect this momentum to continue.

Recently, the government approved highway projects worth INR 50,655 crores covering a length of 936 kilometres. These projects are part of eight national high-speed corridor initiatives. By December, the Cabinet is expected to clear projects worth INR 2 lakh crores.

Although project award is quite slow in FY '24 due to election delays, NHAI's financial challenges and cost overruns, a strong recovery is anticipated in the second half of FY '25.

MoRTH plans to award around INR 3 trillion in contracts during '24-'25 and has recently approved 215 kilometres of highway projects across multiple states valued at INR 5,000 crores.

Despite the slowdown in the bidding pipeline, we remain confident about the roads and highway sector and a strong financial backing, and supportive policies are set to drive rapid growth and modernization.

In railways, the Cabinet has given the green light to eight major railway projects with a total investment of INR 24,657 crores set to extend India's railways network by 900 additional kilometres across seven states. This ambitious initiative supported the PM's Gati Shakti National Master Plan, which focuses on enhancing multi-modal connectivity across the country. Significant opportunities are emerging in the railway sector as well, especially in modernization infrastructure. Key areas including electrification, the development of high-speed corridors, multi-tracking and comprehensive station upgradation under Amrit Bharat scheme. Additionally, the introduction of Metro lit

e and Metro Neo systems in smaller cities aims to address lighter traffic needs efficiently. With INR 2.55 trillion allocated to railway infrastructure, the government's plans also include the rollout of 50 high-speed Vande Bharat and Amrit Bharat trains by FY'25. This gives us ample opportunity to expand our presence in this sector.

In renewable energy, the Rajasthan Renewable Policy targets 65 GW of solar and significant energy capacity by FY 2030, emphasizing wind-solar hybrid system for efficient resource use and grid stability. Meanwhile, the Central Electricity Authority, that is CEA, projects of 34 GW of battery storage, that is 136 GWh, by 2030, supported by the Government scheme of INR 3,760 crores for 4,000 MWh, this funding will boost renewable energy integration into the national grid.

India's renewable energy momentum has been significantly strengthened with the Ministry of New and Renewable Energy initiating annual bid for 50 GW, with solar energy comprising around 80%. This major push towards a solar-driven energy-efficient future presents EPC players with an annual opportunity of INR 150 billion.

Looking ahead, solar energy will be critical in achieving India's ambitious target of 500 GW of renewable energy by 2030, with plans to hit 200 GW by FY '28.

Let me begin by sharing the journey in this quarter and providing you with a glimpse of our operational highlights.

As of first half of FY '25, our order book totals around INR 16,624 crores, with a breakdown of INR 12,326 crores of roads and highways, INR 2,387 crores from railways and metro and INR 1,911 crores from solar projects. Our portfolio consists of 67% EPC and 33% HAM projects, reflecting a well-balanced approach. We are currently active across 13 states, demonstrating a strong and diversified geographical presence.

Regarding the update of EPC projects, the Ganga-Express project is 71.5% complete and progressing on schedule, and we expect to complete by the end of this financial year. The Delhi/UER project has reached 96.4%, where the completion.F which we expect during this quarter only. The Kalimandir-Jamshedpur project is currently at its early stage, with a progress of around 3.7%.

The appointed date for this project was recently received on 14th September 2024. Meanwhile, the Neelmangala–Tumkur project, which stands at 26.5% due to land availability challenges. We are actively collaborating with the NHAI to expedite regulatory clearances and are also

discussing with potential settlement agreements for some pre-closure of this project, with some de-linking and de-scoping, and we expect the same to be closed in this quarter only. The MSRDC project, where the LOA has been delayed mainly due to non-availability of adequate land possessions.

Regarding the HAM projects

The Karnal Ring Road project has achieved 46.1% progress.The Raipur-Vishakhapatnam projects of OD-5 and OD-6 are progressing well at 79.1% and 86.6% completion respectively. The Raipur-Vishakhapatnam project, that is AP-1, which is 81.3%. The Khammam Devarapalle project has achieved 59.6% in Package 1 and 62.7% in Package 2. We would complete all these three projects of Odisha and AP, and both projects of Khammam Devarapalle that is KD-1 and 2, before March '25, and by June '25, the project of balance of the scope of completion of OD-5 will be done.

The Chennai-Tirupati Package 2 package is currently at the initial stage of fulfilling condition precedents, with financial closure achieved in September '24. We anticipate the appointed date to be in December '24.

The Varanasi-Kolkata Package 10 and 13 of Jharkhand are currently in the advanced phase of land acquisition and

forest clearance. Appointed date of these projects is anticipated in third and
fourth quarter respectively.
Regarding the equity requirement of HAM projects, which entailing all 10 HAM projects requires INR1,468 crores. As of September '24, INR 790 crores have already been infused, with a projected infusion of INR 370 crores in remaining six months of FY '25 and balance will be infused in FY '26 and '27 respectively.
Turning on to the projects of railway, the DMRC Metro project is progressing well at around 63.9%, and this is running as per the scheduled timelines. The Bilaspur-Himachal Pradesh Railway project of RVNL is at 42.8%, and now we are on track to complete it within the timeline. The Kanpur Railway project is 10.3% complete, and there have been some clearance issues of land and utility in the – which is now settling down. The appointed date of Dhule-Nardana project, which was received on 4th September '24, is currently at 4% completed.
The Karanjgaon and Gaya-Son Nagar Railway project, where the appointed date was declared on 22nd June 2024, they are around 3.3% and 2.4% completed respectively.
Regarding the solar projects, during the financial year, we strategically capitalized on the promising opportunity in the rapidly growing solar sector by actively pursuing and securing solar power projects under the Kusum-C, a government initiative aimed at promoting the development of renewable energy across India.
As a result of this efforts the company successfully acquired total of 183 solar power plant, collectively contributing a substantial capacity of 700 MW of DC. Of this total HG Infra's scope of work covers 167 plants, representing a total capacity of 638 MW, with an estimated EPC value of INR 2,243 crores, excluding the GST.

The land lease agreement for these projects are progressing well, with more than 50% of required land already leased. The company is actively working on identifying and securing the remaining land parcels, with the expectation that all land leases will be finalized in the coming quarters. As of now, the execution of these projects stands at 14.8%, with the work progressing smoothly and in line with the project timelines. The debt funding of solar projects will start rolling out from this month only, and will be concluded in the next two months, fulfilling our debt requirements for the said projects and all the PPA will be signed with the authority by December '24.
In terms of funding, the total equity requirement for these solar projects is estimated at INR 732 crores. And as of September 30th, 2024, just INR 3.5 crores has been infused in this projects. It is estimated that additional INR 350 crores will be infused during this financial year that is '24-25 and will the remaining balance to be contributed in FY '25-'26. This structured capital infusion plan ensures that the company can maintain the financial flexibility needed to meet its project milestones while supporting the long-term growth of its solar energy portfolio.
Let me now share other significant updates of quarter two-and-half yearly FY '25.
In Q2 FY '25, we successfully secured two HAM projects. Those are newly declared NH 227B 84 Kosi Parikrama Marg in UP with a BPC cost of INR 763.11 crores and upgradation of six lanes from Narol Junction to Sarkhej Junction Gujarat were up at INR 781.11 crores (BPC Cost)
Additionally, we recently have been selected as a successful bidder by NTPC Vidyut Vyapar Nigam Ltd for 185 megawatt, that is equal to 370 megawatt-hour within a share of 500-megawatt project, this will be a tariff rate of at Rs 238,000 per megawatt per month expected to yield annual revenue of approximately INR 52.83 crores. Over the tenure of 12 years, this project is to generate a total revenue of around IN

R 633.96 crores for HG.
The COD for Kundal Jhadol (Package 1) in Rajasthan was received on 1st October 2024 effective from 28th February 2022. The COD of Nandurbar (near Kolde)- Prakasha- Shahada- Khetia in Maharashtra was received on 10th July 2024 effective from 30th August 2022.
Now I will provide you an overview of financial highlights of Q2 and half yearly FY '25.
The standalone financials in-quarter two FY '25, our revenue from operations grew by 22.4%, reaching INR 1,064 crores, up from INR 869 crores in Q2 FY '24. EBITDA for the quarter stood at INR 174 crores with a margin of 16.4% compared to INR 138 crores and a margin of 15.9% in the same-period last year. Profit-after-tax for Q2 FY '25 was INR 89 crores, reflecting a margin of 8.3%, an increase from INR 62 crores and a margin of 7.1% in Q2 FY '24.
The revenue for half yearly FY '25 stood at INR 2,570 crores, marking a 20.1% year-on-year increase compared to INR 2,141 crores in first-half of FY '24. EBITDA for the half yearly stood at INR 418 crores with an EBITDA margin of 16.3%, showing a 21.7% growth from INR 343 crores in first half of FY '24. PAT for the half yearly stood at INR 228 crores with a PAT margin of 8.9%, compared to INR 180 crores and a margin of 8.4% in half yearly FY '24.

On a standalone basis, our gross debt stands at INR 884 crores. This comprises INR 279 crores in working capital debt, INR 588 crores from term-loan and current maturities and TReDs limits, along with INR 16 crores of NCDs.

There has been significant increase in the working capital and term loans to accelerate the solar power project progress and the bridge funding required for the procurement of solar modules, invertors and other ground works. The same was also needed to give momentum to the progress of highway, which was slowed down due to erratic and good rainfall during the monsoon.

Moving on to the consol number, in Q2 FY '25, our consolidated revenue from operations stood at INR 902 crores compared to INR 955 crores in Q2 FY '24 and EBITDA remained steady at INR 220 crores with the margin improved to 24.3% from 23.1% in the same quarter last year. PAT at Q2 FY '25 was INR 81 crores with a margin of 8.9%, down from INR 96 crores and a margin of 10.1% in Q2 FY '24.

For half yearly FY '25, we reached a revenue of INR 2,430 crores, reflecting a 5.4% year-on increase from INR 2,306 crores of half yearly '24. EBITDA stood at INR 532 crores with a margin of 21.9%, up slightly from INR 501 crores and a 21.7% margin of the same-period last year. PAT for first-half FY '25 was INR 243 crores with a profit margin of 10% compared to INR 247 crores with a margin of 10.7% in H1FY '24. On a consolidated basis, our gross debt stands at approximately INR 2,404 crores.

Just the reason for dip in revenue and PAT in consol as for the inter group transactions between HG and SPVs related to solar project. We eliminated our consol financials. As a result, revenue and expenses from these projects do not appear in the consolidated P&L statement but are recorded as a capital work-in progress under fixed assets.

And at the standalone level, HG Infra recognizes revenue from EPC work and pays tax on this income. However, in the consolidated accounts, both revenue and cost from these intercompany transactions are eliminated, reducing the overall figures and margins compared to the standalone financials. The tax expense in these earnings remains, impacting consolidated margins negatively until the SPV generates its revenue from unit production. Once revenues start flowing, this effect will reverse, improving the consolidated financial performance.

This is an update regarding the monetization of four HAM assets. As informed earlier, we have successfully monetized our three projects on Gurgaon-Sohna, Rewari-Ateli, Ateli-Narnaul against this consolidation of INR 315 crores rece

ived in FY '23-'24 only and INR 54 crores received in October '24 post-approval of NHAI related GST change in the law claim.

Regarding the fourth HAM project that is Rewari-Bypass, NOC was received from NHAI and lenders in March '24. The compliance with SPV condition is in-progress and expected to complete by December '24. That is around INR 145 crores, (including the residual amount of INR 6 crores of first Tranche) expected to be received from Rewari-Bypass proceeds where we have invested equity of INR 75.7 crores.

We are targeting an order inflow of between INR 11,000 crores to INR 12,000 crores for FY '25 until date we have successfully secured approximately INR 5,500 crores in projects from

highway sector and around INR 780 crores from solar sector. We are confident to maintain an EBITDA margin of about 15% to 16% and achieve revenue growth of 17% to 18% in the upcoming quarters. Furthermore, we are actively pursuing opportunities in new segments while concentrating an operational efficiency, prudent capital allocation and a strategic project selection to sustain margins and enhance shareholder value.

With that, I conclude the update in Q2 and half yearly FY 24-25 and open the floor for question-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from Shravan Shah from Dolat Capital.

Shravan Shah : Sir, just to clarify, you said that 17% to 18% revenue growth in coming quarters. So does that mean in the second-half, we are looking at 17% to 18% growth?

Harendra Singh: So overall, as we are targeted about INR 6,000 crores, which -- of INR 5,100 crores is around 18% to 19%. So we have already has around touched around 20% growth in first-half and we are targeting to see that number coming in around INR 6,000 crores as an entire year top-line.

Shravan Shah : And then for -- even going-forward, the similar 15% plus kind of a growth is can be, can be looked at.

Harendra Singh: Yes, for the subsequent years.
Shravan Shah : And in terms of the order inflow, so we have already, I think if I total it close to INR 6,280 odd crores, I think we have received. So now remaining INR 11,000 crores INR 12,000 crores, so how much are more we looking from the Road, how much we have already bided? Previously, we have mentioned that we have bided in the Road, Railway, all this.
So if you can help us in terms of how much we have already bided in each sector, Road, Railway or maybe any other sector and how much more are we planning to bid and how much in terms of broadly we are looking from the inflow in the Road, Railway and Solar or Water.
Harendra Singh: So as far as Roads are concerned, we are already say awaiting the results, which bided around INR 21,000 crores per project. So the results are yet awaited. And Railways around INR 7,400 crores being -- we have already been bided. So for -- as of now, Solar also we have bided around, say, INR 1,200 crores. So again, these are the projects which results are yet awaited.
Apart from the bidding pipeline, if we see that the -- in Highway, of course, it has been delayed, but we are looking at about, say, INR 74,000 – INR 75,000 crores of project pipeline, which for us we have taken into consideration for NHAI as well as more projects. In Railway also, we have identified INR 25,000 crores which are yet to be bided.
Where the project pipeline is there for the new projects. And for Solar, we are looking to the opportunity where battery storage -- energy storage bests as well as hybrid projects are yet to be and even few of the projects where segregating the same feeder is being invited by the government..

Shravan Shah: So in terms of value would be broadly how much for solar?
Harendra Singh: We are looking at about INR 10,000 crores to be bi

ded in the bid pipeline, which is already visible.
Shravan Shah: Just a couple of things. So in terms of the -- whatever the appointed date is that if you can help us project-wise when whatever the projects are pending for appointed date when the contract is likely to be received?
Harendra Singh: Yes. As of now, the project like Jharkhand 10 and 13 and Tirupati. So, these are the projects, which in any case, by December, we are expecting to receive the appointed date for project 10-13 of Varanasi, Kolkata, package 13 as the Tirupati. And followed by package number 10 of Jharkhand in March quarter. Apart from these, there are two new projects, of which financial closure and condition precedence yet to be set. For these two projects, the appointed date is likely to happen in FY 25-26 only
Shravan Shah: And in terms of the [inaudible].
Harendra Singh: And the project of Maharashtra, where the LOA is yet to be released, which in any case is pending, (Inaudible – 25:30-25:36) which will be in only in any case by January, it will be completed post that only the LOA will be issued and followed by the appointed date.
Shravan Shah: So most likely MSRDC revenue should very, very, very less revenue in this year. So execution will be in FY 26 effort and onwards.
Harendra Singh: This year, hardly there can be any single percentage of execution possible in those projects.
Shravan Shah: Okay. And lastly, just a data point. The equity requirement in HAM in FY '26 and '27 and retention money, mobilization advance and unbilled revenue.
Harendra Singh: HAM equity is concerned, around INR 790 crores already done, balance of INR 670 crores. In FY '25, INR 370 crores and followed by INR 177 crores and INR 131 crores in '26 and '27. In Solar, it is INR 728 crores. In '25, it is around INR 300 crores followed by INR 428 in FY '26.
This is what about -- and what about the mobilization advance is built to INR 239 crores.
Shravan Shah: Unbilled revenue and retention money?
Harendra Singh: The retention money is INR 110 crores in all the projects and debtors is INR 1,035 crores. That includes our retention. Solar, SPV unbilled as well as SPV HAM and say one of the fierce approval which is yet awaited in Ganga Expressway has gone up to INR 1,353 crores.
Shravan Shah: INR1,315 crores is of unbilled revenue?
Harendra Singh: Yes.
Shravan Shah: Okay. And lastly, sir, the data has increased -- okay. No issues. All the best.
Moderator: The next question comes from Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Sir, you mentioned that the solar order inflow for the year is around INR 700 plus crores – INR 780 crores. So last quarter, the order book was around INR 1,700 crores and this quarter if you look at the order book, it's around INR 1,900 crores. So I have seen the order inflow of -- for 83 megawatt solar projects in Jodhpur, which was INR 409 crores. So apart from that, which is the other project beyond the Ultra Vibrant Solar Energy project?

Harendra Singh: So this is one project which we have received during the year only is the NTPC bids also this has contributed to it.

Vaibhav Shah: So that is now INR 300 crores.

Harendra Singh: Sorry?

Vaibhav Shah: What is the value of that project?

Harendra Singh: This is around INR 450 crores.

Vaibhav Shah: Okay. NTPC Vidyut Vyapar Nigam, that project?

Harendra Singh: Correct, correct.

Vaibhav Shah: Okay. And sir, we have seen that EBITDA margins have been quite good in second quarter as well and we have done significant execution on solar side as well in the first half of around 14%, 15%-odd. So how have been the margins in the solar segment so far?

Harendra Singh: Solar has showed us the significant good margins around 18%. So that's why we have seen a significant jump during this quarter where solar execution is around INR 262 crores, which is being executed that

has been executed during the quarter only.

Vaibhav Shah: So are these margins sustainable ahead in the solar segment?

Harendra Singh: Yes, solar margins because there are two, three reasons. One is the stabilizing at price of PV modules that is very low now and we have all booked the orders and that is why we have taken that -- the order has been booked without say price escalation also. So this gives us sensible reasons and the margins would be in this range only for the entire balanced completion of these projects.

Vaibhav Shah: And lastly on the railway side, how are the margins?

Harendra Singh: Railway do have the margins about 10% to 12% in every of the project except for Metro DMRC where the margins are 3%, rest all -- because it is very small portion, which is INR 100 crores balance, but rest all projects do have the margin of about 12%.

Vaibhav Shah: I didn't get that. DMRC project is 3% margins.

Harendra Singh: Yes.

Vaibhav Shah: Why the margins are so low at 3%?

Harendra Singh: There has been some issue with respect to the design and with respect to the sewer line underlying. Because of that, there have been time overrun and the cost of overhead increased, which we anticipated in the similar way when we are doing railway or highway projects so cost of overheads which remains around 6%. This project is way up at about 12% to 13% because of very less production every month.

Vaibhav Shah: Okay. So initially when you bid for the project, the margins were in the 10% to 12% range but it…

Harendra Singh: We consider it around 8% to 10%.

Moderator: The next question comes from [inaudible 31:17], Maximal Capital. Please go ahead.

Analyst: Sir, firstly, now when you see your consolidated numbers, these are quite low compared to the stand-alone number. So you're knocking off the related party sort of transactions, right, which your one entity, stand-alone entity doing the EPC work for your solar entities. That is the reason, right?

Harendra Singh: That is the reason in all solar projects was this project being commissioned. So till the time whatever execution is happening as per the top line, which is coming into stand-alone of H.G. Infra where the margins are also there. But in consolidation, the margins are totally eliminated, but there's a tax liability also is there. So this is the top-line and bottom-line net effect, which in this quarter which is around INR 62 crores of bottom-line is being affected, because this will happen for subsequent quarters as well. So this is -- this will come back with a call correction once we commission and start billing the project -- billing the tariff.

Analyst: So the overall impact, sir, how much -- you mentioned INR 62 crores was the overall impact on profit before tax or profit after tax?

Harendra Singh: This is profit after tax, INR 62 crores is the PAT impact, which we have seen during the quarter.

Analyst: INR 52 crores, sir?

Harendra Singh: INR 62 crores.

Analyst: INR 62 crores. So it would have been INR 140 crores-odd instead of INR 80 crores?

Harendra Singh: Yes, definitely. This has impacted -- this is absolute number which I think.

Analyst: Yes. So net of this impact, it could have been INR 140 crores instead of INR 80 crores, which is reported.

Harendra Singh: But this is the accounting standard which always would be coming in such kind of a solar project.

So solar projects and BOT projects. They do have a different set of the accounting standards.
Analyst: Understood. And sir, you mentioned about higher solar margins, right, which you are anyway knocking off. So this is because they are related parties. So in that sense, because these are all related party contracts, then what is the sanctity of the 18% margin in this contract because you

may get higher margins from your other par

ty because that is anyway a related party? So how should we read those margins?
Harendra Singh: So in any case, any project being executed for SPVs or rather for H.G. holding companies, so they are all the subsidiaries where the contract is awarded to H.G. Infra and H.G. Infra who is doing the project where the entire procurement to bought up items to execution and the EPC is there. So put together, there is a margin there. So we are keeping a balance of the margin -- the equity IRR, which is more important as well as the EPC margin to H.G. Infra.
Analyst: And net of all this, sir…
Moderator: Sorry to interrupt…
Analyst: Yes, just let me finish this line.
Moderator: Sir, there are several other participants waiting for their turn.
Analyst: Yes, just finishing. Just allow me this question. Because you mentioned equity IRR, sir. So what is the target equity IRR including the EPC margins and the cash flows that will occur in the BOT of solar?
Harendra Singh So if we consider that the equity IRR along with the EPC margin would be roughly around 30%, 32%.
Moderator: The next question comes from Vishal Periwal from Antique Stock Broking. Please go ahead. Vishal sir, your line is unmuted. Please proceed with your question.
Vishal Periwal: Yes, is this audible now?
Moderator: Yes, sir.
Vishal Periwal: Yes. Okay. So this is regarding your one slide in which you mentioned the L1 order that you received. Say for the Ultra Vibrant client in EPC mode, the solar plant that we are building in. So this is -- the EPC project cost include even the module and the cell that you need to procure or it's only the EPC work, the civil -- I mean, how exactly is it structured?
Harendra Singh: So the project of 83 megawatt, they are acquired from Ultra Vibrant. So once we have acquired the project for the entire acquisition cost being paid. And post that, whatever EPC including solar PV modules and inverter, transformer, everything is included in the cost.
Vishal Periwal: Okay. So basically then the cost works out to be like INR 4.90 crores per megawatt. So that is -- I mean like that's your last assumption in this particular element order, right?
Harendra Singh: Correct.
Vishal Periwal: Okay. And similarly for this NTPC one, the INR 370 crores project cost which is there. So this includes your battery, or it includes only the -- how exactly this one is structured?

Harendra Singh: No, this includes battery as well as some bought out other than battery items, which are inverters and others creating that infrastructure of substation.
Vishal Periwal: Okay. So, I mean, generally like these -- I mean NTPC order that you're saying, even the IRR will be upward of 13%,-14% equity IRR and then plus EPC margin will be there. Is that fair way to understand?
Harendra Singh: Yes, that is again a similar fashion. The EPC margin are around 14% and the equity IRR is again 14%.
Vishal Periwal: Okay. And maybe one last thing from my side. I think you -- initially you touched upon like the PMO in the roadside, they have done an approval of INR 50,000 crores worth of order. So anything that you're hearing like when this will see a light update in terms of tendering because this was approved long back, but not heard anything in terms of award?
Harendra Singh: So one is the cabinet approval of the project where any greenfield or any such kind of a projects are put to for approval. But post the approval, this is the second part which is the SSC approval, which is now say the committees which we are going to approve, the DPRs and everything. So, this is, now, it keeps on a strong and fast pace with being done. So we are expecting right after this November also, in December, January, February, everything which they have then the planned 5,000 kilometres is likely to be rolled and to be awarded.
Moderator: Thank you. The next question co

mes from Ajaykumar Surya from Niveshaay.com. Please go-
ahead.
Ajaykumar Surya: Sir, thanks for the opportunity. Sir, I'm new to the Company, so just wanted to understand on the KUSUM order which we have got. So we have got an order of around 700 megawatt over INR 1,800 crores to INR 2,000 crores. Sir, if you can help me explain -- understand the working of this order like it is a part of KUSUM Component fee FLS the Feeder Level Solarisation and we've commented that we have started ordering the modules and other components.
Sir, will the pumps will also get changed in the FLS part? If you can help me understand or give some thoughts on the working of this KUSUM Components, the order which we have won? And sir, and we have been hearing the pace of execution in this yojana has been pretty slow compared to the KUSUM Component B?
So if you can also highlight the problems we are facing maybe in terms of acquiring the land or getting any regulatory approval. So if you can just show what is working in the industry as of now? That will be very helpful.
Harendra Singh: So in this sector as a KUSUM C where we need to align the land, which is being taken on the lease basis, say almost 50% of the land parcels already in-place and we have all started -- they all -- wherever we are having the land in-place, we have already started the project. Around 60 to 65 days, we usually are looking or seeing that once the project being started, the completion is happening and then 15 to 20 days more for the commissioning.

So this we are seeing that if the land availability is insured, then most of the 88% to 99% of any problems and any dynamic problems remains settled. And other regulatory affairs where the PPA is being signed and we are receiving that SPV and PPA. So these are the regulatory things which are happening parallelly.
So in France, as well as PV modules and inverter transformer, we have already orders where the -- all such built chunk of supplies should be aligned well with the completion. So this we have done and within last 3 months, say most of those things being done, design being done. So now the progress is on-track. We believe that, say, in the month -- in the quarter of December, January and March and June, so most of this project will be completed.
Ajaykumar Surya: And sir, in the FLS part, are the pumps also getting replaced or it's unlike -- like the pumps are not getting replaced, it's only the electric pumps which are getting solarized?
Harendra Singh: No, no, these are not pumps. They are nothing related to electric pumps. This is related to the power, the energy which we are producing, the power is to be sell to the nearest grid substation of this comp. So it's very nearby, just 1-1.5 kilometre of transmission line is to be laid in.
Ajaykumar Surya: Okay, sir. Sir, my next question is on…
Moderator: Sorry to interrupt Mr. Surya, may we request you to return to the question queue for follow-up questions.
Ajaykumar Surya: Yes, sure.
Moderator: Thank you. The next question comes from Yashovardhan Banka from Tiger Assets Please go-ahead.
Yashovardhan Banka: Hello, sir. Thanks for the opportunity. Sir, are we looking at any recent with upcoming government orders?
Harendra Singh: Sorry.
Yashovardhan Banka: Are we expecting any upcoming government orders?
Harendra Singh: Government orders?
Yashovardhan Banka: Yes.
Harendra Singh: So what kind of government orders are the orders which we are -- the project which we are bidding. Already In continuation, we already are bidding the project. But as of now, there is no result yet awaited to what are the results, which I just expect that in highways around INR 20,000 plus crores and railways Rs 7,000 crores or on projects where the results are yet to be declared.
Yashovardhan Banka: Okay. Thank you.
Moderator: Thank you. The next follow-up question comes from

Maximal Capital. Please go-ahead.

Analyst: Yes. So, on the railways part, you mentioned that the margins are 10% to 12%. So that is significantly below the company average. But on the capital side, is it more capital-efficient in terms of the cash flows or what is the benefit apart from diversification that we are getting by aggressively getting into that project?
Harendra Singh: So in railway project, one thing is very unique. It's not that the -- say there is a big difference

between the capital allocation or working capital cycle. It's almost similar as in highway EPC.
But very important is if we are looking at the projects where the weighted margins are very important, it can be HAM highway road projects and then highway EPC projects.
And then highway EPC projects, which we are having a similar kind of a margin around 12%, 13%, even in a project like Ganga Expressway, which we are doing, it's a similar kind of a margin. So in the EPC margin range are this only. In HAM project, the margin is in a range of around 19% and in solar also our margins are around 18% because put together weighted-average is around 15% to 17% -- 16%.
Analyst: Okay. And the four assets that we have sold, so I think the price-to-book on that was around 1.4.
But on our invested equity, what kind of IRRs were we able to get including the EPC margin that we had accrued early?
Harendra Singh: So as far as EPC margins, this is a total different subject that HG Infra usually is executing the project on an EPC lump-sum model only and first for including the price escalation or including anything with a plus side or minus. So this is one-way when we are calculating the margin for coming to EPC to HG infra, coming from EPC to HG infra.
And regarding the equity IRR, which we all have seen in the earlier past that wherever at such kind of a HAM project or solar projects, we are usually maintaining about 14% of our rough guidance that we should get equity IRR over 14% to 15%.
Analyst: Okay. Thank you, sir. All the best.
Moderator: Thank you. The next follow-up question comes from Ajaykumar Surya from Niveshaay. Please go-ahead.
Ajaykumar Surya: Yes, sir. Thanks for the opportunity. Sir, my question is on-again the KUSUM Competency. Sir, if you can also explain us the tender, how are those awarded? So is it the L1 gets the order or is it some technical qualification which are required, which is providing an advantage to HG Infra in winning the orders.
Harendra Singh: As per earlier, the strategic partner was there. So we partnered with a technology partner while we bid for those projects in last year only. Now in KUSUM C, there is a different model where the mandatory use of DCR. So now the projects are of a totally different model. So we are not in it at all participating in such kind of orders in this financial year also.
So we are looking into the newer opportunities coming in where kind of a segregation of the distribution and networking with the best projects, which is a battery energy storage solution.
So such as projects are now in pipeline.

Ajaykumar Surya: Okay, sir. And sir, if you can also throw some light on the opportunity size, because if I look at the -- our order book as of date, solar orders are around 9% to 10% of our order book. If you can also explain the opportunity size which lies in either the KUSUM Competency for HG Infra or the overall Solar scheme of things which are happening across the country?
Harendra Singh: So right now, as far as the total order is concerned, it was 14.5% are the solar orders. And apart that, as I already has explained that we would not be very keen on adding more of the KUSUM C, but in -- again as we are looking into some hybrid kind of a project where it can be battery to solar.
So there is a round the clock power

to be generated. But then again, there are tenders which we would like to set-up some power projects, power plants and it -- had it be kind of a PPA from city or Rajasthan government also is inviting some projects on a HAM model. There are the EPC projects. They are all EPC.
Ajaykumar Surya: Okay, sir. All the best for future.
Moderator: Thank you. The next question comes from Uttam Kumar Srimal from Axis Securities Limited.
Please go-ahead.
Uttam Kumar Srimal: Yes, sir. Good afternoon and thanks for the opportunity. Sir, currently, we have already diversified from Roads to Railways to Solar and to Power also. So are you also looking to diversify to power transmission segment as such there has been lot of traction from the government in this particular segment.
Harendra Singh: So we have all -- technically our team is examining such kind of a project where the -- because they are against such kind of a project where the transmission or bought out lines are there, then the ROW constraint is again the limiting factor which such kind of a project because the project being delayed in earlier part because of the ROW also.
So the government is also helping and keep giving the new guidelines for ROW procurement also. But we are working on it. As of now, we do not have any project pipeline where we've been bidding at least.
Uttam Kumar Srimal: Okay. And sir, how is the competitive intensity currently in both EPC and HAM project?
Harendra Singh: I think not many projects have been awarded -- have been bided rather, but for sure, there are

the cost-cutting, and aggression has been seen in Highway, but there are chances that the disqualification criteria and something is going to be changed very soon in highway as well.
Uttam Kumar Srimal: Okay. And sir what would be our capex guidance in FY '25 and '26?
Harendra Singh: Not much of a capex is required because the project which we are operating it had been Railways or Solar, we do not have such a capex, big capex requirement. Highways we do all -- already having the big already mid-sized fleet which is available. So hardly there will be INR 30 crores to INR 35-odd crores, which is likely to be there in case of requirement -- any such requirement for the year.

Uttam Kumar Srimal: Okay, sir. That's all from my side and all the best.
Moderator: Thank you. The next question comes from Shravan Shah from Dolat Capital. Please go-ahead.
Shravan Shah: Hi, sir. Sir, just to clarify, did you mention that Solar order book of INR 1,900-odd crores which is there will be completed by June '25?
Harendra Singh: Around 90% of this will be completed.
Shravan Shah: Okay, got it. And sir, our debt has gone up to INR 884 odd crores to INR 62 crores in Q2. So previously we were looking at INR 500 crores to INR 600 crores kind of standalone debt.
Harendra Singh: So I already had explained in my remarks that because which we were very -- it was very important for us to block the module at a fixed-price as well as transformer inverter and all cable items. And so these are the all the items which we have booked up. That's why for the huge advances have been paid as well as what we have executed in Solar.
So we have seen that the entire solar is either unbilled or it is or say yet to be received as a debtor rebalance. So this is because of meantime arrangement, but it will be all coming back to the normal level in Q3 and Q4.
Shravan Shah: Okay. So by Q3, Q4, it would be -- again, we'll be back to INR 500 crores, INR 600-odd crores.
Harendra Singh: Yes, yes.
Shravan Shah: Okay. Yes. Got it. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the Management for closing comments.
Harendra Singh: Thank you. I appreciate you all for taking the time-out for attending today's investor call. And I hope all of your questions were answere

d adequately. In case there are still any follow-up queries, please feel free-to reach-out to us on our IR Advisors, Go India Advisors. Thank you.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

"H.G. Infra Engineering Limited
Q3 & 9M FY '25 Earnings Conference Call Transcript"
February 07, 2025

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR – H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SALONI AJMERA – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the H.G. Infra Engineering Limited Q3 and 9 Months FY '25 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Saloni Ajmera from Go India Advisors. Thank you, and over to you, ma'am.

Saloni Ajmera: Good morning, everybody, and welcome to H.G. Infra Engineering Limited earnings call to discuss the quarter 3 and 9 months of FY '25 operational and financial performance hosted by Go India Advisors. We have on the call Mr. Harendra Singh, Chairman and Managing Director; Mr. Rajeev Mishra, CFO.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore moved in conjunction with the risk that the company faces. We now request Mr. Harendra Singh sir to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Over to you, sir.

Harendra Singh: Thank you, Saloni. Good morning, and welcome to H.G. Infra Engineering earnings call for our quarter 3 and 9 months FY '25 results. As India celebrates 76th Republic Day, the country remains one of the bright spots on the global economy and the nation stands poised to seize immense opportunity. I hope you had the chance to review the investor presentation and financial results, which are now available on the exchange.

The government's continued focus on infrastructure creation will play a pivotal role in making the country the world's third largest economy in the foreseeable future, creating opportunities for millions of people. At H.G. Infra, we believe we have a larger role to play in India's development agenda for now and into the future.

On the strength of the intrinsic potential of our business model, prudent deployment of resources across every facet of our operations, we have been able to deliver exceptional performance in the 9 months FY '25 and believe to do so in the coming years as well. H.G. Infra has fortified its position as a reliable and important player in India's infrastructure and in renewable sector.

With a successful 22 years track record in constructing roads and highways across the country and further, we firmly believe that the execution of solar project will gain momentum for sustainable growth, acting as a significant tailwind for our company in the coming years.

Let me now provide some updates on the infrastructure sector. The Government of India's vision for infrastructure development is deeply rooted into its goal of making India a $5 trillion economy with a long-term outlook Vision 2047, which aspires to make India a developed nation by its 100th year of independence.

The National Infrastructure Pipeline launched in 2019 is a key initiative of this journey, aligning closely with the Union Budget, which continues to allocate significant resources to infrastructure projects. The NIP began with an investment plan of INR111 lakh crores covering key sectors like roads, railways, renewable energy and water segment.
Sector-wide progress against the NIP and the budget '25-'26 allocations that the center has re-emphasized its strategic focus on Viksit Bharat 2047 and infrastructure development in roads and railways, a key catalyst of this journey. The government has enhanced the budget for roads and highways by 2.4%, paving the way for accelerated infrastructure growth and unlocking new opportunities for our companie

s like ours to drive innovation and nation building.
As highlighted in the budget, each infrastructure-related ministry is set to develop a comprehensive 3-year project pipeline under the PPP model. This strategic move will help us bolster investors' confidence, attract greater private sector participation and unlock large-scale project opportunities. Additionally, it will establish a robust and continuous pipeline of projects ensuring long-term sustainable growth in the infrastructure sector.
Renewable energy and the transmission sector, where India has set a target to achieve 500 gigawatts of renewable energy capacity by 2030 is reinforcement its commitment to green energy. The government is also focusing on battery energy storage systems that is best to stabilize the grid and improve power reliability.
The Union Budget includes investment in green energy corridors and transmission line expansion to support large-scale solar park and wind power generation. In addition, the MNRE budget of '25-'26 has been allocated INR26,000 crores, marking 53% increase from its previous year, further strengthening India's renewable energy ambitions.
Water and irrigation, program like Jal Jeevan Mission and additionally focused on river linking project wherein that extending the India's water infrastructure will enable us to have good opportunities in water sector as well. We, as a company, see abundant opportunities in all our sectors. We have travelled a long journey of 7 years after listing of the company and today, we can proudly say that we are on the right track and with our traction in renewable energy sector and preparedness to execute big ticket size projects and enter into other segments like transmission and water.
With this positive tone of my statement, let me begin by sharing the journey of this quarter and providing you with a glimpse of our operational highlights. As of 9 months FY '25, the order book stood at INR15,080 crores with roadways and highways stand at INR11,235 crores, railways and metro at INR2,289 crores and solar at INR1,556 crores. Our order book comprises 33% from HAM, 67% from EPC and segment-wise road and highway contribute 75%, railways, 15% and solar, 10%.
Let me now provide an update on our ongoing EPC project. The Ganga Expressway project is at 81.2% completion and progressing as planned. The same is expected to be completed in the next few months. And the Delhi-UER project, which has almost completed, only COD is awaited. The Kalimandir-Jamshedpur project, which is again an EPC project of NHAI is at an

initial stage and currently at 5.4% progress. The progress has a bit delayed because of some changes in the design from the authorities.
The Neelmangala-Tumkur project, which is an EPC of NHAI was stalled for the last 6 months, stands at 32.7% because of the land issue. The settlement agreement with NHAI was executed in December '24. NHAI and we will complete the remaining work of Phase 1 by March '26 and Phase 2 by March '27. And as per the settlement agreement, the project cost has now been revised descoping certain portion of ROVs from INR 844 crores to INR650 crores. LOA from MSRDC, 2 projects of Nagpur-Chandrapur is likely to be received by March '25 with the delay mainly caused on account of land acquisition and some alignment changes.
Let me brief you on the progress of the HAM project. The Karnal Ring Road project has reached 55.1% completion. And meanwhile, the Raipur-Vishakhapatnam project that are OD-5 -6 and AP-1 projects, they are around 85% and 93%. So, we are on track to finish all 3 projects of AP, OD-5 -6 by this financial year-end, having received the PCC as per the settlement agreement. We had already applied the PCC. The Khammam Devarapalle project, KD-1 and 2, they have made solid progress with around 70% progress each. Both the projects will likely to be
co

mpleted where the PCC is aligned within this quarter only and the balance of completion by June '25. Discussions on the monetization of these 5 assets, which are nearing completion are set to begin soon and we anticipate that the entire monetization process will be concluded in the upcoming financial year.

Update on the monetization of 4 assets, which earlier we had executed. As informed earlier, we have successfully monetized our 3 projects wherein INR315 crores were received in FY '23-'24 and remaining INR54 crores received in October '24, that is post approval of NHAI related to GST change in law claim. Regarding the fourth HAM project that is Rewari-Bypass, NOC was received from NHAI and the lenders in March '24.

However, because of some delay in the permission regarding ROVs, it has a bit delayed. But now the SPV conditions are compiled and the transaction is likely to be completed in February '25. So there is around INR133 crores expected to be received from Rewari-Bypass proceeds in this quarter where we have invested equity of INR75.7 crores.

Regarding equity requirements on HAM projects. The total equity requirement of 11 HAM projects, excluding Rewari-Bypass stands at INR1,733 crores and as of December '24, INR930 crores already has been infused. Remaining INR123 crores is expected to be infused in 3 months of FY '25 and balance INR300-odd crores to be infused in FY '26 and around INR300 crores in FY '27.

Turning on to the progress of the railway project. The DMRC project, which is around 70.3% completed though a bit delayed because of the land issue which is now progressing as per the scheduled timelines. The Bilaspur-Himachal Pradesh project that is RVNL project is 51.6% complete, traversing bang on target. The Kanpur Railway Station project is around 14.1% complete. So, although initial challenges with land clearance and utility shifting have been

addressed, Kumbh preparations in the state and traffic constraint, railway traffic constraint has slowed down the execution on the full-scale construction.

However, these challenges are expected to be resolved soon, allowing the progress to gain momentum in this quarter and we will be able to complete this particular project well within the timeline only. The Dhule-Nardana project, which is at 5.3%, the Gaya-Son Nagar and Karanjgaon project, that is our Aurangabad project are around 3.3% and 4.8% completion. The slow progress of these 2 projects is primarily due to design and drawing revision and some land issue by the authority. However, we expect the progress to pick up in the coming quarters.

So, update on the solar project in this financial year. We strategically seize significant opportunities within the rapidly expanding solar sector by actively pursuing solar power projects under the government KUSUM-C scheme, which is designed to boost renewable energy development across India.

Through these efforts, the company successfully secured 183 solar power plants, contributing a substantial 700-megawatt DC capacity in total. Of this, H.G. Infra is responsible, and out of this estimated the cost is INR2,243 crores EPC, that is excluding of GST.

The land deal agreement in all these projects is in place and the PPAs have been signed by the DISCOMs. And as of now project progress has achieved around 30.6%, where the installation commissioning is according to the schedule. Debt funding for the solar project is in full swing and approximately 70% of the projects have received the sanction with partial disbursement in place. The remaining sanctions followed by the disbursements are expected to be secured in quarter 4 '25.

Regarding project financing, the total equity required for this solar project is estimated at INR721 crores. As of December '24, approximately INR130 crores has been infused into this project. Another INR220 crores is expected to be

contributed during quarter 4 '25 and with the
remaining balance planned for FY '26. This well-structured capital infusion plan ensures H.G. Infra has the financial flexibility to meet project milestones were fostering long-term growth in its renewable energy portfolio.

Let me now share other significant updates for quarter 3 and 9 months of FY '25. The appointed date for the Chennai-Tirupati HAM project has been declared on 14th December '24. And during the quarter, we also received completion certificate for the Mancherial project. The LOA for 84 Kosi Parikrama Marg near to Ayodhya in Uttar Pradesh was received on 9th December '24 and Narol Junction to Sarkhej that is in Gujarat on 9th September '24. Additionally, the 2 newly awarded BESS project has been received, NTPC project on 22nd November '24 and GUVNL project on 3rd January '25.

As previously mentioned, NTPC's BESS project is setting up 185-megawatt, that is 370-megawatt, our plant with tariff of INR2,38,000 per megawatt per month, generating an estimated INR52.83 crores in annual revenue over the course of 12 years tenure. The total projected revenue is approximately INR633.96 crores. The GUVNL's BESS project, which is setting up a

250-megawatt, that 500-megawatt, plant has a tariff of INR2,25,985 per megawatt per month is

also expected to generate INR68 crores in annual revenue. And over its 12-year tenure, the total revenue is projected to be INR814 crores.

Now, I will provide an overview of the financial highlights of quarter 3- and 9-months FY '25.

As stand-alone financials in quarter 3 FY '25, our revenue from operations grew by 12%, reaching INR1,509 crores, up from INR1,346 crores in quarter 3 FY '24. EBITDA for the quarter stood at INR250 crores with a margin of 16.6% compared to INR214 crores at a margin of 15.9% in the same period last year.

PAT for the quarter stands at INR137 crores at the PAT margin of 9.1%. Revenue for 9 months FY '25 reached INR4,079 crores with an EBITDA of INR668 crores with EBITDA margin of 16.4%, reflecting a 19.8% increase compared to 9 months FY '24. PAT for 9 months FY '25 stood at INR365 crores with a PAT margin of 8.9%.

On a stand-alone basis, our gross debt stands at INR1,329 crores. This comprises of INR566 crores in working capital and other INR763 crores of term loan and maturities. The increase in the total debt to INR566 crores is attributed to the significant delay in the sanction of SPV's approval of all solar plants from DISCOMs and there upon the sanctions and disbursement, which got delayed, which has now been resolved and on track, thus leading the time gap arrangement of debt, which is just one of the instances. However, the same will cool down and debt will be normalized this quarter.

Moving on to the consolidated financials. Revenue of quarter 3 FY '25 reached INR1,265 crores with EBITDA of INR287 crores and EBITDA margin of 22.7%, reflecting a 25.7% increase to quarter 3 of FY '24. PAT for the quarter 3 FY '25 stood at INR115 crores with a PAT margin of 9.1% compared to INR102 crores and the PAT margin of 7.5% in Q3 FY '24. And the revenue of 9 months FY '25 reached INR3,695 crores, 0.7% up slightly from INR3,670 crores in 9 months FY '24.

EBITDA stood at INR819 crores and with a margin of 22.2%, marking a 12.3% year-on-year increase, so INR729 crores and with 19.9% margin in the same period last year. PAT for 9 months FY '25 was INR358 crores with a profit margin of 9.7% compared to INR349 crores and a margin of 9.5% in 9 months FY '24. On a consolidated basis, debt is INR3,233 crores.

Let us provide the outlook for the future. We have targeted an order inflow of INR11,000 crores to INR12,000 crores of FY '25. And till date, we have successfully secured new order of approximately INR8,200 crores in projects from infrastructure and renewables, which includes the new project we have w

on yesterday only for the Redevelopment of New Delhi Railway
Station on EPC model, where we are 49% partner in the construction

We are confident to maintain an EBITDA margin of 15% to 16% and achieve revenue growth of 17% to 18% in the upcoming quarters. Furthermore, we are actively pursuing opportunities in new segments while concentrating on operational efficiencies, prudent capital allocation and strategic project selection to sustain margins and enhance shareholder value.

That concludes my remark. We can now open the floor for the question-and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: So, before asking any questions, just needed all the balance sheet data points. So first, inventory, trade receivable, trade payable.

Harendra Singh: Yes. Inventory is INR405 crores, and the debtor, that is trade receivables is INR1,545 crores.

Shravan Shah: Sir, debtor, you said INR1,400 crores...

Harendra Singh: INR1,545 crores.

Shravan Shah: Okay.

Harendra Singh: And trade payables is INR1,075 crores.

Shravan Shah: Unbilled revenue, mobilization advance and retention money?

Harendra Singh: So, the retention money, this is included in debtor, retention money is around INR122 crores and this is contract asset which is unbilled revenue, is INR1,297 crores.

Shravan Shah: And mobilization advance?

Harendra Singh: This is INR305 crores.

Shravan Shah: INR305 crores. And sir, you mentioned the gross debt at stand-alone level is INR1,319 crores?

Harendra Singh: Yes, INR1,329 crores.
Shravan Shah: INR1,329 crores. And cash is on a stand-alone basis is.
Harendra Singh: This is around INR200 crores.
Shravan Shah: INR200 crores and consol, sorry...
Harendra Singh: This is INR160 crores, not INR200 crores.
Shravan Shah: INR160 crores?
Harendra Singh: Yes.
Shravan Shah: And consol cash is...
Harendra Singh: Consol is INR180 crores.
Shravan Shah: INR180 crores. Okay. Got it. So now, sir, a couple of things in terms of the fourth quarter, now we are seeing a 17% to 18% kind of revenue growth. And for FY '26, last time we said more than 15%. So that remains the same?
Harendra Singh: Yes, that remains the same.

Shravan Shah: Okay. And in terms of the inflow, already, we have received INR8,200 crores and the remaining INR3,000 crores to INR4,000-odd crores. So, if you can help us how much we have already bided the projects and even the segment-wise? And how much more are we planning to bid by March? So, even if you can also help in terms of the bid pipeline segment-wise?
Harendra Singh: We have received around INR8,000-plus crores of project till date around INR17,000 crores of project in which highway is around INR9,000 crores and railway is around INR6,000 crores and not solar to be very specific, it's a battery and solar mix, which is around INR1,100 crores. So, this is what already we have bided.
And apart from that, we are having a pipeline of highway and railway and not in solar as of now, which we will like to bid and in solar one of the EPC project is there of ONGC that we will be bidding. So, these are altogether around INR72,000 crores of project. In highways, specifically more than INR50,000 crores, railway around INR18,000 crores and solar around INR7,000 crores, solar or batteries is around INR8,000 crores.
Shravan Shah: Okay. Got it.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My first question is, sir, what do you make out of the government announcement of PPP pipeline for 3 years? Do you think that we can see some progress on this front in the next few months?
Harendra Singh: Not in a few months, but we are positioned in that

manner because government is seeking the private investment to be there, especially in renewables where the transmission is there. And apart from this in highway also, they have seen that the cost of any project, which not many of the projects are now coming on EPC. So, in that sector also, in water also, there is a high focus like in Eastern Rajasthan Canal project, they invited the bids on HAM model. So, they are all the projects which now government believes that the private investment is likely to be there.
Mohit Kumar: Understood, sir. My second question is what is our share? I think you mentioned but I missed out. What is your share in the New Delhi redevelopment, what you say in the JV? And are you still looking to bid more for the railway station redevelopment? And how is the pipeline for that?
Harendra Singh: As of now, I think immediately, we are not having any of the Old Delhi railway station likely to be there in future. But in this particular project, where the 49% stake is ours, where around INR800-odd crores of project exclusively is having the road elevated where they have to be built for this access to railway station like in the airport. And apart from this, we will be having some INR300-odd crores of share coming to us as a 49% in other of the MEP works. So, this is all about this New Delhi railway station.
Mohit Kumar: And this is included in the INR8,200 crores. Is that right, sir?
Harendra Singh: Sorry?
Mohit Kumar: Is this part of the order inflow, which announced INR8,200 crores, or this is additional.

Harendra Singh: This is part of this inflow, which we are totalling around INR8,200 crores out of the estimated of this INR11,000 crores for the year.
Moderator: The next question is from the line of Deepak Purswani from SVAN Investment.
Deepak Purswani: Sir, just wanted to check it out on the new projects which we have recently received in the BESS segment. What would be the kind of investment we would be requiring in this? And typically, what are the kind of the cash flow which we mentioned about the revenue from each of the project of INR52 crores to INR58 crores in each of this business. But how should we look into

the cash flow point of view in this business?
And what are the typical IRR profile in these kind of projects? And secondly, on the stand-alone debt front, there has been some rise from the last quarter to the extent of INR500 crores. If you can elaborate, I mean, what was the specific reason for that? And what has been the execution on the solar project at the current juncture?
Harendra Singh: Okay. So, let us just first to your point of debt, which has been significant increase in quarter 3 and quarter 2 also, it was very high. So, the total solar project in which initial phase of land procurement to other activities where the ordering is to be done for securing the solar modules and other balance of land. So, that has involved a lot of cash where the sanction, which took time because there was some SVP approval which was delayed by 2 to 3 months.
And thereon, last December end only, it started sanction and then the disbursement now it started in the month of January and February rather. So, for that time gap arrangement, it went up to a very high number. But again, it will be coming back to the, again, INR600 crores-INR700 crores, which already bid earlier we were accepted for.
The second part, which you are saying that the receivables also and the contract note also do have some kind of a scale higher because of that reason only in solar because we have executed around INR700 crores plus. And we have ordered for around INR200 crores plus of funds being invested ordered to the solar module line. This is how the big involvement of INR1,000 crores into solar only. As far as the solar project where we have already initially estimated that we will be having roughly around

18% EPC margin and around 14% plus of equity IRR, which we have initially estimated for, that remains the same.
In battery projects, which we are talking about BESS, so these are the projects where we are going to set up the battery energy storage systems, where 65% of the total scope is around battery and the 35% is the balance of plant where the substations and evacuation is to be there. So, this is the entire scope of work. So, we will be involving into doing this 30%-35% and directly SPV will be given the order to the other battery. So ultimately, we have secured this project with a target that we will be having the cash flow in this where around 14%-15% of the equity IRR is maintained. And apart from this, the order which is coming to H.G. will have around 10% to 12%, even more than 12% to 13% of the EPC margins. So, this is how I think the project of BESS do have the similar kind of say, as we are doing in HAM or we are doing in solar.
Deepak Purswani: Okay. And sir, in terms of the scope of EPC work in this BESS, what would be the kind of scope of work for this BESS project for us?

Harendra Singh: So, as already explained that there's around 65%, which is going out to the supplier which is the bought-out item, which is a battery container and power distribution system, ABS. But the other part is which is civil and the transformer and the substation and the switchyard, which is to be developed. So, this lies with the system, which we are already integrating and doing it for solar projects also.
Moderator: The next question is from the line of Yash Dedhia from Maximal Capital.
Yash Dedhia: Sir, on the order book, now if I look at your order book, which currently stands at INR15,000 crores, around INR4,000 crores of MSRDC, sir, is not having the right visibility. In fact, some other players are not even counting it as part of their order book. So given this, now you are targeting INR6,000 crores of revenue this year and INR7,000 crores maybe next year. Sir, how viable is that because ex of these MSRDC projects, we are left with very little, sir?
Harendra Singh: So, if your specific point is for the year, which we are estimating at about, say, getting INR6,100 crores of around revenue in this year with this quarter is only balance. So that is not considering any MSRDC project.
Yash Dedhia: Sir, I'm talking about FY '26. FY '25 is understood, sir.
Harendra Singh: So, in that scenario, which we are expecting around 15% to 17% growth year-on-year for FY '26. So out of this, we only considered only a very small portion of MSRDC, that is roughly around INR250 crores. So, because the land where the realignment is being done and the land acquisition is going at not at a very fast pace and the land, LOA, if you see any project of NHAI, wherein the Letter of Acceptance and actual appointed date usually will take around a year or so.
So, in that scenario, we believe that by May, if they secure 70% land and they release the LOA by March or say, and within 2 months of that, the appointed date is there. So, in those projects, they are the big difference between NHAI kind of a project where the land acquisition and appointed date LOA and they have the land acquisition LOA and the appointed date do not have a big say, a time gap.
Yash Dedhia: The question was basically from the remaining part of the order book, which is around INR11,000 crores, excluding MSRDC, you are saying from that INR11,000 crores, we can

extract INR6,500 crores plus of revenue next year?
Harendra Singh: You see there is INR2,300 crores of railway in which this railway station project, if we add this number also, this becomes INR3,300 crores. So, this is INR3,300 crores of railway out of this significant portion is going to be carried out in next year, say, around INR1,500 crores. Solar will all be completed because INR1,500 crores of solar, whi

ch balance is there, they will be all completed next year.
If you see the big number coming out of the solar and railway and the HAM project, which we already are having INR5,000 crores balance and even in Ganga project, which is around [INR800 some -- INR85 crores 32:50] balance. So, we see the numbers which we are operating

as of now. So, both altogether, which gives us the comfort that we will be reaching out very comfortably to INR7,000 crores
Yash Dedhia: And on the solar project, sir, now you are talking about 14% to 15% equity IRR, and then we are getting some margins from the EPC business also. So including the margins on the EPC business and also including the...
Harendra Singh: This return on equity is a separate portion and the EPC margin, which we are doing the EPC of solar, that is a different portion.
Yash Dedhia: Yes. So, on EPC, you would require some working capital and then you require capex on which you are earning 14%. But if you include everything, sir, then how much of an equity IRR including EPC, what is the total equity IRR?
Harendra Singh: So, equity is, definitely it is 25% of the total project of INR2,300 crores. So, this is INR700 crores. Out of INR700 crores, if you look at the return, which is a year-on-year basis, not upfront. So, this is year-on-year basis. If you look into the EPC, which we are operating of INR2,300 crores, so we are looking at around 18% margin, which are falling in within the time length when we are doing this EPC. You cannot just have totally of both at one instance.
Yash Dedhia: Okay. Okay. But sir, cash flow-wise, if you draw it out and extract the IRR, then where are we?
Harendra Singh: Given the indication because of the sanctions, which took got delayed, sanction was delayed not because of the bank. Their in-principal sanction was received somewhere in August or September only. But because of the SPV approval, which took almost 3 months -- delayed for 3 months. So that's why this particular cash flow, which now already, say, around INR400 crores of disbursement has been done within February only. So, things are all now track.
Yash Dedhia: Okay. Sir, on the roadside, finally, I mean, we've been reading that December onwards, there has been some push from the government side to sort of give more orders because nothing happened till December. So, are you seeing any tangible changes in the ground in terms of ordering, which we can expect because till January also, we haven't heard much and now we are already in mid-February.
So, for this year and coming year, sir, are we seeing any changes on the ground because the spends are really low, even though the capex budget is there, but there's nothing which is coming as the real spend from the government. And then there are concerns that with the Bharatmala project mostly over, there is nothing much that is there in the pipeline from the government side anyways. So how are you looking at it? And what are the signs you are picking from the government -- from the ground, sir?
Harendra Singh: Definitely, it has been delayed for a long. I think it's more than 1.5 years where nothing has been picked up as far as awarding is concerned or ordering is concerned. But I believe there are many projects which the government has also got the Cabinet approval where the certain DPR because now the focus is very clear that because of the time delay, there has been some prolongation costs and so they are now focusing more on the first securing the land, having all utilities alignment clear, then they will be looking into awarding and this has been a bit delayed.

And the further the approvals, which earlier was being very 2 years back and now it is taking a bit of a time. But it's not that all projects are dried out and there are not any project to be

rolled
out. So, there are projects. We have also seen like Hyderabad outer ring road is being announced where the EPC projects already where the bid is likely to be invited. So, it's not that the projects are not there. Definitely, the traction as of now, what we have seen, but I believe not big number is going to be there in quarter 4. But then again, is having the optimistic where the big amount

of orders likely coming from in NHAI only.
Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking.
Vishal Periwal: Sir, one thing on this battery energy storage. You mentioned 35% is the EPC. So, size-wise, this will be how much in rupees crores?
Harendra Singh: Sorry, I couldn't understand your question. Please repeat again.
Vishal Periwal: Yes, sorry. So, battery energy storage system, which you mentioned 65% is the bought-out component, 35% is the EPC that we'll be doing. So, in that 35% in rupees crores, this amounts to what number?
Harendra Singh: It would be roughly around INR500 crores.
Vishal Periwal: That is for the 100%?
Harendra Singh: For both the projects.
Vishal Periwal: Yes, yes. So, INR500 crores, this includes the battery plus the balance of plant, right, sir?
Harendra Singh: Apart from battery, yes.
Vishal Periwal: No, sorry, sir, I think I didn't get that. So INR500 crores is the EPC work?
Harendra Singh: Yes, EPC work, which will be done. This is INR500 crores for both the projects, which is 35% of both.
Vishal Periwal: Okay. Sorry, sorry. I got that. And then second on -- I think you did briefly mention that we are also planning to enter into new verticals. And what I could gather is like recently, we also made one hire, I mean, in the senior management. So, any particular segment that we are planning to enter? Any color that you can provide will be helpful, sir.
Harendra Singh: So, look I think in the space which we have recently entered, which is renewable or green and in this particular transmission and say water, these are the businesses which we always look that if the opportunity is now being divided on either an annuity mode or even hybrid annuity. So these are the projects which we believe that we look forward that in any case, for this instance, when the highway projects are not many and the cost competitiveness and the say, aggression has gone very high, where we are not able to have at least the orders as well as margins.

So, in that scenario, we are looking beyond the space for this instance, looking into the future opportunities, which their margins are also good, but the opportunities give both ways, where the equity IRR is fine as well as EPC margins are good.
Vishal Periwal: Okay. And then just a clarification that INR500 crores battery energy storage you mentioned, so it is not yet part of our order book. Fair to understand?
Harendra Singh: It's not that. No, no.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, you mentioned that our total receivables is around INR1,445 crores. Out of that, what would be our HAM receivables? And what would be from solar?
Harendra Singh: It is INR1,545 crores, out of which solar constitutes INR535 crores.
Vaibhav Shah: And HAM?
Harendra Singh: And HAM is INR375 crores.
Vaibhav Shah: Sir, we have seen some improved recoveries in Jan so far in month of Q4?
Harendra Singh: In solar, it has increased. No doubt it has increased in solar as there was the contract asset also, but now since there are the projects which we are operating, which are nearing completion, like I expressed about Odisha projects where there are contract receivables, which in few variations, which all settlement agreement executed now we are getting the payments within this. Like Rewari also, we had INR100-odd crores of projects, which were all executed but could not be built. Now it has

been built. So, we are now seeing in quarter 4, maximum of this debtor receivables and contract assets they are going to be within the range.
Vaibhav Shah: But solar going to see an increase in as of March '25 as well?
Harendra Singh: Solar is not going to increase because the disbursement is not taking place. This is the disbursement is coming to SPV and SPV is going to pay the EPC liability.
Vaibhav Shah: Okay. Sir, secondly, you mentioned that we are looking for a debt of closer to INR600 crores-INR700-odd crores. So that is by March '25? Or is it a longer-term target?
Harendra Singh: No, no, no. March ' 25 only because this I have already has explained about it because of the gap of 6 months where we want to secure the module orders, not to delay the time and the cost. So that was the big reason which we have increased a bit in this duration almost. But then again, it will be coming back to INR600 crores to INR700 crores only.
Vaibhav Shah: By March '25?
Harendra Singh: Yes.

Vaibhav Shah: And lastly, when do we expect to receive the appointed dates for 4 HAM projects, BRK 2 packages and 2 MORTH recently won HAM projects?
Harendra Singh: Jharkhand project, they are advancing very well because earlier, I think the forest land was not given the clarity, but now the replacement of the forest land has been given by NHAI. So, in that scenario, by March end or maximum in April, we will be getting the appointed for both the projects. Also in Ahmedabad project, the land is 100% available. So, as per the CA timeline, probably by April or May, we will be starting the project. We already have started the mobilization. And in Ayodhya also by June, we will be taking on the appointed date.
Vaibhav Shah: And sir, you mentioned that MSRDC, we will be targeting revenue of INR250-odd crores only for FY '26, right?
Harendra Singh: Yes, yes.
Vaibhav Shah: For both the packages combined?
Harendra Singh: Yes, for both the packages, correct.
Vaibhav Shah: And when do we expect to start the project in May, June or after monsoon?
Harendra Singh: No, they will be started post this monsoon only. Say by May, we are expecting that by March LOA and then 2 months down the line, entire mobilization and project is being declared. So, we believe that actual execution will be picked up post monsoon only.
Moderator: The next question is from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Sir, my first question is after solid execution in H1 FY '25 with 20% revenue growth, why have we seen a decrease in the revenue Y-o-Y growth number of 12%? Like is there any slowdown in execution?
Harendra Singh: See, there has been some issues with respect to the project Gujarat Karnal and Delhi DMRC and which are all nearby because of graft. So, that is because of those significant delay has happened. Otherwise, if you have seen that the Ganga contributed around INR500 crores, solar INR350 crores. But in these projects, the revenue doesn't trickle a lot.
As well as in railways, it's a bit slow down at the initial phase because of the design as already in the remarks, I explained all those things. But if there is a gap of around this INR100 crores to INR150 crores, which would have been done even better. But this is a one-off sorted. In quarter 4, we believe that as initially has projected that we will be touching around INR6,000 crores plus crores. So, around INR2,000-plus crores of execution will be done in quarter 4.
Jainam Jain: Okay, sir. And initially, we have guided with the order inflow guidance for with INR11,000 crores to INR12,000 crores of orders, and we believe that we are yet to meet the guidance of roughly INR3,000 crores to INR3,500 worth of crores. Are you confident about meeting the guidance number? Like is there any key project that we -- from which we are expecting the numbers to be met?

Harendra Singh: With this new railway station order, which is around INR8,200 crores, and this includes MSRDC order also. And if you take that order, then we can't have the number which we expected. But no doubt, it is INR8,200 crores and what the bid which we have already bided, and the results are yet awaited. And the bid is likely to be there in 45 days from now, say, 50 days from now, which we expect that around INR2,000 crores to INR3,000-odd crores of order can be easily added.
Jainam Jain: Sir, what is the order inflow and revenue and margin guidance for FY '26?
Harendra Singh: For the next year, we are expecting about INR7,000-odd crores of execution and with order inflow of around INR10,000 crores.
Jainam Jain: And what about margins?
Harendra Singh: Margins will always be around 15% to 16% that range.
Moderator: The next question is from the line of Parth Thakkar from JM Financial.
Parth Thakkar: Sir, will the interest cost in Q4 will be on similar line with quarter 3 or will it reduce?
Harendra Singh: The total INR72-odd crores is the total 9 months it has been there. So, roughly say around INR20 crores, overall, it will be around INR90 crores for the year.
Parth Thakkar: INR90 crores for the overall year, right?
Harendra Singh: Yes, yes.
Parth Thakkar: Okay. Also, sir, how much revenue are we targeting from Neelmangala-Tumkur project for FY '26 and FY '27?
Harendra Singh: FY '26, it could be roughly around INR200 crores and FY '27, balance all, everything will be completed.
Moderator: The next follow-up question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, how much capex we have done in 9 months and for fourth quarter, how much planning to

do and for next year?
Harendra Singh: So we have done around INR92 crores of the capex during the year and just I think a few crores, I think INR5 crores to INR10 crores in the quarter 4. And from the next year, we don't foresee any big number to be there. It just a INR40 crores to INR50 crores would be good for the next year.
Shravan Shah: Okay. Okay. Rajeev sir, you mentioned that the working capital you are looking at it to come down and accordingly, the debt level also will fall to INR600 crores, INR700-odd crores. So, in terms of the working capital, particularly because now the solar, you said that the disbursement is happening that will be helping. So, even for next year also, as such, one should not be worrying in terms of the working capital increase in terms of the days?

Harendra Singh: So, it's only what we just discussed about it. It's only a time gap, which was because of the SPV approval, which took 3 months, 4 months delayed. So that is where I think the banks were not having any reservation. The in-principal approval was already received some time back. So, it's only that. For next year, we don't foresee anything where the cash crunch of that increase in the working capital debt will be there.
Shravan Shah: Okay. And lastly, sir, you also mentioned in your opening remarks that you are looking to monetize further 5-odd projects. So, if you can help us, have we started any kind of a talk with the investors? And broadly, just a sense in terms of the total equity, obviously, how much we have invested in a broader sense, if you can say because the first deal was at a much better valuation price to book, 1.5x odd. So, how one can look at in terms of the valuation there?
Harendra Singh: As far as total equity, which we have invested in this would be roughly around INR770 crores. So out of INR770 crores, we are expecting, and the discussion is already we have started with a few of the, say, potential buyers. And I believe that as we are going to get the PCC for all 5 projects within the month of February only as per the settlement agreement, which we have executed because there

have been in 3 of the projects, there have been some portion where the PCC-2 is going to be there or COD is going to bid 3 months, 4 months down the line. So, by June, we are expecting that all the projects will be tentatively completed. So, within 6 months of timeline, which we are expecting that if the deal can be done at 6 months, we can start taking out the NOC from lenders as well as NHAI. So, this is quite, I think, going well on track only. And then again, the valuation, you never know definite, but we are expecting and there also have founded quite a good valuation for these projects.
Shravan Shah: Okay. But in terms of the cash, most likely it would be by end of March '26 or maybe it would be in the 1H of FY '27 that we will be getting the cash or equity back?
Harendra Singh: No, no, I don't see much of a challenge if that can be done within this year only because if you see February to February, it's a 1-year duration. PCC to that, again, the deal and then getting the NOC, everything can be done within the year '26.
Shravan Shah: Okay. And sir, are we open to bid for BOT toll projects now? Or are we seeing any pipeline or are we liking any project where we would like to bid?
Harendra Singh: No, no, not yet. Anything related to BOT toll, which already we have expressed our view that we would be happy working with any of the developers as EPC as earlier we were doing.
Shravan Shah: Okay. Okay. And even for next year also, let's say, if the road, let's say, the inflow is not to the extent or let's say, the competition, as you are mentioning, the competition is too high and road. So, to even reach a INR10,000-odd crores. So, if you can help us how much are we looking at from the road and all the water, solar or railway broadly?
Harendra Singh: Railway definitely. Railway opportunities are EPC only, and we have looked into this kind of opportunity where the margins around 11%-12%-13% so we believe that will be our priority. But then roads if they are going to shrink their ordering, then we are looking into this water where the HAM opportunities are there, like I have discussed with right now that Eastern

Railway where Eastern Rajasthan Canal project or in river linkages projects in MP, UP where almost Government of India has indicated around 90% of the funding will be given by central government. So, those are the projects on HAM basis. So, we will be looking into such opportunities.
Moderator: The next question is from the line of Uttam Kumar from Axis Securities Limited.
Uttam Kumar: Sir, in the opening remarks you mentioned about transmission project. So, what kind of transmission projects you are eyeing on? And what kind of order intake you are envisaging in

transmission sector?
Harendra Singh: So, since we have entered into the solar and renewable and battery, so we have seen the similar, let's say the solar is the power generation and the power generation and the evacuation where the step-up is being done because the substation and switchyard and other balance of all items.
So, in that scenario, we have seen that the transmission business where there are TB/CB kind of business, which again gives a similar of execution where the certain part is EPC, where the foundation work is to be done is civil construction, which is around 30%-35%. And there's a tower fabrication and erection. This is again a very simple kind of a project and the substation.
So, this is a similarity.
So, what we are looking into how we are exploring this opportunity that going further, if we may opt for this where both ways the return should be there. One is the equity return and the second is the EPC margin. Not a big margin, which we can consider, but 10% to 12% always will be our focus.
Uttam Kumar: Okay. And now, sir, coming to the labour issue. So, most of the infra companies, they were fighting labour issues in last 2 quarters. So, what has been the case with your company or is it something different?
Harendra Singh: Delhi projects struggle because of the labour, because of the grafts and then near to Delhi. And because of, say, in Bihar, Jharkhand or Bengal, where the opportunities are opening up. So, not many people are looking at moving out from those states. But that is a crunch, but it's not that significant where we are struggling a lot. It's the only thing which we have seen the election has definitely impacted this Lok Sabha election. That is impacted. But now the things are all normalized. It's not that a big gap is there.
Moderator: The next question is from the line of Deepak Purswani from Svan Investments.
Deepak Purswani: Just wanted to check on the railway project where we have been declared as L1. Just looking at the RLD estimated project cost appears to be INR1,470 crores, whereas our bid project cost is INR2,195 crores. So if you can give a broader sense in terms of how should we look from the profitability point of view in this project? And what has been the difference between L1 and L2 in this project? And why there is so difference in their estimated project cost and the bid cost?
Harendra Singh: If you can just compare the L1 L2 gap is hardly 2.5-3%. So that's not L3 followed by L3 also.
So there's not a big gap. Number one is because of this project is a kind of a unique combination

where the highway constitutes the right, not highway, it's a particularly elevated road to be developed. This is around INR800 crores and INR700 crores is just air concourse which is a purely fabricated item majorly where the other part is having the proficiency because they are having near to Hyderabad, this fabrication unit they have set up.
So, this is the 2 big one and the other is the MEP and HVAC. So, the civil part is very less in this project, where the building is already -- the construction has been started. So, in that scenario, the rates which we have calculated do have the margin visibility of about 12%. There is no doubt on that 11% to 12% margins are always there.
Deepak Purswani: Okay. Secondly, sir, on the bid, if you can also throw some light on the bid pipeline on the railway as well as you mentioned about the river linking. If you can give some more sense in terms of what are the bid opportunities which are coming up over the next 12 or 18 months?
How do you see that segment growing for us over a period of time?
Harendra Singh: Over a period of last 2-3 years where the EPC concept was revealed and now the project DPR to land to other things, which are shaping up. So, in that scenario, we have seen that a significant number are visible where it's a new line or it can be existing lines where the doubling or 3 lane or 4 lane has to be done. So, these are the projects which we are aiming at.
No doubt this year, which they are expecting that more than INR70,000 crores of projects are to be awarded. For this year to next year, I believe there's a on railways, which we believe this is a big number. But apart from railway, highways are also giving the sense that few of the states are also giving the indication that there are expressways, or some project will be there.
Deepak Purswani: Okay. And if you can also give some sense, sir, on the river linking project which we -- in terms of the bid pipeline or how should we see from the next 12 to 24 months point of view?
Harendra Singh: See in that context, one thing is the Eastern Rajasthan. This is the 3 rivers to be linked in which 2 states are benefited, is MP and one is Rajasthan. Rajasthan being the bigger, larger beneficiaries of that and also in Yamuna River is going to -- the feeder is going to be developed.
So, there is around, in Delhi, around, say, around INR1,25,000 crores of project, where the central government has given us go ahead for giving the 90% of the funding.
In also in [inaudible 0:58:10] in MP, so these are the projects again for MP state where the state

like Jhapi also in UP is going to be benefited. In Vidarbha, there are many more projects which are likely to be there. So, you see this is the opportunity, which earlier 5 years back, it was planned. Now it is shaping up. So, I believe there are opportunities are good. And in any scenario for HAM or EPC, we will be looking at the sector.

Deepak Purswani: Okay. And sir, finally, just wanted to check it out on the equity requirement, which would be required for the battery project. Would that be around INR500 crores or INR600 crores over the next 2 years?

Harendra Singh: This is around INR450-plus crores in the next 2 years, correct.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to Mr. Harendra Singh for closing comments.

Harendra Singh: So, I extend my gratitude to everyone for contributing their expertise and experience to the discussion. We value your presence on today's call and trust that we have addressed all your queries. Should you have any additional questions, please feel free to contact our Investor Relations advisor, Go India Advisors. Thank you, and good day.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

"H.G. Infra Engineering Limited
Q4 & FY '25 Earnings Conference Call"
May 23, 2025

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR–H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SALONI AJMERA – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY '25 Earnings Conference Call of H.G. Infra Engineering Limited, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Ms. Saloni Ajmera from Go India Advisors. Thank you, and over to you, ma'am.
Saloni Ajmera: Good morning, everybody, and welcome to H.G. Infra Engineering Limited Earnings Call to discuss the quarter 4 and FY '25 operational and financial performance hosted by Go India Advisors. We have on the call Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, moved in conjunction with the risks that the company faces.
We now request Mr. Harendra Singh to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Harendra Singh: Thank you, Saloni. Good morning, everyone, and welcome to the H.G. Infra Engineering Earnings call for our quarter 4 and FY '25 results. During this call, we will provide an overview of our financial and operational performance, discuss our strategy, road map and outline our growth ambitions. We will also highlight the key initiatives undertaken during the year and share our vision for sustainable long-term expansion in FY '26 and beyond.
H.G. Infra Engineering Limited with 7+ years of going public has demonstrated in all fronts, maintain speedy revenue and margin streak and with good controls over financials and process, thus well positioned to look beyond the present growth story. H.G. has delivered a good performance across all parameters, reaffirming its position as one of the fastest-growing infrastructure construction companies in the country.
We made meaningful progress in diversifying our order book, securing high potential projects across all sectors in highways and railways, also renewable energy, including solar and BESS. This marks a significant step forward into new verticals, including transmission and distribution, airports and water infrastructure projects. Backed by a visionary leadership team, we aim to generate approximately 40% of our orders from non-road sectors over the next 2-3 years. This forward-looking strategy not only broadens our growth horizon, but also elevates the HGIEL to the next stage of evolution, creating long-term value for all stakeholders and contributing meaningfully to India's infrastructure transformation. Moving on to some updates on the infrastructure sector. To sustain its high growth trajectory, India continues to prioritize infrastructure development as a national imperative.
The Union Budget '24-'25 reaffirms the government's commitment to positioning infrastructure as a key driver of economic progress. Strategic measures such as enhancing funding, increased private sector participation, a strong focus on sustainability and adherence to stringent safety

and quality standards can pave the path for inclusive and resilient vision of Viksit Bharat. Road sector, though it has been a dull awarding in the last 2 years.
However, the government is steadfast and its vision to transform India's road structure, targeting the construction of 10,000 kilometers of national highways in FY'25, '26 to enhance connectivity and reduce logistics cost. Flagship programs like Bharatmala and PM Gati Shakti are propelling this growth with ambitious plan to develop

50,000 kilometers of access control expressway by
2037 under Vision 2047.
Thus we have almost a great confidence during the year. Railways plan to invest approximately INR16.7 trillion by 2031 in freight corridors, high-speed rail network and station modernization. Key initiatives include the redevelopment of 1,324 stations out of 508, which already under construction and expansion of Dedicated Freight Corridors with robust private sector participation.
The National Rail plan outlines the detailed road map for future capacity and investment identifying projects worth around INR15 trillion in HSR currently under discussion. H.G. is now positioned well with good experience in running railway projects and prepared to take more projects in this sector.
The country's renewable energy capacity has witnessed substantial growth, rising from 78 GW in FY 2014–15 to 199 GW in FY 2023–24 . Solar energy has been the prime driver contributing nearly 80% of the new capacity additions during this period. To meet the 500-gigawatt renewable energy target by 2030, India has accelerated deployment through initiatives such as PM-KUSUM-C.
Additionally, the government plans to issue 50 gigawatt of renewable energy tenders annually until FY27-28 with 90 gigawatts already under construction and 44 gigawatts in development pipeline. The National Electricity plan prepared by the Central Electricity Authority outline specific energy storage requirements to meet growing demand. As renewable energy penetrates deeper, the role of energy storage becomes critical and ensuring grid stability and enabling round-the-clock clean power.
The battery energy storage system that is BESS are emerging to the two key technologies, the BESS capacity in India is expected to reach 47.23 gigawatt by FY2031-32, supported by a suite of financial incentives, regulatory frameworks such as Energy Storage Obligations (ESO) and dedicated national tenders.
This forward-looking approach reflects the government's commitment to sustainable growth, energy security and a resilient power infrastructure and gives us the opportunity to further extend our diversification into transmission distribution segment as well, thus setting up an overall ecosystem of new energy sector right from generation storage to transmission.
The government has lot of thrust in the interlinking of river and canal sector under which we are expecting next 5 years, good water and irrigation projects like Wainganga-Nalganga river linking projects in Vidarbha, Ken-Betwa link projects in MP and Rajasthan and UP, Eastern

Rajasthan Canal projects in Rajasthan and MP. So these efforts will align the strong prospects of government under the PPP/EPC model, thus giving us an opportunity to participate in these projects.
Urban infrastructure has been a big demand now, and there is immense potential to look forward in river infrastructure where demand has penetrated now into Tier 2 cities as well and has given trust to develop big metros like Delhi Metropolitan, Mumbai Metropolitan as well as Bangalore.
Our journey has been shaped by resilience, flexibility and consistent growth. Today, we are well positioned to tap into new opportunities in renewables, water and power distribution and with strong execution skills, technical know-how and industry experience, we are ready to take on large infrastructure projects that contribute to India's long-term development plan. Let me begin with a glimpse of our operational highlights for the year.
As of FY '25, the order book stood at INR15,281 crores with roads and highways spend INR10,392 crores, railways and metro at INR3,097 crores, solar at INR819 crores and BESS INR973 crores. Our order comprises of 36% of HAM projects and 64% of EPC. Segment-wise Road and Highways contributes 68%, Railways 20% and Solar and BESS projects around 12%.
This is an update on the EP

C project at Ganga Expressway project, which we have achieved
around 90% and continues to progress as planned is expected to be completed in Q2FY25. The Delhi UER project has been completed successfully and handed over to the authorities and it is anticipated to receive its COD shortly.

The Jamshedpur elevated project is running smoothly with the progress of 8.2%. The Nelamangala-Tumkur project is gaining execution momentum after the settlement agreement executed and has reached 34.9% completion. The letter of award for the two MSRDC project is expected in coming quarters. The delay is primarily due to land acquisition with the revised project alignment, which is the prime requirement for issuance of LOA.

In HAM project, the Karnal Ring Road has reached 62.1% completion, marking steady progress and likely to be completed in quarter Q3FY26. Provisional completion certificate for Raipur-Visakhapatnam corridor, Package OD-5 and OD-6 were received in April '25. These projects are nearing completion. Also Raipur-Visakhapatnam project AP-01 is heading for completion. All these three projects are on track for 100% completion by Q2FY26.

In the same fashion, PCC has been recommended for KD 1 and 2 projects and progress in these projects stood at 79.9% and 80.8%, respectively and both projects are expected to be completed by June 2025. For the Chennai-Tirupati HAM project, the appointed date was declared on 14 December '24 and is expected to gain execution momentum in the coming quarters. The current project stood at 8.4%.

The appointed date of Varanasi-Ranchi packages 10 and 13 in Jharkhand are expected in Q2FY 25-26, where significant development on forest clearance has been done. For Kosi Parikrama Marg Package 6 of Ayodhya the agreement is anticipated to be signed very shortly and the appointed date will be followed in quarter 3 or 4 of this year.

For Narol Sarkhej project, financial closure has been achieved and appointed date is expected in Q2.

There is the update on monetization of four HAM projects where we have successfully completed monetization as a first tranche of three SPVs, that is Gurgaon-Sohna, Rewari-Ateli, and Ateli-Narnaul as well as the second tranche involving Rewari bypass was completed on 20th February 2025.

All SPV shares has been transferred to Highway Infrastructure Trust, resulting in the total proceeds of INR503 crores. For the HAM asset monetization, for which we have initiated discussions with prospective investors for monetizing of six additional HAM projects that includes Raipur-Visakhapatnam Corridor Package OD-5, 6 and AP1, Khammam-Devarapalle Package 1 and 2 and the Karnal Ring Road project. We are sure to conclude the entire process and realize the proceeds by the end of this financial year.

Regarding equity requirement on HAM projects, the total equity requirement of 11 HAM project is INR1,657 crores. As of March 2025, INR915 crores being infused. And of the remaining INR359 crores is scheduled in FY '26, followed by INR197 crores in FY '27 and INR186 crores in FY '28.

Now turning to the progress of railway projects. The DMRC is around 72% completed and progressing as per the scheduled timelines. The Bilaspur Himachal Pradesh RVNL project is 59.4% complete. Kanpur Railway Station project is 21.35% complete. The initial issues of land and forest clearance related have been addressed in this particular project and is now in full swing.

Dhule, Nardana railway project is 8.3% completed. The Gaya, Son Nagar and Karanjgaon projects are at 7.5% and 6.4% completion, respectively. The slow progress in these two is primarily due to design and drawing revisions by the authority encountered on the ground of certain variations in COS. However, we expect to progress in the coming quarters as per the stipulated timelines only.

As far the solar project is concerned, H.G. Infra has strategica

lly capitalized on emerging
opportunities in India, expanding renewable energy landscape, particularly within the solar sector during this financial year. The company actively pursued solar power projects under the government KUSUM-C scheme, an initiative designed to accelerate the adoption of clean energy solutions across country. As a result of its proactive approach, H.G. Infra successfully secured 183 solar power plants cumulatively contributing an impressive 700-megawatt DC capacity. Among these, the company is directly responsible for 167 plants accounting of 638-megawatt DC. This is witnessed estimated EPC value of INR2,243 crores, excluding GST.

To ensure smooth project execution, H.G. Infra has finalized the land lease agreement for all these developments and PPAs have been successfully signed by DISCOM. Our progress on these -- all projects remain on track with approximately 63.8% completion achieved till 31st March 2025. The installation and commissioning process are proceeding as per the schedule, demonstrating the company's commitment to timely delivery and operational efficiency.

In terms of the financial structuring, debt funding for these solar projects is progressing well with approximately 70% of the required funding being sanctioned, and the remaining approvals and subsequent disbursement are anticipated to be finalized in the first quarter and subsequently second quarter of FY26.
Regarding equity financing, the total equity investment required for the solar project stand at INR721 crores. And as of March 31, 2025, the company has infused approximately INR445 crores into these initiatives with the remaining balance to be set to be deployed in FY2025-26. This well-planned capital infusion strategy ensures H.G. Infra maintains sufficient financial flexibility to meet critical project milestones, reinforcing its long-term commitment to sustainable energy growth and while expanding its footprint in India's renewable energy sector.
As far as BESS project is concerned, the company has executed binding agreement with GUVNL and NVVN for 435 megawatt that is 870-megawatt hour with scheduled commissioning by December 2026. The core project cost for these two projects is around INR970 crores plus GST and with an equity commitment of INR295 crores.
The equity requirement during the current financial year is likely to be INR120 crores, whereas the balance will be incurred in the subsequent financial year. Once all these projects of solar and BESS are completed and commissioned, the annual revenue of INR300 crores from solar and INR225 crores from BESS will be generated from these projects.
Let me now give an overview on the other significant updates for quarter 4 FY '25. In quarter 4 FY '25, the company in joint venture with DEC Infrastructure project, Hyderabad secured a significant rail development project from the Rail Development Authority for the redevelopment of New Delhi railway station. The total project cost stands at INR2,195 crores with the company holding at 49%, amounting INR1,076 crores, that is inclusive of GST.
Additionally, in April '25, the company has awarded a battery energy storage project from Gujarat Urja Vikas Nigam. This is the third project. The project involves setting up of 300 megawatts, that is 600-megawatt hour in the state of Gujarat. The tariff for the project is set at INR2,85,600 per megawatt with a contract duration of 12 years. The core project cost is expected to be around INR670 crores plus GST with an estimated commissioning date of by October 27.
With just the total project cost of BESS project amounts to INR1,700 crores with a total project capacity of 1,470-megawatt hour. Moving on to the financial highlights for Q4 FY '25. As far as standalone financials are concerned, revenue for Q4 FY '25 reached INR1,973 crores with an EBITDA of INR283 crores at an EBITDA mar

gin of 14.3%. PAT for Q4 FY '25 stood at INR212
crores with a PAT margin of 10.8% as compared to INR160 crores and a margin of 9.8% in Q4 FY '25.
Revenue of FY25 stood at INR6,052 crores compared to INR5,122 crores in FY24. EBITDA for the year was INR951 crores with a margin of 15.7% for the year. PAT for FY25 came in at INR577 crores, maintaining a profit margin of 9.5% versus INR545 crores and a margin of 10.7% in FY24.

On a standalone basis, our gross debt stands at INR1,068 crores. This comprises INR404 crores in working capital debt and INR664 crores from term loans and current maturities. The surge in the debt from the last year is due to significant funds deployed for procuring and blocking the solar modules to secure competitive prices and to complete all the projects as per the scheduled timeline.
The debt will mellow down by Q2FY25 and further cool down by the end of this financial year.
Now to the consolidated financial, the revenue for Q4 FY25 reached at INR1,361 crores with an EBITDA of INR239 crores at an EBITDA margin of 17.6%. PAT for Q4 FY '25 stood at INR147 crores with a PAT margin of 10.8% as compared to INR190 crores and a margin of 11.1% in Q4 FY '24.
Revenue for FY25 stood at INR5,056 crores compared to INR5,379 crores in FY24 and EBITDA for the year was INR1,058 crores with a margin of 20.9%. PAT for FY25 came in at INR505 crores, maintaining a profit margin of 10% versus INR539 crores for the same -- and the same margin in FY24.
As informed in our quarter 2 earnings call, the dip in the consol revenue and the PAT numbers in consolidated pertains to the intergroup transactions between HG and SPVs related to solar

projects, which are eliminated in our consolidated financials. As a result, revenue and expenses from these projects do not appear in the consolidated P&L statement but are recorded in capital work in progress that under fixed assets.

At the standalone level, H.G. Infra recognizes revenue from EPC work and pays tax on this income. However, in the consolidated accounts, both revenue and cost from these intercompany transactions are eliminated, reducing the overall figures and margin compared to the standalone financials.

The tax expenses for these earnings remain impacting consolidated margin negatively until the SPVs generates revenue from unit production. Once revenue starts flowing, this effect will reverse improving consolidated financial performance. On a consolidated basis, the company gross debt stood at INR4,092 crores. This includes INR1,068 crores on a standalone basis and INR2,055 crores as a project debt related to HAM and INR969 crores in solar project debt.

Let's explore what's next turning to be our future strategy and plan. We are targeting an order inflow of INR11,000 crores for FY '26 with approximately 70% coming from roads and railways and 30% from other sectors. We remain confident in sustaining our EBITDA margin of 15% to 16% and achieving revenue growth of 17% to 18% in next year.

Our focus continues to be on operational efficiency, strategic project selection and disciplined capital allocation to preserve margins, minimum debt and enhance shareholder value. While we have deep expertise in roads and highways, rising competition and shrinking margin in the segment underscores the need to diversify.

We are actively exploring high-growth sectors such as airport, ropeways and transmission distribution, leveraging our core strength in execution and engineering. This strategic diversification not only supports long-term growth and margin improvement, but also

strengthens our position as a future-ready multi-sector infrastructure leader. So we can now start question and answer.

Moderator: The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Y

es. Thank you sir for the opportunity. A couple of questions. Sir, first on the margin front. So though this quarter margin was on the lower side, 14.3% EBITDA margin, but we are saying 15% to 16%. So just to get a confidence that was there any one-off in this quarter, and then now onwards, we would be seeing a 15% to 16% margin?

Harendra Singh: Margin always remain to be in that category only. But because of this some provision and 1 or 2 projects where the change in law, this clarity was not there, so that has been looked into as a dip in the margin. But subsequently, we are looking into raising this claim to the authority and recognizing this margin at a later stage. But however, we are confident enough that we will be -- our margin would be in the range of 15% to 16% in the year as well.

Shravan Shah: Got it. And also on the revenue front, when now as we are saying 17% to 18%, so close to INR7,100 crores kind of revenue that we are looking at versus INR6,000 in FY '25. So just trying to get a further sense on that, that the couple of projects where we are still yet to get appointed date, so roughly around INR7,200 crores is yet to get appointed date and particularly this MSRDC two projects.

So how -- if you can help us how much are we looking at revenue from these projects where appointed date is yet to be completed? And also in terms of -- if you can help in terms of the solar, the entire -- mostly the order book, INR800 crores would be completed in this year? And how much are we looking at from railways? So just trying to get a sense that how are we confident that this INR7,100 crores revenue we can get?

Harendra Singh: So definitely, this is a total order which is INR5,000 odd crores in which around INR6,000 plus crores of project are yet to receive the appointed date. But as far as solar is concerned, by quarter 2, they would all be done INR800 crores. So as far as debt is concerned, we are considering not much, but INR350 crores of this year execution as we have committed to complete those projects by December 26. So this is put together around INR 1,200 crores coming from solar and BESS only.

In HAM project, they are project like Khammam–Devarapalle package, KD-1, 2; OD-5, 6; AP-1 and Karnal. They all will be completed and there are around INR800 crores of balance work, which is yet to be done in the year only.

In projects like Chennai-Tirupati, and Jamshedpur, Tumkur, as well as -- these are the projects which are going to yield additional INR1,000-plus crores of revenue for the year. And look at the big number is big number is Ganga Expressway which is definitely is going to be completed is INR700 crores, which is balance, which is to be done within the year only.

So we are confident that around INR1,000 crores of revenue coming from railways and then solar and BESS and the project which we are talking to, we are very fast and near to completion in these projects. And we have the appointed date as recently as being given in Jamshedpur and Tirupati, so they are big chunk of business to be done within the year.

And talking of appointed date, we have the Sarkhej project, we have the financial project done and the land is all available. There is one minor correction in forest clearance which is being done. In quarter 2, it is expected to be there. As well as the Charmin package 10 and 13.

So this is the project where we believe that it has been delayed significantly but with the forest clearance already now nearing closure. So we are expecting by quarter 2, the appointed date would be there.

And as per the season starts in later half of the year, we are confident to have a good number.

So irrespective of the fact, Nagpur-Chandrapur project may not yield anything in the year, but we are confident that these are the numbers which gives us more than INR7,000 crores.

Shravan Shah: Great. Great to hear that. And

just broadly in terms of for FY '27 also, given the INR11,000 crores kind of inflow that we are looking at this year, if we get it, the similar kind of a 15% plus kind of revenue growth should be there in FY '27 also?

Harendra Singh: Yes. Of course, I think with the orders of Nagpur-Chandrapur converting into the appointed date and the other INR11,000 crores more addition, we are confident enough that INR8,000-plus crores can be done in '27.

Shravan Shah: And on this INR11,000 crore order inflow that particularly we are looking at 70% from road. Sir, for last 2 years, the hope is there, particularly on the NHI front in terms of the order inflow, but actually, it didn't materialize. So are we now seeing a confident -- and also if you can help us in terms of the bid pipeline and how much value of projects that we have already bidded. So just to get a sense that are we confident that the INR11,000 crores, so maybe INR7,000 crores to INR8,000 crores we are looking from road, we will be able to get it.

Harendra Singh: So there is a strong pipeline as far as DPR and projects are concerned, had it 2 lane paved shoulder to 4-lane, where nothing much is to be done only the DPR and the selected to be awarded. With a slight delay is because of the pre-qualification already rolled out in EPC and likewise it is likely to be there in HAM. So there has been some kind of a cooling period last year. But we believe, I think the budget is already in place and there are many projects in the pipeline as far as NHAI ministry is concerned.

Apart from this, we are looking into those projects from state like Maharashtra and UP or so they are also having their expressway pipeline ready. So we are expecting, this is not a very difficult number for the year. And again, keeping this open with Adani, we are going to successfully complete this year. So they are also aggressively looking into a few projects on a BOT. So we are looking into this particular prospect as well as for road EPC is concerned.

Shravan Shah: Okay. Got it. Now just a couple of data points on the balance sheet front, sir. If you can help us with the mobilization advance, unbilled revenue, HAM debtors and solar debtors.

Harendra Singh: So as far as the mobilization advance is concerned, it is at INR410, but it actually is INR190 crores from the client. So there has been, in the debtor part, which is the incremental solar is INR585 crores, which is to be netted off with INR220 crores because some of the SPVs, the advance has been paid and some of the SPVs there is a debtor balance. So typically, it's INR220 crores less than what has been there.

So as far as unbilled is concerned, definitely INR1,300-something crores is almost the same as last quarter. But there is likely to be a significant dip in the realization for the year as all the projects which are nearing completion, which we are hoping last year, all these projects will get convert into the revenue as unbilled and HAM SPV, as well as there's Adani project, which we will be completing.

There is some variation items which are being realized now, as well as the other projects which we are talking where the NHAI, old UER, as well as DB89. So all these put together where the unbilled is significant is likely to be realized within this year in quarter 2, especially starts from quarter 2 to quarter 3 and 4.

Moderator: Shravan sir, I would request you please come back in the queue for further question. The next question is from the line of Gaurav Uttrani from Axis Capital. Please go ahead.

Gaurav Uttrani: Hi. Good morning, sir.

Harendra Singh: Good morning.

Gaurav Uttrani: So thank you for the opportunity. So just wanted to check on margins if we are guiding for or we are targeting a 40% of the contribution to our books in next 2 to 3 years from the non-road highway segment. So how do we look at the margins going forward?

Like would it remain in
the range of 15%, 16%? Or we can see some dilution because the segments we are catering to, or we are targeting are a bit competitive in nature? And would it sort of dilute our margins going forward?
Harendra Singh: As we are expecting that definitely the execution due within the next 2-3 years can come to 60% from roads and other than roads, railway, it can be solar or BESS or even transmission or water.
So looking into this sector where the margin in historical past has not been revealed so good, but we are expecting that as we are doing in a few of the railway projects, the margins are equally good at about 12%, 13%. At the EBITDA level, it is around 14%, 15% rather. So in solar, we did well, and the margins are really good.
So looking at these opportunity, again, averaging out with the HAM projects likely in railway, roads, which are to be -- we are expecting where the competition, which has been so intense last few years is going to be cooled down. So with that, we are expecting 15-plus margin to 16, that is quite manageable.
Gaurav Uttrani: Okay, sir. Got it. And sir, apart on this, the recent notification which came out from the NHAI about land clearance on what they've been highlighting that land clearance should be done before tendering or putting on that. So how do we think like in terms of inflows going forward or, say, for a coming year also, that would it be easier for us to get more of such orders from the NHAI?

And how do we see the tender pipeline also for the coming year and next 2 years in that terms? If you can just highlight on a macro level?
Harendra Singh: So definitely, this is a good move as such for concessioners and NHIA is concerned because the land should be in place while first to even start tendering and awarding an appointed date. So -- but now as the time is being -- say significant time is being taken in those things, for that 25,000-odd kilometers, which as their PCUs are qualifying for 4-lanes where the land is all available.
So they are targeting to see those projects where the DPR is at an advanced stage can be awarded for the year. And subsequently, as to green project, this green expressways or other projects where the land is likely to be as they are looking within there is a significant -- this has been done. So with that advancement, we are expecting those projects as well, which were available in the bidding pipeline last and last year also likely to be awarded this year.
Gaurav Uttrani: Okay, sir. And sir, lastly, on the working capital, we have seen that in FY '25, there is an increase in working capital. And what sort of working capital do we target for the coming years? If you can just highlight the reason for FY '25 also and the coming years, what we are targeting?
Harendra Singh: So there has been 2 reasons as far as working capital is concerned. We have gone to for the say, short-term loans, as far as to see the mobilization advance because the mobilization advance is actual is INR190 crores, and we have taken this call to take it from banks. So there's a very short mobilization advance -- in lieu of mobilization advance, there is FTL. So we are being recovered as we are progressing into execution of all these projects.
So one thing; also, there's a mean term in that particular because of the solar locking the prices of the module as well as inventory, which has now gone very high, around INR550 crores because of the solar inventory only.
So this is going to be consumed within the year. So ultimately, from the -- as we are completing this EPC, we are getting payments from tentative INR2,000 crores-plus crores from banks only through SPV. So this is going to be mellowed down by quarter 2, as well as by year-end, it will come down to a very reasonable number.
Gaurav Uttrani: Got it, sir. Just last question, I missed...
Moderator: Sorry to inte

rrupt. Mr. Gaurav I would request you to please come back. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Yes, thanks for the opportunity. Sir, I missed on the appointed date part. So for -- you mentioned that for Nagpur-Chandrapur, both the packages, we are not expecting any revenue. So earlier, you were targeting roughly INR250 crores in FY26. So they are not targeting anything for this?
Harendra Singh: Since as of now, the land acquisition, where the realignment is being done because of some coal blocks encountered in that alignment, old alignment. So they are not getting the NOC from the coal -- Western Coal Field. So that is the reason behind they are changing some alignment. So this is taking some time.

So as soon as they are acquiring 70% of the land, they will be issuing the LOA tentatively by this quarter 2 end, the LOA. And we are not expecting, anything is not being done because of the appointed date. So that's why we have taken out that particular project where the contribution may come or may not.
Vaibhav Shah: Sir, secondly, on Varanasi, you mentioned that it should be in Q2 the appointed date. So execution can be around 30-odd percent for the year?
Harendra Singh: Yes, definitely because with the mobilization already done, we have tracked big amount of aggregate and everything has been done. So we are very suitably poised as soon as this appointed date by this quarter 2 in August and September, we are expecting. Because the forest clearance is now at a very advanced stage of about 70% to 80% land here.
So with that, we are expecting that all execution will be where the mobilization done, as well as the project which we are completing very nearby. Therefore, will be done taken up, and we are expecting more than INR700 crores of revenue coming up from this project only.
Vaibhav Shah: And sir, for Bahuvan, what will be the appoint date target?
Harendra Singh: Which one?
Vaibhav Shah: Bahuvan, the UP Marg.
Harendra Singh: UP Marg, likely by year-end because very recently, within 2-3 days, we are going to sign the concession agreement. So 5 months from now, we can expect by this October, November where the financial closure and other things are done. So in quarter 4, we can expect the appointed date.
Vaibhav Shah: Okay. And sir, secondly, in terms of overall opportunity, so in terms of highways, are we looking for bidding for BOT projects in FY26?
Harendra Singh: No, BOT, we are not interested as of now.
Vaibhav Shah: Okay. And sir, lastly, we had mentioned that there is some INR5 crore impairment in the quarter. What was it pertaining to?
Harendra Singh: Provision.
Vaibhav Shah: Yes, INR5 crore impairment we have done regarding to other assets and you mentioned in the notes to account. So what is this regarding to?
Harendra Singh: I think I'm not getting your question.
Vaibhav Shah: In the results in Q4, there is an INR5 crore impairment that you have taken.
Harendra Singh: No, it's not. I think you -- there's some misunderstanding. It's not there anything. You can come at a later stage to ask anything which you want.
Management: We'll clarify later. Whatever doubts you have, we'll sort it out separately.

Vaibhav Shah: Okay, okay, sure. Okay. Thank you, sir.
Moderator: The next question is from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Sir, my first question is you had guided for INR11,000 crores to INR12,000 crores worth of projects in FY25, and we have received only INR9,000 crores worth of projects. So can you highlight something on that part?
Harendra Singh: So initial estimation was supposed to be INR10,000 crores, and we added around INR8,500 crores, is it?
Jainam Jain: You had guided for INR11,000 crores to INR12,000 crores.
Harendra Singh: We project

ed at around INR10,000 crores of order addition initially, and we completed at around, say, INR8,500 crores, that is the whole year. There is a loss of this thing around INR1,500-odd crores because of this highway order, not many of the orders or much of the addition has been done.
Jainam Jain: Okay. And this year, we are targeting INR11,000 crores, right?
Harendra Singh: Right.
Jainam Jain: Yes. And sir, are we seeing any further big opportunities in railway station redevelopment side?
Harendra Singh: We are expecting that we already have taken two projects. One is in Kanpur as while doing those projects, we understood that the initial phase definitely being brownfield, some permissions, some kind of chartered utility shifting took place time to -- but thereupon, it's quite a good -- reasonably good margin. So that's why in New Delhi, we have participated along with the partner. So looking into these opportunities going further, definitely whatever project comes in.
Jainam Jain: Okay. Are there any major projects which we are -- which are yet to get redeveloped major stations? Mumbai is done. New Delhi is done, and lot of major stations are done.
Harendra Singh: Balance and there are many other projects where the small and big, not too big as well, but they are all balanced which are yet to be awarded.
Jainam Jain: Okay, sir. And sir, we are seeing an increase...
Moderator: Sorry to interrupt. Mr. Jainam, sir, I would request you to come back in queue. The next question

is from the line of Veenit from Investec.
Veenit: Sir, a couple of questions. One is on the solar side, what kind of margins can be expected in a typical solar EPC job? And what is the value add or what is the right to win for us in this category?
Harendra Singh: So as we have experienced definitely, these are all current projects, but that too, we could manage very effectively with our good strong, say, execution capacity. So looking beyond this, we are looking into solar where round the clock or the solar, BESS, this hybrid as well as solar

wind hybrid can be -- we are looking to such opportunities where we are bidding those projects. And looking further with this transmission also, we are looking that way to see any good opportunity coming from transmission and distribution. So making it the whole infrastructure or ecosystem of new energy.
Veenit: Sir, I wanted to understand more on what is the right to win here. What is the execution which we do? What is the proportion of bought out components? How does cost escalation pass-throughs work? Or are these more like a fixed price contract? And in a typical scenario, going forward, other than the solar projects which we are executing, what kind of EPC margins are doable? Is it around 10%, 11% or 12%, 13%? What type of margins can we do here?
Harendra Singh: So what we have understood as far as all battery projects, it's around 12% to 12.5% so that is the EPC level. And the bought items in that also, it is around, say, 65% to 70%, even more in battery. But then again, if you're talking of solar, it's around 70% of the bought-out items and rest is all land and other area, which is civil works.
So keeping a margin of about 12% is the range which we would be looking for future bids. And this is a fixed price contract. There is no price escalation, which is to be paid until there is a change in law parameter which is affecting your project.
Moderator: The next question is from the line of Uttam Kumar from Axis Securities.
Uttam Kumar: I missed the number on equity investment in solar as well as battery storage currently. How much we have done and how much we will do in FY26-27?
Harendra Singh: So in FY26, it's around INR750 crores, out of which around INR360 crores to HAM and INR391 crores is the solar and battery. And subsequently in FY27, it is around INR197-odd crores in HAM and INR460 crores in bat

tery because solar will be all done.
Uttam Kumar: Okay. So all in all, in totality how much we will invest in next 2 years in HAM and solar and in battery storage?
Harendra Singh: As of now, project which we have taken is INR1,360 crores yet to be infused.
Uttam Kumar: Okay. And sir, this quarter, our finance cost has increased quite substantially. So can we expect it to normalize going forward?
Harendra Singh: Yes, definitely, as I already expressed where it has gone high and why it is going to narrow down very fast.
Uttam Kumar: Okay. And sir, what would be our capex guidance in FY26 precedent?
Harendra Singh: There is not much of the capex is required because we do have heavy capex ready where these projects which we are talking that we are on 8 projects, mega projects where all completion being done within this year till quarter 2. So any, say, project equivalent to INR6,000 crores to INR8,000 crores where we want to mobilize railway or even highway is adequate capex is available. So hardly, it can be just INR20 crores-INR25 crores for any key critical equipment if required.

Moderator: The next question is from the line of Deepak from Svan Investments.
Deepak: Congratulations for a good set of numbers. Sir, firstly, I wanted to check it out in this year, I mean, in the revenues of INR6,050 crores, what would be the broader breakup in terms of the solar, railway and road project?
Harendra Singh: So in UP, Ganga Expressway was one of the bigger contributors at around INR1,644 crores and HAM INR1,586 crores. Solar did contribute to INR1,430 crores. So these are major ones with railway INR445 crores and other EPC INR965 crores.
Deepak: Okay. And sir, I mean, this year also the investment in the subsidiaries has increased from INR628 crores to INR1,368 crores. I mean, overall investment on the balance sheet side. So this is primarily into the solar project, which we have invested? Or how should we look into it?
Harendra Singh: As we were discussing from last Q2 to now, so this is because the typical nature of the project where the commissioning is a period of 6 months maximum. So within that duration, we need

to pump in funds from everywhere wherever possible. So it is because of that reason only.
Deepak: Okay. And sir, finally, I just wanted to check it out in terms of the pipeline opportunity on the solar and water and river linking side, if you can throw some light, how should we look into this opportunity going ahead?
Harendra Singh: The central government is now checking upon the opportunities into river linkages, which is Ken-Betwa as well as the Eastern Rajasthan Canal that is INR80,000-odd crores as well as in Bhadra in Rajasthan and in Vidarbha. So there are many more projects where the central government is interested and they look like they will be approving and going ahead with this opportunity. So, these projects unlike JDM, they are different kind of projects.
Also in water projects in Rajasthan also, we have seen in one of the HAM projects where bids are invited with 10 years of O&M HAM projects. So those are the projects which we look forward where we do have some, say, qualification restrictions, but we are looking at the joint venture partner to look further as well as in solar, we are only looking into those bids where the margins are intact around this one. We don't want to go very aggressive into any solar or transmission.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta Sir, first question is on the order inflows. So I think even in the quarter 3 con-call, are you able to hear me?
Harendra Singh: Yes.
Sarvesh Gupta Yes. Sir, even in the Q3 con call, which was in February, we had guided for INR11,000 crores to INR12,000 crores of order inflow for FY25. So we are short by almost 20%. So now this year, again, we are guiding for INR11,000 c

rores. So what has changed in the ground, which gives you the confidence that this time we will be able to meet the order inflow guidance?

Harendra Singh: So as in last year also, there has been a major dip in the highway only because there are a few kilometers being awarded at Ministry level or NHAI. So this is now going for the year because as we were discussing about because of the prequalification and certain land DPRs and sanctions were not in place. So this year, definitely, the budget is in place, and we are looking to the same opportunity, same around say INR7,000 crores to INR8,000 crores of projects from highway to contribute into INR11,000 crores.
Sarvesh Gupta And secondly, on the HAM monetization, so the first 4 projects, full money is already accounted for in the fourth quarter result. Is that right?
Harendra Singh: Yes, definitely, it has been done.
Sarvesh Gupta And the 6 additional HAM projects, sir, which are supposed to be monetized, I'm guessing we are having around INR750 crores invested in that. So that money should come back in this year with some accretion.
Harendra Singh: The total equity into these 6 projects is equivalent to INR900 crores plus. And the debt probably is around -- as of now, it is around INR2,100 crores into these 6. So we are looking into this monetization as we are completing PCC of 4 projects already, we have received. So with that, within 6 months, we can do that entire transaction. By the year-end, possibly, we would be looking that this entire money can be taken back.
Sarvesh Gupta And sir, we mentioned that we want to be like a future-ready multi-sector construction company. Now one doubt on that strategy that I have is that if I look at all these multi-sector construction companies which are listed currently, none of them are able to even reach 10% sort of a margin. So what gives us the confidence and we have been a company, sir, where 16% margins were the norm. So if we go down that path, will we be able to protect the kind of margins that we had or we will also slide down to barely double-digit sort of EBITDA margin company?
Harendra Singh: For sure, I think what you are talking, we have seen all maximum companies with multisector. Multisector is not that we -- prime focus would definitely be the highways only. We are seeing that there is a big amount of work which is to be done in the highway. It's not that case, the highway is not done.
So it's the only last 2 years which we have seen because of the last 3, 4 years because of the price -- the cost competition and aggression as well as this slowdown because of this project awarding. But then again, there are strong pipeline in this particular. So roads always will become -- will be our prime product.
Apart from that, yes, definitely, if we are not looking into just railway, just metro as urban infra, we already had done UER Delhi, UER project where the urban is involved. Metro, we have -- Gurgaon Solar, we have done. So there are the viaducts, which we are doing, Jamshedpur, we are doing. This is a 9-kilometer viaduct. So with that, this gives us the opportunity into urban infra also without compromising the margin, we are not confident that 100% it is possible to make 16%. But within the range of 15% to 16% over a period of 2, 3 years, it is quite possible.

Moderator: The next question is from the line of Girija Ray from Yes Securities.

Girija Ray: Just to sense some kind of historical number. I'll not take much time. So just can you help me out with the number that four HAM projects we have monetized. What was the total equity investment we have done for those four HAM projects? And secondly what is the value of the total...
Harendra Singh: Just one by one. I think it was INR373 crores, which we added equity inclusive equity in four HAM, o

ut of which INR503 crores already realized and there's around INR20-odd crores, which is likely to come within this year. Around 1.5x.
Girija Ray: That price to book is 1.5x, right?
Harendra Singh: Correct.
Girija Ray: Yes. And one more question that is Rewari Bypass Package 4. So, I think we have got a good valuation on the project. The price to book value is quite higher as compared to other 3 of our HAM projects. Am I correct?
Harendra Singh: Yes.
Girija Ray: So what makes that valuation a little higher and we got a good valuation in that if we compare...
Harendra Singh: It all depends upon the project complexity. So wherein it is a price indexing being done because of the WPI and CPI index. So it's one thing as well as the cost of O&M, which we value and the other partner value who is taking over the project. So as we are discussing in these 5 projects also, they are the dynamic parameters, which one project can yield very good, even 2x. And one project can only yield 1.1 to 1.2. So averaging, this is the number which we are looking at.
Girija Ray: Okay. And sorry to take it further, this will be my last question. So around INR30 crores to INR40 crores of differential amount, I can see if I do a calculation based on 1.55x book -- price to book value -- sorry?
Harendra Singh: This is INR30 crores. This is around INR30 crores, which is balance.
Moderator: The next question is a follow-up question. It's from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Sir, are we L1 in any of the projects which we haven't included in the current order book?
Harendra Singh: Sorry?
Jainam Jain: Are we L1 in any of the projects, which we haven't included in the current order book of INR153 billion?
Harendra Singh: No, no. Only the project which we got in April 25, that is the battery project is not added here. That's around INR700 crores. That is not added here.
Jainam Jain: Okay, sir. And sir, I didn't get the number of order pipeline which we have for FY '26 and the amount of bids we have already submitted for.

Harendra Singh: Around INR16,000-odd crores of bids already done across various sectors, majorly highway and railway. And so we are expecting to be the bids and bid pipeline go down. As far as NHAI concerned, is INR80,000 crores NHAI [inaudible 0:57:03], and other think it's all rolling kind of a thing. We are not having 100% accurate data.
Moderator: The next question is from the line of Tushar from KamayaKya Wealth Management.
Tushar: I just wanted to know like the guidance which you gave start -- like you're targeting INR7,000 crores for FY27, right, if I'm not mistaken, with the margin of 15%, 16%, and we keep that growth momentum going forward. Is my understanding correct despite Chandrapur-Nagpur project not fructifying?
Harendra Singh: Yes, definitely. As we are concrete on the numbers, the figures are quite confident -- we are confident that we will be doing more than INR7,000 crores for the year FY26.
Tushar: Fair enough, sir. And sir, in the transmission and distribution and water management, what sort of margins are you seeing in that? And why it has not contributed to our order book as of now?
Harendra Singh: No, because we have just explained about it because of the solar projects, where the capex being done. So there's an INR1,300 crores plus capex done in these projects where the top line and bottom line being eliminated from the standalone number. So the consol number is giving a different picture, around INR300 crores, INR200 crores odd crores of PAT is negative, if you see that number.
So ultimately, whenever we start producing generation, in this year, we are going to -- we already have started generation has already started. So within that is going to be corrected in the coming quarters with console number will be corrected.
Tushar: Okay, this is a bit different question. Sir, do

you see any opportunity in airport or runway EPC
going forward?
Harendra Singh: Yes, EPC, definitely there are many airports where the EPC bids are invited like Varanasi, Kota already in the pipeline.
Tushar: Do you see that fructifying in terms of your order book going forward?
Harendra Singh: Sorry?
Tushar: Do you see airport runway EPC in terms of your order book, do you see that addition going forward?
Harendra Singh: We are qualified and we are participating in these bids.
Moderator: The next question is from the line of Ishan Bhatt from Ishan Investments.
Ishan Bhatt: Congratulations on the results. I would like to inquiry about how the company is concentrating on the southern region, particularly the development of Amaravati Capital of Andhra Pradesh.

How closely you are monitoring progress of tendering projects either individually or joint venture?
Harendra Singh: So we have not yet initiated anything in Amravati development as of now because it's not that we are not interested. But definitely, as the time comes, we may look into any bit.
Moderator: The next question is from the line of Madhvendra, an Individual Investor.
Madhvendra: I have a few questions. First is that we had entered the water segment around 1, 2 years ago, but we haven't seen any major order wins or any order wins from this segment. And other thing is one of your competitors stated that road project ordering has slowed down due to -- the government is looking to change the bidding norms due to increased participation from low-cost contractors and it's been concerned because of past issues of execution delays? And the third question is, this intercompany adjustment has been a volatility on the financials. And frankly, it's somehow impacting the sales price. So how do you see this panning out?
Harendra Singh: So your last question can be very well answered. It's only a time gap that definitely the margins which we are reporting at the standalone level, they are the right margins. And any elimination which is being done now intercompany between SPV and EPC is going to be seen being corrected in subsequent years.
So the margins are like definitely would be coming back into consol only. The second thing is the water sector as we have done and we have tried because in the recent past, we have seen in JJM, there has been lot many budget issues, a lot of budget issues, the payment being struck. So we dropped the proposal at that point of time, though very ready with bids. But now this water interlinking, river interlinking projects and we -- what is a water resource department this is not drinking project. So there, we look like it is a big infrastructure capex to be done. So these are the one.
I think the third is what we were looking at the prequalification where the crowded space of roads, they have taken this water project. It's not that the prequalification is very simple that anyone who has done this water sector projects will only be qualified, and the JV is allowed, we are looking to the JV partnership.
Madhvendra: Okay. So means can we see this intercompany adjustment not impacting the financials from this financial year?
Harendra Singh: Definitely not because it's a quarter-on-quarter if you compare any number. This last quarter, the solar contribution was not there. So we have seen a big number impacting Q4 and entire year as well. So this is not going to be there.
Moderator: Ladies and gentlemen, this was the last question for today's conference call. I now hand the conference over to the management for closing comments.
Harendra Singh: Thank you for joining us today. We have a strong year marked by a solid financial performance, a growing order book and a committed team. We remain confident in our continued success and

here to address any further questions.

Please feel free to reach out to us or our IR Advisor, Go India Advisors. Thank you. Have a good day.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

"H.G. Infra Engineering Limited
Q1 FY '26 Earnings Conference Call"
August 14, 2025

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR–H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SALONI AJMERA – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the H.G. Infra Engineering Limited Q1 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star than zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Saloni from Go India Advisors. Thank you, and over to you.
Saloni Ajmera: Good afternoon, everybody, and welcome to H.G. Infra Engineering Limited earnings call to discuss the first quarter of FY26 operational and financial performance hosted by Go India Advisors. We have on call, Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, the Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, moved in conjunction with the risk that the company faces. I now request Mr. Harendra Singh to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Harendra Singh: Thank you, Saloni. Good evening, everyone, and welcome to the H.G. Infra Engineering Limited earnings call for our Q1 FY26 results. During this call, we will provide an overview of our financial and operational performance, discuss our strategy road map and outline our growth ambitions. We will also highlight the key initiative undertaken during the year and share our vision for sustainable long-term expansion in FY26 and beyond.
H.G. Infra Engineering Limited has over 22 years of proven expertise in the construction of roads and highways and has earned a strong reputation for quality and timely execution in road sector. Building on this foundation, we have now diversified into a critical infrastructure domain, such as railways, metro, renewable energy and transmission projects.
We commenced FY26 with a steady momentum, further reinforcing our position as one of the fastest-growing infrastructure company in India. As a part of a strategic approach, our goal is to derive around 30% to 40% of order book from known road sectors over the next two, three years.
In line with this, during this quarter, we successfully secured our first transmission project worth approximately INR350 crores in Orissa and received one third of BESS projects from GUVNL for 300 megawatts.
With this addition, cumulative contracted capacity for BESS projects has reached 735 megawatts, that is equivalent to 1,470 megawatt hours, reflecting our commitment to supporting the government's vision for a green and sustainable future while meeting the nation's growing per capita energy demand. These achievements position us for the third largest BESS player in the country.
Moving on to some updates on the infrastructure sector. Talking regarding the road sector, the government has set a construction target of 10,000 kilometers of highways for FY26. NHAI plans to award 124 projects spanning 6,376 kilometers at an estimated cost of INR3.45 lakh

crores and HAM remaining dominant through 84 projects covering 4,714 kilometers. And with this outlook, we foresee significant opportunities to secure new projects in the coming months for the year -- of the year.
The company plans to pursue bids worth INR1 lakh crores in HAM and EPC segment, targeting project amount of at least INR6,000 crores in FY26, underscoring its strategic emphasis of winning large-scale high-value contracts in road sector.
Rails and metro with government vision is anchoring a large-scale modernization and capacity expansio

n. And by 2030, Indian Railways expand to complete 100% of the electrification and broad gauge network, cutting the carbon emissions and improving efficiencies. Thousands of kilometers of new rail lines are being constructed, while track doubling and gauge conversion projects are rapidly enhancing the capacity and connectivity.
Under this nationwide station redevelopment programs, more than 1,200 stations will be transformed with the world-class facilities to improve the passenger experience. With this, this year, the company plans to participate in bids worth approximately INR50,000 crores in this sector. The company is actively pursuing railway and metro opportunities, aiming to secure projects worth approximately INR1,500 crores in the current financial year.
In solar and BESS, the total installed capacity, if you see in the country has reached up to 220 gigawatts as on 31st of March '25. In addition to these installed capacities, India has 169.4 gigawatt of renewable energy projects under implementation. As India leads to the clean energy transition, the battery energy storage system, the market is projected to grow from $7.8 billion in '24 to $32 billion by 2030.
With 66 gigawatts of storage capacity planned by 2032, on the solar front, India has crossed 100 gigawatts of installed capacity with over 30 gigawatts added in '24 alone. So this strong policy-backed tailwinds present massive opportunity for infrastructure player like us to unlock value across both EPC and asset platforms. The company is targeting a 5% share of India's total available battery market. For FY26, the estimated order inflow for BESS is approximately INR2,000 crores, which includes one secured project, which we already has bagged around INR800 crores.
In transmission and distribution, the government envisions a robust modern and green power grid to meet rising energy needs with major investment in high-capacity lines and advanced service station and HVDC system over the next decade. With one nation, one grid, one frequency policy that has unified all regional grids, enabling 1,12,250 megawatts of interregional transfer for stable, reliable, nationwide power, at H.G., we aim to secure transmission and distribution projects worth INR1,000 crores at least for the year and one we have already has bagged is INR350 crores.
Driven by strength, agility and steady growth, we are poised to capture emerging opportunities in renewables, power transmission and road sector as well as metro and urban infra. With proven execution, technical expertise and industry expertise, we are ready to deliver large-scale infrastructure projects that power India's long-term development vision.

Let me begin with a glimpse of our operational highlights. As in quarter 1QFY26, the company's orders stood at INR14,656 crores, comprising INR9,623 crores from roads and highways, INR2,912 crores from railways and metro, INR1,620 crores from BESS, INR500 crores from solar. Within the road sector, 30% of the roads are under the HAM model and 36% are the EPC projects. Railways account for 20% of the total order, while solar and BESS contributes 11% and 3%.
This is an update on the EPC project, while Ganga Expressway which has reached at about 97.4% completion has been on track for completion of 100% by quarter 2QFY26. The Delhi UER project has been completed successfully and handed over to the authorities and is anticipating to receive the completion certificate shortly. The Jamshedpur elevated project is running smoothly with a progress of 15.2%. The Neelmangala-Tumkur project is gaining execution momentum and has reached 42.5% completion.
Regarding the HAM projects, the Karnal Ring Road project has reached 77.1% completion, marking a steady progress and likely to be completed in Q4FY26. As shared in our previous quarter, the provision completion certificates for th

e projects of Raipur-Visakhapatnam corridor,
that is OD-5 and 6 already received, and the both projects remain close to completion now.
The project AP-1 of Raipur-Visakhapatnam project is also progressing towards completion with PCC recommended. And all these three projects continue to be on track for 100% completion, that is COD in Q3FY26. The solid progress continued on Khammam Devarapalle project of KD-

1 and 2. The PCC already received, these projects are at 88.4% and 85.5%, respectively, and both the packages are expected to be completed 100% by Q2 and Q3, respectively.
The Chennai-Tirupati HAM project has reached at 21.4%. The appointed date for Varanasi-Ranchi packages, that is Package 10 and 13 of these corridors are expected in Q3FY26, where significant development for forest clearance has been done. For Kosi Parikrama Package 6 Ayodhya, the construction agreement is signed on 21st of March -- June of '25, and execution stands at 2.2% and the appointed date is expected very soon.
In Narol Sarkhej project, the financial closure has been achieved, and the appointed date is expected within the month only. As for the railway projects, the DMRC project is around 82% progressing as per the scheduled time line and within the next three months it is going to be completed 100%. The Bilaspur RVNL project, is 69% complete. Kanpur railway station project is at 26.42% completion, and now the project execution is going on full swing after the initial design and land hiccups.
Dhule-Nardana railway project is 13.1% completed. The Gaya-Son Nagar project, Karanjgaon project, they are at about 12.7% and 9.3% completion, respectively. Appointed date for the New Delhi railway station has been declared as 6th August '25. The execution will start by end of Q2FY26.
On the update on the solar project, which we procured during last financial year, we are now at around 70 plants completed. H.G. Infra, out of 183 plants, cumulatively, this is 700-megawatt

DCS capacity. And among this, the company is directly responsible for 167 plants with an estimated EPC value of INR2,243 crores.
In terms of financial structuring, the debt funding for this project is progressing well with approximately 83% of the required funding already sanctioned till June '25. The remaining approvals and subsequent disbursements are anticipated to be finalized in quarter 2 and quarter 3.
Regarding the equity financing, the total equity investment required for the solar project stands at INR721 crores. As of Jun 30, 2025, the company has infused approximately INR610 crore into these projects, with the remaining balance set to be deployed in FY 2025-26.
As far as BESS project is concerned, as we have shared in the previous quarter, the company executed a binding agreement with GUVNL and NVVN for 435 megawatts, that is 870-megawatt hour of project. The scheduled commissioning that is in November '26 and December '26, respectively.
In May '25, we have secured an additional 300 megawatt, that is 600-megawatt hour of project from GUVNL. And with this, the cumulative contracted capacity stands at 735 megawatts of the 1,470-megawatt hour. Upon completion and commissioning of all these BESS projects, company expects annual revenue of INR225 crores from BESS.
The equity requirement for all these three projects is around INR500 crores, of which around INR1 crore has already been infused and balance INR119 crore is anticipated to be done within this financial year and the BESS in financial year '27 and '28, respectively. Procurement progress for BESS project has been initiated and the key components are in advanced stage of negotiation. We have shortlisted Tier 1 Chinese supplier after our team visit to China for import BESS system and power conversion systems. And we are likely to finalize the orders for power transmission, switchgear, etcetera, by 30th Sep

tember '25.
This is a recent update on the monetization of five new HAM asset, that is a Tranche 2 of HAM. Over the past few months, our leadership team engaged in intensive discussion with several prospective investors to monetize our second lot of 5 HAM projects. So those projects are Raipur-Visakhapatnam corridors, OD-5, OD-6, AP-1 and Khammam-Devarapalle Package 1 and 2.
So our goal was to secure a partner who could provide both financial strength and the sector expertise to maximize value of our stakeholders. It is our pleasure to inform you that during this week, we executed a binding offer document with Neo Infra Income Opportunities Fund. Under this agreement, our holdings company, H.G. will sell 100% of its equity stake in the five wholly owned subsidiaries managing this HAM assets.
This milestone marks the culmination of a well-orchestrated negotiation process and demonstrate market confidence in the quality and profitability in these infrastructure projects.
The enterprise value of the entire transaction is at INR3,584 crores and the total equity invested

in these and the total debt obligation of all five assets are at INR767 crores and INR2,200 crores, respectively.
Soon, we will be initiating the process of fulfilling the compliances of the condition precedent as per the binding offer, which includes client approval, lenders' consent and other representation and warranties. We expect to conclude these formalities and expect to conclude the transaction within this financial year.
This transaction will deliver significant strategic benefits to the group by strengthening the balance sheet and reducing leverage, thereby enhancing our financial flexibility. The realized fund can be re-deployed into our new HAM bids, road expansion or other high-return infrastructure opportunities. We believe this deal achieved a robust valuation, positions the company for accelerated growth and value creation in the upcoming years.
Regarding the equity requirement on the HAM projects -- on the balance of the HAM projects, the total liquidity requirement for 11 HAM projects, those are balance, is INR1,664 crores, and as of June25, INR997 crores has been infused. Out of the remaining, INR298 crores is scheduled to be done in 9 months of FY26, followed by INR183 crores in FY27 and INR186 crores in FY28.
Let me now give an overview of the other significant updates of Q1FY26. The company has secured its first transmission project from PFC Consulting Limited in Boot model with a project cost of approximately INR350 crores for establishing the interstate transmission system in the Eastern Region Generation Scheme-1 in Odisha. The project duration is 35 years from the date of commissioning.
Additionally, the company has received a project from military engineering services valued at INR117.8 crores for creation of integrated material handling facilities at Naval dockyard in Mumbai. Moving on to the financial highlights of Q1FY26. The revenue for Q1FY26 reached INR1,709 crores with an EBITDA of INR236 crores and an EBITDA margin -- at an EBITDA margin of 13.79%.
PAT for Q1FY26 stood at INR125 crores with a PAT margin of 7.34% compared to INR140 crores and a margin of -- at a margin 9.27% in Q1FY25. On a standalone basis, our gross debt stands at INR1,049 crores. This comprises of INR664 crores working capital debt and other term loans and maturities.
Now the consolidated financials are revenue of Q1FY26 reached INR1,482 crores with an EBITDA of INR258 crores and an EBITDA margin of 17.52%. PAT for the Q1FY26 stood at INR99 crores with a PAT margin of 6.7% as compared to INR163 crores at a margin of 10.64% in Q1FY25.
As informed in the last two quarters as well, the dip in consolidated revenue and PAT is due to elimination of intergroup transaction with solar SPVs for solar projects, which are recorded as capital w

orking progress in consolidated accounts. While the standalone results reflect EPC revenue and taxation -- taxes, the tax cost remains in consolidation results until the SPVs start generating operational revenue, after which the margins will improve.

Let's scroll what's next, turning into our future strategy plans. We are confident aiming for order inflow of around INR11,000 crores in FY26 with clear data-backed strategy to secure 75% from roads and railways where our execution capacity outpaces competitors and 25% for rapidly expansion -- expanding verticals.
Our historical dominance in roads and highways continues to drive core growth, but we are not resting on our laurels. Recognizing increased competition and margin compression, we are taking proactive steps to reshape our portfolio for a long-term value creation. We are aggressively entering into high-growth decent margin sector like BESS and transmission and distribution, capitalizing on our deep engineering roots and a proven execution track record.
This is not just diversification and it's a targeted expansion into future profit pools. Our relentless focus on strategic bidding, cost control and technology-driven project management is designed to project -- to protect and expand margins, minimize the debt, maximize shareholders return.
In essence, we are positioned for accelerated growth and superior returns. And our diversified pipeline, financial discipline and the bold sector bets are key levers as we redefine ourselves as the future-ready, multi-sector infrastructure leaders, delivering outside value to our investors year-after-year.
I would now like to hand over the call to the Go India team for further deliberation and future -- for the further question and answers.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shravan from Dolat Capital. Please go ahead.

Shravan: Sir, first on this latest five HAM deal. So sir, if I work out INR3,584 crores is the EV and versus the equity and debt amount what you mentioned, INR767 crores and INR2,200 crores, the total is INR2,967 crores. That means the equity value that we are getting is INR617 crores versus INR767 crores invested. That means a 0.8x price to book. Correct me if I'm wrong?
Harendra Singh: Yes, almost we are at current stage, INR3,584 crores and the debt is INR2,200 crores into this -- the total INR767 crores of equity is invested.
Shravan: But sir, then -- not able to understand why we are selling at 0.8x price to book?
Harendra Singh: It's not -- I think 1.8x, not 0.8x. You see the number, it's INR3,584 crores of enterprise value, out of which INR2,200 crores is the debt. So the net amount which we will be getting is INR1,384 crores against the equity investment of INR767 crores.
Shravan: Okay. My mistake. Got it. Second and then this cash, we will be getting by?
Harendra Singh: Sorry?
Shravan: This cash amount -- when we will be receiving this cash?

Harendra Singh: So we are expecting that two of the projects where the COD and finally NOC from lenders and clients could be managed within the next three months by December and for the next three probably by March.
Shravan: So if you can break in terms of the value, how much we will be receiving in FY26
Harendra Singh: No. Everything total amount we are expecting we would be getting within FY26 only. So by December25 of, say -- let's say, for this particular 3QFY26, tentatively two of the projects could be done as a transfer and the rest two, three will be done by March '26. So everything would be done within the year only.
Shravan: Okay. And then whatever the gap would be, that we will be reporting as an exceptional gain in the standalone books on the equity transfer?
Harendra Singh: Yes.
Shravan:

Yes. So now on the operational front, sir, so this...
Moderator: I am sorry to interrupt you, Mr. Shravan, I will request you to get back to the queue for follow-up questions, please.
Shravan: Okay.
Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Sir, when do we expect to receive the appointed date for the HAM projects, especially the VRK ones?
Harendra Singh: So there are five projects where the appointed date is expected. The one is which we have received very recently is New Delhi railway station that is on 6th of August. Next week, we are going to have the appointed date for Ahmedabad HAM project. And subsequent to that, in September only we would be able to receive the appointed date for both Jharkhand projects, that is 10 and 13 of Varanasi-Kolkata corridor. And the last one, which is Ayodhya and that project, we are expecting that somewhere in November, we would be getting the appointed date.
Vaibhav Shah: Sir, and any -- what are the expectations for LOA on Nagpur-Chandrapur, both the packages?
Harendra Singh: So those projects where the land acquisition is at about, say, 42% as of now. So the minimum requirement is 70% for issuance of LOA. So probably, it will take another three to four months. So by December, we are expecting the LOA could be released.
Vaibhav Shah: Sir, so from these five HAMS, four HAMS, say, it is pending, what kind of revenue are you factoring in and also for the MSRDC project for FY26?
Harendra Singh: So we are not considering anything from MSRDC project because since the LOA would be -- we will be getting -- then the appointed date is likely to be declared. So it is not expecting -- we are not expecting much from those projects. But apart from these -- those projects, there's four

HAMs, which we are targeting about INR1,200 crores of total order execution in these four HAMs within this year.
Vaibhav Shah: Okay. And sir, what is our receivables currently and of that, what is the HAM and solar?
Harendra Singh: So majority portion of receivable is HAM and solar only. So the solar SPVs, the receivable is around INR438 crores and HAM project is INR395 crores.
Vaibhav Shah: In the total number?
Harendra Singh: In the total number is INR1,350 crores.
Vaibhav Shah: So you were expecting the solar receivables to come down sharply. So when do you expect the

overall?
Harendra Singh: Something has happened, we have executed around INR300 crores during the month or during the quarter. So out of INR300 crores, we could receive, say, the number which was the same and remained same. So whatever was the closing number for March '25 remains the same. So if the only INR300-odd crores of disbursement could happen within this year.
But now the things are very rapidly -- because 83% of the sanction has been done and we are getting the release of funds from banks through SPV. H.G. Infra is also getting this. So by September and by December, say, things would be 100%, we would be recovering the entire receivables from SPVs to banks.
Vaibhav Shah: Okay. And sir, lastly, I missed the initial part -- initial commentary. What is our guidance on revenue and EBITDA margin for the entire year? And why were the margins impacted in 1Q?
So we saw that we have put INR10 crores, INR11 crores of one-offs, which is impairment losses and it was INR5 crores in Q4 as well. So what are these entries?
Harendra Singh: So I think the reason behind for -- 2.5% of the EBITDA correction has been there. So there is one of the items, which we were expecting that change in law in Ganga Expressway, so the change in law of royalty revision is there. So in this project of Adani, we are eligible to get anything variation like change in law and variation is U.S. from the client, whatever is being approved by the client.
So as of the recent trend, we are r

evealing the fact that they are likely that change in law approval is not likely to be there within this particular year. So it will take -- it is going to take time. So we have corrected our number around INR40 crores. So because of that number, there is a deep correction in the EBITDA margin. Otherwise, in none of the other projects the margin correction has been done.
Vaibhav Shah: Sir, the entire impact has been taken off right now or some correction in Q2, Q3 as well?
Moderator: Sorry to interrupt you, Vaibhav, I will request you to join back the queue.

Harendra Singh: So the entire, say, almost INR43 crores, the INR11 crores is the exceptional item, if you see. So this is there. There is, say, provision has been done and around INR43 crores since -- out of Ganga Expressway that we have corrected in our margin.
Vaibhav Shah: Thank you. I will fall back in the queue.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good afternoon, sir and congratulations on the transaction.
Moderator: Mr. Sarvesh, sorry to interrupt you, your voice is very low.
Sarvesh Gupta: Is it better now?
Moderator: Yes, sir. Thank you.
Sarvesh Gupta: Yes. So sir, congratulations on the transaction. So just continuing on the previous question. So earlier, we were consistently being able to deliver around 16% EBITDA margin. I think last quarter, we were in around 15% and now this quarter we have delivered like less than 14%. So you said -- so INR14 crores you are saying is an exceptional item for this quarter?
Harendra Singh: See, I'm correcting it there. See, last year -- last quarter, it was INR5 crores of provision was except for -- has been done by the auditors for the long due receivables. As a whole, it is now INR74 crores of total provision has been done till date against the debtors -- this current asset receivables.
There is one thing which has happened is the other item, which is INR43 crores, this is the change in law item, which we are not expecting to get realized very soon within this year as far as Adani project where it's back-to-back arrangement with UPEIDA. So where we are not looking immediately -- so we have corrected that number, the margin by INR43 crores.
Sarvesh Gupta: Okay. But is that -- have we assessed all the projects?
Harendra Singh: It's the major reason for the shortfall. Otherwise, all other projects are going as per the expected margins.
Sarvesh Gupta: And have we done everything that we were required to do across all projects? Or are there any future provisions also that we need to take from Q2? Should we expect normalized margin of 15%, 16%?
Harendra Singh: It is likely to be normalized margin only. So we are not -- see, we never have factored such things where the current asset or unbilled revenue is having some contract or different claims.
We usually have the certainty of those numbers, then only we'll keep it. Otherwise, what we did the last quarter. So the provision is being done on the basis of their contract -- auditors' obligations.
Sarvesh Gupta: Okay. Okay. And sir, on the road order, so what is the expectation now? Because even in this quarter, last 2, 3 quarters and last 6 quarters, the industry has not received, but we have been

hopeful because NHAI had a pipeline. So what is the expectation now? And are there some tangible work that has been done from their side? And in terms of our pipeline, what -- where are we? What is the percentage that we are looking to sort of win in the near future, et cetera, et cetera?
Harendra Singh: In recent past, we have seen a significant improvement as far as sentiment is concerned. So as per the press release, they have already declared the pipeline of the projects which are going to be awarded within this year

only. So there is a long pipeline, more than INR5 lakh crores of projects which are there, including BOT, HAM and EPC.
And apart from that, there is the correction in the long-awaited correction in the prequalification criteria has been released, so both in EPC and HAM. So that gives us the relief in the sense that the project pipeline is there, but there are only two riders which are there. One is the quality of the DPR, where the DPR checks being taken some time, so much of time and the land acquisition, which always has been the real critical area, grey area rather, where the progress and any of the claims do occur.
So in that sense, they are just guaranteeing that the 80% of the land as per the contract should be there prior to issuance of LOA. So these are the two factors which are taking a bit of a time. But we are very much hopeful, and I think the ministry is very much optimistic of awarding this -- at least INR3.5 lakh crores of orders within this year only. So we are expecting the traction to be there by November, December onwards, not many projects are likely to be awarded.
Sarvesh Gupta: And what will be our full year revenue guidance for this year, sir?
Harendra Singh: It remains same. It is around INR7,000 crores of -- because we did around 13.5% year-on-year for the quarter 1 and almost will remain in this range only.
Sarvesh Gupta: Okay, sir. Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Veenit from Investec.
Veenit: Hi. Good afternoon, sir. Sir, just wanted to recheck on this revenue growth guidance number. Now given a lot of our projects are currently either in L1 stage, which are Maharashtra orders, three, four HAM projects where we are yet to get appointed dates.
And if you exclude a lot of these projects, our executable order book currently stands at less than INR10,000 crores. Considering this, how confident are you of us achieving INR7,000 crores? And what should actually drive such a strong execution or conversion into revenues?
Harendra Singh: So if you can see here, the projects which we are at very advanced stage of completion like Ganga, like Orissa, all OD-5, 6, AP-1, KD-1, 2 and even Karnal, they are the projects, these whatever is the balance would be completed. So this is the one thing which is and again, the solar and some significant part of that execution is likely to contribute within this year only.
So if you see the other railway projects where the progress was not that good in the initial phase of the project because of the design and the land issues. So now that has picked up. And in

quarter 2, 3, 4 of this particular year, we are seeing around INR1,000 crores of execution in railway only.
So in these new projects where the appointed date is going to be they are declared and including the New Delhi railway station, this is around INR1,500 crores of execution is likely to be there in quarter 2, 3 and 4. So this gives -- put together that we would be around INR7,000 crores even if we are not considering anything to be coming from Nagpur-Chandrapur projects.
Veenit: Understood. Understood, sir. And sir, on -- even on the margin guidance, given we have done slightly lower margins this quarter, how confident are you of delivering 15.5%, 16% EBITDA margin for the full year? And I'm just asking because now the ask rate to get there is slightly on the higher side where we'll have to deliver 16%, 16.5% EBITDA margins consistently for the next 3 quarters to be getting anywhere around EBITDA margins, which we did last year.
Harendra Singh: So basically, it's only checking upon the margins if anything is not guaranteeing our -- this thing. So it's a matter of only a time when quarter 4 or quarter 1 of this year, we have seen that the margin dip there. Otherwise, all the projects, we do have a decent margin. And we are doing such proje

cts and with the margins probably in the range of 15% to 16%. We are quite hopeful that by the year-end, we would be maintaining the same state.
Veenit: Okay. So for next three quarters, we should be back to 15%, 16% margin levels?
Harendra Singh: Yes.

Veenit: Okay. Okay. Thank you so much, sir. Thank you.
Moderator: Thank you. The next question is from the line of Vishal from Antique Stock Broking. Please go ahead.
Vishal: Yeah, sir. Thanks. Yeah, sir, thanks for the opportunity. Sir, you mentioned in your initial commentary that 83% of the debt for the solar is sanctioned. So have we taken any disbursement from that side?
Harendra Singh: No, no. See, the sanction to disbursement, there is a gap. We have only taken the disbursement at about 60%, though we have progressed -- at around 58% roughly, though we have progressed around 80% -- 78%. So, there is a deficit. There is a gap of about 30% in what we have progressed to what we have -- the loan has been disbursement -- the loan disbursement has been done. So this is…
Vishal: So yeah, sorry sir. sorry.
Harendra Singh: So the sanction is 83%. The rest 17% of the sanction is still awaited, where the progress is going on. And wherever sanction has been done, it's only partial disbursement or only a few of those plants where the disbursement is not yet done. So in July and August, September and till November, wherever and whenever we are going to complete the entire thing by December. So we are hopeful that every -- so this is a 45% of the balance disbursement would be done, 43%, 44%.

Vishal: Okay. Okay. So if one has to understand what is the total debt that has been -- we have taken for the solar as of now?
Harendra Singh: So it's around INR1,100 crores in the total. I'm not remembering right now, it's INR1,100 crores.
Vishal: Okay. Okay. And this was related to the working capital, like just thought to check. Okay. Second, is, sir, on that battery energy storage, you did mention like INR500 crores is the equity that we'll be again putting. And if one do a financial closure at maybe like 80-20, then the project cost come to almost like INR2,500-odd crores. That is one. And second, I mean, like when we are putting megawatt...
Harendra Singh: No, I will correct it. This cost is not more than -- This project cost is around INR1,800 crores, all 3 BESS projects. This project is around INR1,800 crores plus GST. And the total debt -- the equity which is committed is INR500 crores, which is 25% of the total project cost. And balance is debt. And out of the total debt, once we commission this project, we would be able to get around INR300 crores of grant from government in all these three projects.
Vishal: Okay. So INR1,800 crores plus GST, around INR300 crores grant, that's the total project cost?
Harendra Singh: INR1,800 crores plus GST, minus INR500 crores is equity, declaring INR1,500 crores of debt and less than INR300 crores would be plus INR1,200 crores of debt would remain once the grant is settled.
Vishal: Okay. Got it. Got it. My mistake. INR1,800 crores. Okay. So I think then the project cost...
Moderator: Sorry to interrupt you, Mr. Vishal, I will request you to join back the queue for follow-up questions, please. Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.
Jainam Jain: Thank you for the opportunity. Sir, I wanted a couple of data points for working capital. Sir, can you provide the number for inventory, trade receivable, contract assets, trade payable and contract liabilities?
Harendra Singh: So inventory is about almost the same number. It's INR519 crores, inventory and working capital -- you are asking about debtors. Debtors is around INR1,360 crores. And current asset is INR1,310 crores.
Jainam Jain: INR1,400 crores? Sorry, I didn't get your contract asset number. Okay. So trade payables and c

ontract liabilities...
Harendra Singh: Sorry?
Jainam Jain: Trade payables and contract liabilities.
Harendra Singh: The contract liabilities and trade payables. So trade payables -- just a minute. Trade payables is around INR1,324 crores. And liabilities is around INR1,200 crores something, I think it's INR1,200. But it's around INR1,200 crores.

Jainam Jain: INR1,200 crores, okay.
Harendra Singh: Because the debtors we already have given. Trade payables is, yes, INR1,324 crores, correct.
Jainam Jain: Okay, sir. That answers my question. Thank you so much.

Moderator: Thank you. The next question is from the line of Shravan from Dolat Capital.
Shravan: Hi, sir. Just to complete this thing. So stand-alone cash and bank balance is how much, sir?
Harendra Singh: It's INR162 crores.
Shravan: Sir, INR162 crores? Sir, INR162 crores?
Harendra Singh: Correct, correct.
Shravan: Yes. And retention money is how much, and unbilled revenue is?
Harendra Singh: Given the INR1,310.
Shravan: Okay. INR1,310.
Harendra Singh: And debtor of INR1,350 crores there is a retention and deposit of about INR170 crores.
Shravan: INR170 crores, okay. And mobilization advance is how much, sir?
Harendra Singh: INR382 crores.
Shravan: INR382 crores. Okay. And sir, this INR500 crores BESS equity, you said this INR1 crore, we have invested, another INR119 crores in this year and next year will be the remaining -- the balance entirely in FY27?
Harendra Singh: Because this is not next year, some portion would be done next year, INR187 crores and probably in '28, the balance would be done because first project is going to be done in FY27.
Shravan: Okay. So this year, INR120 crores, next year, INR187 crores and balance will be in FY28?
Harendra Singh: Yes, '28, correct.
Shravan: Correct. Okay. Okay. And sir, if you can repeat the HAM equity to be invested in this year and next year. FY28, I heard the figure, INR187 crores, but balance in '26 and '27 is how much?
Harendra Singh: The projected balance is INR997 crores, which is being -- which has been done. So you see the projection is, for the year, it is INR427 crores.
Shravan: Okay.
Harendra Singh: That is the total number, including -- okay, okay. sorry. So that is the total number including solar and BESS. And if you want to split it out in such a manner, equity which is balance -- for the year, it is -- including BESS, it is INR427 crores. If it is only road, then INR298 crores.

Shravan: INR298 crores is full year of FY26 or balance 9 months?
Harendra Singh: '26, 9 months and then INR183 crores and then INR185 crores.
Shravan: INR183 crores and INR185 crores, okay. So total -- okay. And for transmission, how much is equity needed and for this year and next year, how much we will be investing?
Harendra Singh: This year, INR10 crores. Next year, INR25 crores and further INR52 crores in FY28. So If you see…
Shravan: Okay.
Harendra Singh: The total number for this year, it is INR427 crores, followed by next year, INR438 crores and next to next year, INR388 crores out of the total commitment, balance INR997 crores.
Shravan: Okay. Okay. Got it. Got it. And then, sir, just to...
Moderator: Sorry to interrupt you, Mr. Shravan…
Shravan: Yes. Yes.
Moderator: I will request you to...
Shravan: Yes. Yes. Yes. I will complete this. I will complete this. Sir, just to clarify on this EBITDA margin provision. So this quarter, you said INR74 crores provision we have done till date. Out of that, how much was it till FY25? And in Q1, how much we have done? And what you are mentioning, INR43 crores is yet to be done or it is part of INR74 crores for Ganga?
Harendra Singh: So the provision of INR74 crores is the total. Only INR5 crores, INR6 crores of provision has been done in this quarter. Earlier provision was INR5 crores. But for

this year -- quarter, INR43 crores was not the provision. It is the margin, which we have taken for Ganga Expressway project, because of the one-off items, this is a change in law, which we likely to be expecting. It may take some time.
Shravan: Okay. Okay. Okay. So this will be maybe a part of other expenses or somewhere it will be part of this INR43 crores that we have taken a hit?
Harendra Singh: Basically, it's -- no, no, it's not expenses. Basically, it's the margin dip already has been taken. It's not provision…
Shravan: Okay.
Harendra Singh: Margin dip already has been taken.
Shravan: Okay. Okay. Got it. Got it. Got it.
Harendra Singh: The margin is at very low…
Shravan: Got it. Yes. Thank you, sir.

Moderator: Thank you. The next question is from the line of Mohit from ICICI Securities.
Mohit: Yes. Good afternoon, sir. And thanks for the opportunity. My question on the deal, sir. What will be the tax implications on the realized gains?
Harendra Singh: Sorry?
Mohit: What would be tax implications on the gains which we realized from this deal?
Harendra Singh: Debt reduction would be INR2,200 crores.
Mohit: No, no, no. Sir, I'm trying to figure out tax implication, tax. What will be the tax which we will pay on the realized gains? Yes.
Harendra Singh: We have not worked out yet.
Mohit: Understood. And have you given any ROFR for the pipeline of the asset? And the -- and also, will we be doing the maintenance work post transfer asset to the new owner?
Harendra Singh: No. No. It's outright selling the asset out. That's an outright transaction.
Mohit: Any ROFR for the pipeline of the future asset? No, right?
Harendra Singh: No. I think the future asset, which is likely to be there is Karnal Ring Road, which probably we are looking at further selling it out. So it's nearing completion. So by June or September of next, say, by FY26 and FY27, we are expecting to deal -- close the deal.
Mohit: And sir, are we going to do maintenance work on this asset?
Moderator: Sorry to interrupt you, Mr. Mohit, I will request...
Harendra Singh: No. No. We are not doing any maintenance work in these projects. This is outright selling the project.
Mohit: Understood.
Harendra Singh: And that transaction has to be selling out.
Mohit: Understood. Thank you and all the best sir. Thank you.
Moderator: Thank you. The next question is from the line of Parth from JM Financial. Please go ahead.
Parth: Hi, sir. Thank you for the opportunity. I just wanted to ask if you can quantify your bid design and also if we have put out any bids where results are yet to be announced.
Harendra Singh: Sorry?
Parth: Can you quantify our bid pipeline?
Harendra Singh: Bid pipeline?

Parth: Yes. And also, if we have bid for any projects where results are yet to come out.
Harendra Singh: So it's around -- in all three sectors, we have submitted around INR16,000 crores of projects where the bid results are yet awaited. Apart from this, the pipeline which we are expecting, as we had already had explained about it, because it's a pipeline, huge highway pipeline, but we are expecting that we will be bidding around INR1 lakh crores of highway, around INR50,000 crores of railway and another BESS and solar projects in the upcoming time, which we are expecting that we should get at least INR10,000 crores out of these bid submissions.
Parth: Okay. Sir, can you just quantify the solar bid pipeline once again?
Harendra Singh: The solar bid pipeline is in two. I would say, in a different mode, it is a BESS, as well as solar, because BESS also there around INR20,000 crores of orders, which are yet to be awarded for the year. And transmission also there is tremendous. It is around INR50,000 crores plus of bid pipeline, which is today available.
Parth: Okay. Thank you, sir.
Moderator:

Thank you. The next question is from the line of Vishal from Antique Stock Broking. Please go ahead.
Vishal: Yes, sir. Thanks for the follow-up. Sir, on this battery energy storage system, are the equipment awarded?
Harendra Singh: So first round of negotiation has been done. So our team is in China only.
Vishal: Okay.
Harendra Singh: So, very soon they are…
Vishal: Okay.
Harendra Singh: Going to come back and probably with all further negotiation and due diligence, in maximum of a month, we would be able to close it.
Vishal: Okay. Got it. And but sir…
Moderator: Sorry to interrupt you, Mr. Vishal, I will request you to mute yourself whenever the management is speaking because there are…
Vishal: Okay.
Moderator: Background noises…
Vishal: Okay. Fine.

Moderator: Coming from your side.

Vishal: Sorry. Sorry. I'll just ask question. Yes. I will ask question and I will mute. So maybe a follow-up for that. I think if you award a project now, then probably like the costing coming at the range of like maybe INR0.8 crores per megawatt hour. And the project cost that we have mentioned, that comes to almost like 1.2 megawatt per hour, 1.3 megawatt per hour. So I mean, can the project cost actually go down because if you are awarding now and the battery prices have corrected in the last six months, eight months?

Harendra Singh: You are probably very much correct. I think there is a bit of a correction, which we have seen in the last six months, eight months only. And what we have estimated at the cost which are going to be there and the discovery which -- of the price which we are now negotiating at. So there is upside chances that we would be having at least 10% upside in the margin front.

Vishal: Okay. That is helpful, sir. Thank you. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Madhvendra Kumar, an individual investor. Please go ahead.

Madhvendra Kumar: Sir, I want to understand one thing. How HAM projects work? I mean we have sold these projects. So are these projects completed revenue booked and now we are selling it. So can you please help me understand how it works?

Harendra Singh: I can't understand your...

Madhvendra Kumar: Sir, the project that we are selling, means how these selling -- means are these projects are completed and revenue has been booked and now we are selling to release capital...

Harendra Singh: Almost. These projects are about 85% to 90% completed. So once we have received the provision completion into these projects, we have started -- let's say, started this monetization proceeds. So by the six months -- within the six months, entire completion would be done, and we are completing -- and by the time we complete, we will be getting the NOC, and we are going to sell it.

Madhvendra Kumar: Okay. So they are sold after completing and booking all the revenues? Okay. Sir and…

Harendra Singh: Without that, I think, we cannot sell without the completion. Yes.

Madhvendra Kumar: Okay. Sir, and the next question is, do you think that execution and growth will improve from this quarter onward, ongoing quarters?

Harendra Singh: Execution dip?

Madhvendra Kumar: Sir, in the recent quarter, this Q1, I think, there was a slight miss on execution front. So from Q2, will...

Harendra Singh: No. No. The execution has been quite good as far as almost 13% plus. But it's the only problem -- it's not an execution risk. It's the only margin dip which we have seen because of the EBITDA margin correction of INR40 crores as I have already explained.

Madhvendra Kumar: Sir, our remaining PAT, do you feel…

Moderator: Sorry to interrupt you, Mr. Madhvendra, I will request you to re-join the queue for follow-up questions, please. Thank you. The next question is from the line of Shravan from Dolat Capital. Please go ahead.

Shravan: Hi. Sir, to console date and console cash is how much, sir?

Harendra Singh: I think I am not having ready number of consoles. I will ask my CFO to get back to you.

Shravan: Okay. Okay. Got it. And second, sir, the INR7,100 crores revenue that we are looking at. So I understood whatever the balance, the projects where we have 70% plus kind of completion is that -- is roughly INR1,500 crores, INR50-odd crores, so that we will be completing. We have already mentioned and four HAM projects, INR1,000-odd crores, INR1,700 crores we have done. So close to -- if I sum it up, around INR4,300-odd crores is there.

So just trying to understand the remaining projects where, obviously, Maharashtra one, we are saying we are not factoring any revenue. So then the main revenue likely to become would be of Chennai-Tirupati, which is -- and Kosi Parikrama maybe and maybe Bilaspur and Janakpur railway. So if you can help us -- not Bilaspur -- the remaining railway projects, except the Bilaspur and Janakpur, how much more revenue we can -- are likely to get in the balance?

Harendra Singh: So we are expecting to -- the entire completion would be done in DMRC Metro, and the Bilaspur project would be 100% completed. Kanpur will pack up very fast now onwards because of the initial brownfield -- being a brownfield project. In New Delhi railway station, this will be -- we are expecting around INR200 crores of execution within the year. So it's around INR1,100 crores

of railway execution, which we are expecting in nine months. And apart from there is a solar, INR500 crores, which we already -- total will be done and around INR300 crores…
Shravan: Yes.
Harendra Singh: Will be coming from BESS. So this is put together, if you consider the new HAM or four HAM where the appointed date is being declared around INR1,200 crores to INR1,300 crores. So this is coming at about, say, even more than INR5,400 crores, which is probably the number which is coming. This is balance which we done in...
Shravan: Okay. Okay. And then next year, as we previously guided, sir, we will be doing INR8,000 crores plus kind of our revenue in FY27?
Harendra Singh: Yes. That would be around INR8,000 crores, right.
Shravan: Okay. Got it, sir. Thank you. And then, sir, lastly, on the capex front, last time we said nothing much capex in this year.
Harendra Singh: Audio unavailable/not audible
Shravan: Okay. Okay. And even nothing for next year also would be very minimal?

Harendra Singh: So we are having almost very good gross block and we have the projects which we are almost completing. So this entire fleet of our construction equipment is free to be deployed to -- sufficient to about INR8,000, INR9,000 crores of project.
Shravan: Okay. Got it, sir. Thank you. All the best.
Harendra Singh: Thanks.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing comments.
Harendra Singh: So thank you for joining us today. We have a strong year marked by solid financial performance and a growing order book and a committed team. We remain confident of our continued success and here to address for any further queries, please feel free to reach out to our IR advisor, Go India Advisors. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Go India Advisors and H.G. Infra Engineering Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

"H.G. Infra Engineering Limited
Q2 & H1FY '26 Earnings Conference Call"
November 13, 2025

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR–H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SALONI – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to H.G. Infra Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Saloni from Go India Advisors. Thank you, and over to you, ma'am.

Saloni: Good afternoon, everybody, and welcome to H.G. Infra Engineering Limited earnings call to discuss the Q2 and first half of FY '26 operational and financial performance hosted by Go India Advisors. We have on the call Mr. Harendra Singh, Chairman and Managing Director; and Mr. Rajeev Mishra, Chief Financial Officer from H.G. Infra.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, moved in conjunction with the risk that the company faces.

We now request Mr. Harendra Singh sir to take us through the company's business outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Harendra Singh: Thank you, Saloni. Good afternoon, all. I trust that this festive season has brought light, prosperity and joy to you all and your families. May the year ahead be filled with renewed energy, growth and continued success for all.

Looking forward at H.G. Infra, our unwavering focus remains on building stronger connections between cities and driving our journey towards greater achievements. As we embark on this new samvat, we reaffirm our commitment to elevating India's transportation infrastructure and advancing our initiatives in green energy, ensuring sustainable growth and a brighter future for all stakeholders.

At H.G. Infra Engineering Limited, our journey spans more than 22 years dedicated to strengthening the backbone of India's infrastructure. In line with the nation's evolving needs, we are scaling for success by accelerating innovation and building smarter, faster and safer infrastructure solutions.

Driven by our belief that infrastructure should reflect the dynamism and diversity of India, we are strategically entering in new sectors such as solar energy, railways and battery storage. This commitment enables us to diversify our order book and secure high potential projects in these emerging areas.

Our proven execution capabilities, technical expertise and decades of industry experience position us well for the next stage of growth, allowing us to create a sustainable long-term value for all stakeholders and play a pivotal role in India's ongoing infrastructure transformation. I'm filled with pride at how far H.G. Infra has come and how much more we are poised to achieve.

What began as a road-centric EPC company over 2 decades ago has now today transformed into a diversified infrastructure conglomerate, while road construction remains our core strength, and we have evidenced by 17-plus highway projects across 10 states having 66% share contributed by the highway segment out of the total order book, and we have strategically ventured into the high potential verticals such as railways, metros, solar and battery storage and recently into transmission infrastructure.

Our diversified portfolio now includes more than 29 active projects spread across 13 Indian states, including 7 rail metro projects and our order book as of September '25 stands at INR13,933 crores.

Moving on to some updates on the infrastructure sector. Regarding road and railway, which is the transportation sector, under Vision 2047 as Viksit Bharat, the Government of India envisage a mod

ern, sustainable and efficient transportation network that meets the needs of growing urban population.

The focus is on decongesting roads through the expansion of expressways, smart traffic management and the development of integrated urban infrastructure. Improved road connectivity between cities and rural roads aims to boost economic growth and reduce travel time. Recently, under Bharatmala Pariyojana, over 26,000 kilometers of highway projects have been awarded and plans to develop 50,000 kilometers of expressway by 2036-37.

To ensure a seamless intercity mobility, and simultaneously, the railway sector is undergoing a major transformation with increased electrification, advanced signaling system and the safety upgrades to enhance speed and reliability. More than 45,000 kilometers of rail routes have already been rectified, and government targets 100% network electrification by 2030, and the major expansion plan are in the pipeline of adding more than 40,000 kilometers of rail track within the next few years.

The expansion of metro network in major cities that promote public transport, reduce pollution and ease pressure on road traffic, but together, these initiatives form the backbone of a sustainable technology-driven transport ecosystem that supports India's goal of becoming a developed nation by 2047. Given the healthy project pipeline into the road infrastructure and rail, we remain optimistic about securing a share of upcoming opportunities, which should support our growth prospects in the medium term.

Regarding renewables, which are solar based and green hydrogen, India's battery energy storage sector is entering a period of a dramatic expansion, expected to scale from just 0.2 gigawatts in 2024 to nearly 66 gigawatts by 2032, unlocking more than $5 trillion economy in the market.

So this growth fueled by ambitious renewable energy targets, declining battery costs and the robust policy support positions BESS as a critical infrastructure layer for grid stability and round-the-clock clean energy supply.

As battery storage transitions from early pilots to large-scale tenders and active deployment, industry leaders and new entrants are making bold investments across the value chain. At this pivotal moment, H.G. Infra stands committed to accelerating BESS innovation, contributing to

India's energy self-reliance and shaping the future-ready grid that delivers resilient, sustainable power to all.

As India transitions a move to green hydrogen as well as ammonia and with the mission to reach green hydrogen level of 5 MTPA by 2030, H.G. Infra will continue to play a pivotal role in the same and has already taken first step by participating in the recent tender of Numaligarh Refinery Limited.

This tender is for the purpose of green hydrogen of 10,000 tons supply. The large component of operational cost of green hydrogen comprises of RE power, which will have to come from combination of solar battery and hybrid of wind, wherein H.G. Infra already has secured, is in the process of successfully executing the same.

The move to green hydrogen has a widespread strategic alignment with H.G. Infra's foray into providing clean energy solutions. Regarding the transmission and distribution, where the government envisages a robust modern and green power grid to meet rising energy needs with a major investment in high-capacity lines, advanced substation and HVDC systems over the next decade.

Strengthen interregional links and smart grid adoption with integrate renewable energy, enhance the reliability and support a low-carbon economy. India's One Nation, One Grid, One Frequency has unified all regional grids, enabling 112,250 megawatts of interregional transfer for stable, reliable nationwide power.

In FY '26, in this H.G. Infra aims to secure transmission and distribution projects worth INR1,000 crores, alrea

dy has secured 1 project valued at approximately INR350 crores. We remain active in the transmission space and continue to participate actively into the upcoming tenders.

As H.G., we are driven by strength, agility and steady growth, and we are poised to capture emerging opportunities in renewables, power transmission and road sector. And with power execution -- proven execution, technical expertise and industry experience, we are ready to deliver large-scale infrastructure projects that power India's total long-term development vision.

Let me begin with a glimpse of our operational highlights. So as of Q2FY26, the company's total order book stood at INR13,933 crores, comprising INR9,163 crores from roads and highways, INR2,720 crores from rails and metros, INR1,620 crores from BESS, INR132 crores from solar and INR296 crores from transmission and distribution. The segment-wise road is having 56%, rails around 20% and renewables around 14%.

As of now, the update on EPC project is the Ganga Expressway project, which is a very prestigious project of ours and around INR4,800 crores, almost completed at 99%, and we are expecting COD anytime in the few months from now. The UER project has been completed and handed over, open to traffic. The completion certificate is anticipated to be recently -- to be received shortly.

The Jamshedpur elevated project is running smoothly with the current progress of 23%. The Neelmangala-Tumkur project is gaining execution momentum now and has reached at 48%.

Regarding HAM projects, the Karnal Ring Road project has reached 82% completion, marking steady progress and likely to be completed in Q4FY25.

As shared in the previous quarter, the provision completion certificates for Raipur Visakhapatnam project of OD-5 OD-6 already received and both projects remain close to completion. The Raipur- Vishakhapatnam while AP-1 project, which is also nearing completion, where the provisional completion certificate with effect from May '25 being received very recently. These all projects of OD-5, OD-6 and AP-1 continue to be on track for 100% completion, that is COD in quarter 3 and 4 of this year.

The Khammam-Devarapalle project, KD1 and 2, PCC already received, which are at 95.3% and 91.8% completion. Both the projects are expected to be 100% completed by in quarter 3 and quarter 4 of this year.

The Chennai-Tirupati HAM project is progressing well at about 28%. The appointed date, which is provisional appointed date for Varanasi Kolkata Corridor Package 13 has been received with effect from 30th September '25 and for Package 10 is expected to be received in this quarter only. The project progress of Package 13 is around 13%.

The Kosi Parikrama Package 6 of Ayodhya, where the concession agreement is signed on 21st of June '25, the appointed date is likely to be declared in this month, and the project execution has just started. For the Narol Sarkhej project, the financial closure achieved in the appointed date declared on 19th of August 2025 and the execution stands at 4.2%.

Now to railway projects. The DMRC metro project is nearly 92% completed and as per the scheduled time line is likely to be completed within this quarter. The Bilaspur RVNL project, which is around 75% complete, and we are targeting for completion in Q4FY26. And so the Kanpur railway station project is around 33.4%, where the progress is quite slow because of the CONCOR execution not yet started. However, we are expecting to pick now.

The Dhule-Nardana has achieved 17.9% progress. The Gaya-Son Nagar and Karanjaon projects are at 15.4% and 13% completion. Progress across these projects was badly impacted due to abnormal rains, but is expected to pick in the coming quarters. The appointed date for the New Delhi railway station project has been declared at 6th of August 2025, and execution has commenced and the projec

t is at an initial phase with 3.7% completion done.

Regarding the solar project, during the last financial year, when H.G. Infra diversified into renewable energy sector by securing 183 solar power plants with a total capacity of 700-megawatt DC, out of which entailing a total EPC value of INR2,243 crores excluding GST. The land lease agreement with the power purchase agreement with DISCOM being done successfully.

And as of now, overall project progress stands at approximately 94.1%. With plant installation activity advancing largely as per the schedule, bearing 2 sites, however, which experienced delay because of the prolonged and the heavy monsoon conditions, and despite of the local challenges,

the company remains confident of commissioning all plants within the contact time line in the next few months.
This progress will also facilitate to draw down the remaining debt, thereby supporting overall liquidity.
On the financial front, approximately 89% of the required debt funding has been sanctioned, where around 79% of the disbursement already done. The remaining disbursement and the further balance sanctions will happen after the commissioning of these installed plants.
Due to these pending disbursements, we had borrowed from banks to mitigate the gap to complete the project on time. And as a result, our overall debt is coming on higher side at company level. Further, out of the total equity requirement into these projects of INR721 crores, INR705 crores has been infused as of September '25.
In BESS project, the company has executed a binding agreement with GUVNL and NVVN for a 435MW/ 870-megawatt hour project, scheduling completion on November '26 and December '26, respectively. In May '25, we have secured additional 300MW/600MWh project from GUVNL, an agreement for the same is scheduled to be signed in November '25.With this, the cumulative contracted capacity stands at 735 megawatts/1,470-megawatt hour. The procurement process for BESS project has been initiated and the orders for key components like power transformer, switchgear system, GIS has been placed and vendors for BESS container supply has been shortlisted and final orders for the same is likely to be placed by January 2026
Equity requirement for all these 3 projects remains INR500 crores and INR120 crores is anticipated to be infused in FY '26 and balance in '27, '28. Upon completion and commissioning of all these BESS projects, the company expects annual revenue of INR225 crores from BESS.
On monetization of 5 HAM projects, over the past few months, our leadership team engaged into intensive discussions with several prospective investors to monetize our second lot of 5 HAM projects. These projects include Raipur-Visakhapatnam Corridor Package AP1, OD5 and 6; Khammam-Devarapalle Package 1 and 2, Our goal was to secure a partner who could provide both financial strength and the sector expertise to maximize value of our stakeholders.
During August '25, we executed a binding offer document with Neo Infra Income Opportunities Fund. Under this agreement, our holding company will sell 100% of its equity stake in these 5 wholly owned subsidiaries managing these HAM assets. So this achievement reflects the successful execution of strategic negotiation and underscores a strong market trust in the value of potential returns of these infrastructure initiatives.
Further to this, we have also executed the share purchase agreement of Raipur-Visakhapatnam OD6 Package project recently, and remaining 4 SPA is targeted to be executed in this quarter only.
The enterprise value of the transaction is INR3,584 crores. Total investment, equity investment and total debt obligations in all these 5 HAM assets are INR767 crores and INR2,200 crores, respectively. We had already initiated to fulfilling the compliance of the condition precedents as

per the binding offer, which includes clients approval, lenders consent and other representations and warranties. We expect to conclude these formalities and expect to conclude the transaction within this financial year.
This transaction will deliver significant strategic benefits to the group by strengthening the balance sheet and reducing the leverage, thereby enhancing our financial flexibility. The realized funds can be deployed into new HAM bids, road expansion and other high-return infrastructure opportunities. We believe this deal achieved a robust valuation, positions the company for accelerated growth and value creation in the coming years.
Regarding the equity requirement for balance HAM projects, the total activity requirement for 11 HAM projects is INR1,709 crores. As of 22 September '25, INR1,165 crores has been infused. Of the remaining amount, INR195 crores is scheduled for infusion in 6 months from now, that is FY '26, followed by INR163 crores in FY '27 and INR186 crores in FY '28. Moving on to the financial highlights of quarter 2 FY '26, this is the first half of FY '26.
So the stand-alone financials revenue for quarter 2 FY '26 reached INR1,154 crores with an EBITDA of INR147 crores and EBITDA margin of 12.7%. PAT for the Q2FY26 stood at INR67

crores with a margin -- PAT margin of 5.8% compared to INR89 crores and the PAT margin of 8.3% in quarter 2 FY '25.

Revenue for first half FY '26 reached INR2,863 crores with an EBITDA of INR382 crores and EBITDA margin of 13.4% and a PAT of first half FY '26 stood at INR193 crores with a PAT margin of 6.7% compared to INR228 crores and a margin of 8.9% in first half of FY '25.

On a standalone basis, our gross debt stands at INR1,634 crores. This comprises INR550 crores in working capital debt, INR400 crores of NCD and INR684 crores on term debt, current maturities and trade limit.

Regarding the consolidated financials, the revenue for quarter 2 FY '26 reached INR905 crores, with an EBITDA of INR206 crores and an EBITDA margin of 22.8%. PAT for quarter 2 FY '26 stood at INR52 crores with a PAT margin of 5.7% compared to INR81 crores and a PAT margin of 8.9% in quarter 2 FY '25.

Revenue for first half FY '26 reached INR2,387 crores with an EBITDA of INR466 crores at an EBITDA margin of 19.5%. PAT for first half FY '26 stood at INR151 crores with a PAT margin of 6.3% compared to INR243 crores and a margin of 10% in first half FY '25.

As informed in the previous quarter, the dip in the consolidated revenue and PAT is mainly due to the elimination of intergroup transactions with SPVs of solar projects, which are recorded as capital work in progress in consolidated accounts. Since September '24 quarter till this quarter around INR2,111 crores of revenue and a profit of INR380 crores has been eliminated in the consolidated financials.

While the stand-alone results reflected EPC revenue and taxation and tax, the tax cost remains in consolidated results until the SPV start generating operational revenue, after which margins will improve.

Turning on to our future strategy plans and the future outlook. In the year ahead, our priorities at H.G. Infra will focus on sustaining a steady growth trajectory anchored by strong financial fundamentals. Operationally, we aim to tighten working capital cycles, ensure on-time project delivery, strategically allocate capital and enhanced monetization efforts. Both targets have been set for FY '26, where we plan to secure INR10,000 crores to INR11,000 crores of new order inflows.

And by FY '27, we intend to expand our non-road infrastructure portfolio to around 35%.

Looking ahead, we are focused on expanding into building construction and real estate, green hydrogen and other emerging sectors. Our team is actively working to explore opportunities and c

ontribute meaningfully into these sectors. At the same time, our strategy continues to diversify into high potential areas, such as water management, tunnels, transmission and distribution and smart urban infrastructure.

We remain committed to strengthening our digital and automation capabilities, enhancing ESG performance at the strategic level and delivering scalable, impactful projects across diversified geographies. Together, these growth levers will drive H.G. Infra's evolution in the broader multisector infrastructure platform, creating long-term value at its core.

Management: With this, we would like to open the floor for the Q&A.

Moderator: Thank you very much. The first question is from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: What would be our HAM and solar receivables? Last time you indicated that solar receivables are quite dated. So have we received them?

Harendra Singh: What is solar and debt receivables?

Vaibhav Shah: HAM?

Harendra Singh: Total debtor, and -- you're talking of debtor?

Vaibhav Shah: Yes, yes, yes.

Harendra Singh: So total SPV receivables into debtor is around INR255 crores in solar and INR557 in HAM. And this contract asset is INR235 crores in solar and HAM is INR529 crores.

Vaibhav Shah: Okay. Sir, we saw a sharp increase in the debt levels in the second quarter. So any reason for that?

Harendra Singh: So basically, there has been 3 significant areas where we have invested this debt -- increased debt. One is the advances to our vendors, that is around INR150 crores, we did into that because of procuring few of the core kind of material, which are required for debts and this thing. So mobilization advance also has been there, where INR250 crores of mobilization advance is there. So there is a significant decrease into that because in newer projects, we could not receive any mobilization advance till date. And the payables also has decreased where the retention has been

paid because of the many other projects, which we have recently completed where the vendor payment of the retention has been paid.
So this I have explained into this remarks that the total around INR490 crores of debt is still to be received from the HAM bank's disbursement. So this is, again, adding to this particular increase in debt, which was again to quarter 1 as well.
Vaibhav Shah: So once that comes, the debt should go down?
Harendra Singh: Yes. Debt, we are expecting in quarter 3 and quarter 4, significant decrease is likely to be there, and we will be roughly around some normalcy as we were in earlier quarters.
Vaibhav Shah: Sir, lastly, on the margin side, we have seen some softness in the last 2 to 3 quarters. So were there any one-offs in this quarter because margins were 12.7%? And how do you see it going forward?
Harendra Singh: The margins were on track only. There are exceptionally a few of the projects, say, especially Ganga, where we have taken a hit because of the change in law, there is likely that we would be taking that to the arbitration. We are going to seek this kind of an opportunity where it would be paid. It is a payable kind of a thing. But outrightly, now the client is not agreeing to that. So there is one number which we discounted immediately into our quarter's number.
Vaibhav Shah: What was that amount?
Harendra Singh: This is -- in the first quarter, it was around INR40 crores, and in the second quarter, it is around INR35 crores.
Vaibhav Shah: So going forward, there is any other expectation or it is now over? Or are there further...
Harendra Singh: All projects are very -- running very smoothly and perfectly within the right margins as we envisaged. So it's only one of the projects which we have taken at discount because we don't want to keep those numbers where the margins are likely, definitely there as per the contract conditions, bu

t it may take a few quarters to realize that.
Vaibhav Shah: So now that is completed the provision or it can come further in Q3 as well?
Harendra Singh: No, no. We are all done into these first quarter 1 and quarter 2.
Vaibhav Shah: Okay. And sir, lastly, on other income, it is INR17 crores in second quarter. So why it is so high?
Harendra Singh: So I'm not seeing that because the FDR is also there where some maturity would have been there. Other than that, I don't know -- let us see, and I will get back to you.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: A couple of questions. So first, broader guidance on the top line front. So now given the muted relatively in the 1H to achieve a INR7,000 crores, we need a 19% kind of a growth rate in the second half. So how do we now see?

Harendra Singh: The growth in first half of this year is almost as per the plans only, we are around INR2,800 crores, around a 10% to 11% growth. So for the balance portion, definitely with the rains subsided and the appointed date of this Varanasi-Kolkata Package 13 received, Ayodhya is likely to be there within a few days, and Package 10 would be followed in next month only.
So with that, we are estimating that a significant number would be in quarter 3 and quarter 4. So definitely, we are not very much sure that we would be touching INR7,000, but something around INR6,500 crores to INR7,000 would be our number which by end of this year, we will be able to -- comfortably, we will be able to reach.
Shravan Shah: Okay. And for next year also, earlier, we were looking at INR8,000. So given the -- if we can get a INR10,000 crores, INR11,000 crores order inflow. So INR8,000 crores is doable in FY '27?
Harendra Singh: With the balance order of about INR14,000 crores, if you do around INR4,000 crores in the balance, even it's around INR4,000 crores in the balance part of the year. So we would be left with INR9,000 crores in the year, and again, with the likely addition of the new order, where now the orders from -- even from the government or from any private line. So those are the orders which we do not expect much of the delay in the appointed date.
So whenever the orders would be placed, likely within a few months, the appointed date would be in, say, there because of the land availability and everything has been improving a lot. So with that, we are expecting that we will be touching around INR7,800 crores to INR8,000 crores in the coming year at about 15% growth as we have earlier estimated.
Shravan Shah: Okay. And now from the third quarter onwards, we should be having a 15% to 16% kind of EBITDA margin and that should continue for 2, 3 years?
Harendra Singh: Roughly, the margins because that has been impacted because of the few of the projects, which I already have discussed. So there, we have taken a hit of those margins immediately in the

current quarters only.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Just one clarification again on the margin front. I think last quarter also, you alluded that most of the Ganga Expressway-related onetime provision has been taken in the last quarter only. But in this quarter also, we have seen INR35 crores that you have mentioned. I'm not sure, even if one includes that, I'm not sure whether it is going up to 13 -- 16-odd percent, which we used to be a normal track record on the margin side. So can you please help us.
Harendra Singh: That would be only one project, which you had taken this hit, not because the client is not eager to pass on this claim. There is change in law and there is one COS. So there is an interchange which has been constructed as a variation, which we have not considered as a revenue because the client may take some time for approving that into -- as a variation claim.

So in NHAI project or this kind of a project, there are 2 different things, which are -- because the client always consider anything, which yes, definitely qualifies your claim. So here, in this

case, we are putting into our consideration that we may or may not qualify it immediately. So it is a matter of time. Definitely, these are all the numbers which we have taken as a provision or a margin has been discounted for the basis. Otherwise, it's not that the margins are not there. They were all there, and we were likely to see this number also coming in the future quarters within, I think, 3 to 4 quarters, this can be improved even.
Sarvesh Gupta: But in second half, sir. Now, can we expect to get back to a normal 15%, 16% margin or it will remain in 12%, 13%.
Harendra Singh: See, all the projects, we have good margin. So we are expecting to come back to this normalcy.
Sarvesh Gupta: Okay. And second, sir, on the order inflows. Now if I compute your order inflows for first half, it is coming to around INR1,500 only against the INR11,000 crores sort of the expectation in the beginning of the year. So what gives us the confidence that we will be able to -- in the remaining 4.5, 5 months, we'll be able to get to INR10,000 crores order inflow, sir?
Harendra Singh: So there are 2 big expectations, which we are expecting. One is definitely at NHAI. So nothing much has happened in first half and because of the land and the prequalification criteria and many more things with now everything because the approval of many projects, the bidding pipeline is very strong and they would be awarding in subsequent months. This is one area we believe.
And the second is, as we have already successfully completed one of the projects of Adani, this is a Ganga Expressway project. So there also, the -- with a strong relationship with them, so we are expecting some private orders. So the rail, roads and the private orders, which we believe that within the future, say, the further 3 to 4 months balance, we would be able to secure at around INR10,000 crores of orders.
Sarvesh Gupta: Okay. And sir, lastly, on the MSRDC project, so that INR4,000 crores book is not available to us for execution. So given that sort of a situation and most of the order inflow, which will happen, let's say, in the next, what, 1.5 quarters, then I don't know whether -- how much you will be able to execute. So are we being too optimistic about INR7,800 crores sort of a run rate next year in revenues given that very little order book will be left for execution for next year?
Harendra Singh: So if you see the total order, if you just take out this order from MSRDC, would be -- balance would be around INR4,000 crores -- INR5,000 crores. So those are the orders, out of which almost everything needs to be done in FY '27 just bearing, I think, more -- not more than INR400 crores, INR500 crores, which would be out of -- just going beyond FY '27.
So this is one area, which we believe and that the orders which we are likely to secure now. So those are the projects which we are expecting, where the tentative -- the time which we actually -- it normally take is 1 to 2 years from the award date to the appointed date.
So this is not going to happen in future orders because it's only a time when the orders, if you just can see the LOA to the appointed date, it would be 2 to 4 months maximum. So this gives

us the opportunity and give us the confidence that we would be able to secure the orders as well as we would be able to deliver this much of amount of orders.
Moderator: The next question is from the line of Vishal from Antique.
Vishal Periwal: Just continuing on the previous question. Out of the INR14,000-odd crores, barring the Maharashtra order, are there any other projects where the appointed

date is pending?
Harendra Singh: Yes, the appointed date as of now, which we -- one of the Ayodhya project, which we would be getting within a few days only. And the Jharkhand project, this is Varanasi-Kolkata Package #10 in the subsequent month only. So only the appointed date of this MSRDC project, that would be only balance.
Vishal Periwal: So total, you are mentioning total 4 projects, including the Maharashtra one, where the AD is pending, is it?
Harendra Singh: Correct.
Vishal Periwal: Okay. Fine, sir. And second, last thing is like in terms of financial closure of our -- the project where we have asset ownership, say BESS, even solar. So any update that can you provide, sir?
Harendra Singh: Solar financial closure already secured, 89% of the total project being sanctioned and 74% of the total disbursement happened. But still the big chunk of disbursement is yet to be done. But we have progressed almost 94%. So this is one bank which is SBI, which is they are just expecting because within the next 2 months, we need to complete the entire -- almost entire project. So within that timeline, balance of 11% would be sanction and disbursed, and the balance is already sanctioned would be disbursed in a few months from now.
So apart from this financial closure, where the BESS -- one of the sanction, which we already have received from PNB Bank. And very recently, I think by a few of the other banks are also taking, participating in financial closure. So we are expecting for both the BESS projects, where the -- by November and December, we need to submit the financial closure.
Moderator: The next question is from the line of Parth from JM Financial.
Parth Thakkar: When can we expect the execution in the BESS projects to start?
Harendra Singh: Yes, execution of BESS projects is with us only, yes.
Parth Thakkar: No, when can we start the execution?
Harendra Singh: Execution, we already have started where the land is in there and engineering being done and advances to transformer and GIS and other systems already have been placed. So we have already started commence into both the projects of BESS.
Parth Thakkar: Can we expect any meaningful revenue to be booked in this left of the financial year from BESS project?

Harendra Singh: Yes. Around, I think, roughly around INR150 crores to INR250-odd crores would be done within this year only.
Parth Thakkar: And I missed one of your statement where you said that the MSRDC revenue for FY '27. So can you just repeat it once, sir?
Harendra Singh: So once this order where we are expecting the land is still not in say, around 75%, 70% as per the terms of LOA. So because of that, delay has happened. But again, once the land is in place, the appointed date and the LOA do not have much of a difference. So in that scenario, we believe that once this year is over, and by the time which you have an appointed date is there, so a significant amount of work would be done in MSRDC project in subsequent year, '27.
Parth Thakkar: So can we expect it to come in this financial year or at the start of FY '27?
Harendra Singh: So we are expecting by this year-end only.
Parth Thakkar: And can we expect around INR500 crores of revenue from this project in this year?
Harendra Singh: Within this year, no. We are not expecting any revenue in this year. We are not regulating anything.
Parth Thakkar: And in FY '27?
Harendra Singh: FY '27, definitely, more than 50% would be done in FY '27, out of those total INR4,000 crores.
Moderator: The next question is from the line of Uttam from Axis Securities.
Uttam Srimal: Sir, my question pertains to the current bidding pipeline for HAM EPC and also for metro projects. Last time you had given some idea of gaining some projects from metro also and also from battery storage services market. So if you can highlight how much we have bidded in HAM and EPC and

for the metro -- railways and metro and for other projects also.
Harendra Singh: So till date, whatever we have bidded, it's around INR12,000 crores of total bids, which are already there, where the results are yet awaited. It's around INR7,000 crores in HAM and EPC projects into various sectors and around the BESS and the solar is around INR5,000 crores.
And as far as bidding pipeline is concerned, if you see into INR65,000 crores of order where the -- almost the land acquisition, and this is at an advanced stage from NHAI, where the HAM and EPC are there. We are not considering any BOT project into this. And also, Ministry is also expecting to bid around project equivalent to INR70,000 crores within this year.
So this is put together around INR1,35,000 crores, which we are considering for the year with the bid pipeline of NHAI and Ministry is there.
So apart from that, already we -- when we had completed one of the big projects from Adani as a client, the Ganga. So we are expecting that they are also in discussions with a few of the

projects already available with them to look at the EPC partner.

Uttam Srimal: Okay. And sir, the margin would be same, what we are getting in the Ganga Expressway project if we do some projects with Adani here going forward? Or it's really lower than that?
Harendra Singh: We are expecting this on the similar terms, we would be taking on the call on the similar terms. So roughly the same margin as we did in Ganga.
Uttam Srimal: And sir, last one, what will be the time line for the asset monetization that we have already done with this new?
Harendra Singh: So in all 5 projects, we have received the PCC and the NOC and other obligations, which we already have started. So we believe that the COD, as soon as we receive the COD as well as we -- as soon as we get the permission of NOC from the client, which will likely to take not more than 1 to 2 months maximum from now. So by January -- continuity in January or February, we would be doing 2 of the projects. And then March, all 3 balance projects would be done within the year only.
Uttam Srimal: And sir, the entire enterprise value, all these transactions were INR3,584 crores, if I'm not wrong?
Harendra Singh: So the enterprise value is INR3,584 crores. Out of this INR2,200 crores is going to debt and INR1,384 crores is the total amount, which H.G. would be getting.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My first question is, sir, can you please explain the change in law, which has impacted our margin booking in the quarter? What it is related to?
Harendra Singh: The change in law, basically, the aggregate being taken or being procured from out of state, that is interstates projects park. So there's a significant fee increase into that in UP. So whatever aggregate is purchased from out of the state of UP, that duty is being charged. So with that, it qualifies as a change in law. And there is a royalty change which also qualifies as a change in law.
So in any of the projects of UPEIDA, they never has paid this change in law, this is the first time. In NHAI, it is a normal trend, okay? So that's why they are considering this particular event, whereas it is since the first time and they may or may not consider it. So that's why we have taken that though legitimate claim is there. So we are already have taken the legal opinion. So if they deny that, then we will be taking this through arbitration.
Mohit Kumar: But we are working for Adani, right? So Adani has to get this money and pass it on to us. Is that right understanding?
Harendra Singh: There are both things. So the contract clearly speaks that whatever we would be getting from the client, which is UPEIDA, the concession agreement, that only would be passed on to us.
Mohit Kumar: Understood. Understood. My second quest

ion is on the NHAI pipeline. I think NHAI has given us a very strong visibility, is saying that they will come up with the INR3.6 trillion kind of order awarding in the fiscal. Are you seeing the signs of that happening?

Or do you think it is -- the numbers will be much, much lower? And any outlook and any -- some color on the pipeline which exists as of now?
Harendra Singh: Definitely, the NHAI and ministry, they are all bullish around the strong pipeline because last 1.5 years, nothing much has happened, almost 2 years from. So again, the bidding is -- the pipeline is from, which -- what kind of a project is greenfield maximum. So into HAM, EPC as well as BOT, it's a mix of all 3. So taken together, it's around not less than INR6 lakh crores. But definitely, we cannot see everything would be done within this year.
So we are expecting because of the land. So there is a mandate from the ministry as well as the finance that you should bid -- you should award those projects only where the 80% or 90% of the land as per the contract is available.
So earlier, the practice was where the 30%, 50% of the land was available also was put to that awarding it. So now they are restricting the measures of it. And second is the quality of the DPR. So they are, again, considering this, okay, whatever DPR we should prepare, the DPR should not have many more variations, which are encountering the time loss as well as variations.
So these are the 2 big things, which are impacting the bidding. Otherwise, the pipeline is very strong. So we are expecting, yes, definitely, it is taking time, but many projects, which they believe, and we are also expecting would be bidded within the financial year. And subsequently, I think there will be no delay in future years.

Moderator: The next question is from the line of Parth from JM Financial.
Parth Thakkar: Sir, when can we expect the execution to improve in the Delhi railway station redevelopment?
Harendra Singh: New Delhi railway, the execution has already started. The improvement is likely -- definitely it's in the urban area. But whatever land and utility shifting, which was supposed to be there, so significant progress has been done. So we are expecting around, say, INR130 crores of the execution within this year only. So a significant portion would be done within this financial year when we have started the project now quite aggressively.
Parth Thakkar: And can we expect to receive the monetization money by the end of this year?
Harendra Singh: Yes, of course. As we are progressing and the COD is expected, all 5 projects COD is expected in the subsequent 4, 5 months only. So this is a mandate which we have kept that once the COD as well as NOC on the client, these are the 2 things which are -- which are the prime requirement for the transaction to happen.
Moderator: The next question is from the line of Veenit from Investec.
Veenit Pasad: Sir, there are various news articles indicating that Maharashtra MSRDC orders may get canceled and come up for rebidding. What are you hearing from the government authorities, how this should proceed given land acquisition still is at around 30%, 35% levels?

Harendra Singh: You're right. It's only a matter of land acquisition. So basically, there are 2 things. One is definitely without the land, nothing can be done, let's say, LOA or appointed date cannot be declared. So they are looking at this almost 1.5 years roughly, say, 1.5 years already has passed. But they are keeping it. But definitely once anything needs to be done, it will take the next 6 to 8 months. So they are expecting this order to be given. And now the land acquisition is quite expeditiously being taken. Earlier, it was -- there was almost dullness for around 6 months. So now it has been actively being ta

ken. And every month, we are expecting -- we are seeing that there are 10% to 12% land being added into the equity. So with that, I think it's only a rumor part only.
Veenit Pasad: Okay. But sir, do you expect these orders, MSRDC orders to go for retendering in any case? Or you're fairly confident what have been the discussions with the awarding agencies on this?
Harendra Singh: Till date, there is no news as such, which is giving the sense, okay, these are going to be canceled and retendered. It's only a matter of time where the land acquisition is not, say, within as per the contract.
Veenit Pasad: Understood, understood. And sir, my second question was your comment on foray into building residential building segment and also green hydrogen. If you can throw some light on it, what type of orders are we looking for? How are we qualified? Will we initially go through JV route? Which type of orders we'll be targeting in those areas?
Harendra Singh: As such, in the hydrogen because all the refineries, they have been mandated to deploy or just install this hydrogen plant, which require green power. So one of the projects which we already have bidded with the JV partner only in the Numaligarh Refinery, so that gives us that particular sense, if we are setting up the plant where the green hydrogen is one area where the revenue would be coming backed by the total operation expense, which is the green power.
So the green power setup would be much more than the green hydrogen capex. So that, we are considering, which L&T is the only player with -- until date, they have taken 2 orders from Panipat and Goa. So in all the refineries, this is to be done.
And also the government is looking into many other public sector undertakings where the mandate is given for setting up the plant. This is one area, which we have picked, one of the trusted partner, which we have taken into our -- which we do have the patent for setting up the plants and indigenous components, which are now the prime requirement for the bids.
As far as this is concerned, see, apart from this, if you are looking at the opportunity which are into building, residential building or commercial building. So we are looking into this opportunity once we have completed in Kanpur projects. So mostly done, the total building part already done. So we do not require any quality, or say, a JV partner. So we are looking into this opportunity where the building construction can be taken up, whether in the government or the private.
Veenit Pasad: Understood. And up to what sizes would we qualify in case of government orders there?

Harendra Singh: Not a big number. It would be initially at INR300 crores to INR500 crores.
Moderator: As there are no further questions from the participants, I now hand the conference over to the

management for the closing comments. Over to you, sir.
Harendra Singh: Thank you for joining us today, and we remain confident in our continued success and are here to address any further questions. So please feel free to reach out to us, our IR advisor, Go India Advisors. Thank you. Good day.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

"H.G. Infra Engineering Limited
Q3 & 9MFY '26 Earnings Conference Call "
February 1 3, 202 6

MANAGEMENT : MR. HARENDRA SINGH – CHAIRMAN AND MANAGING DIRECTOR–H.G. INFRA ENGINEERING LIMITED
MR. RAJEEV MISHRA – CHIEF FINANCIAL OFFICER – H.G. INFRA ENGINEERING LIMITED

MODERATOR : MS. SELINA SHEIKH – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3FY26 Earnings Conference Call for H.G. Infra Engineering Limited , hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Selina Sheikh from Go India Advisors. Thank you, and over to you, ma'am.
Selina Sheikh: Good evening, everyone, and welcome to H.G. Infra Engineering Limited earnings call to discuss the Q3 and 9 MFY26 operational and financial performance , hosted by Go India Advisors. We have on the call Mr. Harendra Singh, Chairman and Managing Director; Mr. Rajeev Mishra, Chief Financial Officer.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, moved in conjunction with the risks that the company faces.
We now request Mr. Harendra Singh to take us through the company's bus iness outlook and performance, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.
Harendra Singh: Thank you, Selina. Good evening, everyone, and a warm welcome to each one of you joining us on the call today. At H.G. Infra, we are immensely proud and delighted to have spent over 23 years shaping the backbone of India's infrastructure and marked recentl y by our 24th Foundation Day. As we reflect on this journey with pride and advance with purpose, it has been built on trust, driven by a passion and defined by quality. These endeavo uring values continue to guide us in construction infrastr ucture that propels India's progress.
To meet India's evolving requirements, we are scaling for success fast tracking innovation to build smarter, faster and safer infrastructure. We are entering new sectors such as solar energy, transmission and battery storage, guided by the simple belief th at infrastructure must be as dynamic as diverse as the nation it serves. Union Budget of 26 -27 has strengthened the road sector with higher allocation to Ministry of Road Transport at INR3.9 lakh crores, up 8% year - on-year and increased funding for Nation al Highway Authority of India to INR1.87 lakh crores. This enhanced investment is expected to accelerate development of national highway, expressways and greenfield corridors. Leveraging our strong execution capabilities, H.G. Infra are well positioned to benefit from this momentum with 45 + road projects delivered and our track record reflects engineering excellence, timely execution and durable quality. As of December '25, our Roads & Highway order book stands at INR8,460 crores, constituting about 62% of the total orders.
Simultaneously, the Union Budget '26 -'27 again remains focused for rail infrastructure with a capital outlay of INR2.55 lakh crores for Indian Railways to support network expansion, capacity enhancement and modernization. Aligned with this momentum, HGIEL has

strategically diversified into Rail & Metro infrastructure. With 7 + ongoing projects, our presence in this segment reflects growing technical expertise, disciplined execution and capability to deliver complex infrastructure.
Green energy also marks a significant new phase in HGIEL's growth journey as we have already executed 350 + megawatts and remaining 250 megawatts likely to be completed by March '26 out of total 600 -megawatt capacity ordered, which is supported by integrated storage solutions, reinforcing our focus on sustainable and future -ready infrastructure.
Let me begin with a glimps

e of our operational highlights.
As of 3QFY26 , the company's order book stood at INR13,624 crores, comprising INR8,734 crores from Roads & Highways, INR2,779 crores from Railways & Metro, INR1,620 crores from BESS, and INR394 crores for Solar & Transmission projects, rest INR98 crores from other sectors. Segment -wise, Roads & Highway contributes 64%, followed by Railways 20%; Renewables 15% and other segment 1%.
Regarding the updates on the EPC and highway project s:
We almost have 99% Ganga project completed and COD are being applied likely to be obtained within this quarter only. The Jamshedpur elevated project is running smoothly with current progress at 36.9%. The Neelmangala -Tumkur project is gaining execution mome ntum and reached 54.4% completion. The Appointed Date of DLF project is declared as 30th December '25, and the project is under mobilization stage.
Regarding HAM and highway project s:
The Karnal Ring Road has reached 94.2% completion, marking steady progress and likely to get provision completion in Q4FY26. As shared in the previous quarter, provisional completion certificates for Raipur -Visakhapatnam Corridor OD -5 and OD -6 projects were already received, and the both projects remain close to completion. The Raipur -Visakhapatnam, again, AP project is also nearing completion, and we have received provisional completion certificate with effec t from May 25. All 3 projects of Raipur -Visakhapatnam Corridor that are OD -5, 6 and AP1 continues to be on track for COD in the next few months only.
The Khammam -Devarapalle Package -8 KD -1 and 2, this is where the PCC already received, which are at 99.1% and 96.9% completion, both the packages are expected to be 100% completed in Q4FY26. The Chennai -Tirupati HAM projects reached at 40.1%. The provisiona l appointed date for the Varanasi -Kolkata Corridor Package -13 has been received with track on 30th September '25 and the project progress of Package -13 stands at 19.4%. For Package -10, the appointed date is expected to be received in quarter 4 '26.
For Kosi Parikrama Package number 6 of Ayodhya, the concession agreement is signed on 21st of June '25, and the appointed has recently been declared on 16th Jan '26. The project execution stands at 3.4%. For the Narol -Sarkhej project, financial closure, which was achieved and the

appointed date was received with effect from 19 August, '25, the project execution stands at 15.6%.
Turning to the progress of railway projects.
The DMRC Metro project is 99% completed and progressing as per the scheduled timeline s and targeting its completion in Q1FY27. The Bilaspur Himachal Pradesh Railway project is 87.8% completed and targeted for completion in Q1FY27. The Kanpur Railway Station project is at 44.9%. Dhule -Nardana Railway project has achieved 35% progress and the Gaya -Son Nagar and Karanjaon projects are at 27.3% and 32.7% completion, respe ctively.
Progress across these projects was impacted due to abnormal rain, but it is expected to pick up in this quarter. The appointed date for the new Delhi Railway Station project has been declared as 6th August '25. After the initial hiccup related to the utili ty shifting and design, the execution is now at initial phase with 6.9% completion. The appointed date of newly awarded Thane Metro project has been declared as 11th January 26, and the project is in the mobilization stage.
Updates on the solar project,
As of 31st of December 25, overall physical progress across the project stands at approximately 95.8% despite delays in few months

caused because of the prolonged and heavy monsoon
condition in Rajasthan as well as the van -related challenges affecting the t ransmission line infrastructure development, these projects got delayed. Despite of these site -specific constraints, the company has been able to execute the projects largely in line with the planning as plan ned

schedule.
The company is putting adequate resources to commission all the plants within the revised contractual time lines in the coming months. The anticipated commissioning will also enable the drawdown of the remaining sanctioned debt and clear the outstanding li abilities. In view of the challenges faced by the developers in Rajasthan, the Ministry of New & Renewable Energy, that is MNRE, has extended the commissioning guidelines for the solar plant again KUSUM C Scheme A and C up to 31st March 26.
From a financing perspective, approximately 86% of the required project debt has been sanctioned, out of which around 74% being disbursed. The balance sanction and disbursements are likely to happen post commissioning of the installed plant in the interim. To bridge the funding gap and ensure timely project completion, the company has availed additional working capital limits. Consequently, the overall debt level at the company level has temporarily increased, which will be reduced in coming months once so lar balance disbursement of INR425 crores will be received.
As of December 25, the total equity investment in these solar projects stands at INR731 crores.
As of now, the total amount billed to the DISCOM is INR72.88 crores and the total of INR56.33 crores has been collected till date.

Regarding the BESS project,
The Company has executed binding agreements with GUVNL and NVVN for three projects with cumulative capacity of 735 MW/1,470 MWh .The procurement process of BESS project has been initiated and the orders for the long lead components like power transformer, GIS, switchgear systems has been placed by the company and the exhausting technical due diligence has been conducted for DP block container from both overseas and domestic vendors.
Final orders for the same is likely to be placed by March '26. In Jan 26, company formed SPV and while purchased the land for the Banaskantha project and both the projects have now got the approval from connectivity agreement. Financial closure of Banaskan tha project is completed and Dholera is at advanced stage of closure and expected to be complete by March '26. Upon completion and commissioning of all the BESS projects, the company expects annual revenue of ~INR225 crores from BESS.
Regarding the transmission project,
The Transmission project is progressing well as per the time lines, the SPV being formed and the design and the long lead items are booked. This is an
Update on the monetization of 5 new HAM assets
In August 25, we executed a binding offer document with Neo Infra Income Opportunities Fund for the divestment of our HAM portfolio in 5 wholly owned subsidiaries. We have executed the security purchase agreement of all 5 projects during the previous quart er.
We had already initiated the process of fulfilling all condition precedents, including obtaining clients' approval, lenders consent and completing requisite representation and warranties. We have received lenders NOC for Khammam -Devarapalle Package -1 and 2 and for the Raipur - Visakhapatnam project Package -5, NOC has been received from one of the senior lenders and the approvals from remaining 2 lenders are expected shortly.
Further, NHAI has also approved the NOC of Khammam -Devarapalle Package -2.

From the
remaining projects, we are in continuous follow -up with NHAI and respective lenders and anticipate receiving the required NOC within the next month. Based on the current pro gress, we are expected to complete the transaction for at least 3 of the projects, SPVs within the current financial year, and we are expecting around INR500 crores to INR600 crores as first part of consideration for these projects.
Regarding equity requirement on HAM projects, the total equity requirement of 11 HAM projects is INR1,750 crores. As of December 25, INR1,242 crores has been infused and the remaining amount, INR117 crores is scheduled for the infusion in 3 months for the year, followed by INR220 crores in FY27 and INR171 crores in FY28.

Moving on to the financial highlights of 3QFY26 and 9MFY26 . Standalone financial revenue for 3QFY26 reached INR1,450 crores with an EBITDA of INR224 crores at a margin of 15.5%

EBITDA. PAT for the 3QFY26 stood at INR97 crores with a PAT margin of 6.7% compared to INR137 crores at 9.1% in quarter 3 FY '25. Revenue for 9MFY26 reached INR4,313 crores with an EBITDA of INR607 crores at an EBITDA margin of 14.1%. PAT for 9 MFY26 stood at INR290 crores with a PAT margin of 6.7% compared to INR365 crores at a margin of 8.9% in 9MFY25 .

On a standalone basis, our gross debt stands at INR1,945 crores. This comprises of INR914 crores in working capital, INR631 crores on term loans and current maturity, trade limit and other means of debt.

Regarding the consol number, revenue for Q3FY26 reached at INR1,421 crores with an EBITDA at INR309 crores of 21. 7% margin. PAT for Q3FY26 stood at INR94 crores with a PAT margin of 6.6% compared to INR115 crores at a margin of 9.1% in Q3FY25.

Revenue for 9 MFY26 reached INR3,808 crores with an EBITDA of INR775 crores and an EBITDA margin of 20.3%. PAT for 9 MFY26 stood at INR245 crores with a PAT margin of 6.4% compared to INR358 crores at a margin of 9.7% in 9 MFY25.

Update on recent CBI matter is, as you are aware that the CBI and Anti -Corruption Bureau, Patna has conducted a search in our offices in the month of January. The necessary updates for the same are already disclosed through the stock exchanges. We are exte nding our full support to the agencies in the matter and we'll continue to update the investors through our disclosure on stock exchange upon any material development and would like to mention that there has not been any impact on the operations and finan cial position of the company.

Turning on to the future strategy and outlook. HG has outperformed exceptionally in all fronts against all odds and delivered timely projects with great trust, passion and quality. As you all know that there has been less traction in new projects awarding in the last 18 months from NHAI, but after our deliberation with NHAI things will again flourish with new projects bid. In 9MFY26 , we have got new projects worth INR3,300 crores up to date and quite hopeful to add projects worth around INR4,000 crores to INR5,000 crores by March 26.

I will now hand over the call to our IR adviso r and request to open the floor for question -and-answer session.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir, can you please help us with the update on the appointed date for Nagpur EPC orders? I think there were 2 projects which were up around INR42 billion. And is there any risk of cancellation of the orders?

Harendra Singh: Probably the cancellation of these projects is not at all in pipeline or in discussion. The land acquisition which -- actually has been impacted in the recent past because of

the municipal election in Maharashtra. So it is going on at, say, not at the same pace as we have envisaged. So probably by April or May, it looks like that 70% of the land, which is a prerequisite for LOA to be issued, by that time, we are checking upon with the authorities to what is the present -- recent update.

Mohit Kumar: So you expect maybe the work to start in H2F Y27. Is that a fair assumption given the current information?

Harendra Singh: Correct. Correct.

Mohit Kumar: Understood. Second thing, of course, NHAI tender pipeline has been pretty weak for the last several quarters. What you seeing the progress on the ground? Are you hopeful of a sharp momentum in the balance of the fiscal? Or do you think the progress will mo st likely happen F Y27 and F Y26 will again be earlier?

Harendra Singh: See, as far as development and with getting the feelers from the authority, it is very promising that the pipeline is so long and the land acquisition which is a very much prerequisite condition for the authority to award any project, which earlier was not there as well as the quality of the DPR validation thro ugh their DPR sale is taking some time.

The project where the cabinet approval is already being obtained, they are almost more than INR60,000 crores of project. But then again, there are many more projects where the cabinet approval is likely to happen within the shortest possible time. So it's a matter of only a few months from now where these projects of around INR6 lakh crores, which they have given into the domain also would be likely to be awarded, not for this calendar year, current financial year, but for next -- definitely for the next y ear.

Mohit Kumar: My last question on revenue guidance. Are you still maintaining the guidance of INR65 billion for the fiscal? Or do you think there's a risk to that number?

Harendra Singh: There has been a bit of a flatness as far as the progress because of the prolonged monsoon, this

is one reason and the retrieving monsoon, which has affected the Tirupati project. But even then, we are quite hopeful that we are overpassing the last year nu mber. And looking at this, the appointed date of Jharkhand Package -10, which was supposed to be there, but is not yet issued, likely in next month only it would be given to us. So that has impacted around INR200 crores to INR300 crores. Oth erwise, we would be at, say, in and around the last year number, plus some percentage over the number.
Moderator: Our next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, any one -offs in the EBITDA margin this time?
Harendra Singh: Sorry?

Vaibhav Shah: Were there any one -offs in the margin or 15.5% is normal EPC margins for 3Q?
Harendra Singh: For normal EPC margins, there's no additional exceptional item which has been added here.
Vaibhav Shah: Okay. And sir, why were the tax rates so higher at 31.5% for the quarter?
Harendra Singh: So there has been -- see for last year, there has been for MSME INR6 crores of provision, which has been made in this year for the tax matter. So for that reason, it is a bit higher.
Vaibhav Shah: Okay. Sir, secondly, what -- when do we expect to complete the solar projects? And when this -- when do you see the debt coming down?
Harendra Singh: So the debt of INR425 crores, which is yet we need to receive from this SPV -- from the lenders to SPV and in turn to SG is likely that around INR200-odd crores would be there by March followed by April because the entire commissioning has now been deferred till March because of the all local disturbances and the issues, which we already have faced, several other companies have faced. So in April an d May, in quarter 1, we would be getting the entire debt once we commission the plant in total ity.
Vaibhav Shah: For the incremental work also which

you are spending roughly INR400-odd crores, for that also will be required to put another money, right, to support the SPV?
Harendra Singh: No. As far as execution is concerned, it is already 98% plus completed. So the fund which we require for the, say, nearing completion, it's not that big amount. There is INR35 crores, INR40 crores, which will be required in quarter 4 only for entire completion. So the money which we will be collecting is INR425 crores is coming from the SPV through debt.
Vaibhav Shah: But order book seems quite high in the solar projects as of December?
Harendra Singh: Solar. No, no, it's Transmission & Solar.
Vaibhav Shah: Okay. Okay. Okay. Got it. And sir, when do we expect to start the work for the BESS projects? And your guidance for FY27, given the expectation from the -- revenue expectation from the MSRDC projects would be quite lower given it's likely to start in secon d half. So what would be your guidance for '27?
Harendra Singh: So what we have designed as the IOP plan, so the existing order book and likely to execute some 2,000 cr numbers within this year. So with that number, the best execution is likely to be completed for the next year only. So entire completion would be there. As far as if we are not considering even Nagpur -Chandrapur, which is MSRDC project. So what is to be do ne for the new projects, which we are likely to bag in the coming months only. We are considering some INR1,500 crores from the new proj ect or the MSRDC project. Other -- all these projects, which are already yet -- just started or just one project to be started would be good enough to reach out to a number of INR10,000 crores for the next year.

Vaibhav Shah: Okay. Okay. And sir, what would be -- so when do we expect to receive the appointed date for the North HAM? The one HAM which is pending.
Harendra Singh: The North HAM project we have -- Ayodhya Project we have started, 3% is complete, started -- just recently appointed date was declared on the 16th of January. So just one project is balance where the appointed date is not yet declared, which is Jharkhand Package -10.
Moderator: Our next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, just again, coming back on the first one on the revenue front. So you said that close to INR2,000 crores that we are looking in the fourth quarter, so that is there. And in the next year, we are saying a INR7,000 -odd crores. So even if I look at broadly, it would be a kind of a 13% kind of a growth that we are looking at.
So still not able to understand whatever the shortfall which is there for FY26, we were earlier

looking in FY27, 15% plus. So now again, INR200 crores, INR300 crores shortfall is there for FY26. So FY27, previously, we are looking at INR7,800 -odd crores. So of all that we are looking at for FY27?
Harendra Singh: So ultimately, there has been a big reason for the shortfall for the year because of the prolonged monsoon as well the appointed date for this particular project, which has been delayed, Jharkhand Package -10. So this has been the reason which we are quite hopeful that we would be picking it up around INR6,200 -odd crores which we do during the year.
So the balance for the year '25, '26, '27, we are estimating at least INR1,500 crores would be done from the project where the appointed date, which is not yet issued or LOI is yet awaited, which is MSRDC or any other project, which you would be likely to get in the coming months only. So rest, apart from INR1,500 crores if we do best, all other projects progress would be yielding around INR5,500 crores. So that we have estimated that we will be touching around INR7,000 crores without much of a problem for the next year.
Shravan Shah: Okay. And the INR1,800 -odd crores that we have already got the inflow till now and INR4,00

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crores to INR5,000 crores that we are looking at by March, so there just wanted more clarity. So 2, 3 aspects. One is how much worth of value of bids that we have already submitted? And also, if you can break it up into whether NHAI or railway or solar or BESS or any o ther sector? And how much more are we planning to bid whatever the tenders still now is available?
Harendra Singh: See around INR14,000 crores of highway projects already being bid at EPC and HAM, we have 3 EPC, 5 HAM where the results are yet awaited. And till March, we are expected to bid INR48,000 crores of projects. So we are expecting that these are the projects and apart from the projects which we are aligning with private developers also.
So those are the projects which we are quite hopeful that give us the opportunity for the year.
Railway, we are already have one project we bid and the second is INR4,600 crores of projects

which we already bid, the bid yet to open. BESS, around 4,400 megawatt s of bid is yet to be submitted and 2,760 megawatts of bid being done where the results are yet awaited.
Shravan Shah: What would be the roughly value of this 1,400 megawatts that we bid and 2,760 that we are planning to bid? In terms of the EPC, I'm particularly asking.
Harendra Singh: That would be roughly around INR8,000 crores.
Shravan Shah: Put together, combined?
Harendra Singh: Put together, which we would be both which we have already bidded or likely to bid.
Shravan Shah: Okay. Got it. And in terms of margin, this 15%, 16%, that guidance for a couple of years will remain intact? Or are we facing kind of a competition and maybe going forward, the margin can be on the lower side?
Harendra Singh: So as of now, the projects which we are already having in hand, which do have this margin. This is for sure. But in near future, definitely, as the market trend is giving a bit of a sense of correction where the margins are likely to be not in the same num ber would be around 14% or say that number. So in any case, when we bid and we try to see that -- we are not going to see that 10% to 12% margins are a doable kind of a margin for us. But we are focusing -- we are looking at the project with having 14 -odd percent in any case for the future bids.
Shravan Shah: And then we are open to bid for BOT Toll also or we will prefer through the subcontract...
Harendra Singh: No, no, we are not yet explored this particular option as of now.
Shravan Shah: Yes. Lastly, just a couple of balance sheet items, inventory, debtors, trade payable, mobilization unbilled retention, HAM debtor, solar debtors?
Harendra Singh: Mobilization advance is INR260 crores and the stock stands at INR358 crores. And the debtors are at INR1,551 crores. Out of this debtors, HAM debtors are INR579 crores, solar SPVs do have INR330 crores, so these are all SPVs. Ganga is at INR277 crores and others and railway at around INR200 crores. And the current asset, which is unbilled is INR1,448 crores.
Shravan Shah: INR1,448 crores. And trade payable?
Harendra Singh: Solar and HAM do have INR700 crores.
Shravan Shah: No, no, total trade payable, which was INR1,177 crores at September?
Harendra Singh: Trade payable is INR1,298 crores including retention.
Shravan Shah: Okay. But inventory total, you said...
Moderator: Shravan, sorry to interrupt. We request you to please rejoin the queue.

Shravan Shah: I know, I'm completing this. This is for everybody. This is not a question. I understand this. So that's what I'm asking. If the promoter is not having a problem, I think you should be keeping silence. Sorry, sir. Can you please again? Yes. And consolidate and consol cash?
Harendra Singh: Consol, I'm not having the right number. I think we would be giving -- we'll come ba

ck to you.
You're asking for consol debt.
Shravan Shah: Yes, consol debt. Gross debt and consol cash.
Harendra Singh: This debt is there with me, consol debt, INR6,032 crores and consol cash is INR255 crores.
Shravan Shah: INR255 crores. And BESS equity till now the same INR10 crores is invested and the balance, how much to be invested in fourth quarter and '27 -'28?
Harendra Singh: Solar, we have invested full equity, INR731 crores, no further requirement is there. BESS for the year would be around INR99 crores, already INR16 crores invested till date.
Shravan Shah: And '27 -'28 BESS?
Harendra Singh: The total equity requirement for FY26 -27 would be INR605 crores, including HAM.
Moderator: Our next question is from the line of Manish Gadia , an Individual Investor .
Manish Gadia : Am I audible?
Harendra Singh: Yes.
Manish Gadia : I have one query. As of now, in 9 months, we have done around INR3,807 crores of revenues. So in the fourth quarter, what do you expect? I mean, what is...
Harendra Singh: See, this is the consolidated number at INR3,800 crores. On the stand -alone, we have already done INR4,300 crores. We normally count that on a stand -alone basis. But for the last quarter, we are expecting to do around INR2,000 crores.
Manish Gadia : Okay. And what would be the EBITDA margin and the profit margin, sir, we expect the same thing or it will come down a bit?
Harendra Singh: 15%, roughly around 15%.
Manish Gadia : 15%. Okay, sir. And sir, one more query regarding you told that you are having the INR4,000 crores to INR5,000 crores of -- you will get the work in this quarter. How confident are you getting that, sir?
Harendra Singh: This we already submitted and the advanced stage of certain -- for the private developers also, which we are hoping for. So this is how we are looking at around INR400-odd crores or INR4,000 crores to INR5,000 crores order likely to be added in the till March only.

Moderator: Our next question comes from the line of Vivek Joshi, an Individual Investor .
Vivek Joshi : Mr. Singh, I just want to understand one thing, can you just throw some more light on the CBI visiting our premises and whether any of the employees are involved into any kind of legitimate activity?
Harendra Singh: See, the matter whatever has been reported, we have already reported to the stock exchange. So nothing beyond that is with us, say, as far as it's yet to be updated. So in case any updation would be there, we will give it.
Vivek Joshi : No, but the submission that has been made with the stock exchange, it doesn't talk about whether any of the employee was involved because we see a dramatic exit of 3 senior executives from the company. So are we in any way or any of the employee or anyone from the management is involved in any of the activities? Yes?
Harendra Singh: This is not any way related to this particular matter.
Vivek Joshi : So how do we get any update on this? I mean, why did the CBI come?
Harendra Singh: But again, it's a matter is subjudice and whatever we update on the matter of updations would be given to the stock exchanges as a communication.
Vivek Joshi : And not to the shareholders, is it?
Harendra Singh: No, it can be given, but there is no update as such. We already uploaded it.
Vivek Joshi : No, no, I'm not asking for any update. I'm only asking what was the reason why CBI came because whenever CBI or IT people come, they come with some sort of an explanation with respect to so and so matter, we have come here. So can you just throw some light on that?
Harendra Singh: I think CBI do not have any reason to search any place. They do have their own reasons. They did that. And whatever was the event, we have updated the stock exchange. So there has not been any transaction, nothing doing. So that has been updated.
Moderator: Our next

question comes from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Yes. Sir, till now 9 months, how much capex we have done and going forward, so we used to say minimal capex . So that stand remains?

Harendra Singh: What kind of a capex ?
Shravan Shah: For 9 months how much -- yes, equipment, so at a stand -alone level, how much capex ...
Harendra Singh: Hardly the item is around INR305-odd crores invested in this particular 9 months and not a major would be done because -- so the kind of a project which we are having mix of that. So we do have a good amount of machines and equipment.

Shravan Shah: Okay. Okay. And this -- you said this date of INR1,545 -odd crores. So maybe INR200 crores once we get the solar disbursement, it would be reduced? That is one part. And second, apart from that, any further option in terms of the reduction by this March end? And how one can then look at for FY27 onwards the debt?
Harendra Singh: So basically, there have been 2 big reasons. One is the solar debt. Second is the debtor and the current receivable, this is the current assets. So this is a very high -- all-time high because the project which we are at this stage is around 10 bid size pr ojects, including solar, it is a 12 bid size project, which are at this particular verge of this, where certain unbilled is there, contract assets and certain debtors that they have gone high. So once we are 100% at this stage, completion i s being done and the COD being done and whatever unbilled is being built and the debtors would be received. So this will give a significant relief to the debt.
Shravan Shah: Got it. And this BESS, you said the entire INR1,600 crores order book, which is there will be executed by FY27 or half of '27, '28?
Harendra Singh: Battery? You are talking about BESS?
Shravan Shah: BESS...
Harendra Singh: Around 85% of the BESS would be completed by March because the third BESS do have the time line till June '27.
Shravan Shah: Okay. Got it. And in railways, so out of broadly currently INR2,800 -odd crores, how much one can look at to execute...
Harendra Singh: We will be doing around INR1,700 crores from this project, railway.
Moderator: Our next question is from the line of Manish Gadia , an Individual Investor .
Manish Gadia : Sorry to ask you again. Sir, our profit margin has been declining. So what's the reason for that?
Harendra Singh: In the last 3 quarters, it was at a decline stage because of some modified profit projection in few of the projects, especially Ganga and Solar and one more project of NHAI. Now they are stabilized.
Manish Gadia : Because the last quarter also, sir, it was 6.7%.
Harendra Singh: No, no, I'm not talking about the PAT. We are talking about the EBITDA number, which is around...
Manish Gadia : No, I'm talking about the PAT margin. The PAT margin also it has been declined from 9% to 6.7%, the reason behind it?

Harendra Singh: So this is the tax rate, I think in one of the exceptional reasons has been affected this. Ultimately, it is 25%, but this time it is 32% for the reason which is kind of a provisioning being done for -- tax provision being done for the last year.
Moderator: Our next question comes from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, assuming the LOA comes from MSRDC in the first half of this year. So we won the L1 in May 24, this is almost a gap of 2 years. So will the bid be revised? Or can it impact our margins?
Harendra Singh: No, there is no update as such as for the revision or anything is concerned. It's a bid validity we are expanding every time. So we are quite hopeful because the land acquisition is going on, our team site at the project level, they are w itnessing the land position, et cetera. So we ar

e quite hopeful that very soon it is going to be awarded, but it's a matter of only the government reason where the land availability was not there.
Vaibhav Shah: Sir, but if you accept the current bid which you had submitted 2 years back, so won't the margins be impacted on the project when we execute it?
Harendra Singh: No. If we just discount that number -- let's say, if the order is not there. So we would be having a less number of orders in any case, which is the balance order, in case what you are trying to tell. So basically that the orders in the forthcoming months and the forthcoming year need to be added to just maintain that streak of around 10% to 15% year -on-year growth.
Vaibhav Shah: So what I was coming from is that if the LOA had come earlier a year back, we would have been

already executing the project around 50%, 60 -odd percent. And now -- so what margins would we have built in that time of bidding? And what would we be doing once we start the execution, say, sometime in second half?

Harendra Singh: No. Margins in any case are not going because we do -- these kind of projects do have price escalation. So anything from the base date would be added to this hit for the price escalation, be it negative or positive.

Vaibhav Shah: So it does have PVC clause?

Harendra Singh: Yes, there's a PV clause.

Vaibhav Shah: Sir, one more question. What would be the order... ?

Moderator: Sir, request you to please rejoin the queue if you have further questions. Our next question is from the line of Bhavin Modi from Anand Rathi.

Bhavin Modi: Sir, last call, you discussed something about the inflow from the Adani Group. So what is the status with that?

Harendra Singh: Discussion is at the advanced stage. We have submitted our and there are twice the negotiation of the further terms and condition has been discussed. So one more bid or a few more bids also has been in advanced stage of discussion with Adani Group and one about group.

Bhavin Modi: And sir, these are with respect to all the road projects? Or is it diversified?

Harendra Singh: These are all roads and rail.

Bhavin Modi: Okay. And in the last call, you also mentioned about entering into the building construction space and the green hydrogen space. So any progress there?

Harendra Singh: Yes. Green hydrogen, yesterday only this bid was there, but we were not there in the race. We used L3, but we would be looking in the future hydrogen also.

Bhavin Modi: Okay. And sir, what is our order inflow year -to-date?

Harendra Singh: This is INR3,300 crores for the year.

Moderator: Our next question is from the line of Ishita Lodha from Svan Investments.

Ishita Lodha Sir, can you clarify on the execution guidance for FY27, how much are you expecting from Roads, Railways, BESS and Solar? Also as a follow -up, can you also let us know the order inflow target for FY27 for future growth?

Harendra Singh: So already has been guided that we are looking at about, say, 10% to 12% year -on-year number as far as FY27 is concerned, roughly would be INR7,000 crores. And as far as order inflow guidance, we are targeting around INR10,000 crores to INR12,000 crores of order in the year FY26 -27.

Ishita Lodha So out of the INR7,000 crores execution, INR1,500 crores is expected from the new project?

Harendra Singh: So that -- we have considered that out of the existing project, which is including Varanasi - Kolkata Package -10 and excluding this project of MSRDC, around INR5,500 crores would be from this project already started including this. And the project likely with the -- in the near future, including MSRDC, we are looking at INR1,500 crores from those projects.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments

. Over to you.

Harendra Singh: So thank you for joining us today. We remain confident in our continued success, and we are here to address any further questions. Please feel free to reach out to us or our IR adviso r, Go India Advisors. Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.